CENTRE FOR DISTANCE AND ONLINE EDUCATION

LEGAL ASPECT OF BUSINESS

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Centre for Distance and Online Education
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CHAPTER

OBJECTIVE OF THE LEGAL ASPECT OF BUSINESS (LAB)

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INTRODUCTORY CASELET

NAVIGATING LEGAL COMPLEXITIES IN EUROPEAN MARKET EXPANSION: THE GREEN EARTH TECHNOLOGIES (GET) EXPERIENCE

Case Objective

The objective of this caselet is to understand the legal challenges faced by companies expanding into international markets, particularly the European Union.

Green Earth Technologies (GET), a mid-sized renewable energy company based in the United States, had achieved significant success domestically. Recognising the growing global demand for sustainable solutions, the company decided to expand its operations beyond US borders, aiming to tap into new customer bases and increase its global market share. With enthusiasm, GET's management viewed this international expansion as a strategic move to grow its brand and diversify its operations. However, as GET ventured into global markets, it encountered a series of legal challenges that threatened its success across multiple industries, including renewable energy, healthcare, financial services and manufacturing.

INDUSTRY-SPECIFIC LEGAL CHALLENGES IN EUROPEAN EXPANSION

Renewable Energy (GET's Core Industry)

One of the first and most significant challenges GET faced was compliance with the European Union's stringent environmental regulations. While the company had a strong understanding of US environmental laws, the legal framework in the EU was far more comprehensive and demanding. For example, the EU had more detailed laws surrounding carbon emissions, energy efficiency, and waste management, which required GET to adjust its production processes to meet these higher standards. In addition to the environmental regulations, GET had to address various government incentives, subsidies, and tax laws related to renewable energy projects. Failure to comply with these regulations could result in substantial fines, costly delays, or even bans on operations in certain European countries.

Healthcare Industry

A company in the healthcare sector looking to expand into Europe would similarly face legal challenges related to the differences in regulatory frameworks. The EU has one of the most complex and robust regulatory systems for healthcare products, pharmaceuticals and medical devices. For example, a U.S.-based healthcare company must navigate the EU's Medical Device Regulation (MDR) and In Vitro Diagnostic Regulation (IVDR), which impose rigorous safety and quality standards. Moreover, differing approaches to healthcare data privacy, such as the General Data Protection Regulation (GDPR), require a healthcare company to restructure its data collection and storage

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systems to comply with the strict privacy rules governing patient information in Europe. Failure to comply with these regulations could result in costly fines and damage to a company's reputation.

Financial Services Industry

In the financial services industry, US companies expanding to Europe would have to deal with a complex network of regulations concerning banking, investment and insurance services. The EU's financial market regulations, such as Markets in Financial Instruments Directive and Solvency II (for insurance companies), impose strict rules on transparency, conduct and risk management. Additionally, the European Central Bank (ECB) and national regulators oversee monetary policies and credit systems that vary greatly from those in the US In this sector, regulatory compliance is critical, and failure to adhere to these regulations could result in legal penalties, operational limitations, or even market exclusion.

Manufacturing and Intellectual Property

For a company like GET that manufactures renewable energy technology, intellectual property protection plays a crucial role. While GET's solar panel designs were patented in the US, they were vulnerable to intellectual property theft in the European market. Unlike the US, where intellectual property law is relatively uniform, European countries have their own patent systems, and GET had not adequately protected its innovations in Europe. In industries such as manufacturing and technology, this challenge is common: intellectual property rights vary across jurisdictions, and companies must invest in international patent filings or face the risk of losing their competitive edge. Additionally, manufacturing businesses face regulations on product safety standards, worker safety, and environmental impact in European countries, all of which vary significantly from US laws.

Labour and Employment Law Considerations

Another major legal challenge GET faced was related to employment law, which varies greatly between the U.S. and European countries. In some European nations, labour laws are far more protective of employees' rights, with stronger worker protection laws, longer paid leave entitlements, and more stringent workplace safety regulations. GET had to restructure its human resources policies to ensure compliance with these laws. This included adapting to different social security systems, pension schemes, and employment contracts that are common in European countries. Additionally, European labour laws often

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involve more union influence and require careful negotiation of worker agreements, making human resources management a more complex and time-consuming process than GET had anticipated.

Proactive Solutions and Global Success

Despite these varied legal challenges across industries, GET's proactive approach to resolving legal issues played a crucial role in its eventual success in the European market. By collaborating with local legal experts, international law firms, and regulatory bodies, the company navigated the complex legal environment across multiple sectors. By carefully following EU rules, protecting intellectual property worldwide, and aligning employment practices with local labour laws, GET successfully avoided expensive legal problems..

In the renewable energy sector, GET ensured its operations met EU environmental standards while securing crucial subsidies and tax incentives. In the healthcare industry, companies learned to comply with the EU's healthcare product regulations and data privacy laws. For financial services, US companies established strong compliance frameworks to meet the EU's complex financial regulations. Manufacturing firms took steps to protect intellectual property and adhere to safety standards. This approach allowed GET, along with other US companies in diverse industries, to build credibility and reputation as responsible and trustworthy players in the European market.

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LEARNING OBJECTIVES

After studying this chapter, you will be able to:
- Define the meaning of law and business
- Discuss the legal principles and concepts
- Explain the sources of law
- Describe the law to regulate business
- Discuss the concepts of law and court

1.1 INTRODUCTION

Law and business are inseparable components in today's corporate environment, where legal frameworks regulate virtually every aspect of business activities. Businesses, whether small or large, operate under a legal framework that governs their formation, operations and dissolution. These laws ensure fairness, protect stakeholder interests and create a stable environment for economic activities. It is essential for managers and entrepreneurs to understand business law in order to navigate legal requirements, make informed decisions, minimise risks and ensure compliance with local, national and international regulations.

The relationship between law and business is essential for maintaining order and promoting ethical practices in commercial dealings. Laws affect various aspects of business, including contracts, employment, intellectual property, consumer protection and competition. For instance, contract law ensures that agreements between parties are enforceable, while employment law protects the workers' rights and ensures fair labour practices. By adhering to these laws, businesses not only avoid legal penalties but also foster trust with customers, employees and the broader community.

The rule of law ensures a level playing field for all businesses, creating a stable and predictable environment for economic growth. Legal systems provide mechanisms for resolving disputes, protecting intellectual property and regulating competition, which are vital for fostering innovation and entrepreneurship. As businesses expand globally, they must also comply with international laws and treaties that regulate cross-border trade, intellectual property and investment. Thus, knowledge of business law helps companies compete in a globalised world while managing legal risks effectively.

For example, a tech company developing a new software algorithm can file for a patent to safeguard its innovation. This ensures competitors cannot replicate or exploit the technology without legal consequences. Understanding IPR enables businesses to leverage their creations strategically, fostering innovation and securing market position.

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The chapter begins with a detailed discussion of the law and business. Next, you will study the legal principles and concepts. In addition, the chapter also discusses the sources of law and law to regulate business. At the end, the chapter describes the concepts of law and court.

1.2 BUSINESS AND LAW

Business refers to the activities associated with exchanging goods and services for profit. Business and law are the two interconnected fields that shape the foundation of a functional society. Law provides the rules and regulations governing individuals, corporations and governments, ensuring justice, fairness and order. The legal environment in which businesses operate plays a critical role in their success and longevity. Whether it is contract law, corporate law or employment law, businesses must operate in the legal landscape to ensure compliance and mitigate risks.

In the realm of business, legal frameworks are essential to safeguard the rights of both businesses and consumers. Contracts form the basis of transactions, setting clear terms for rights and obligations between the parties. Intellectual property laws protect innovations and property relating to the creativity of persons in the forms of varied works such as copyrights, trademarks, patents etc., while consumer protection laws ensure the safety and prescribe the rights to individuals in the marketplace. Legal standards also cover ethical concerns, such as fair competition and corporate governance, promoting trust and transparency in business dealings. Without these regulations, markets would be chaotic, and trust between parties would be diminished, leading to economic inefficiencies.

Moreover, law influences business decisions at every level, from corporate governance to strategic planning. Businesses must comply with tax regulations, environmental laws and international trade agreements, which directly affect profitability and global operations. For entrepreneurs and managers, a solid understanding of the law can help them navigate the regulatory environment, avoid legal pitfalls and capitalise on opportunities for growth. Therefore, the intersection of law and business is crucial for not only legal compliance but also for fostering innovation, ethical business practices, ease of doing business and sustainable economic development.

EXPERT ADVICE

"Law is nothing else but the best reason of wise men applied for ages to the transactions and business of mankind."

Abraham Lincoln

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EXHIBIT

Pharmaceutical Patents and Global Innovation: The Role of WTO and TRIPS in Supporting Fair Competition

Patent Pharmaceutical and the TRIPS Agreement

The pharmaceutical industry is an innovative field that deals with the development of new drugs and treatments. However, developing such drugs involves costly and time-consuming research and development. Intellectual property laws, specifically patents, grant protection to an innovator for a certain period, usually 20 years, where he has exclusive rights to manufacture, sell, and distribute his invention.

The TRIPS Agreement has minimum standards on the protection of intellectual property, including patent protection, for new pharmaceuticals. TRIPS was established to allow pharmaceutical firms to protect new drugs against competitors copying those drugs, in order to ensure that companies investing in research and development could benefit by receiving a temporary monopoly over such innovations. Without legal protection like this, fewer companies are likely to invest in creating new drugs that treat fewer common diseases, or afflict fewer people worldwide, not to mention new diseases from developing countries.

On the other hand, there are flexibilities under the TRIPS Agreement that seek a balance between patent protection and public access to affordable medicines. One such flexibility involves the permission for countries to grant compulsory licenses, enabling them to produce generic versions of patented drugs in times of national emergency or any other public health crises, like during the AIDS epidemic or the COVID-19 pandemic. This ensures that while patents protect innovation, the needs of public health are safeguarded too.

International Laws and Treaties on Intellectual Property and Cross-Border Trade

- **TRIPS Agreement 1994:** As earlier highlighted, this addresses the global IP standards of the patents, copyrights, and trademarks, including trade secrets. It sets boundaries relating to how IP protection is to be given by the countries and fair competition in the global market, and on the other hand, it shows ways of resolution for the disputes on IP by way of the WTO's Dispute Settlement Body.
- **The Paris convention for the protection of industrial property (1883):** This is one of the earliest international treaties, which laid the foundation in establishing laws on international patents.

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It lays down norms pertaining to protection for patents, trademarks, and industrial designs and ensures that inventors and businesses can take measures to protect their intellectual property across more than one country.

- **The Berne convention for the protection of literary and artistic works (1886):** This convention means that copyright laws are harmonised internationally, giving protection to authors, musicians, and artists in different countries. The United States-Mexico-Canada Agreement has replaced the North American Free Trade Agreement of 1994, better known as NAFTA. It provided potent protection against violations of intellectual property rights across North America, protecting businesses in their rights to fair competition.
- **The European Union Trademark Regulation:** This is the regulation providing the basis and procedure in the registration and protection of trademarks within the European Union, which allows all businesses to protect their brand name and logo across its member states and ensure fair competition.

SELF ASSESSMENT QUESTIONS

1. Which of the following is not a key area of business law that affects businesses?
   a. Contract law
   b. Corporate law
   c. Employment law
   d. Marketing law
2. What does the rule of law ensure in the context of business operations?
   a. Legal systems are biased towards corporations
   b. Legal regulations ensure fair competition and consumer protection
   c. Contracts are not required to be enforceable
   d. Laws apply selectively to different organisations

ACTIVITY

Draft a business contract and present clauses, focusing on legal compliance and risk mitigation. Then, analyse how different laws (contract, intellectual property, employment) impact their contract terms.

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1.3 LEGAL PRINCIPLES AND CONCEPTS

Legal principles and concepts form the basis of any business and play a crucial role in guiding its conduct. In the context of business, understanding these principles is vital for compliance, governance and decision-making. Some of the key legal principles and concepts relevant to business are as follows:

- **Law of contract:** The law of contract governs the creation, execution and enforcement of legally binding agreements between parties. Essential elements include proposal, acceptance, capacity, consideration and intention to create legal relations. Clear, fair contracts are crucial for businesses to avoid disputes and legal penalties and ensure smooth transactions.

  Contract law ensures that business agreements are legally enforceable, providing clear terms for transactions. It safeguards against breaches, helping businesses avoid disputes and ensure smooth operations, which is vital for long-term success.

- **Corporate law:** Corporate law regulates company formation, governance and dissolution, defining the rights and responsibilities of shareholders, directors and officers. It ensures transparency, accountability and limited liability for shareholders. Corporate law also oversees mergers, acquisitions and compliance, promoting responsible corporate behaviour and legal adherence in business operations.

  Corporate law governs company operations, ensuring legal compliance, accountability and protection of shareholder interests. It provides a structure for business formation, mergers, and dissolution, ensuring stability, transparency, and responsible governance in business activities.

- **Intellectual Property (IP) law:** Intellectual Property (IP) law protects creations such as patents, trademarks, copyrights, etc., offering businesses exclusive rights over their innovations. It prevents unauthorised use of a company's intellectual property and works and helps companies safeguard their competitive advantage. Understanding IP law is essential for businesses to protect valuable intellectual assets and maintain market leadership.

  IP law protects business innovations, granting exclusive rights to patents, trademarks and copyrights. It safeguards a company's competitive edge by preventing unauthorised use of intellectual assets, fostering innovation and protecting brand identity.

- **Consumer protection law:** Consumer protection law ensures businesses operate fairly, providing accurate product information, maintaining safety standards and offering remedies for defects. It shields consumers from deceptive practices, fostering trust.

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Non-compliance can lead to lawsuits, penalties and reputational damage, affecting profitability and consumer confidence in the business.

This law ensures businesses act fairly, provide truthful product information, and maintain safety standards. It protects consumers from fraud and unethical practices, building trust, preventing legal penalties, and enhancing business reputation and profitability.

- **Employment law:** Employment law governs employer-employee relations, covering wages, contracts, working conditions, discrimination and termination. Businesses must comply with labour regulations to avoid legal disputes and penalties. Additionally, employment law addresses and regulates the employees' rights, formation of unions and collective bargaining, ensuring fair treatment and legal protection for workers.

  Employment law governs relationships between employers and employees, ensuring fair wages, working conditions, and protection from discrimination. It helps businesses comply with labour regulations, avoiding disputes, penalties, and fostering a positive workplace environment.

KNOW MORE

Corporate law encompasses the legal framework that governs the formation, operation, dissolution and governance of corporations.

1.3.1 FUNDAMENTAL LEGAL PRINCIPLES – RULE OF LAW, JUSTICE AND FAIRNESS

The rule of law is a foundational principle in legal systems that ensures all individuals, institutions and entities are accountable to laws that are fairly applied and enforced. It implies that no one is above the law, including government officials and corporations, and that laws must be clear, publicised, stable and just. In the context of business, the rule of law ensures a predictable environment where contracts are honoured, property rights are protected and legal disputes can be fairly resolved. This stability encourages investment, innovation and fair competition, as businesses can operate under a known set of rules that apply equally to all participants in the marketplace.

In India, the rule of law is primarily derived from the British legal tradition and forms a key part of its Constitutional framework. The Constitution of India, adopted in 1950, embodies this principle through several provisions:

- **Supremacy of law:** The Indian Constitution is the supreme law of the land, and no person or institution, including the government, is above it. This ensures that laws are framed and enforced in a systematic and just manner.

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The supremacy of law guarantees that all decisions and transactions are subject to established legal frameworks, offering uniformity, equity, and defense against capricious rulings or illegal activities.

- **Equality before the law (Article 14):** This provision guarantees that every individual is equal before the law and prohibits discrimination based on arbitrary grounds, reinforcing the idea that laws apply equally to all citizens.
- **Due process and fair procedure:** The judicial system ensures that the government cannot deprive an individual of life or personal liberty without following fair procedures, as established under Article 21. This safeguards individual rights against arbitrary state actions.

NOTE

Due process is the fair treatment through the judicial system, ensuring that businesses are given notice, an opportunity to be heard, and a fair trial before any legal action is taken.

NOTE

Fair procedure is the legal principle that ensures all parties involved in a legal matter are treated impartially and have an equal opportunity to present their case, with transparency and justice.

- **Judicial review:** Indian courts have the power of judicial review to strike down any law or government action that violates the Constitution. This reinforces the rule of law by ensuring that all state actions are subject to legal scrutiny.

NOTE

Judicial review is the process by which courts examine the legality of actions or decisions made by government bodies or public authorities, ensuring they comply with the law and uphold constitutional rights.

CASE INSTANCE

A.D.M. Jabalpur v. Shivkant Shukla (1976)

Facts

- During the Emergency (1975-1977) in India, President Indira Gandhi suspended fundamental rights, including the right to move to the courts for habeas corpus (Article 21).

- Several individuals, including Shivkant Shukla, were detained without trial under the Maintenance of Internal Security Act (MISA).
- A writ of habeas corpus was filed by Shukla, challenging his detention and seeking judicial review of the government's actions.

Issues

- Whether the suspension of fundamental rights during an Emergency, particularly the right to habeas corpus, allowed the government to detain individuals without judicial oversight.
- Whether the Supreme Court could intervene in cases of illegal detention during an Emergency, despite the suspension of fundamental rights.

Judgment

- The Supreme Court ruled by a majority (4-1) that during the Emergency, the right to seek habeas corpus relief was suspended, and the courts could not intervene in matters of detention under the Presidential Order.
- The Court held that the suspension of fundamental rights, particularly under Article 21, meant that detainees could not challenge their detention through judicial review.
- This judgment was highly criticised for disregarding individual liberties and the rule of law.
- It was later overturned in Minerva Mills Ltd. v. Union of India (1980), reaffirming the supremacy of fundamental rights and judicial review even during emergencies.

The rule of law in India is not just a legal doctrine but also a tool for promoting justice, safeguarding fundamental rights and ensuring democratic governance. Landmark judgments, such as Kesavananda Bharati v. State of Kerala (1973), reaffirm the role of the judiciary in upholding the rule of law, particularly through the basic structure doctrine, ensuring that the core principles of the Constitution remain inviolable.

The Constitution of India mainly focuses on three types of justice, which are as follows:

- **Economic justice:** This type of justice aims to ensure fairness and equal opportunities concerning economic matters. It focuses on reducing economic disparities among individuals and groups within society.
- **Political justice:** Political justice in law refers to the fair and impartial application of legal principles within the context of

political systems. It emphasises the need for legal decisions and processes to be free from political influence, ensuring that individuals are treated equitably and that the rule of law prevails.

- **Social justice:** Social justice focuses on achieving equality and fairness in social and cultural aspects of society. It addresses issues of discrimination, marginalisation and inequality based on race, gender, ethnicity, religion or other social factors.

The Supreme Court of India, as the guardian of the Constitution, plays a crucial role in upholding justice through its powers of judicial review, writ jurisdiction and interpretation of laws. Landmark judgments on issues such as fundamental rights, environmental protection and socio-economic reforms have established its position as a crucial pillar in promoting justice.

CASE INSTANCE

State of Kerala v. N.M. Thomas (1976)

Facts

- The Kerala Government had introduced special concessions in promotions for employees belonging to Scheduled Castes (SC) and Scheduled Tribes (ST) in public services, which were challenged by N.M. Thomas, an employee who was not from a reserved category.
- Thomas argued that these concessions violated the principle of equality enshrined in Article 16(1) of the Indian Constitution, which guarantees equal opportunity in public employment.

Issues

- Whether the extension of special concessions in promotions to SC and ST employees in public services was constitutional.
- Whether such affirmative action measures violated the equality principle under Article 16(1) of the Constitution, which ensures equality of opportunity in public employment.

Judgment

- The Supreme Court upheld the validity of the Kerala Government's policy, ruling that affirmative action measures like reservations were justified to promote substantive equality and social justice.
- The Court emphasised that the purpose of Article 16(4), which allows for reservations, is to address historical inequalities and promote social and economic justice for disadvantaged communities.

N O T E S

- It also reinforced that affirmative action measures should not be seen as discrimination, but rather as a means to achieve real equality by addressing systemic disadvantages faced by SCs and STs.
- The Court's judgment aligned with the Directive Principles of State Policy, which encourage the state to take measures to reduce social and economic inequalities.

However, challenges such as judicial delays, access to legal aid for the marginalised and case backlogs continue to hinder the effective realisation of justice for all. Recent reforms, including the introduction of alternate dispute resolution mechanisms (e.g., mediation and arbitration), digitisation of court processes and legal aid initiatives, aim to address these challenges.

Therefore, justice in India is rooted in the Constitution's ideals, with the judiciary serving as the protector of rights, though continuous reforms are essential to overcome systemic barriers and ensure timely and equitable access to justice for all.

Fairness refers to the equitable and unbiased treatment of all individuals, ensuring that decisions are made without favouritism or prejudice. In a business context, fairness is crucial in hiring practices, employee treatment, customer relations and competitive practices. Businesses are expected to treat their employees fairly in terms of wages, working conditions and opportunities for growth, while consumers expect fair pricing, product quality and transparency in marketing.

Fairness, as a principle of justice, plays a crucial role in India's legal and social framework. It encompasses impartiality, equality and the ethical treatment of individuals, ensuring that no one is discriminated against based on arbitrary factors like caste, religion, gender or economic status. India's commitment to fairness is embedded in its Constitution, particularly through Articles 14 to 18, which emphasise equality before the law and the prohibition of discrimination.

The judiciary, through landmark cases such as *Maneka Gandhi v. Union of India (1978)*, has expanded the concept of fairness, interpreting it to include the right to a fair hearing, due process and protection against arbitrary actions by the state. Fairness also manifests in affirmative actions, like reservations for Scheduled Castes, Scheduled Tribes and Other Backward Classes, aimed at achieving social justice by addressing historical inequalities.

However, challenges remain in ensuring fairness, particularly in areas like access to education, employment and justice, where marginalised communities often face systemic barriers. While legislative and judicial interventions continue to promote fairness, achieving true equality requires continuous efforts to tackle entrenched social biases and disparities.

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Table 1.1 shows the comparison of the "Rule of Law" across different jurisdictions (India, UK, and USA) to provide an extensive understanding:

TABLE 1.1: COMPARISON OF THE "RULE OF LAW" IN DIFFERENT JURISDICTIONS (INDIA, UK, AND USA)

Aspect	India	United Kingdom	United States
Constitutional framework	The Constitution of India is the supreme law, embodying the rule of law through various provisions like equality before the law (Article 14) and judicial review.	The UK has an unwritten constitution, based on statutes, conventions, and judicial decisions. Rule of law is upheld by the principle of parliamentary sovereignty and judicial review.	The US Constitution is the supreme law, and the rule of law is enforced through judicial review and constitutional supremacy.
Supremacy of law	Constitution is the highest law. No person or institution, including the government, is above it.	Parliament is sovereign, meaning laws passed by Parliament are supreme, but judicial review ensures compliance with the rule of law.	The Constitution is supreme, and judicial review ensures that no law or government action contradicts it.
Equality before the law	Article 14 guarantees equality before the law, prohibiting discrimination based on arbitrary grounds.	The principle of equality before the law is upheld, but the UK has some exceptions, like the sovereignty of Parliament.	The Equal Protection Clause of the 14th Amendment guarantees equality before the law, with protections against discrimination.
Due process	Article 21 protects life and personal liberty, ensuring due process and fair procedure.	Due process is a constitutional principle derived from common law, ensuring fair legal procedures.	The Fifth and Fourteenth Amendments provide protection against deprivation of life, liberty, or property without due process of law.

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Aspect	India	United Kingdom	United States
Judicial review	Indian courts have the power to review laws and executive actions for constitutionality, safeguarding the rule of law.	Judicial review exists but is limited by parliamentary sovereignty; courts can review government actions for legality.	Judicial review is a key feature, ensuring that laws and government actions comply with the Constitution.
Protection of fundamental rights	Fundamental rights like freedom of speech, right to equality, and right to protection against discrimination are enshrined in the Constitution.	Rights are primarily protected under the Human Rights Act 1998 and common law, though not constitutionally guaranteed.	The Bill of Rights (first 10 Amendments) guarantees fundamental rights such as freedom of speech, right to assembly, and protection against unreasonable searches.
Access to justice	The judiciary provides mechanisms like PIL (Public Interest Litigation) to ensure access to justice for all, including marginalised groups.	Access to justice is facilitated through common law procedures and legal aid, though there are concerns about affordability.	Legal aid is available, and courts ensure access to justice, though there are concerns about delays and the complexity of the system.
Fairness in business	Businesses are regulated under laws that ensure fair competition, consumer protection and intellectual property rights.	The UK promotes fairness in business through laws like the Competition Act and Consumer Protection Act, ensuring transparency and ethical practices.	Fair business practices are ensured through antitrust laws, intellectual property protections, and consumer rights regulations.

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Aspect	India	United Kingdom	United States
Environmental protection	The judiciary has actively enforced environmental laws, including through public interest litigations (PIL).	The UK has a comprehensive framework for environmental law, ensuring businesses comply with sustainable practices.	Environmental protection is enforced through the Clean Air Act, Clean Water Act, and other federal laws, ensuring business compliance.

CASE INSTANCE

In **Maneka Gandhi v. Union of India (1978)**, the Supreme Court significantly expanded the interpretation of Article 21 of the Indian Constitution, which guarantees the right to life and personal liberty. The Court ruled that any law affecting personal liberty must be just, fair, and reasonable, and introduced the concept of the "due process of law." This case broadened the scope of fundamental rights, making procedural fairness essential in any action affecting an individual's liberty.

KNOW MORE

Legal measures to achieve economic justice in business might include antitrust laws that prevent the concentration of market power in the hands of a few, employment laws that mandate fair wages and prevent discrimination, as well as regulations that protect consumers from fraudulent or unfair business practices.

SELF ASSESSMENT QUESTIONS

3. The law of contract requires both proposal and acceptance to be present for a contract to be legally binding. (True/False)
4. Corporate law primarily focuses on employment-related issues such as wages, working conditions and employee contracts. (True/False)

ACTIVITY

Analyse a recent business case where the principles of Rule of Law, Justice, and Fairness were applied or violated. Also discuss its implications.

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1.4 SOURCES OF LAW

Sources of law are the foundations from which laws emerge, guiding legal principles and shaping the legal framework that governs businesses. Understanding these sources is crucial for business managers, as they must operate within the boundaries set by legal regulations. The legal system in India is a complex and diverse amalgamation of multiple sources that have evolved over time. These sources of law can be classified into primary and secondary sources. The primary sources are the Constitution, legislation, customary law and judicial precedents, while secondary sources include scholarly writings and international law. Figure 1.1 shows the different sources of law:

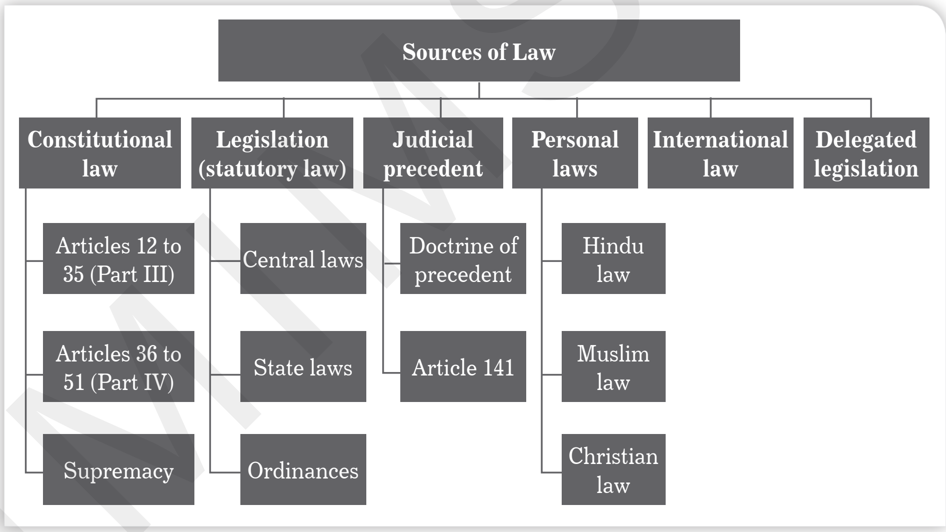

Figure 1.1: Different Sources of Law

The following is a detailed explanation of each:

- **Constitutional law:** Constitutional law forms the basis of the legal system, outlining the fundamental principles and structures of government. In a business context, constitutional provisions ensure that laws are consistent with the rights and liberties enshrined in the constitution. For instance, the right to trade and business is protected under constitutional provisions, and any business regulation must align with constitutional mandates. Furthermore, constitutional law plays a role in safeguarding business practices from arbitrary government intervention, ensuring a stable and predictable business environment.

  The Constitution of India (1950) is the supreme law of the land. It provides the fundamental legal framework that governs all aspects of law and administration in the country. Any law inconsistent with the Constitution is declared void. The Constitution establishes the fundamental rights, duties, directive principles of state policy and

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the structure of government. Key aspects of the constitutional law are as follows:

- **Articles 12 to 35 (Part III):** Fundamental rights (protect individual liberties).
- **Articles 36 to 51 (Part IV):** Directive principles (guide the state to promote welfare).
- **Supremacy:** Any law inconsistent with the Constitution is invalid (Article 13).

KNOW MORE

Constitutional law governs the structure and function of government institutions and defines the rights and duties of individuals. It lays the foundation for legal principles, ensuring that government actions comply with the constitution.

- **Legislation (statutory law):** Legislation refers to laws enacted by the legislative bodies, such as the Parliament or state legislatures. In business law, important statutes like the Companies Act, Contract Act and Consumer Protection Act, among others, play a pivotal role in regulating business practices. These statutory laws provide a codified structure and are continuously updated to align with the changing business environment. Legislation is considered one of the most direct and formal sources of law, as it clearly outlines the legal framework businesses must follow. These are the most direct form of lawmaking in India and include statutes, acts and ordinances.

  - **Central laws:** Enacted by the Parliament (e.g., The Indian Penal Code 1860).
  - **State laws:** Passed by state legislatures, dealing with subjects under the State List in the Seventh Schedule.
  - **Ordinances:** Temporary laws issued by the President or Governors during recesses of Parliament or state legislatures, subject to approval within six weeks of the next session.

  Legislative laws are essential as they directly regulate behaviour and establish legal norms in areas like crime, taxation, labour, family matters, etc.

- **Judicial precedent:** Judicial precedents refer to the judicial decisions made by courts over time. Courts interpret statutes and apply legal principles to specific cases, creating precedents that guide future decisions. In business, court decisions on contractual disputes, liability issues or corporate governance shape the legal landscape by clarifying the application of statutory laws in real-world situations. Judicial precedents, also known as judge-made laws, are a critical source of law in India. The judgments of the Supreme Court of India and High Courts are binding and form the

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basis of the doctrine of stare decisis (to stand by what is decided). The following are the key principles of judicial precedents:

- **Doctrine of precedent:** Lower courts are bound by the decisions of higher courts.
- **Article 141:** Declares that the law declared by the Supreme Court is binding on all courts in India.
- **Landmark cases:** Judgments like Kesavananda Bharati v. State of Kerala (1973) have shaped constitutional law by establishing the "basic structure doctrine".

Judicial interpretation and activism also ensure that laws evolve with societal needs.

CASE INSTANCE

In **Kesavananda Bharati v. State of Kerala (1973)**, the Supreme Court established the "basic structure" doctrine, ruling that while Parliament has the power to amend the Constitution, it cannot alter its fundamental framework. This landmark judgment placed limits on parliamentary authority to ensure that core principles such as democracy, rule of law, and individual rights are preserved, protecting the Constitution's integrity.

- **Personal laws:** Personal laws refer to laws governing matters related to family, marriage, divorce, adoption and inheritance, varying according to religious communities in India. Each religion has its own set of personal laws, as follows:
  - **Hindu law:** Governed by codified acts such as the Hindu Marriage Act, 1955, Hindu Succession Act, 1956, etc.
  - **Muslim law:** Governed by the Muslim Personal Law (Shariat) Application Act, 1937, based on Islamic scriptures and traditions, applied in matters of marriage, inheritance, etc.
  - **Christian law:** Governed by laws like the Indian Christian Marriage Act, 1872.

  These laws are gradually being reformed to align with constitutional principles like equality and non-discrimination.
- **International law:** In today's globalised economy, international law has become an increasingly important source of law for businesses. Treaties, conventions and agreements between nations, such as those governed by the World Trade Organisation (WTO), influence how businesses operate across borders. International law ensures that businesses comply with global standards, particularly in areas such as trade, intellectual property rights and environmental regulations. This body of law also governs how disputes between businesses in different

countries are resolved, making it essential for companies engaged in international trade or investment.

International law, including treaties, conventions and customary international principles, also influences Indian law, especially in the context of global trade, human rights and environmental law. The following are the key considerations of international law:

- **Article 51(c):** Directs the state to foster respect for international law and treaty obligations.
- **Judicial incorporation:** Indian courts often incorporate principles of international law, provided they are consistent with domestic laws.

International treaties and conventions, such as the United Nations conventions, become enforceable after being ratified and incorporated by domestic legislation.

- **Delegated legislation:** Delegated legislation, or subordinate legislation, refers to rules, regulations and by-laws made by authorities (like ministries or regulatory bodies) under the authority of a parent Act. Parliament or the state legislatures delegate the power to make detailed regulations to ensure flexibility and efficiency. The following are the key features of delegated legislation:
  - **Control:** Delegated legislation must remain within the scope of the authority granted by the statute.
  - **Judicial review:** It is subject to judicial scrutiny to ensure it is not ultra vires (beyond the powers conferred).
  - **Conventions:** In addition to the formal sources of law, unwritten conventions also play a significant role, especially in constitutional matters. For example, the Prime Minister is always a member of the Lok Sabha, although the Constitution does not explicitly state this. Conventions help in the smooth functioning of the democratic process by filling in gaps left by the written law.
- **Scholarly writings:** Although not a formal source of law, the writings of jurists and legal scholars can be influential in interpreting and applying the law. Indian courts sometimes refer to legal commentaries, academic articles and the works of renowned jurists like D.D. Basu and H.M. Seervai when deciding complex legal issues.

These sources of law provide a comprehensive framework that shapes the legal environment for businesses, helping them navigate regulatory obligations while fostering a fair and competitive marketplace. Understanding these sources is essential for managers and entrepreneurs to ensure compliance, mitigate risks and make informed decisions.

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KNOW MORE

The law regulates various business structures, such as partnerships, corporations, Limited Liability Companies (LLCs) and sole proprietorships. It outlines their formation, operation, dissolution and liabilities.

SELF ASSESSMENT QUESTIONS

5. Legislation refers to laws enacted by __________, such as the Parliament or state legislatures, and plays a critical role in regulating business practices.
6. In countries with a common law tradition, judicial rulings become __________ that influence how laws are interpreted and applied in future cases.

ACTIVITY

Divide students into groups and assign each a source of law to create a case study demonstrating its impact on business regulation. Have each group present their findings and discuss implications.

1.5 LAWS TO REGULATE BUSINESS

Laws to regulate business involves a wide array of legal frameworks designed to ensure that business operations are conducted fairly, transparently and ethically. Business law provides a structure for the formation, regulation and dissolution of businesses, while also ensuring that companies adhere to societal standards and protect the rights of various stakeholders such as consumers, employees and shareholders. Business laws serve to regulate and control the activities of companies.

Business regulation in India is governed by a comprehensive set of laws aimed at ensuring fair practices, consumer protection, competition and compliance with financial, labour and environmental standards. These laws provide a framework for corporate governance, protect stakeholders' interests and ensure a conducive environment for economic growth while balancing the rights and duties of businesses, consumers and the state. Some of the key areas of business law include:

- **Indian Contract Act, 1872:** Contract law is one of the most fundamental areas governing business transactions. It sets the rules for creating legally binding agreements between parties. Businesses rely on contracts for a wide range of activities, including purchasing goods and services, hiring employees and forming partnerships. Contract law ensures that the terms of these agreements are enforceable in court, providing remedies in cases of breach. This legal framework promotes trust and stability in commercial dealings by outlining the obligations of each party and offering legal recourse if terms are not met.

Indian Contract Act, 1872 forms the foundation of business transactions, governing contracts between parties. It lays down the rules for the formation, execution and enforcement of contracts. The following are its key principles:

- **Proposal and acceptance:** Conditions under which offers are made and accepted, forming legally binding agreements.
- **Consideration:** A contract must have lawful consideration to be enforceable.
- **Free consent:** The parties must give their consent without coercion, undue influence, fraud or misrepresentation.
- **Lawful object:** Contracts with illegal objects or purposes are void.
- **Breach of contract:** Remedies available to the aggrieved party in case of breach, including damages or specific performance.

CASE INSTANCE

Lalman Shukla v. Gauri Dutt (1913): This case clarified that a person must be aware of an offer to accept it and claim a reward, establishing principles regarding the communication of an offer under the Indian Contract Act.

- **Companies Act, 2013:** The Companies Act, 2013 regulates businesses in India by providing a comprehensive framework for the incorporation, management and dissolution of companies. It governs various aspects of corporate governance, protecting the interests of shareholders and promoting transparency and accountability in business operations. The Act mandates that companies adhere to regulatory requirements such as filing financial statements, conducting Annual General Meetings (AGMs) and appointing independent auditors to ensure compliance with statutory norms.

  One of the key features of the Companies Act, 2013 is the introduction of the concept of Corporate Social Responsibility (CSR), making it mandatory for certain companies to allocate a portion of their profits towards social welfare activities. Additionally, the Act introduces provisions for the protection of minority shareholders, preventing the misuse of power by large shareholders or directors. It also enhances corporate transparency through stricter disclosure norms and requires companies to maintain proper records and financial documentation.

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The Act includes regulations for mergers, acquisitions and winding up of companies, ensuring a smooth process for business reorganisations. It also outlines penalties for non-compliance, holding directors and officers of companies accountable for violations. Overall, the Companies Act, 2013 plays a crucial role in fostering good corporate governance, safeguarding stakeholder interests and maintaining fair competition in the business environment.

CASE INSTANCE

V.B. Sreeram Reddy v. State of Andhra Pradesh (2019)

The Supreme Court ruled on the validity of the Corporate Insolvency Resolution Process (CIRP) under the Insolvency and Bankruptcy Code, emphasising adherence to the procedural requirements stipulated in the Companies Act.

- **Antitrust law:** Antitrust law, also known as competition law, are designed to promote fair competition and prevent monopolistic practices. These laws prevent companies from engaging in unfair practices such as price-fixing, collusion or forming monopolies that can harm consumers and stifle competition. Antitrust regulations are critical for maintaining a level playing field in the marketplace, ensuring that no single company can dominate a market to the detriment of others. Compliance with antitrust laws is essential for businesses to avoid heavy fines, penalties and legal action from regulators.

  The Competition Act, 2002 aims to promote and sustain competition in the market, prevent anti-competitive practices and protect consumer interests. The Competition Commission of India (CCI) is the regulatory authority responsible for enforcing this law. Key provisions include:

  - **Anti-competitive agreements:** Prohibits cartels, price-fixing, market allocation and bid-rigging.
  - **Abuse of dominant position:** Prevents businesses from using their market power to eliminate competition.
  - **Merger control:** Requires pre-approval from the CCI for certain mergers and acquisitions that may impact market competition.

- **Labour laws:** India has numerous labour laws aimed at regulating working conditions, wages, social security and the rights of workers. Key legislations include:

  - **The Factories Act, 1948:** Regulates working conditions in factories, focusing on safety, welfare and working hours.
  - **The Industrial Disputes Act, 1947:** Provides mechanisms for resolving disputes between employers and employees, including arbitration and conciliation.

- **The Minimum Wages Act, 1948:** Ensures minimum wages for different categories of workers across sectors.
- **The Code on Social Security, 2020:** Consolidates multiple labour laws related to social security like Employees' Provident Fund (EPF), Employees' State Insurance (ESI) and gratuity benefits.

❑ **The Goods and Services Tax (GST) Act, 2017:** GST is an indirect tax reform that replaced multiple taxes like VAT, service tax and excise duty with a single unified tax. It regulates taxation on the supply of goods and services across India.

Following are its major aspects:

- **Central GST (CGST):** Levied by the central government on intra-state supplies of goods and services.
- **State GST (SGST):** Levied by state governments on intra-state supplies of goods and services.
- **Integrated GST (IGST):** Levied on inter-state supplies of goods and services.
- **Input Tax Credit (ITC):** Mechanism allowing businesses to claim credit for the taxes paid on inputs.

❑ **The Insolvency and Bankruptcy Code (IBC), 2016:** The IBC provides a unified framework for the resolution of insolvency and bankruptcy for individuals, companies and partnership firms. Its objectives include:

- **Corporate Insolvency Resolution Process (CIRP):** A time-bound process for the resolution of insolvency, initiated by creditors or the debtor.
- **Liquidation:** If insolvency cannot be resolved, the company may be liquidated, and its assets distributed to creditors.
- **Insolvency professionals and tribunals:** Licensed professionals manage the insolvency process, specialised tribunals like the National Company Law Tribunal (NCLT) adjudicate cases and the National Company Law Appellate Tribunal (NCLAT) is responsible for hearing appeals from the orders of the National Company Law Tribunal.

❑ **The Consumer Protection Act, 2019:** This Act safeguards consumer rights and provides mechanisms for resolving consumer disputes. It establishes Consumer Dispute Redressal Commissions at the district, state and national levels. Key consumer rights include:

- **Right to safety:** Protection against hazardous goods and services.
- **Right to information:** Complete information about goods and services before purchase.

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- **Right to redressal:** Mechanisms to seek redress for unfair trade practices, defective goods or deficient services.
- **E-commerce regulation:** Consumer Protection (E-Commerce) Rules, 2020 extends protections to consumers engaging in online shopping and digital transactions.

- **The Environment Protection Act, 1986:** With increasing awareness of environmental sustainability, businesses are subject to a growing body of environmental regulations. Environmental laws compel businesses to reduce pollution, manage waste responsibly and conserve natural resources. These regulations cover everything from emissions standards to waste disposal practices. Companies that fail to comply with environmental laws may face legal penalties, fines or reputational damage. Adherence to these laws ensures that businesses contribute to environmental protection and operate sustainably, balancing profitability with corporate social responsibility.

  Businesses must comply with environmental laws to minimise pollution and safeguard ecological balance. The Environmental Protection Act empowers the government to:

  - **Regulate pollution:** By prescribing standards for emissions and effluents from industries
  - **Grant environmental clearances:** By mandating clearances for projects impacting the environment, such as infrastructure or manufacturing
  - **Penalise for non-compliance:** By imposing fines and sanctions for violations of environmental norms

- **The Foreign Exchange Management Act (FEMA), 1999:** FEMA regulates cross-border transactions related to foreign exchange, ensuring smooth facilitation of foreign investments and business activities. Key aspects include:

  - **Foreign Direct Investment (FDI):** Guidelines for foreign investors entering the Indian market.
  - **External Commercial Borrowings (ECB):** Regulations for Indian businesses seeking foreign loans.
  - **Foreign Exchange Transactions:** Governs the movement of currency and foreign exchange reserves.

- **The Information Technology Act, 2000:** This Act governs electronic commerce and digital transactions in India, addressing issues such as:

  - **Cybersecurity:** Prevents cybercrimes like hacking, phishing and data breaches.
  - **Digital contracts:** Legal recognition of electronic contracts, digital signatures and online transactions.

- **Data protection:** Although India is in the process of implementing a more comprehensive data protection law, the IT Act sets some standards for the handling of sensitive personal data.

- **The Securities and Exchange Board of India (SEBI) Act, 1992:** SEBI is the regulatory authority for the securities market in India. It ensures transparency and fair practice in capital markets by:
  - **Regulating stock exchanges:** Ensures the proper functioning of stock exchanges and the integrity of listed companies.
  - **Investor protection:** Safeguards the interests of investors by preventing fraudulent practices.
  - **Corporate governance:** Mandates governance norms for listed companies, ensuring they operate in a transparent and accountable manner.

EXHIBIT

Recent Amendments and Their Impact on Businesses

GST Updates

- **Introduction of E-Invoicing**

  Businesses with turnover exceeding a specific limit (e.g., ₹5 crore) are now mandated to generate e-invoices for B2B transactions. This ensures transparency, reduces tax evasion, and simplifies compliance.
  - **Impact**
    - ✓ Streamlined reporting of invoices to the GST portal.
    - ✓ Reduced duplication of efforts in filing returns.

- **Changes in Input Tax Credit (ITC)**

  The updated ITC rules require businesses to reconcile ITC claims with invoices uploaded by suppliers in the GST portal. Mismatched claims are restricted.
  - **Impact**
    - ✓ Businesses must ensure timely filing of GST returns.
    - ✓ Enhanced supplier management and internal controls.

- **Simplified Compliance for Small and Medium-Sized Enterprises (SMEs)**

  The Quarterly Return and Monthly Payment (QRMP) scheme allows small businesses to file returns quarterly while paying taxes monthly.
  - **Impact**
    - ✓ Reduces the compliance burden on SMEs.

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IBC Updates

- **Pre-Pack Insolvency Resolution Process (Pre-Packaged Insolvency)**

  Introduced for Micro, Small, and Medium Enterprises (MSMEs), this process offers a quicker and cost-effective insolvency resolution alternative outside of traditional CIRP.

  - **Impact**
    - ✓ Reduces the time and cost of insolvency proceedings.
    - ✓ Provides MSMEs with a viable mechanism to restructure debts while maintaining operations.

- **Threshold for Default**

  The government raised the minimum default threshold for initiating insolvency proceedings from ₹1 lakh to ₹1 crore.

  - **Impact**
    - ✓ Protects small businesses from unnecessary insolvency proceedings.
    - ✓ Encourages creditors to focus on significant cases, reducing NCLT workload.

- **Timelines for CIRP**

  The amendments emphasise stricter adherence to the 330-day timeline for completing insolvency resolution to ensure swift resolutions.

  - **Impact**
    - ✓ Enhances creditor confidence in the insolvency process.
    - ✓ Promotes timely recovery of dues and reduces uncertainty for businesses.

SELF ASSESSMENT QUESTIONS

7. Which area of law ensures that agreements between parties in business transactions are legally enforceable and provides remedies in cases of breach?

   a. Corporate law b. Contract law

   c. Employment law d. Environmental law

8. What is the main purpose of antitrust laws?

   a. To protect the rights of employees

   b. To ensure fair competition and prevent monopolistic practices

   c. To govern the formation and dissolution of companies

   d. To regulate environmental practices

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ACTIVITY

Conduct a group debate on the implications of a specific business law (e.g., antitrust or environmental law) on corporate strategy, encouraging students to analyse real-world case studies for practical insights.

1.6 LAW AND COURT

The first major task for independent India was to create a document that would serve as a guide for the newly emerging nation. This responsibility fell on the legal intellect of B.R. Ambedkar, who carried out the task with remarkable foresight. The Indian Constitution stands as the guiding framework for the country's three pillars: the executive, legislature and judiciary. A comprehensive document, it is designed to empower the most vulnerable members of society, both explicitly and through judicial interpretation. It has made the rule of law supreme and the independence of the judiciary a living reality.

The legal system in India is a complex structure that derives its foundation from the Constitution of India, statutory laws, customs and judicial precedents. At the core of the legal system is the judiciary, or the courts, which play a pivotal role in the interpretation, enforcement and protection of laws. This discussion explores the interplay between law and the courts in India, focusing on the framework of laws, the hierarchy of courts, judicial interpretation and the court's role in safeguarding justice.

1.6.1 THE INDIAN CONSTITUTION

The Constitution envisaged a unique place for the judiciary in the country and has become the fountainhead of the Indian legal system. It demonstrates the Anglo-Saxon character of the judiciary which is basically drawn from the British system. The goals of the Indian Constitution are spelt out in the Preamble itself, aiming to achieve this goal of dignity of the individual with justice, liberty and equality. The Constitution guarantees certain fundamental rights. These basic human rights are expressly laid down in Part III, Articles 12 to 35 of the Indian Constitution. The Constitution not only oversees the exercise of the state power by the executive, the legislatures of the state and the central governments but also provides effective protection to the citizen's rights through its writ jurisdiction in the Supreme Court and the High Courts.

The Constitution of India created for the first time in Indian history, the Supreme Court for the whole country. The law declared by the Supreme Court shall be binding on all courts in India. The establishment of this Court with an all-India jurisdiction accelerated the development of a common law extending over every nook and

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corner of the republic. However, each state is equipped with its own judiciary to administer both Union and State laws, with each district in states having its hierarchy of judicial officers—Munsif, Civil Judge, Civil, Sessions Judges and the District Judge as its head.

1.6.2 ADMINISTRATIVE STRUCTURE OF CURRENT JUDICIAL SYSTEM

The judicial system is a unique feature of the Indian Constitution. It provides an integrated system of courts that administers both State and Union laws. As discussed above, the Supreme Court is the apex court of the Indian legal system and the High Courts of each state or group of states function under the Supreme Court. Broadly saying, the Indian judicial system is divided into three levels—Supreme Court, High Courts and District Courts. Figure 1.2 shows the hierarchy of the Indian legal system:

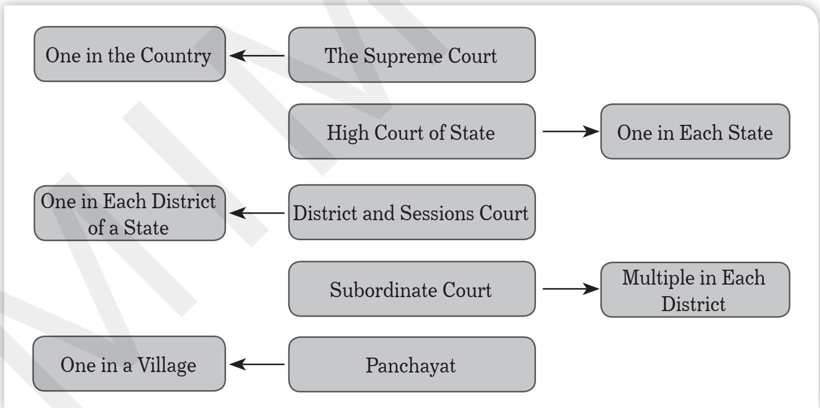

Figure 1.2: Hierarchy of the Indian Legal System

India's judiciary is an independent organ that acts as the interpreter of laws and the protector of citizens' rights. The structure of the courts is hierarchical, as follows:

1. The Supreme Court
2. The High Court
3. The District and Sessions Courts
   a) Subordinate Courts   b) Panchayat

These courts are discussed in detail as follows:

1. **The Supreme Court:** The Supreme Court is located in the capital city of the country and is the court holding the utmost authority in India. All the other courts in the country function under it. It came into existence in 1950 on the 28th of January, just two days after the Constitution of India became fully effective. The decision of this court cannot be challenged by any other court in India.

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The Supreme Court is the apex court of the country. Established under Article 124 of the Constitution, it is the final court of appeal and holds extensive powers, including:

- **Original jurisdiction (Article 131):** The Supreme Court has original jurisdiction in disputes between states or between the central government and states.
- **Appellate jurisdiction (Articles 132–136):** The Court hears appeals against judgments of High Courts and lower courts in civil, criminal and constitutional matters.
- **Writ jurisdiction (Article 32):** The Supreme Court can issue writs such as habeas corpus, mandamus, prohibition, quo warranto and certiorari to enforce fundamental rights.
- **Advisory jurisdiction (Article 143):** The President of India can seek the opinion of the Supreme Court on legal or constitutional questions.

2. **High Courts:** In the Indian legal system, High Courts function directly under the Supreme Court of India. Every state of India maintains a court vested with most power of the judicial system employed in that state only. Usually, the High Court of a state is located in the capital of that particular state.

   Each state or group of states has its own High Court, which operates under Articles 214–231 of the Constitution. High Courts have:

   - **Original jurisdiction:** In matters of fundamental rights, civil and criminal cases of significant importance
   - **Appellate jurisdiction:** To hear appeals from subordinate courts in civil and criminal matters
   - **Writ jurisdiction:** High Courts can issue writs under Article 226 for the enforcement of fundamental rights and for any other purpose

3. **District Courts:** Every state of India maintains some Subordinate Courts functioning under its High Court. These courts are subordinate in terms of power and authority to the High Court of that state. The district court operates in every district of a state. The District Judges are the highest authority in the District Court. The Additional District Judges and Assistant District Judges are also appointed to share the additional load of the proceedings of District Courts. The District Court is further categorised into three tiers, as follows:

   - **District and session courts:** These are a part of the District Court employing maximum power in a district.
   - **Subordinate courts:** These are the courts that function at a subordinate level under the Session Courts. All the cases in nearby areas are sent to these courts.

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- **Panchayats:** Panchayats are also types of courts, only they are located in villages. In a Panchayat, there is a jury of five (or more) people of that village, appointed as a team that settles the disputes of villagers. If some dispute falls beyond their power, then it is sent to the competent court.

ROLE OF THE COURTS IN INTERPRETING LAWS

The judiciary plays a vital role in interpreting laws to ensure their application is just and equitable. This process is critical for adapting laws to changing social conditions and ensuring they uphold the values enshrined in the Constitution.

The court's interpretative role includes:

- **Constitutional interpretation:** Courts, especially the Supreme Court, act as the guardian of the Constitution. Through judgments like Kesavananda Bharati v. State of Kerala (1973), where the basic structure doctrine was established, the courts have safeguarded the Constitution's core principles from excessive amendments.
- **Judicial review:** Courts have the power of judicial review to examine the constitutionality of laws and executive actions. This was first asserted in the case of A.K. Gopalan v. State of Madras (1950) and later expanded through Maneka Gandhi v. Union of India (1978), where the Supreme Court linked the right to life with due process.
- **Public Interest Litigation (PIL):** A unique feature of Indian jurisprudence is Public Interest Litigation (PIL), where any public-spirited individual or organisation can approach the courts on behalf of those who cannot do so. This judicial innovation, initiated in the 1980s through cases like S.P. Gupta v. Union of India, has allowed the courts to intervene in matters of social justice, environment and human rights.

COURT'S ROLE IN SAFEGUARDING JUSTICE

The Indian judiciary is tasked with upholding the rule of law, protecting individual rights and maintaining social order.

Several key functions underscore its role in ensuring justice:

- **Protection of fundamental rights:** The judiciary ensures the enforcement of fundamental rights. In cases of violation, citizens can directly approach the Supreme Court (Article 32) or High Courts (Article 226) for redressal.
- **Checks on executive power:** Through judicial review, the courts maintain a system of checks and balances on the executive and legislative branches of government. This ensures that arbitrary or unconstitutional actions by the government are struck down, as seen in cases like Minerva Mills v. Union of India (1980).

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- **Access to justice for all:** The judiciary ensures that justice is accessible to all, irrespective of socio-economic status. Various mechanisms like legal aid, PILs and free representation for the underprivileged help promote access to justice.
- **Maintaining social justice:** The courts have played a crucial role in addressing issues of social justice, such as labour rights, environmental protection, gender equality and the rights of marginalised communities. Landmark cases like Vishaka v. State of Rajasthan (1997) established guidelines for preventing sexual harassment at the workplace, contributing to gender justice.

EXHIBIT

The Role of Courts in Influencing Business Practices

The Indian judiciary, through its interpretative powers and innovative mechanisms like PIL, has played a significant role in shaping business practices. By ensuring businesses comply with environmental laws, labour regulations, and constitutional principles, the courts have fostered ethical and responsible conduct.

1. **Environmental Regulations and Corporate Responsibility**

   Case Example: M.C. Mehta v. Union of India (1986)

   - **Issue:** The case arose following the Oleum gas leak from a Shriram Food and Fertiliser plant in Delhi, which caused significant environmental and health hazards.
   - **Judgment:** The Supreme Court introduced the principle of Absolute Liability, holding that enterprises engaged in hazardous activities are strictly liable for any harm caused, without exceptions.
   - **Impact on Businesses:** This landmark ruling led to stricter environmental compliance for industries, ensuring safety standards and imposing liability for pollution or industrial accidents.

2. **Labour Rights and Workplace Compliance**

   Case Example: Vishaka v. State of Rajasthan (1997)

   - **Issue:** The lack of legal provisions to address sexual harassment at workplaces came to light in this PIL filed after a brutal incident against a social worker.
   - **Judgment:** The Supreme Court laid down Vishaka Guidelines for preventing sexual harassment at workplaces, mandating internal committees and awareness mechanisms until specific legislation was enacted.

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- **Impact on Businesses:** This ruling brought about systemic changes, requiring businesses to implement strict policies for women's safety, thereby fostering a more inclusive work environment.

3. **Corporate Accountability and Public Health**

   Case Example: Union Carbide Corporation v. Union of India (Bhopal Gas Tragedy, 1989)

   - **Issue:** A catastrophic gas leak at the Union Carbide plant in Bhopal caused thousands of deaths and severe health consequences.
   - **Judgment:** The Supreme Court ordered Union Carbide to pay US $ 470 million as compensation to the victims.
   - **Impact on Businesses:** This case set a precedent for corporate accountability in India, highlighting the need for businesses to prioritise safety protocols and environmental management.

4. **Safeguarding Consumer Interests**

   Case Example: Amarnath Sehgal v. Union of India (2005)

   - **Issue:** The unauthorised removal and damage of an artist's mural commissioned by the government.
   - **Judgment:** The Court upheld the artist's moral rights, ensuring businesses respect intellectual property rights.
   - **Impact on Businesses:** This ruling reinforced the protection of intellectual property rights, ensuring that businesses respect creators' works and contractual obligations.

SELF ASSESSMENT QUESTIONS

9. The Constitution of India guarantees certain fundamental rights that are laid down in Articles 12 to 35. (True/False)
10. India has a federal judiciary system similar to that of the United States, with multiple Supreme Courts across different states. (True/False)

ACTIVITY

Create a flowchart illustrating the hierarchy of the Indian judicial system and write a brief analysis of how each level interacts with and influences the others.

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1.7 SUMMARY

- Law and business are inseparable components in today's corporate environment, where legal frameworks regulate virtually every aspect of business activities.
- Law and business are two interconnected fields that shape the foundation of a functional society. Law provides the rules and regulations governing individuals, corporations and governments, ensuring justice, fairness and order.
- Business refers to the activities associated with the exchange of goods and services for profit. The legal environment in which businesses operate plays a critical role in their success and longevity.
- Legal principles and concepts form the bedrock of any legal system and play a crucial role in guiding the conduct of businesses.
- The rule of law ensures a predictable environment where contracts are honoured, property rights are protected and legal disputes can be fairly resolved.
- Fairness refers to the equitable and unbiased treatment of all individuals, ensuring that decisions are made without favouritism or prejudice.
- Legislation is considered one of the most direct and formal sources of law, as it clearly outlines the legal framework businesses must follow.
- Constitutional law forms the basis of the legal system, outlining the fundamental principles and structures of government.
- Contract law is one of the most fundamental areas governing business transactions.
- Corporate law focuses on the formation, operation and dissolution of companies.
- Employment law regulates the relationship between employers and employees, ensuring fair treatment, safety and protection in the workplace.
- Antitrust laws are designed to promote fair competition and prevent monopolistic practices.
- The Constitution envisaged a unique place for the judiciary in the country and has become the fountainhead of the Indian legal system.
- The judicial system is a unique feature of the Indian Constitution. It provides an integrated system of courts that administers both State and Union laws.

NOTES

KEY WORDS

- **Contract law:** The body of law governing agreements between parties
- **Corporate law:** The area of law dealing with the formation and operations of corporations
- **Fundamental rights:** Rights enshrined in the Constitution (Articles 12 to 35) that protect individual liberties and promote equality, forming a crucial part of India's legal framework
- **Judicial review:** The power of Indian courts to examine and invalidate laws or government actions that violate the Constitution, reinforcing the accountability of the state
- **Justice:** The concept of moral rightness and fairness
- **Legislative laws:** Statutes and acts enacted by the Parliament and state legislatures that regulate behaviour and establish legal norms in various sectors such as crime, taxation and labour
- **Rule of law:** The principle that all individuals and institutions are accountable to the law
- **Supremacy of the constitution:** The highest legal authority, meaning any law inconsistent with it is deemed invalid, ensuring consistent application of laws

1.8 MULTIPLE CHOICE QUESTIONS

1. Who was responsible for drafting the Constitution of India?

   a. Mahatma Gandhi b. B.R. Ambedkar
   c. Jawaharlal Nehru d. Sardar Patel

2. Which of the following is not a primary source of law?

   a. Legislation b. Common law
   c. International law d. Business strategies

3. The apex court of India is known as the ____________.

   a. High Court b. District Court
   c. Supreme Court d. Civil Court

4. Employment law includes regulations about all of the following EXCEPT:

   a. Wages b. Workplace safety
   c. Corporate governance d. Discrimination

NOTES

5. The principle of _____________ in law ensures a predictable environment for business operations.
   a. Equity
   b. Fairness
   c. Rule of law
   d. Justice
6. Which of the following principles ensures that no individual or institution, including the government, is above the law in India?
   a. Judicial review
   b. Supremacy of law
   c. Equality Before law
   d. Due process
7. Which Article of the Indian Constitution guarantees that every individual is equal before the law and prohibits discrimination?
   a. Article 14
   b. Article 21
   c. Article 51
   d. Article 13
8. What is the primary role of the Supreme Court of India in upholding justice?
   a. Enforcing economic policies
   b. Conducting elections
   c. Judicial review and interpretation of laws
   d. Drafting new legislation
9. Which of the following acts aims to promote and sustain competition in the Indian market?
   a. The Consumer Protection Act, 2019
   b. The Competition Act, 2002
   c. The Insolvency and Bankruptcy Code, 2016
   d. The Environment Protection Act, 1986
10. The Environment Protection Act, 1986 empowers the government to do which of the following?
   a. Mandate clearances for projects impacting the environment
   b. Regulate corporate governance
   c. Set minimum wages for workers
   d. Protect consumers against unfair trade practices

1.9 DESCRIPTIVE QUESTIONS

1. What is the role of law in business?
2. Discuss the fundamental legal principles governing business operations.
3. What are the primary sources of law that affect business?
4. How does the court system influence business operations?

NOTES

1.10 HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

1. A startup has developed a new mobile app that provides financial advice based on user data. The founders are concerned about protecting their innovation and ensuring that competitors do not replicate their app. Which legal principle should they primarily focus on to safeguard their intellectual property?

   a. Employment law b. Contract law

   c. Intellectual property law d. Consumer protection law

2. A manufacturing company is facing a lawsuit for allegedly polluting a nearby river, affecting local communities. The company claims it has followed all necessary regulations. Which area of law is most relevant in determining the company's responsibilities and potential liabilities?

   a. Antitrust law b. Corporate law

   c. Environmental law d. Employment law

3. During a corporate merger, one company's shareholders are concerned about their rights and the potential for unfair treatment. They seek reassurance regarding the legal obligations of the company during this process. Which aspect of law should they investigate to understand their protections?

   a. Contract law b. Corporate law

   c. Consumer protection law d. Employment law

4. A multinational corporation faces legal challenges in two countries with differing intellectual property laws. Country A follows a strict "first-to-file" system, while Country B emphasises "first-to-use." Which approach would better protect a startup's innovation that lacks immediate resources for filing patents?

   a. Country A: "First-to-file" provides legal certainty

   b. Country B: "First-to-use" protects those already using an invention

   c. Both systems offer equal protection in such cases

   d. Neither system is effective for startups

5. A business operating in India plans to expand into the European Union. How should it adapt its employment policies to comply with the EU's strict GDPR?

   a. Focus on protecting consumer data only

   b. Implement systems to safeguard both employee and customer data

   c. Adhere to Indian labour laws as they are sufficient for GDPR compliance

NOTES

d. Exempt employees from GDPR regulations as internal data is not covered

1.11 ANSWERS AND HINTS

ANSWERS FOR SELF-ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
Law and Business	1.	d. Marketing law
	2.	b. Legal regulations ensure fair competition and consumer protection
Legal Principles and Concepts	3.	True
	4.	False
Sources of Law	5.	legislative bodies
	6.	binding precedents
Law to Regulate Business	7.	b. Contract law
	8.	b. To ensure fair competition and prevent monopolistic practices
Law and Court	9.	True
	10.	False

ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer
1.	b. B.R. Ambedkar
2.	d. Business strategies
3.	c. Supreme Court
4.	c. Corporate governance
5	c. Rule of law
6.	b. Supremacy of law
7.	a. Article 14
8.	c. Judicial review and interpretation of laws
9.	b. The Competition Act, 2002
10.	a. Mandate clearances for projects impacting the environment

HINTS FOR DESCRIPTIVE QUESTIONS

1. Law and business are two interconnected fields that shape the foundation of a functional society. Law provides the rules and regulations governing individuals, corporations and governments, ensuring justice, fairness and order. Refer to Section **1.2 Law and Business**

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2. Legal principles and concepts form the bedrock of any legal system and play a crucial role in guiding the conduct of businesses. Refer to Section **1.3 Legal Principles and Concepts**
3. Sources of law are the foundations from which laws emerge, guiding legal principles and shaping the legal framework that governs businesses. Understanding these sources is crucial for business managers, as they must operate within the boundaries set by legal regulations. Refer to Section **1.4 Sources of Law**
4. Business law provides a structure for the formation, regulation and dissolution of businesses, while also ensuring that companies adhere to societal standards and protect the rights of various stakeholders such as consumers, employees and shareholders. Refer to Section **1.5 Law to Regulate Business**

ANSWERS FOR HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

Q. No.	Answer
1.	c. Intellectual property law
2.	c. Environmental law
3.	b. Corporate law
4.	b. Country B: "First-to-use" protects those already using an invention.
5.	b. Implement systems to safeguard both employee and customer data.

1.12 SUGGESTED READINGS & REFERENCES

SUGGESTED READINGS

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CASE LAW

NOTES

SAFEGUARDING INNOVATION: TECH INNOVATE'S LEGAL BATTLE FOR INTELLECTUAL PROPERTY PROTECTION

BACKGROUND

Tech Innovate Inc., a rapidly growing technology firm specialising in innovative software solutions, faced a significant challenge when a rival company, NextGen Solutions, launched a product smartly similar to one of Tech Innovate's flagship applications. The similarity raised concerns about intellectual property infringement, as Tech Innovate had secured several patents and trademarks related to its software technology. This situation, while specific to the tech industry, is not uncommon across other sectors such as healthcare, financial services, and manufacturing, where companies rely heavily on their Intellectual Property (IP) to maintain a competitive edge. In these industries, innovations such as medical devices proprietary manufacturing processes can be crucial to business success.

For instance, in the healthcare industry, pharmaceutical companies often face similar challenges, where a competitor may release a drug with a formulation or method that closely mimics a patented product. Likewise, in the financial services sector, banks and fintech companies may find themselves in disputes over algorithmic trading models, proprietary financial data processing techniques, or customer-facing apps that could infringe on patented technologies or trademarks.

LEGAL CHALLENGE

Tech Innovate's legal team was tasked with determining whether NextGen Solutions had violated its intellectual property rights. The firm needed to assess the extent of the infringement, gather evidence, and decide whether to pursue legal action. This was particularly challenging due to the competitive nature of the tech industry, where rapid innovation often blurs the lines between distinct product features and industry standards.

In healthcare, legal teams may need to consider the broader implications of generic versions of patented medications entering the market, or in financial services, the risk that competitors might reverse-engineer proprietary algorithms. In manufacturing, companies face similar threats when new designs or processes are replicated by competitors, particularly in sectors like automotive, electronics, or consumer goods. The situation can be complicated by the rapid pace of innovation, where patent rights may be contested based on whether an innovation is unique or just an incremental improvement over prior art.

Case Objective

The objective of this case law is to understand the challenges involved in identifying and addressing IP infringement in a rapidly evolving market.

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CASE LAW

The legal teams across all sectors must assess factors like the scope of their IP protections, the specific nature of the infringement, and the potential impact of the case on the business, including whether a dispute could harm the company's reputation or operations.

LEGAL ACTION

Tech Innovate decided to file a lawsuit against NextGen Solutions, claiming patent infringement and trademark violation. The legal proceedings involved detailed examinations of patent claims, expert testimonies, and comparisons between the products. In the case of healthcare or pharmaceuticals, expert testimony could include clinical trials or technical studies to demonstrate that the product in question is substantially similar to a patented drug or device. Similarly, in the financial sector, expert opinions might be required to show how a competitor's software algorithm is identical or substantially similar to one already patented.

The court also reviewed the trademark registration to determine if NextGen Solutions' product could confuse consumers. This review could be particularly crucial in sectors like healthcare, where the use of certain trademarks can affect consumer trust and purchasing decisions. In financial services, brand recognition and trademark protection can similarly play a role in maintaining consumer confidence, especially when products are marketed under similar names or logos.

In industries like manufacturing, patent infringement lawsuits may focus on the technical specifications of the product and how closely a competitor's version matches the patented design or process. Evidence of consumer confusion may not be as central, but market differentiation can be key in establishing damages and ensuring that the infringement ceases.

OUTCOME

After a protracted legal battle, the court ruled in favour of Tech Innovate, finding that NextGen Solutions had indeed infringed on Tech Innovate's patents and trademarks. The court issued an injunction preventing NextGen Solutions from selling the infringing product and awarded Tech Innovate damages for the losses incurred. Additionally, NextGen Solutions was required to pay legal fees and redesign its product to avoid future conflicts. This ruling reinforced the importance of protecting intellectual property across various sectors.

CASE LAW

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In the healthcare industry, similar outcomes may involve injunctions to prevent the sale of generic drugs that infringe on patented formulations or orders requiring the redesign of medical devices. In financial services, outcomes may involve forced changes to the structure of proprietary financial tools or algorithms. For manufacturing companies, the court might mandate the redesign of a product or its removal from the market, ensuring the protection of trade secrets, designs, or utility patents.

BUSINESS IMPACT

The successful legal action reinforced Tech Innovate's position as a leader in the technology sector and underscored the importance of protecting intellectual property. The case also highlighted the necessity for businesses to carefully monitor competitors and enforce their legal rights to safeguard their innovations and market share.

This lesson extends beyond the tech industry. In healthcare, IP disputes can delay or block the launch of competing products, protecting market share for innovative drug manufacturers or medical technology firms. In the financial services industry, defending intellectual property can prevent the loss of a competitive advantage in areas like fintech apps, blockchain technology, or trading algorithms. Manufacturing companies also benefit from securing their proprietary designs, as product knock-offs can harm brand reputation and erode market share.

Furthermore, across all industries, a strong IP portfolio can bolster a company's market position and provide opportunities for licensing or partnerships, generating new revenue streams. Conversely, failure to protect IP can lead to financial losses, erosion of market position, and reputational damage, which could have long-lasting effects on a company's strategic goals.

CONCLUSION

Tech Innovate's experience demonstrated the critical role that intellectual property law plays in the technology industry. It also illustrated the complexities of legal proceedings related to IP disputes and the potential impact on business operations and strategic decisions. Companies in all industries—whether tech, healthcare, financial services, or manufacturing—must be prepared to invest in legal resources and strategies to defend their intellectual property effectively. A proactive approach to IP management, combined with careful monitoring of competitors, can help businesses avoid costly legal battles and ensure they remain competitive in their respective markets.

NOTES

CASE LAW

QUESTIONS

1. What were the primary legal challenges faced by Tech Innovate Inc. in its dispute with NextGen Solutions?

   (Hint: Intellectual property infringement involving patents and trademarks, gathering evidence, assessing the extent of infringement, and navigating legal proceedings.)

2. How can protecting intellectual property benefit businesses across industries such as healthcare, financial services, and manufacturing?

   (Hint: Safeguards innovations, maintains competitive edge, prevents market share loss, reinforces brand reputation, and creates opportunities for licensing or partnerships.)

2

CHAPTER

OVERVIEW OF LEGAL AND CONSTITUTIONAL RIGHTS, CONSTITUTIONAL REMEDIES AND COMMON LEGAL TERMS

CONTENTS

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INTRODUCTORY CASELET

Case Objective

The objective of this caselet is to highlight the significance of legal and constitutional remedies within the realm of business operations.

NAVIGATING LEGAL REMEDIES: UPHOLDING CONSTITUTIONAL RIGHTS IN BUSINESS

FutureTech Inc., one of the major tech firm in Metroville in the United States and the business hub of the city, was present before the courts over a case. The company had collected users' personally identifiable information without consent and violated their privacy rights owned to its users. The aggrieved users came to the courts and filed a case against FutureTech for violating their constitutional privacy rights. Here the intersection of constitutional rights and business operations becomes an evident one. It needed to navigate its way through a complicated legal Web, taking into consideration constitutional provisions and legal remedies in dealing with apparent contraventions without surrendering business interests.

When the case was being unfolded, FutureTech lawyers looked toward constitutional guarantees that protect individual privacy rights. Using remedies available in constitutional law's framework, they pursued a course reconciling their business practice with constitutional obligations. In particular, the case brought to light the difficult balance of business aims with an imperative demand for strict adherence to constitutional principles. The pursuit of justice here required a nuanced understanding of legal remedies that could harmonise corporate strategies with constitutional mandates, which is an important role for legal expertise in managing such conflicts.

This caselet illustrates the importance of legal and constitutional remedies in a business environment. Here, a rather delicate balance between corporate venture and fulfilling constitutional rights stands threatened. The interface is understood and developed so that the reputation of FutureTech is respected while the need for business practices to have consistency with constitutional imperatives is addressed. It creates a precedent for ethical conduct and legally compliant behaviour in the business world.

LEARNING OBJECTIVES

After studying this chapter, you will be able to:

- Define legal rights, duties and liabilities
- Discuss the fundamental rights
- Elaborate on the importance of fundamental rights
- Explain the need for constitutional remedies
- Discuss the judicial review
- Describe fundamental duties

2.1 INTRODUCTION

In the previous chapter, you studied the objective of the legal aspects of business. The chapter also gave an insight into business and law and legal principles and concepts. You also studied the sources of law and laws to regulate business. In the end, the chapter discussed the law and court and administrative structure of the current judicial system.

Legal rights are the advantages or immunities available to persons through the law, allowing them to either do or refrain from doing something in a given position within a framework of law. The legal rights can broadly be classified into two; statutory rights conferred by legislation and common law rights established through judicial decisions and precedents. Legal remedies are those ways by which these rights can be enforced against alleged violations, often through compensation, restitution, or specific performance. In civil law, remedies are merely monetary damages or injunctive relief; in criminal law, remedies would form actions taken in the form of punishment like imprisonment or fine.

Constitutional rights are the basic rights that a nation incorporates into its constitution. These rights are generally the strongest legal protection that the state provides to citizens. Constitutional rights, for instance, comprise freedom of speech, right to privacy, right to due process and protection against discrimination in most countries like the United States, India, and others with a written constitution. When these rights are violated, judicial remedies are always available, and in most cases, recourse is taken in courts.

Courts provide remedies by giving varying forms of relief such as declaring the rights of parties, preventing a party from performing an act (injunctions) or granting damages such as financial compensation. Remedies, in cases of constitutional rights, may include nullification of unconstitutional laws or imposing some form of governmental corrective action.

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Privacy rights significantly impact corporate data policies by requiring businesses to handle personal information responsibly. For instance, under laws like the General Data Protection Regulation (GDPR) in Europe or the California Consumer Privacy Act (CCPA) in the United States, individuals have a constitutional or statutory right to privacy. This means companies must obtain user consent before collecting personal data, ensure secure storage, and allow users to access or delete their data upon request.

If a company fails to comply, it may face legal remedies such as fines or injunctions that force corrective actions to safeguard privacy. These rights ensure that individuals maintain control over their personal information, shaping how corporations design and implement data policies.

The chapter begins with a detailed discussion of the overview of legal and constitutional rights and remedies and common legal terms. Next, you will study legal rights, duties and liabilities and fundamental rights. In addition, the chapter also discusses the need for constitutional remedies — Articles 32 and 226. In the end, the chapter describes the judicial review and fundamental duties.

2.2 CONCEPTS — LEGAL RIGHTS, DUTIES AND LIABILITIES

Legal rights are entitlements granted to individuals or groups by law, allowing them to perform specific actions or to demand certain actions from others. These rights are recognised and protected by the legal system and can be enforced through legal remedies if violated. Legal rights can be classified into several types:

- **Civil Rights:** Rights that protect individuals' freedom from unwarranted interference by the government or other individuals (e.g., right to free speech, privacy)
- **Political Rights:** Rights that allow individuals to participate in the political process (e.g., right to vote, right to run for public office)
- **Economic and Social Rights:** Rights that ensure individuals have access to essential resources like education, health care and housing
- **Human Rights:** Universal rights inherent to all human beings, often protected under international law

Legal duties are obligations imposed by law on individuals or organisations. They require a person to act in a certain way or refrain from certain actions to comply with legal standards. Duties may be either:

- **Positive Duties:** Requiring a person to perform an act (e.g., paying taxes or obeying traffic laws).

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- **Negative Duties:** Requiring a person to refrain from certain actions (e.g., not harming others or violating contracts). Failure to fulfil legal duties can result in legal consequences such as lawsuits, penalties, or criminal prosecution.

Liabilities refer to legal responsibilities or obligations a person or entity has for their actions or omissions, particularly when those actions result in harm or damage to another person. Liabilities are categorised as:

- **Civil Liability:** This occurs when a person is held responsible for harm or damages caused to another person due to a breach of duty (e.g., in cases of breach of contract or torts like negligence).
- **Criminal Liability:** This arises when a person is held accountable for committing a crime, leading to penalties like imprisonment or fines. Criminal liability often involves intent or recklessness in violating the law.
- **Vicarious Liability:** This occurs when one person is held liable for the actions of another, such as an employer being held responsible for the wrongful actions of an employee done in the course of employment.

EXHIBIT

Real-World Example of Vicarious Liability

- **Workplace harassment:** If an employee at a company engages in harassment or discriminatory behaviour towards a coworker while performing their duties, the employer can be held vicariously liable for the employee's actions. For instance, if a supervisor makes inappropriate comments or engages in unwanted behaviour, and the employer does not take adequate action to prevent or address the situation, the company may be held responsible for failing to prevent workplace harassment.
- **Car accident by employee:** If an employee is driving a company vehicle during work hours and causes an accident, the employer may be vicariously liable for the damages caused. Even if the employee was negligent in their driving, the employer is responsible because the employee was acting within the scope of their employment (e.g., making deliveries or attending a work-related meeting).

SELF ASSESSMENT QUESTIONS

1. Which of the following is an example of a negative duty under the law?
   a. Paying taxes
   b. Obeying traffic laws

c. Refraining from causing harm to others

d. Voting in elections

2. Which type of liability holds an employer responsible for the wrongful actions of an employee committed in the course of employment?

a. Civil liability b. Criminal liability

c. Vicarious liability d. Strict liability

ACTIVITY

Classify a list of scenarios into Civil Rights, Political Rights, Economic and Social Rights, Human Rights, or Legal Duties. Then, they will identify whether the duties in the scenarios involve Positive, Negative, Civil, Criminal, or Vicarious Liability.

2.3 FUNDAMENTAL RIGHTS — ARTICLES 12 TO 35

Fundamental rights are the cornerstone of the Indian Constitution, enshrined in Part III, spanning Articles 12 to 35. These rights guarantee civil liberties to all citizens, ensuring they can live with dignity and freedom. Fundamental rights primarily protect individuals against the arbitrary actions of the state and other entities. They are justiciable, meaning individuals can approach the courts to enforce these rights. Here is an overview of Articles 12 to 35, which encompass fundamental rights:

ARTICLE 12 – DEFINITION OF STATE

Article 12 defines the term 'State' to include the government and Parliament of India, the government and legislatures of the states, and all local or other authorities within the territory of India or under the control of the Government of India. This broad definition ensures that fundamental rights can be enforced against a wide range of entities, including governmental and semi-governmental organisations.

ARTICLE 13 – LAWS INCONSISTENT WITH FUNDAMENTAL RIGHTS

Article 13 establishes the supremacy of fundamental rights. It declares that any law, custom, or usage in force in India that is inconsistent with or violates fundamental rights shall be void. It also empowers courts to strike down laws that infringe upon these rights.

RIGHT TO EQUALITY (ARTICLES 14–18)

- **Article 14:** Guarantees equality before the law and equal protection of the laws within Indian territory

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- **Article 15:** Prohibits discrimination on grounds of religion, race, caste, sex, or place of birth
- **Article 16:** Provides for equality of opportunity in matters of public employment
- **Article 17:** Abolishes 'untouchability' and forbids its practice in any form
- **Article 18:** Abolishes titles, except for military and academic distinctions

RIGHT TO FREEDOM (ARTICLES 19–22)

- **Article 19:** Guarantees six fundamental freedoms:
  1. Freedom of speech and expression
  2. Freedom of assembly
  3. Freedom to form associations or unions
  4. Freedom to move freely throughout India
  5. Freedom to reside and settle in any part of India
  6. Freedom to practice any profession or carry out any occupation, trade, or business
- **Article 20:** Protects individuals in respect of convictions for offences (e.g., protection against ex post facto laws, double jeopardy, and self-incrimination)
- **Article 21:** Guarantees the right to life and personal liberty, including the right to live with dignity
- **Article 21A:** Provides for the right to free and compulsory education for children between the ages of 6 and 14 years
- **Article 22:** Protects against arrest and detention in certain cases, including safeguards against arbitrary detention and provisions for preventive detention

RIGHT AGAINST EXPLOITATION (ARTICLES 23–24)

- **Article 23:** Prohibits human trafficking, forced labour, and similar forms of exploitation
- **Article 24:** Prohibits the employment of children under the age of 14 in factories, mines, or other hazardous employment

RIGHT TO FREEDOM OF RELIGION (ARTICLES 25–28):

- **Article 25:** Grants freedom of conscience and the right to freely profess, practice, and propagate any religion
- **Article 26:** Provides the freedom to manage religious affairs
- **Article 27:** Prohibits the use of state funds for promoting any particular religion

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- **Article 28:** Prohibits religious instruction in educational institutions wholly funded by the state

CULTURAL AND EDUCATIONAL RIGHTS (ARTICLES 29–30):

- **Article 29:** Protects the rights of cultural and linguistic minorities to conserve their culture, language and script
- **Article 30:** Grants minorities the right to establish and administer educational institutions of their choice

RIGHT TO CONSTITUTIONAL REMEDIES (ARTICLE 32):

Article 32 is often called the "heart and soul" of the Constitution, as it empowers individuals to approach the Supreme Court directly for the enforcement of Fundamental Rights. It provides for various writs like habeas corpus, mandamus, prohibition, quo warranto, and certiorari, which are vital tools for protecting citizens' rights against any form of violation.

ARTICLES 33–35: EXCEPTIONS AND APPLICATION OF FUNDAMENTAL RIGHTS

- **Article 33:** Empowers Parliament to modify the application of Fundamental Rights to the armed forces, police forces, and intelligence agencies to ensure discipline and proper functioning
- **Article 34:** Allows for the restriction of Fundamental Rights while martial law is in force in any area
- **Article 35:** Empowers Parliament to legislate on matters related to fundamental rights, including punishment for offences like human trafficking or forced labour

EXHIBIT

Table of significant Articles and their corresponding rights for quick reference.

Article	Right
Article 12	Definition of "State" (includes government, parliament and local authorities)
Article 13	Laws inconsistent with fundamental rights are void
Article 14	Equality before the law and equal protection of laws
Article 15	Prohibition of discrimination (religion, race, caste, sex, place of birth)
Article 16	Equality of opportunity in public employment
Article 17	Abolition of untouchability
Article 18	Abolition of titles (except military and academic)
Article 19	Six freedoms: speech, assembly, association, movement, residence, occupation

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Article	Right
Article 20	Protection against retroactive laws, double jeopardy and self-incrimination
Article 21	Right to life and personal liberty (right to live with dignity)
Article 21A	Right to free and compulsory education for children (6–14 years)
Article 22	Protection against arbitrary arrest and detention
Article 23	Prohibition of human trafficking, forced labour
Article 24	Prohibition of child labour in hazardous employment
Article 25	Freedom of conscience and religion (freedom to profess, practice, propagate)
Article 26	Freedom to manage religious affairs
Article 27	Prohibition on state funding of religious activities
Article 28	Prohibition of religious instruction in state-funded educational institutions
Article 29	Protection of cultural and linguistic minorities' rights to conserve their culture, language and script
Article 30	Right of minorities to establish and administer educational institutions
Article 32	Right to Constitutional remedies (access to Supreme Court for enforcement of fundamental rights)
Article 33	Parliament can modify application of rights to armed forces, police, intelligence agencies
Article 34	Restriction of rights during martial law
Article 35	Parliament empowered to legislate on matters relating to fundamental rights

SELF ASSESSMENT QUESTIONS

3. Article 17 of the Indian Constitution abolishes the theory of ___________ and prohibits its practice in any form.
4. Article 32 is known as the "heart and soul" of the Constitution as it enables individuals to move to the ___________ for the implementation of fundamental rights.

ACTIVITY

Find some real-life case laws on Article 33.

2.4 IMPORTANCE OF FUNDAMENTAL RIGHTS

Fundamental rights are crucial for ensuring the protection of individual liberties and maintaining the rule of law in a democratic society. They provide a foundation for equality, dignity, and freedom

NOTES

for all citizens, serving as a safeguard against arbitrary use of state power. The importance of fundamental rights is as follows:

- **Protection of individual liberty and dignity:** The fundamental rights are essential so that every citizen can live with dignity and liberty. The rights protect the fundamental rights associated with speech, expression, and assembly as well as personal freedoms including privacy and freedom of religion. Those rights enable individuals to express their thoughts as well as pursue their goals free from undue interference from the state or any other authority.
- **Establishment of equality and social justice:** Fundamental rights encourage equality as they prevent discrimination based on race, religion, caste, sex, or place of birth. Articles like Article 14 (Right to Equality) and (Article 15 Prohibition of Discrimination) boost equality in circumstances before the law so equals are treated equally. This structure reduces inequality among the people and uplifts the marginalised section. It ensures equal opportunities for everyone and makes society more just and equal.
- **Safeguard against state arbitrary power:** One of the important functions of fundamental rights is as a curb on the state's arbitrary power. As these rights restrain the exercise of authority by governments, they check for abuses by the state and also make it answerable for its actions. Article 21 (Right to Life and Personal Liberty) throws shield over nobody to deprive any person of their life or liberty except that such deprivation can be made only through due process of law. Article 32 grants the rights of constitutional remedy where people can approach the Supreme Court for the effective enforcement of rights, and therefore, the state.
- **Promotion of democracy and citizen participation:** Fundamental rights shape a democratic society because they guarantee essential rights to liberty that are crucial for equal and active political participation. Article 19 ensures citizen's freedom of speech and expression while Article 326 under Part XV directly guarantees the right to vote to citizens who are not less than eighteen years of age. Such rights allow citizens to express themselves in public debates and form associations that have an impact on making decisions to create a lively and active democracy.
- **Protection of vulnerable and minority groups:** Fundamental rights have inbuilt special provisions for protecting vulnerable sections of society, including minorities and weaker groups. Such provisions are Article 30; it guards the right to establish and administering the educational institutions on behalf of minorities. It thus removes social stigmas by abolishing untouchability as provided under Article 17. These protections ensure that historically marginalised groups can completely enjoy their rights and have equal access to opportunities.

NOTES

- **Development of a rule of law society:** The very essence of rights granting fairness, due process, and equality helps fundamental rights lay the foundations of a rule of law society. They provide legal certainty, justice, and predictability, giving authorities-including the government equal footing with individuals. It is a strong incentive for democratic institutions, which has to be accompanied by trust in the legal system. The stable functioning of society depends upon it.

EXHIBIT

Case Studies for Practical Effect of Fundamental Rights

1. **Maneka Gandhi v. Union of India (1978)**
    - **Case Summary:** In this landmark case, Maneka Gandhi, a journalist and activist, challenged the government's decision to impound her passport without providing her any reasons. She argued that this action violated her fundamental rights under Article 21 (Right to Life and Personal Liberty), as it was arbitrary and without due process.
    - **Impact on Fundamental Rights:** The Supreme Court broadened the scope of Article 21, ruling that the right to life and personal liberty is not limited to mere physical existence, but also encompasses the right to live with dignity. The Court held that any action that deprives a person of their personal liberty must be in accordance with the "due process of law." This case significantly expanded the interpretation of fundamental rights, emphasising that they are not to be understood in a narrow sense, but as a means to ensure dignity and freedom in all aspects of life.
    - **Practical Effect:** This ruling reinforced the protection of individual liberty and dignity, ensuring that no government action can infringe upon a person's freedom without due legal process. It also reaffirmed the importance of judicial scrutiny in cases of state actions, limiting arbitrary government power.
2. **K. K. Verma v. Union of India (1953)**
    - **Case Summary:** In this case, K. K. Verma challenged the imposition of restrictions on his right to speak freely under Article 19(1)(a) (Freedom of Speech and Expression) by the government. He argued that the government's actions were an infringement on his right to express himself without restrictions.
    - **Impact on Fundamental Rights:** The Court upheld the importance of free speech but allowed for certain

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reasonable restrictions under Article 19(2), such as national security or public order. The case demonstrated that while citizens are guaranteed freedom of speech, it can be curtailed in situations where public interest is at risk.

- **Practical Effect:** This case highlighted the balance between individual freedoms and public interest, illustrating the role of the judiciary in determining whether restrictions on fundamental rights are reasonable and necessary. It showcased the promotion of democracy and citizen participation, as freedom of speech is fundamental for public discourse and active participation in political processes.

3. **Indian Young Lawyers Association v. State of Kerala (2018) – Sabarimala Case**
   - **Case Summary:** In this case, the Supreme Court ruled that the practice of banning women of menstruating age from entering the Sabarimala temple in Kerala was unconstitutional. The petitioners argued that the ban violated the rights of women under Article 14 (right to equality), Article 15 (Prohibition of Discrimination) and Article 25 (Freedom of Religion).
   - **Impact on Fundamental Rights:** The Court held that the ban violated gender equality and individual freedom of religion, as the practice discriminated against women solely on the basis of their biological sex. The ruling emphasised that equality before the law and non-discrimination were integral to the constitutional guarantees of fundamental rights, even in religious matters.
   - **Practical Effect:** This case emphasised the protection of vulnerable and minority groups, particularly women, by challenging practices that promote inequality and discrimination. It also reinforced that fundamental rights apply to all citizens, irrespective of religion, caste, or gender, and must be upheld to ensure equality and social justice.

SELF ASSESSMENT QUESTIONS

5. The fundamental rights of India do not provide adequate protection against unmeaningful suspension of liberty and freedom by the government without following the due process of law. (True/False)
6. Fundamental rights are crucial for ensuring the protection of individual liberties and maintaining the rule of law in a democratic society. (True/False)

ACTIVITY

Create a visual poster that illustrates how fundamental rights promote equality and social justice, highlighting at least three specific rights and their impact on marginalised groups.

2.5 NEED FOR CONSTITUTIONAL REMEDIES — ARTICLES 32 AND 226

Article 32 of the Indian Constitution guarantees the right to constitutional remedies. This means that any Indian citizen can approach the Supreme Court of India for the enforcement of their fundamental rights, which are listed in Part III of the Constitution. Following is the right to constitutional remedies:

- **Right to move the Supreme Court:** Article 32 confers upon every citizen the right to directly approach the Supreme Court of India for the enforcement of fundamental rights. It is regarded as a fundamental right in itself and is considered an important part of the Constitution.
- **Protection of fundamental rights:** Article 32 acts as a constitutional safeguard for fundamental rights against their infringement by the State or other authorities. It ensures that individuals have access to the Supreme Court for the protection of these rights.
- **Guarantee of remedies:** It guarantees the right to seek a remedy through the Supreme Court when there's a violation of fundamental rights. This provision makes the Supreme Court a guardian of fundamental rights and ensures their enforcement.
- **Suspension during an emergency:** During a proclamation of emergency under Article 352, the President may suspend the right to move the Supreme Court for the enforcement of fundamental rights under Article 32. However, the suspension of the right to move the Court doesn't extend to the enforcement of fundamental rights itself.

GUARANTEED RIGHT

- Clause (1) guarantees the right of any person to move the Supreme Court for the enforcement of fundamental rights.
- This right is independent of any other legal remedy available in lower courts or through administrative channels.

SUSPENSION OF THE RIGHT

- Clause (4) ensures that this right can only be suspended during war, external aggression, or armed rebellion.

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- Even during such situations, the suspension must be authorised by law and follow the procedures established by the Constitution.

IMPACT AND IMPLICATIONS

- Article 32 plays a crucial role in upholding the rule of law and protecting individual liberties.
- It provides a direct and accessible avenue for citizens to seek justice against any injustice or encroachment on their fundamental rights.
- Over the years, the Supreme Court has used its powers under Article 32 to expand the scope of fundamental rights and develop significant jurisprudence on various issues. By giving individuals immediate access to the Supreme Court, the nation's highest court, for the resolution of complaints pertaining to the infringement of basic rights, it plays a crucial role in guaranteeing their protection and enforcement.

Article 226 stands as a pillar of the Indian judicial system, granting High Courts within their respective jurisdictions the power to issue five specific writs and other directions or orders to any person or authority. This expansive power ensures access to justice and fair play, making High Courts guardians of fundamental rights and legal principles.

BEYOND FUNDAMENTAL RIGHTS

While Article 226 protects fundamental rights enshrined in Part III of the Constitution, its scope extends beyond them.

These writs can be used:

- To correct legal errors by lower authorities
- To enforce public duties and ensure fair administrative action
- To protect the public interest and prevent misuse of power
- To address grievances arising from non-fundamental rights violations

TERRITORIAL REACH AND DISCRETION

The power granted by Article 226 can be exercised throughout the High Court's territorial jurisdiction. Additionally, if the cause of action, even partially, arises within the jurisdiction, the High Court can intervene regardless of the location of the person or authority concerned.

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However, this power is not absolute. It is subject to judicial discretion and guided by the principles of:

- **Alternative remedies:** If other legal avenues exist, the High Court may not invoke writs under Article 226.
- **Delay and laches:** Seeking relief promptly is crucial. Undue delay may weaken the petition.
- **Balance of convenience:** The court considers the impact of granting or refusing the writ on all parties involved.

RELATIONSHIP WITH ARTICLE 32

Both Article 226 and Article 32 empower courts to issue writs for enforcing fundamental rights. However, Article 226 offers a more accessible remedy due to the proximity of the High Courts to the people. Individuals seeking relief typically approach the High Court first, with the Supreme Court serving as an appellate body in exceptional cases.

The objectives of Article 32 and Article 226 of the Indian Constitution primarily revolve around the enforcement of fundamental rights and the provision for judicial review of administrative actions through the mechanism of writs. Following is a relation with Article 32:

- **Enforcement of fundamental rights:** Both Article 32 and Article 226 aim to safeguard fundamental rights guaranteed by the Constitution. They empower the Supreme Court (under Article 32) and High Courts (under Article 226) to issue writs for the protection of fundamental rights against any violation by the State or other authorities.
- **Remedy through writs:** These articles provide an efficacious remedy in the form of various writs—such as habeas corpus, mandamus, prohibition, certiorari and quo warranto—to protect individuals against arbitrary State actions, administrative excesses, or violations of their fundamental rights.
- **Judicial review:** Article 32 and Article 226 play a crucial role in exercising judicial review over administrative actions. They empower the judiciary to scrutinise the legality, the constitutionality and procedural propriety of administrative decisions, ensuring that they adhere to the constitutional framework and do not infringe upon fundamental rights.
- **Limitation on state authority:** By enabling the courts to issue writs, these articles act as a check on State and administrative powers. They prevent abuse of authority, unauthorised detention, lack of procedural fairness, or any act detrimental to fundamental rights by providing citizens with a direct legal remedy.

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CASE INSTANCE

Landmark Case Studies Illustrating the Use of Articles 32 and 226

1. **Kesavananda Bharati v. State of Kerala (1973)**
   - **Case Summary:** Kesavananda Bharati, a religious leader, challenged the Kerala government's attempt to enact laws that would limit the rights of religious institutions under the Constitution. His case was based on the belief that these laws violated his fundamental rights under Article 25 (Freedom of Religion). He filed the case directly under Article 32, seeking judicial review of the law's constitutionality and its impact on his religious rights.
   - **Impact on Constitutional Remedies:** This case is a pivotal moment in the interpretation of the basic structure doctrine of the Indian Constitution. The Supreme Court, while hearing the petition under Article 32, held that Parliament could amend the Constitution but could not alter its "basic structure." The decision defined the limits of Parliament's power to amend fundamental rights and reinforced the supremacy of the Constitution.
   - **Practical Effect:** The case showcased the importance of Article 32 as a means for citizens to directly approach the Supreme Court for enforcement of their rights and to challenge the constitutionality of laws. The basic structure doctrine has become an essential component in Indian constitutional law, serving as a safeguard against arbitrary changes to the Constitution that would undermine its foundational principles.
2. **L. Chandra Kumar v. Union of India (1997)**
   - **Case Summary:** In this case, the Supreme Court examined the constitutionality of limiting judicial review by the tribunals set up under various laws. The petitioners contended that the tribunals could not override the constitutional authority of the High Courts under Article 226 and the Supreme Court under Article 32 to issue writs for the enforcement of fundamental rights.
   - **Impact on Constitutional Remedies:** The Court ruled that the power of judicial review cannot be transferred to administrative tribunals, as this would violate the Constitution's basic structure. The judgment reaffirmed the vital role of Articles 32 and 226 in safeguarding the rights of citizens and the need for access to judicial scrutiny of administrative actions. The Court held that tribunals could not curtail the jurisdiction of High Courts and the Supreme Court in enforcing fundamental rights.

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- **Practical Effect:** The decision ensured that judicial review of administrative actions remained under the purview of the High Courts and the Supreme Court, guaranteeing citizens' access to remedies under Articles 32 and 226. This case emphasised that the fundamental rights of citizens could not be limited by the creation of administrative tribunals, thus ensuring that judicial oversight remains an essential feature of the Indian legal system.

2.5.1 CONSTITUTIONAL REMEDIES – WRITS

Writs are an essential legal remedy available under Article 32 of the Indian Constitution (Supreme Court) and Article 226 (High Courts) to enforce fundamental rights and ensure legal protection against violations of rights. These writs are formal orders issued by the courts directing individuals, authorities, or lower courts to perform or refrain from performing specific acts. Writs are vital tools for safeguarding individual liberties and maintaining the rule of law.

2.5.2 TYPES OF WRITS

In the Indian legal system, writs are special orders issued by the Supreme Court or High Courts to ensure the protection of fundamental rights or enforce justice. Article 32 and Article 226 of the Indian Constitution empower these courts to issue writs. There are five types of writs in the Indian legal system as shown in Figure 2.1, each serving a distinct purpose:

Habeas Corpus	Mandamus	Prohibition	Certiorari	Quo Warranto
• **Meaning:** "You may have the body." • **Purpose:** To protect an individual's personal liberty against unlawful detention. • **Application:** Issued to ensure a detained person is brought before the court to examine the legality of the detention.	• **Meaning:** "We command." • **Purpose:** To compel a public authority to perform a duty it is legally obligated to do. • **Application: Used** against non-performing officials, ensuring execution of public duties.	• **Meaning:** "To forbid." • **Purpose:** To prevent lower courts or tribunals from exceeding their jurisdiction. • **Application:** Issued by a higher court to stop proceedings in lower courts that act beyond their powers.	• **Meaning:** "To be certified." • **Purpose:** To transfer a case from a lower court to a higher court or to quash an order. • **Application:** Used when lower courts or tribunals pass judgments without proper jurisdiction or violate principles of justice.	• **Meaning:** "By what authority." • **Purpose:** To challenge an individual's claim to hold a public office. • **Application:** Ensures that only duly qualified individuals hold public offices.

Figure 2.1: Types of the Writs and Their Applications

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Let's discuss about the writs in detail.

1. **Habeas Corpus (Latin: 'You may have the body'):** The writ of habeas corpus is used to challenge unlawful detention or imprisonment. It ensures that no person is deprived of their liberty unless there is a valid legal justification for their detention. The court orders the authority detaining the individual to bring the person before the court and justify the detention. If the detention is found to be illegal, the court orders the release of the detained individual. It protects against arbitrary arrests and ensures that an individual's right to life and liberty, guaranteed under Article 21, is upheld.

   Example: If a person is detained without being informed of the charges or without a proper trial, they or someone on their behalf can file a writ of habeas corpus.

2. **Mandamus (Latin: 'We command'):** It is a writ issued by the court. Mandamus compels a public official, a lower court, or a government authority to perform some duty which it is legally bound to do but has not done so. The court directs the authority to fulfil its duty or to rectify an illegal act. It cannot be granted to a private individual or body but only to public officials or authorities. It is yet vital and guarantees that the public authorities or officials never neglect their legal duties.

   Example: The court can issue a writ of mandamus requiring an agency of government to undertake some action or provide some service that is required by law.

3. **Prohibition (Latin: 'To forbid'):** Writ of prohibition is issued by a superior court to an inferior court or tribunal directing the latter not to do something, which infracts its jurisdiction, or has stepped beyond its statutorily granted authority. It restrains inferior courts or quasi-judicial tribunals from continuing a proceeding that they are not empowered to entertain. It is preventive, as it is used to stop existing judicial or quasi-judicial proceedings when the powers of the lower court exceed its jurisdiction.

   Example: If a lower court begins hearing a case that legally belongs to a higher court's jurisdiction, the higher court can issue a writ of prohibition to stop the lower court from continuing.

4. **Certiorari (Latin: 'To be certified or informed'):** A writ of certiorari is issued for the quashing or setting aside an order by an inferior court or tribunal provided it has acted without jurisdiction or in breach of the principles of natural justice. It has the power to review and annul the decisions of inferior courts, tribunals or quasi-judicial bodies if they exceed the authority or commit a mistake in law. It is a writ of which the

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aim is to correct a wrong or injustice committed by an inferior court through an act it should not have done.

Example: If a tribunal decides a case without giving both parties a fair hearing, the affected party can approach the High Court or Supreme Court, which may issue a writ of certiorari to nullify the decision.

5. **Quo Warranto (Latin: 'By what authority'):** A writ of quo warranto is issued to challenge the legal authority a person has in holding a public office. It involves the question of whether the officer had a right to the office. The court, in case of any ambiguities regarding the legality of occupancy of a particular public office by an individual, directs him to show by what authority he holds such an office. This prerogative writ is employed to prevent unauthorised occupation of offices by individuals.

   Example: If a person is appointed to a public office (such as a government position) without meeting the eligibility criteria, a writ of quo warranto can be filed to challenge the legality of their appointment.

IMPORTANCE OF WRITS IN CONSTITUTIONAL REMEDIES

- **Protection of fundamental rights:** Writs are primarily used to protect and enforce fundamental rights. If a person's rights are violated, they can directly approach the courts to seek remedies through these writs.
- **Judicial control over public authorities:** Writs like mandamus and certiorari ensure that public authorities and lower courts function within their legal boundaries, preventing misuse of power and arbitrary actions.
- **Restoration of legal order:** Writs like prohibition and certiorari are designed to restore order by preventing or correcting actions taken outside of lawful jurisdiction.
- **Accessible justice:** Writ petitions provide an accessible mechanism for individuals to seek justice, without requiring them to go through long-drawn legal processes. The writ system makes courts more responsive to the needs of citizens.

SELF ASSESSMENT QUESTIONS

7. The power granted by Article 226 can be exercised throughout the High Court's territorial jurisdiction. (True/False)
8. Writs like prohibition and certiorari are not designed to restore order by preventing or correcting actions taken outside of lawful jurisdiction. (True/False)

N O T E S

ACTIVITY

Select a landmark Supreme Court case that involved Article 32 or a High Court case related to Article 226, and prepare a brief presentation highlighting the case details, the constitutional provisions invoked, and the outcome.

2.6 JUDICIAL REVIEW

Judicial review is the power of the judiciary to examine the actions of the executive and legislative branches of government and determine whether those actions are consistent with the Constitution. This power enables courts to invalidate laws, executive orders, and actions that they find to be unconstitutional, thereby safeguarding the fundamental rights of individuals and maintaining the rule of law.

In India, the concept of judicial review is enshrined in the Constitution and has its roots in the principle of the separation of powers. The framers of the Constitution recognised the importance of an independent judiciary as a check on the arbitrary use of power by the legislative and executive branches. Judicial review in India is influenced by various legal traditions and precedents, including the practices established in the British legal system, the U.S. Constitution, and other democratic nations.

- **Constitutional provisions:** It is not explicitly stated in the Indian Constitution only through a single article. Instead, it is derived from several provisions, including:
    - **Article 13:** This article declares that any law that is inconsistent with the fundamental rights shall be void. It empowers the judiciary to review laws to ensure their conformity with the Constitution.
    - **Article 32:** It grants individuals the right to approach the Supreme Court for the enforcement of their fundamental rights. This article also empowers the Supreme Court to issue writs to enforce those rights, thus playing a crucial role in judicial review.
    - **Article 226:** This article empowers High Courts to issue writs for the enforcement of fundamental rights and other legal rights, further supporting the concept of judicial review at the state level.
    - **Article 141:** This article states that the law declared by the Supreme Court shall be binding on all courts within the territory of India, establishing the supremacy of the Supreme Court in interpreting the law.

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- **Scope of judicial review:** The scope of judicial review in India includes the following aspects:
  - **Constitutionality of legislation:** The judiciary can review laws enacted by the Parliament and state legislatures to determine if they conform to the Constitution. If a law is found to be unconstitutional, the court can strike it down.
  - **Protection of fundamental rights:** Judicial review serves as a mechanism for protecting the fundamental rights of individuals. Courts can intervene when these rights are violated by state actions or legislation.
  - **Administrative actions:** The judiciary can review the actions of administrative authorities to ensure they act within the bounds of their legal authority and adhere to principles of natural justice.
  - **Judicial activism and restraint:** The Indian judiciary has often exercised judicial review in a proactive manner (judicial activism) to expand rights and address social justice issues. However, there are instances where the judiciary has exercised restraint, allowing the legislature and executive to function within their domains.
- **Limitations of judicial review:** While judicial review is a powerful tool, it has its limitations:
  - **Parliamentary sovereignty:** The Indian Parliament has the authority to amend the Constitution, but the judiciary can review the amendments to ensure they do not violate the basic structure of the Constitution.
  - **Separation of powers:** The judiciary must exercise judicial review without overstepping its mandate, respecting the boundaries of the legislative and executive branches.
  - **Judicial Activism vs. Restraint:** While judicial review allows courts to intervene in matters of public interest, excessive judicial activism may lead to accusations of overreach, undermining the democratic process.

2.6.1 SIGNIFICANCE OF JUDICIAL REVIEW

Judicial review is an essential role within the democratic structure; it empowers the judiciary to measure the constitutionality of any action performed by both the legislative and the executive. The value of judicial review can be realised by considering a few of its pertinent features:

- **Protection of fundamental rights:** Judicial review plays a vital role in safeguarding the fundamental rights of individuals. By empowering the courts to examine laws and executive actions, it ensures that citizens can seek redress when their rights are

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violated. This protective function reinforces the rule of law and ensures that the government remains accountable to the Constitution.

- **Maintaining the supremacy of the constitution:** The authority of the Constitution is upheld by judicial review. All the legislations done by the government are checked against the provisions of the Constitution. It thus acts as an antidote to the legislative and the executive arms that prevents the exercise of powers arbitrarily or unconstitutionally. The judicial declaration of voidness of legislation violating the Constitution augments the principle that the Constitution happens to be the supreme law of the land.
- **Ensuring separation of powers:** The power of judicial review is essential for maintaining the separation of powers among the three branches of government: the legislature, the executive, and the judiciary. Allowing the judiciary to review legislative and executive actions, prevents any one branch from overstepping its authority and encroaching on the functions of another. This separation helps to maintain a system of checks and balances, ensuring that power is not concentrated in any single entity.
- **Promotion of social justice and equality:** Through judicial review, the court has questioned and challenged all those forms of social injustice that perhaps would have otherwise gone uncontested. This was possible while continuing to safeguard the principles of equality and justice. It acted as a law-saving, activist institution for protecting the marginalised and underprivileged sections of society by pronouncing judgments in landmark cases and high-profile matters that include aspects of discrimination and gender equality and environmental protection.
- **Legislative and executive accountability:** This is also one of the ways through which judicial review holds the legislative and executive branches accountable for what they do. Laws or policies challenged in court become an incentive to act within the Constitution and to recognise certain legal principles through and for the part of lawmakers and officials. Accountability leads to responsible governance and deters the discretionary exercise of authority.
- **Fostering public confidence in the legal system:** A strong system of judicial review makes people feel a lot more secure about the legal and political system. If the rights of citizens can be well secured by an independent judiciary, then this enhances people's trust in the rule of law. This confidence is crucial to the stability and legitimacy of democratic governance.
- **Adaptation to changing societal values:** Judicial review enables the courts to adjust the principles of law according to alterations in societal values and norms. With changes in society, the judiciary can interpret laws and the Constitution in ways that keep abreast

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with contemporary issues such as those involving technology, environmental problems, and human rights. This makes the law relevant and responsive to the needs of society.

- **Prevention of abuse of power:** Judicial review prevents the government from indulging in potential abuses of power. It provides for a court as a window to permit individuals and organisations to challenge the arbitrary or unlawful acts of public authorities. Through its decision regarding these provisions, the judiciary may be able to prevent tyranny and protect the people's rights from the overreaching of the government.

EXHIBIT

Role of Judicial Review in Maintaining the Separation of Powers in Modern Governance

Judicial review plays a crucial role in balancing the powers of the legislative and executive branches of government in contemporary governance. By providing a mechanism to check the constitutionality of legislative and executive actions, judicial review ensures that these branches of government do not exceed their authority or violate the rights of individuals. Here is how it works in maintaining this balance:

- **Ensuring Constitutional Supremacy**

  Judicial review helps maintain the supremacy of the Constitution by ensuring that both legislative and executive actions align with its provisions. The judiciary has the power to invalidate laws or executive orders that contradict the Constitution, preventing any action that would undermine the foundational legal framework. For instance, if a law passed by the legislature or an executive order violates fundamental rights, judicial review can render it void. This acts as a safeguard against unconstitutional overreach by the legislative or executive bodies, upholding the Constitution as the supreme law of the land.

- **Preventing Overreach**

  The concept of separation of powers is a fundamental principle in democratic governance. Judicial review allows the judiciary to intervene when one branch of government oversteps its authority, ensuring that each branch functions within its designated domain. For example, If the legislature passes a law that undermines the judiciary's independence or grants excessive power to the executive, the judiciary has the authority to intervene and nullify such legislation. Similarly, if the executive enacts orders or policies that exceed its constitutional boundaries, the judiciary can curtail such actions.

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- **Protecting Fundamental Rights**

  Judicial review serves as a critical check to protect the fundamental rights of individuals against arbitrary or unjust actions by the executive or legislature. For instance, if an executive action infringes upon a citizen's freedom of speech or equality before the law, the judiciary can intervene to restore those rights. This function of judicial review ensures that the state does not have unchecked power to violate citizens' rights, promoting fairness and justice in governance.

- **Acting as a Check on Executive Power**

  The executive branch often wields significant power, particularly in areas such as law enforcement, administration and regulation. Judicial review ensures that executive decisions are made within the boundaries of the law and the Constitution. If the executive branch makes decisions that are arbitrary, discriminatory, or unjust, the judiciary can review those actions and ensure they comply with constitutional principles. This is particularly evident in cases where the executive exercises discretionary powers that may affect individuals or groups, such as in administrative decisions related to public policy or resource allocation.

- **Facilitating Public Participation and Accountability**

  Judicial review enhances governance accountability by providing citizens and organisations with a mechanism to challenge laws, executive actions, and policies they believe are unjust or unconstitutional. Public interest litigation, which has gained prominence in India, allows individuals or groups to challenge state actions in the courts, fostering greater transparency in governance. This process ensures that the legislative and executive branches remain responsive to public needs and act within constitutional limits.

- **Encouraging Legislative and Executive Responsibility**

  Knowing that their actions can be scrutinised and potentially overturned by the judiciary, the legislative and executive branches are encouraged to act more responsibly. Judicial review creates an incentive for lawmakers and government officials to ensure that their decisions are well-founded in law and not in violation of fundamental rights or constitutional provisions. This accountability helps foster responsible governance and deters the arbitrary use of power.

SELF ASSESSMENT QUESTIONS

9. Article _________ of the Indian Constitution declares that any law that is inconsistent with fundamental rights shall be void.
10. Article _________ of the Indian Constitution empowers High Courts to issue writs for the enforcement of fundamental rights and other legal rights, further supporting the concept of judicial review at the state level.

ACTIVITY

Write a reflective essay on how judicial review contributes to the protection of individual rights and the maintenance of democracy in India, citing specific examples from the text.

2.7 FUNDAMENTAL DUTIES — PART IV A — ARTICLE 51 A

There exist fundamental duties of the Indian citizens enumerated under Article 51A of Part IV-A of the Indian Constitution. These duties were introduced through the 42nd Amendment Act of 1976 during the Emergency, based on the recommendations of the Swaran Singh Committee. The idea behind including Fundamental Duties was to focus the attention on citizen's responsibility toward the nation in addition to general fundamental rights already incorporated in the Constitution.

These fundamental duties have been placed there so that a citizen realises that it is not merely an entitlement of rights but is also a responsibility towards society and the country. By giving these duties, rights and duties also co-exist in parallel in any democracy. The responsibilities were largely inspired by the Constitution of the former Soviet Union, and they aimed to instil among citizens a sense of discipline and commitment to national causes.

2.7.1 SOURCE

The fundamental duties in Part IV-A (Article 51A) of the Indian Constitution were inspired by various historical and international sources. The key source for the fundamental duties in India is the Constitution of the former Soviet Union (now Russia). Many socialist countries, including the USSR, emphasised citizens' duties towards the state, promoting the idea that rights must be balanced by corresponding duties. Sources of fundamental duties are as follows:

- **Soviet constitution:** The fundamental duties of the Indian Constitution were covered under the Soviet Constitution. Thus, the ideology of fundamental duties in the Indian Constitution was influenced much by the Soviet Constitution, as it also

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incorporated duties for citizens under socialist principles. It was all the more applicable during the Emergency years of 1975–77 when the Indian government needed to emphasise responsibility along with rights.

- **Swaran Singh Committee recommendations:** The Indian government during the Emergency appointed in 1976 the Swaran Singh Committee to review the Constitution and suggest reforms that would improve governance. The Committee recommended that fundamental duties be incorporated into the Constitution to remind citizens of their responsibilities towards the nation. It is based on the recommendations of the Committee that Article 51A was added to the Constitution itself through the 42nd Constitutional Amendment Act, 1976 listing out 10 fundamental duties. An amendment through the 86th Constitutional Amendment Act, 2002 introduced education later.
- **Gandhian and Indian traditions:** Although the Soviet Constitution had been a very influential factor, the idea of balancing rights with duties had equally been part of Gandhian philosophy. Mahatma Gandhi had many times emphasised duties post-independence by saying that citizens not only demanded rights but also should realise their obligations and duties towards society and the nation. Thus, the notion of duty-based citizenship had roots in Indian traditions as well.
- **International influence:** International declarations like the Universal Declaration of Human Rights (UDHR, 1948) and other international instruments related to human rights also reflect the principle that individual persons have duties towards their community and states. Though these instrumentations are more oriented towards rights, the inspiration of world civic duty shaped India to introduce fundamental duties by balancing rights with obligations.

2.7.2 ELEVEN FUNDAMENTAL DUTIES

The fundamental duties of Indian citizens are listed under Article 51A of the Indian Constitution added through the 42nd Amendment Act, 1976. These duties are non-justiciable, meaning they are not enforceable by law, but they are moral obligations that every citizen should follow.

Here is the list of fundamental duties under Article 51A:

a. To abide by the Constitution and respect its ideals and institutions, the National Flag and the National Anthem

b. To cherish and follow the noble ideals that inspired our national struggle for freedom

c. To uphold and protect the sovereignty, unity and integrity of India

d. To defend the country and render national service when called upon to do so

e. To promote harmony and the spirit of common brotherhood amongst all the people of India transcending religious, linguistic, and regional or sectional diversities; to renounce practices derogatory to the dignity of women

f. To value and preserve the rich heritage of our composite culture

g. To protect and improve the natural environment including forests, lakes, rivers, and wildlife, and to have compassion for living creatures

h. To develop the scientific temper, humanism, and the spirit of inquiry and reform

i. To safeguard public property and to abjure violence

j. To strive towards excellence in all spheres of individual and collective activity so that the nation constantly rises to higher levels of endeavour and achievement

k. Who is a parent or guardian to provide opportunities for education to his child or, as the case may be, ward between the age of six and fourteen years. (added by the 86th Constitutional Amendment Act, 2002)

EXHIBIT

How Fundamental Duties are Applied in Everyday Life

- **Abiding by the Constitution and Respecting National Symbols**

  Citizens who display the National Flag or sing the National Anthem with respect are fulfilling this duty. During public events, schools, and official ceremonies, it is common for people to stand in attention during the anthem, and schools and government offices ensure that the flag is hoisted with dignity.

- **Cherishing the Ideals of the Freedom Struggle**

  The commemoration of Independence Day and Republic Day across India, with a focus on freedom fighters' sacrifices, reminds citizens of their duty to uphold the ideals of equality, justice and freedom. Schools, organisations, and government institutions often conduct programs that highlight these ideals to instill national pride.

- **Protecting Sovereignty, Unity and Integrity**

  In times of national or regional crises, citizens can contribute to national integrity by supporting government initiatives to maintain peace and unity. One modern example includes social media campaigns or public discussions encouraging unity during contentious political events or regional conflicts.

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- **Defending the Country and Rendering National Service**

  This duty is most prominent during national emergencies when citizens volunteer for disaster relief efforts or join the armed forces or National Cadet Corps (NCC) to contribute to the defence and security of the nation. Citizens may also assist during natural calamities, such as floods, offering help through various volunteer organisations.

- **Promoting Harmony and Renouncing Practices Derogatory to Women's Dignity**

  Citizens can contribute by promoting gender equality and inclusive practices. For instance, initiatives like Beti Bachao Beti Padhao and campaigns against dowry and female foeticide reflect the nation's efforts to respect and protect the dignity of women. Individuals who speak out against gender discrimination or ensure equitable access to education for women contribute to this duty.

- **Preserving the Heritage of India's Composite Culture**

  The promotion of cultural festivals like Diwali, Eid, Christmas, and others, which celebrate India's diverse heritage, fosters an appreciation for its composite culture. Moreover, engaging in and supporting initiatives that protect traditional arts, crafts, and languages contribute to the preservation of cultural diversity.

- **Protecting and Improving the Natural Environment**

  Citizens can engage in environmental protection campaigns such as Swachh Bharat Abhiyan (Clean India Mission) and tree plantation drives, where they clean up local areas, participate in afforestation, and protect wildlife. Another example is citizens using eco-friendly products, reducing waste, and advocating for policies that address climate change or pollution control.

- **Developing a Scientific Temper and Spirit of Inquiry**

  Encouraging science education and fostering innovation, such as participating in science exhibitions, promoting STEM (Science, Technology, Engineering, Mathematics) education for children, and advocating for evidence-based decision-making, all embody this fundamental duty. Citizens also play a role by questioning unscientific practices and promoting rational thinking in society.

- **Safeguarding Public Property and Abjuring Violence**

  Acts like vandalism and destruction of public property during protests are a violation of this duty. On the other hand, participating in peaceful protests and contributing to public infrastructure maintenance, such as cleaning public parks or participating in neighbourhood watch programs, fulfil this duty.

- **Striving Towards Excellence in All Spheres**

  In day-to-day life, striving for excellence can be seen in the pursuit of quality education, better work ethics and innovation in professional or academic spheres. For example, students excelling in academics, entrepreneurs creating innovative solutions, and artists producing work of international acclaim all embody this duty.

- **Providing Education to Children Between Six and Fourteen Years**

  This duty applies specifically to parents and guardians. For instance, if parents ensure that their children attend school regularly and receive quality education, they are fulfilling this duty. Additionally, individuals can contribute by promoting education for underprivileged children through NGOs or volunteering for teaching.

SELF ASSESSMENT QUESTIONS

11. The fundamental duties enshrined in Part IV-A (Article 51A) of the Indian Constitution were not inspired by various historical and international sources. (True/False)
12. The fundamental duties of the Indian Constitution were covered under the Soviet Constitution. (True/False)

ACTIVITY

Discuss the importance of fundamental duties in balancing rights and responsibilities in a democracy, encouraging them to share personal insights on how they can fulfil these duties in their daily lives.

2.8 SUMMARY

- Legal rights are the claims protected for people through law, allowing them to either do or refrain from doing something in a given position within a framework of law.
- Constitutional rights are the basic rights that a nation incorporates into its constitution. These rights are generally the strongest legal protection that the state provides to citizens.
- Legal rights are entitlements granted to individuals or groups by law, allowing them to perform specific actions or to demand certain actions from others.
- Fundamental rights are an important part of the Indian Constitution, enshrined in Part III, spanning Articles 12 to 35.

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These rights guarantee civil liberties to all citizens, ensuring they can live with dignity and freedom.

- Article 12 defines the term "State" to include the government and Parliament of India, the government and legislatures of the states, and all local or other authorities within the territory of India or under the control of the Government of India.
- Article 32 is often called the "heart and soul" of the Constitution, as it empowers individuals to approach the Supreme Court directly for the enforcement of fundamental rights.
- Article 226 stands as a pillar of the Indian judicial system, granting High Courts within their respective jurisdictions the power to issue five specific writs and other directions or orders to any person or authority.
- Judicial review is the power of the judiciary to examine the actions of the executive and legislative branches of government and determine whether those actions are consistent with the Constitution.
- There exist fundamental duties of the Indian citizens enumerated under Article 51A of Part IV-A of the Indian Constitution.
- The fundamental duties enshrined in Part IV-A (Article 51A) of the Indian Constitution were inspired by various historical and international sources.

KEY WORDS

- **Fundamental Rights:** Basic rights guaranteed by a constitution to protect individual freedom and equality
- **Legal rights:** Rights or entitlements provided by law to perform certain acts or demand certain acts from other persons
- **Social Justice:** A concept of equality and fairness in society, which accords protection to the underdog group
- **Voidness:** The state of a law or an action that has legally no force or effect whatsoever
- **Writs:** Court process which has orders issued to further enforce a legal right or redress a wrong, especially against any governmental actions

2.9 MULTIPLE CHOICE QUESTIONS

1. Which of the following is not a legal remedy in criminal law?

   a. Imprisonment b. Monetary damages

   c. Restitution d. Specific performance

NOTES

2. In which Article of the Indian Constitution is the term 'State' defined?
   a. Article 12
   b. Article 13
   c. Article 14
   d. Article 16
3. Which of the following writs is issued to challenge the unlawful detention of a person?
   a. Mandamus
   b. Certiorari
   c. Prohibition
   d. Habeas Corpus
4. Which of the following fundamental right guarantees equality before the law in India?
   a. Article 13
   b. Article 14
   c. Article 19
   d. Article 21
5. Which of the following is a positive legal duty?
   a. Paying taxes
   b. Refraining from committing theft
   c. Avoiding breach of contract
   d. Not causing harm to others
6. The primary purpose of the writ of Quo Warranto is________.
   a. To release someone from unlawful detention
   b. To prohibit a lower court from exceeding its jurisdiction
   c. To challenge the authority of a person holding a public office
   d. To compel a public official to perform a duty
7. Which Article guarantees the Right to Freedom of Speech and Expression in India?
   a. Article 19
   b. Article 20
   c. Article 21
   d. Article 22

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8. During which situations can the right to approach the Supreme Court under Article 32 be suspended?
   a. Natural disaster
   b. Martial law
   c. Proclamation of Emergency
   d. Violation of criminal law
9. Which of the following writs is issued by a superior court to prevent an inferior court from exceeding its jurisdiction?
   a. Habeas Corpus
   b. Mandamus
   c. Prohibition
   d. Quo Warranto
10. Which of the following Article is considered the "heart and soul" of the Indian Constitution, empowering citizens to directly approach the Supreme Court for enforcement of fundamental rights?
    a. Article 12
    b. Article 19
    c. Article 32
    d. Article 226

2.10 DESCRIPTIVE QUESTIONS

1. Describe the concepts of legal rights, duties and liabilities
2. Explain fundamental rights as provided under Articles 12 to 35.
3. Describe the importance of fundamental rights in a democracy.
4. Explain the need for constitutional remedies under Articles 32 and 226.
5. Discuss the meaning of judicial review.

2.11 HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

1. The facts are that a citizen is being detained illegally by police without letting them know what charges they are facing or giving them a trial. This person's family wants to go to court to get them released. Which of the writs will the family file to stop their unlawful detention?
   a. Mandamus
   b. Habeas Corpus
   c. Prohibition
   d. Certiorari

NOTES

2. A citizen has frequently made demands on a government authority to carry out its function of providing public services. Now, citizens wish to coerce the authority to act. Which writ shall the citizens file to oblige the governmental authority to carry out its legal duty?
   a. Mandamus
   b. Certiorari
   c. Quo Warranto
   d. Prohibition
3. A lower court has taken up a case out of its jurisdiction and is conducting the trial. The party feeling aggrieved wants to prevent the lower court from proceeding further. Which writ should the aggrieved party move to restrain the lower court from proceeding with the hearing?
   a. Certiorari
   b. Mandamus
   c. Prohibition
   d. Quo Warranto
4. Anna is browsing an online store that requires her to create an account to make a purchase. The website asks for personal information like her name, address, phone number, and date of birth. Anna is concerned about her digital privacy rights and the security of her data. She reads the terms and conditions but finds them vague regarding how her personal data will be handled. Which of the following legal principles best protects Anna's personal information in this scenario?
   a. The right to be forgotten
   b. The Data Protection Principle under GDPR
   c. The Digital Millennium Copyright Act
   d. The Fair Use Doctrine
5. With the increasing use of social media platforms, a user's private data such as location, browsing history, and preferences are being collected by companies for targeted advertising. A user, concerned about the breach of their privacy rights, seeks a legal remedy. Which of the following principles would most likely apply to address this issue in the context of digital privacy?
   a. Habeas Corpus – To ensure the user's liberty is not unlawfully restricted.
   b. Mandamus – To compel the social media company to disclose the data it collects.

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c. Prohibition – To prevent a data collection entity from exceeding its legal boundaries in collecting data.

d. Right to be Forgotten – To request the deletion of personal data from platforms as per the applicable data protection laws.

2.12 ANSWERS AND HINTS

ANSWERS FOR SELF-ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
Concepts - Legal Rights, duties and liabilities	1.	c. Refraining from causing harm to others
	2.	c. Vicarious liability
Fundamental Rights — Article 12 to 35	3.	untouchability
	4.	Supreme Court
Importance of Fundamental Rights	5.	False
	6.	True
Need for Constitutional Remedies — Article 32 And 226	7.	True
	8.	False
Judicial Review	9.	13
	10.	226
Fundamental Duties — Part IV A — Article 51 A	11.	False
	12.	True

ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer
1.	b. Monetary damages
2.	a. Article 12
3.	d. Habeas Corpus
4.	b. Article 14
5.	a. Paying taxes
6.	c. To challenge the authority of a person holding a public office
7.	a. Article 19
8.	c. Proclamation of Emergency
9.	c. Prohibition
10.	c. Article 32

NOTES

HINTS FOR DESCRIPTIVE QUESTIONS

1. Legal rights are entitlements granted to individuals or groups by law, allowing them to perform specific actions or to demand certain actions from others. Legal duties are obligations imposed by law on individuals or organisations. Liabilities refer to the legal responsibilities or obligations a person or entity has for their actions or omissions, particularly when those actions result in harm or damage to another person. Refer to Section **2.2 Concepts — Legal Rights, Duties and Liabilities**
2. Fundamental rights are an important part of the Indian Constitution, enshrined in Part III, spanning Articles 12 to 35. These rights guarantee civil liberties to all citizens, ensuring they can live with dignity and freedom. Refer to Section **2.3 Fundamental Rights — Articles 12 to 35**
3. Fundamental rights are crucial for ensuring the protection of individual liberties and maintaining the rule of law in a democratic society. They provide a foundation for equality, dignity, and freedom for all citizens, serving as a safeguard against arbitrary use of state power. Refer to Section **2.4 Importance of Fundamental Rights**
4. Article 32 of the Indian constitution guarantees the right to constitutional remedies. This means that any Indian citizen can approach the Supreme Court of India for the enforcement of their fundamental rights, which are listed in Part III of the Constitution. Refer to Section **5.5 Need for Constitutional Remedies — Articles 32 and 226**
5. Judicial review is the power of the judiciary to examine the actions of the executive and legislative branches of government and determine whether those actions are consistent with the Constitution. Refer to Section **2.6 Judicial Review**

ANSWERS FOR HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

Q. No.	Answer
1.	b. Habeas Corpus
2.	a. Mandamus
3.	c. Prohibition
4.	b. The Data Protection Principle under GDPR
5.	d. Right to be Forgotten – To request the deletion of personal data from platforms as per the applicable data protection laws.

NOTES

2.13 SUGGESTED READING & REFERENCES

SUGGESTED READINGS

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CASE LAW

NOTES

KESAVANANDA BHARATI V. STATE OF KERALA (1973)

In the landmark case of Kesavananda Bharati v. State of Kerala, the Supreme Court of India addressed the critical need for constitutional remedies under Articles 32 and 226. This case emerged when the petitioner, Kesavananda Bharati, a religious leader, challenged the Kerala government's attempts to impose restrictions on the management of religious institutions through legislation. He argued that these restrictions violated his fundamental rights, specifically his right to manage his own religious affairs under Article 26. The case brought to light the importance of judicial intervention in protecting fundamental rights against legislative interference.

The Supreme Court, in a historic judgment, established the "basic structure doctrine," asserting that while Parliament has the power to amend the Constitution, it cannot alter its fundamental framework. The court emphasised that Article 32 serves as a guardian of fundamental rights, allowing individuals to seek direct remedies from the Supreme Court when their rights are infringed upon. In this case, the court held that the right to manage religious institutions is an integral part of the fundamental right to freedom of religion, highlighting the need for constitutional remedies to protect this right from legislative interference.

Furthermore, the judgment underscored the significance of Article 226, which empowers High Courts to issue directions, orders or writs for the enforcement of fundamental rights and legal rights. The court reiterated that constitutional remedies are not only essential for safeguarding individual rights but also for maintaining the rule of law and democracy. In this context, the case illustrates how Articles 32 and 226 provide a vital mechanism for citizens to challenge arbitrary state action and protect their rights, ensuring that legislative power is exercised within the bounds of constitutional limits.

This case has set a precedent for numerous subsequent judgments where the Supreme Court has intervened to protect fundamental rights against legislative overreach. The basic structure doctrine established by the court has become a foundation of constitutional law in India, reinforcing the idea that certain fundamental principles must remain inviolable, regardless of political changes. The Kesavananda Bharati case thus exemplifies the need for robust constitutional remedies, as they play a crucial role in upholding the fundamental rights guaranteed by the Constitution.

Case Objective

The objective of the case law is to analyse the Kesavananda Bharati v. State of Kerala ruling, emphasising the significance of constitutional remedies under Articles 32 and 226 in protecting fundamental rights against legislative overreach.

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CASE LAW

QUESTIONS

1. What is the basic structure doctrine established in the Kesavananda Bharati case, and how does it relate to the need for constitutional remedies?

   (**Hint:** Focus on the limitations it places on parliamentary power regarding constitutional amendments.)

2. How do Articles 32 and 226 empower citizens to seek judicial remedies for the protection of their rights?

   (**Hint:** Consider the direct access to the Supreme Court and the role of High Courts in enforcing fundamental rights.)

3

C H A P T E R

CONTRACT LAW - I

CONTENTS

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INTRODUCTORY CASELET

FORMATION OF CONTRACTS

Case Objective

This caselet discusses the importance of an agreement for forming a contract and how it is different from an invitation to enter into an agreement.

The presence of an agreement is the first requirement for the formation of a legally binding contract. Mr. Ayush puts up a property for sale at an auction. Mr. Pushkar makes a bid of ₹ 75 lakhs, which was the highest bid. Mr. Ayush did not accept the bid because he doubted Mr. Pushkar's ability to pay the bid amount. This matter was brought to the court where Mr. Pushkar was the plaintiff and Mr. Ayush was the defendant.

Mr. Pushkar claimed that he and Mr. Ayush had entered into a legally binding contract because he had made the highest bid. The court heard both parties and pronounced the following judgement: *Bidders at any auction are entitled to make an offer but that offer may or may not be accepted by, the seller.*

In other words, auctions are an invitation to offer. Therefore, it was held that no agreement was reached because the seller refused the offer made by Mr. Pushkar. The court held that no legally enforceable contract was entered into because there was a lack of agreement. Mr. Ayush won the suit. Hence, an invitation to offer does not give rise to any rights or obligations.

LEARNING OBJECTIVES

After studying this chapter, you will be able to:

- Explain the concept of the law of contract
- Describe the definition of agreement offer and acceptance
- Explain the elements of the contract
- Discuss the void, valid and voidable agreements

3.1 INTRODUCTION

In the previous chapter, you studied the legal and constitutional rights as well as remedies and common legal terms. The chapter also gave an insight into concepts - legal rights, duties and liabilities and fundamental rights — Articles 12 to 35. You also studied the importance of fundamental rights and the need for constitutional remedies — Article 32 And 226. In the end, the chapter discussed the judicial review and fundamental duties — Part IV A — Article 51 A.

The most significant legislation governing the several kinds of contracts that can be used in transactions involving Indian commodities and assets is the Contract Act, 1872. An arrangement that is legally enforceable is referred to as a contract under Section 2(h) of the Contract Act, 1872. An agreement cannot become a contract unless it is enforceable by law. To be enforceable by law, a contract must contain all the essential elements of a valid contract.

The first step in the formation of a contract is 'proposal'. An accepted proposal is a 'promise' and an 'agreement' is a promise or a set of promises. A 'contract' is an agreement enforceable by law. Section 10 of the Contract Act, 1872 defines the key aspects of a contract's enforceability. These factors include the parties' competency, their free assent, the contract's legitimate goal and consideration, the fact that the contract isn't expressly invalid, and any necessary legal formalities like written registration.

The Contract Act, 1872 governs transactions involving commodities and assets in India. For instance, in Shivam Realty v. Mehta, 2023, the court held that a proposal must be specific and accepted without conditions to constitute a valid promise. Similarly, a contract without free consent, as seen in Ramesh Kumar v. State of Rajasthan, 2022, where coercion was alleged, is unenforceable under Section 10.

In this chapter, you will study the concept of the law of contract. Further, you will study the definitions and elements of the contract. In the end, you will study void, valid and voidable agreements.

N O T E S

3.2 LAW OF CONTRACT

The most significant area of mercantile or commercial law is the Law of Contracts. The Indian Contract Act of 1872 governs the law about contracts. Established on 25 April 1872, it came into force on 1st September 1872. The Act is described as an Act "to define and amend certain parts of the law relating to contract" in its preamble.

The Act primarily addresses the broad guidelines and standards pertaining to contracts. There are two components to the Act. Since Section 1-75 covers the fundamentals of contract law, it is applicable to all contracts, regardless of their specifics. Sections 124–238 of the second section address a few specific types of contracts, including agency, bailment, pledge and indemnification and guarantee. The last part extending up to section 266 discusses the relationship between partners and the principles they should follow.

In the normal course of conducting business, the parties engage into countless contracts as a result of the growing complexity of the business environment. The most common way to specify the obligations and rights in a commercial transaction is through a 'contract'. There is one major way in which this area of law differs from other areas of law. It comprises several limiting principles that allow the parties to construct their own rights and responsibilities, rather than prescribing a large number of rights and duties that the law would protect or enforce.

The Indian Contract Act, 1872 codifies the legal principles that govern contracts. The Act identifies the ingredients of a legally enforceable valid contract in addition to dealing with certain special types of contractual relationships like indemnity, guarantee, bailment, pledge, quasi-contracts, contingent contracts, etc. It defines the circumstances in which promises made by the parties to a contract shall be legally binding on them.

3.2.1 DEFINITIONS

The term contract is defined under section 2(h) of the Indian Contract Act, 1872 as "an agreement enforceable by law".

The contract consists of two essential elements:

(i) An agreement

(ii) Its enforceability by law

(i) **Agreement:** The term 'agreement' given in Section 2(e) of the Act is defined as "every promise and every set of promises, forming the consideration for each other".

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Example 1: In a software development deal, a client proposes a project to a developer, who accepts the terms in writing. This mutual assent forms an agreement where the client provides payment (consideration), and the developer delivers the software.

To have an insight into the definition of agreement, we need to understand promise.

Section 2 (b) defines promise as "when the person to whom the proposal is made signifies his assent thereto, the proposal is said to be accepted. Proposal when accepted, becomes a promise".

Example 2: A retailer promises to purchase a bulk order of products from a wholesaler after accepting their quoted price. Once the retailer gives written assent, it becomes a legally binding promise.

The following points emerge from the above definition:

- when the person to whom the proposal is made
- signifies his assent on that proposal which is made to him
- the proposal becomes accepted
- accepted proposal becomes a promise

Thus, we say that an agreement is the result of the proposal made by one party to the other party and that the other party gives his acceptance thereto of course for mutual consideration.

Agreement = Offer/Proposal + Acceptance + Consideration

(ii) **Enforceability by law:** An agreement to become a contract must give rise to a legal obligation which makes it duly enforceable by law.

Thus, from the above definitions it can be concluded that

Contract = Agreement + Enforceability by law

Example 3: A supply chain contract specifies delivery timelines and penalties for delays. If the supplier fails to meet deadlines, the buyer can enforce the agreement through legal action under Section 2(h).

On elaborating the above two concepts, it is obvious that a contract comprises of an agreement which is a promise or a set of reciprocal promises, that a promise is the acceptance of a proposal giving rise to a binding contract. Further, section 2(h) requires an agreement capable of being enforceable by law before it is called a 'contract'. Where parties have made a binding contract, they create rights and obligations between themselves.

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Example 4: A and B agree that A will sell B the automobile for about two lacs. In this case, A is required to provide the automobile to B, and B has the right to accept the car upon payment of about two lacs. Additionally, B is required to pay A approximately two lacs, and A has the right to receive approximately two lacs.

Example 5: A father assures his kid that he would give him a monthly pocket stipend of around Rs. 500. However, he did not keep his promise. Since this is a social contract, the son cannot obtain the same in court. This is not a contract since it was not made with the purpose of establishing a legal relationship.

3.2.2 ELEMENTS OF CONTRACT

The Indian Contract Act, 1872 lays down the fundamental legal principles governing contracts in India. It defines and outlines the enforceability of agreements between parties. A valid contract under the Act must contain certain essential elements, without which the agreement cannot be legally enforceable.

The elements of a contract under the Indian Contract Act, 1872 are shown in Figure 3.1:

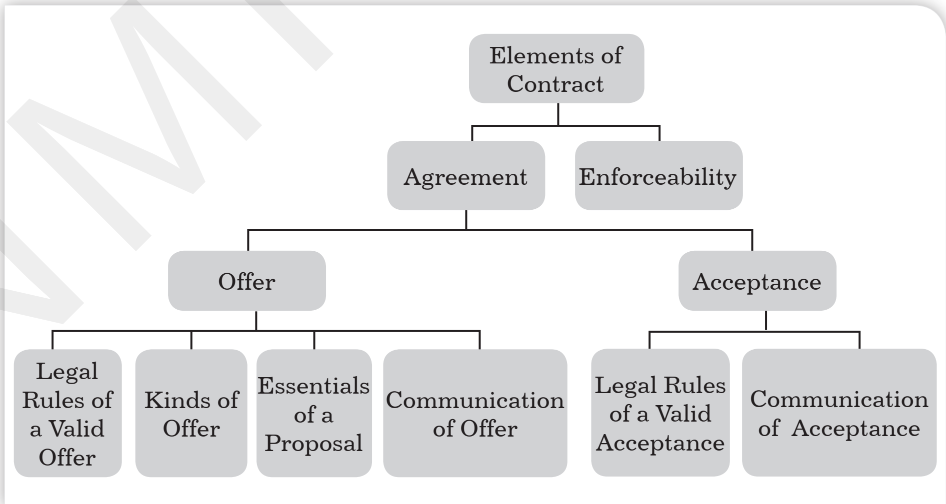

Figure 3.1: Elements of a Contract

Let's understand these in detail:

- **Agreement:** An agreement is essentially when two parties are of the same mind (consensus ad idem) regarding their promises and obligations. It consists of two primary components:
  - Offer (or proposal)
  - Acceptance

Once both parties agree to the terms of the offer, the agreement becomes enforceable, provided it fulfils other elements like a lawful object, consideration, etc.

Example: Ravi offers to sell his car to Joy for ₹ 5,00,000, and Joy agrees to buy it for that price. This mutual consent between Ravi and Joy forms an agreement.

- **Offer:** An offer is a proposal made by one party to another indicating their willingness to enter into a legal relationship. For Example, Sara offers to sell her mobile to Rama for ₹800. Sara is the offeror, and Rama is the offeree.

  The concept map breaks down offers into:

  - ✓ **Legal rules of a valid offer**

    - **Communication:** The offer must be communicated to the person for whom it is intended.
    - **Definiteness:** The terms of the offer must be clear and certain.
    - **Intention:** The offeror must intend to create legal relations. It shouldn't be a casual or vague statement.
    - **Distinction from invitation to treat:** An invitation to treat (e.g., displaying goods in a store) is not an offer but an invitation for offers.

    Example: Amit offers to rent his house to Bipin must be clear, definite and communicated to Bipin before it can be considered valid.

  - ✓ **Kinds of offer**

    - **General offer:** Made to the public at large (e.g., an advertisement), where anyone who performs the conditions can accept it.
    - **Specific offer:** Made to a particular person or group, and only they can accept it.
    - **Cross offer:** When two parties make identical offers to each other in ignorance of each other's offers. In this case, no contract is formed unless one of them accepts.
    - **Counter offer:** If the offeree alters the terms of the offer, it becomes a counter-offer, which negates the original offer.
    - **Standing/Continuous offer:** A continuing offer that remains open for acceptance over a period.

    Example: A general offer is made when a company advertises a reward for anyone who finds a lost pet, whereas a specific offer is made to a particular person or group.

✓ **Essentials of a proposal (offer)**

- The offer must clearly express the willingness to enter into a contract.
- The offer must create an obligation upon the offeror in case of acceptance.
- It must be communicated clearly to the offeree, and all material terms must be laid out.

Example: Mohan proposes to sell his book to Lucky for ₹200. The proposal must include clear terms like the price and the object of sale, along with an intention to create legal obligations.

✓ **Communication of offer**

- The offer must be properly communicated to the offeree to be valid. If the offeree is unaware of the offer, no contract can be formed even if the terms are met.
- The communication is effective when it reaches the offeree.

Example: When Nalini posts a letter offering her services to a company, the offer is only effective once the company receives the letter.

Example: A company posts an online job advertisement specifying terms. The offer becomes valid only when candidates view and understand it. For instance, if an applicant applies without seeing the terms, no valid contract exists.

❑ **Enforceability:** Enforceability means that the agreement satisfies all the legal requirements under the Indian Contract Act, 1872, making it a valid contract. For an agreement to be enforceable, it must have acceptance that complies with certain legal rules.

Example: A contract between Mayank and Joy to sell a stolen car is not enforceable by law, as the object of the contract is illegal.

♦ **Acceptance:** Acceptance is the assent or agreement to the terms of an offer. It transforms the offer into a binding agreement or contract. For example, Lokesh offers to sell his house to Payal, and Payal accepts the offer in writing, agreeing to all the terms.

Acceptance must meet the following criteria:

✓ **Legal rules of a valid acceptance**

- **Absolute and unqualified:** Acceptance must match the terms of the offer. If any changes are made, it becomes a counter-offer, not acceptance.

- **Communication**: Acceptance must be communicated to the offeror. Silence cannot be deemed acceptance unless agreed upon.
- **Mode of acceptance**: If the offer specifies a mode of acceptance, it must be followed. If not, acceptance can be in any reasonable manner.
- **Within time limit:** If the offer specifies a time frame for acceptance, it must be accepted within that period. If no time is specified, it should be accepted within a reasonable time.
- **Acceptance by authorised person:** Only the person to whom the offer is made (or their authorised agent) can accept the offer.

Example: Raj offers his car to Sham for ₹5,000, and Sham sends an email accepting the offer within the time frame specified by Raj. The acceptance must be absolute and unconditional.

Example: A freelancer receives an email from a client offering ₹500 for a project. The freelancer replies via email, accepting the terms and creating a binding agreement as the acceptance meets all legal criteria.

✓ **Communication of acceptance**

- Acceptance must be communicated to the offeror either expressly (by words, orally or in writing) or impliedly (by conduct).
- The postal rule states that in certain cases, acceptance becomes effective as soon as the offeree posts the letter of acceptance, even if the offeror has not yet received it.
- Acceptance must be complete and effective for the contract to be formed. If acceptance is not communicated, there is no contract.

Example: When Joy sends an email accepting Isha's job offer, the acceptance is considered communicated once Isha reads the email.

Example: A customer orders a product on an online store and receives a confirmation email. The acceptance is considered communicated and effective when the confirmation reaches the customer.

NOTES

EXHIBIT

Legal Features of Elements of Contract

Legal rules of a valid offer	A valid offer must be clear, definite, and communicated to the offeree, showing the intent to create legal obligations.
Kinds of offer	Offers can be general (to the public) or specific (to an individual or group). They can also be expressed (explicitly stated) or implied (through conduct).
Essentials of a proposal	A proposal must include a clear intent, definite terms, and communication to the intended recipient to be valid.
Communication of offer	An offer is effective only when it is communicated to the offeree, enabling them to understand and respond.
Legal rules of a valid acceptance	Acceptance must be absolute, unconditional, and communicated in the prescribed manner within the stipulated time.
Communication of acceptance	Acceptance is complete when it is communicated to the offeror. In cases of postal communication, it is complete when posted.

3.2.3 OFFER AND ACCEPTANCE

There must be a 'lawful offer' and 'lawful acceptance' to form a valid contract. If an individual expresses his willingness to enter into a legally binding contract based on certain terms with some other party, it constitutes an offer to contract or a proposal. The person making the offer/proposal is called an offeror/promisor and the one to whom the offer/proposal is made is called an offeree/promisee.

Both the offer/proposal and acceptance must be made out of the free will of the offeror and offeree who intends to enter into a legally binding agreement. If the offeree agrees to all the conditions of an offer without placing any counter-condition(s), the communication of this approval of the offer is called acceptance.

WHAT CONSTITUTES A PROPOSAL/OFFER?

As per Section 2(a) of the Act, *When one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other to such act or abstinence, he is said to make a proposal.*

According to the definition, there are three important elements of an offer:

i. There must be an expression of willingness from one person to another to do or not to do something.

ii. The expression is made by one person to another.

iii. The expression must be made to obtain the consent of the other person.

ESSENTIALS OF A VALID OFFER

A valid offer consists of the following essential elements:

- An offeror must convey his willingness to do or not do something.
- An offer must be made to obtain the acceptance of the other party/offeree.
- An offer must be made to create a binding legal relationship. The formation of legal relationships also means that the breach of such relationships will be followed by legal consequences.
- The terms of the offer must be defined clearly and must not be vague or ambiguous (unclear).
- An offer may be general or specific. A general offer means an offer that is made to the world at large or to the public in general. Any person from the general public can accept the general offer if he/she fulfils the terms of the general offer. A specific offer, on the other hand, is an offer that is made to a specific person or a group of persons. The specific offer must be accepted by the person or group to whom it has been made.

  Example: A offers a reward of ₹ 500 to anyone whosoever finds his lost pet. This is a general offer. On the other hand, if A offers ₹ 500 to B to find his pet, it is a specific offer because only B can accept this offer and no one else.
- An offer may be expressed or implied.
- An offer may be positive or negative. An offer to do something is known as a positive offer. On the contrary, an offer not to do something is known as a negative offer. Both these types of offers are valid.
- An offer may be a definite offer or a standing offer.

  Example: A definite offer means an offer that is made to supply specific goods or services. On the contrary, when an offer is made to supply goods periodically and following the requirements of the offeree, it is called a standing offer or an open offer.
- Every offer must be communicated.
- An offer should not contain any terms, the non-compliance of which may lead to acceptance (deemed acceptance).

NOTES

- All terms and conditions including special terms and conditions should also be communicated.
- Two identical cross-offers do not create a contract.
- An offer is not the same as an answer to a question.
- An offer is not the same as an invitation to an offer.

EXHIBIT

Modern Contract Law in the Digital Age: Examples and Applications

- **Electronic Contracts (E-Contracts)**
  - **Example:** A user agrees to an online subscription service by clicking "I Agree" on the terms and conditions page. This can illustrate the concept of mutual assent in contract formation.
  - **Relevance:** Demonstrates how "clickwrap" or "browsewrap" agreements are binding in digital contexts when proper notice is provided.
- **Email Communications as Offers and Acceptances**
  - **Example:** A supplier emails a client with a quote for services, and the client replies, "I accept your terms." This showcases how emails can constitute valid offers and acceptances in forming contracts.
  - **Relevance:** Highlights how the mailbox rule has evolved with digital correspondence.
- **Electronic Signatures**
  - **Example:** Parties use platforms like DocuSign to electronically sign a lease agreement.
  - **Relevance:** Emphasises the enforceability of e-signatures under laws like the ESIGN Act and the Uniform Electronic Transactions Act (UETA).
- **Smart Contracts**
  - **Example:** Two parties use blockchain technology to create a smart contract that automatically releases payment when specific conditions are met, such as delivery confirmation.
  - **Relevance:** Explains how technology is transforming traditional contract enforcement mechanisms.
- **Digital Goods and Virtual Property**
  - **Example:** A user purchases in-game assets in a video game, agreeing to terms about the usage and ownership of the digital items.

- **Relevance:** Introduces the concept of contracts for virtual goods and digital property rights.

- **Social Media and Informal Agreements**
  - **Example:** A freelancer agrees to a project with a client over direct messages on Instagram or LinkedIn.
  - **Relevance:** Demonstrates the binding nature of informal contracts made through digital platforms when essential elements are present.
- **Terms of Service Agreements**
  - **Example:** A user signs up for a streaming service and agrees to a detailed terms of service document, often without reading it.
  - **Relevance:** Discusses adhesion contracts and the limits of enforceability in the digital age.
- **Subscription Models and Automatic Renewals**
  - **Example:** A user subscribes to a cloud storage service, which renews automatically unless cancelled within a specified time frame.
  - **Relevance:** Highlights the importance of clarity and notice in ongoing contractual obligations.
- **Online Marketplace Transactions**
  - **Example:** A buyer purchases an item on an e-commerce site, agreeing to the platform's return policy and dispute resolution terms.
  - **Relevance:** Explores how implied terms and platform-specific agreements function in consumer contracts.
- **Data Privacy Agreements**
  - **Example:** A user consents to the collection and use of their personal data when signing up for an app.
  - **Relevance:** Ties contract law to privacy concerns and user agreements in the digital age.

ACCEPTANCE

A contract comes into existence when a valid offer is legally accepted. There are two modes of acceptance:

- **Express acceptance:** It is an acceptance made orally or in writing, such as by telephone, e-mail or by sending a letter.
- **Implied acceptance**: When acceptance is interpreted from the conduct of parties or circumstances of the case, it is considered implied. However, acceptance cannot be implied from silence.

NOTES

ESSENTIALS OF A VALID ACCEPTANCE

The essentials of a valid acceptance are as follows:

- Acceptance may be express or implied.

  Example: A makes an offer to B to sell his old LED television for ₹ 40,000 over the telephone and gets his acceptance by telephone. Here, an acceptance of B is expressed. On the other hand, eating food in a restaurant, withdrawing cash from an ATM, etc., are examples of implied acceptance.
- Acceptance may be specific or general.
- Acceptance must be absolute and unqualified. It means that the offeree must accept the offer with the same terms and conditions as offered without even the slightest change in them. If the offeree suggests that he/she can accept the offer with certain changes, it is a case of a counteroffer and not an offer.
- Acceptance must be conveyed only to the offeror or to any authorised persons.
- Acceptance must be conveyed only from the offeree.
- Communication of acceptance is extremely important because uncommunicated acceptance or only mental acceptance is not sufficient to form a contract.
- Silence of the offeree cannot be regarded as acceptance of the contract.
- If the offer contains any specific mode for acceptance of the offer, the acceptance must be made in the prescribed mode only. If acceptance is communicated using any other mode, the offeror may refuse to be bound by such acceptance. However, in cases where the mode of acceptance is not prescribed, the acceptance can be communicated in any reasonable mode which depends on a particular case.
- If the offer contains any specific timeline for acceptance of the offer, the acceptance must be made within the prescribed timeline only. If acceptance is communicated outside the timeline, it shall not be binding on the offeror. However, in cases where a timeline for acceptance is not prescribed, the acceptance can be communicated within a reasonable time, which depends on the particular case.
- Acceptance succeeds offer.
- Acceptance must be given by the person to whom the offer has been made.
- It must be communicated to the offeror.

NOTES

COMMUNICATION OF OFFER AND ACCEPTANCE

According to Section 4 of the Contract Act, 1872, *communication of an offer is complete when it comes to the knowledge of the person to whom the offer is made*. The person to whom the offer has been sent is deemed to have come to the knowledge of the offeree on the date and time when such an offer is received by him. The mode of communicating the offer may vary, such as by letter, e-mail or telephone.

Example: A wants to sell his building to B. A posts a letter containing the offer on 25th July that reaches B on 30th July. In such a case, the communication of the offer is completed on 30th July on receipt of the letter by the intended party.

The communication of a proposal is complete when it comes to the knowledge of the person to whom it is made.

Example: Continuing the above example, assume that B posts his letter of acceptance from Mumbai on 1st August, which reaches A in Delhi on 4th August. The communication of acceptance is complete on 1st August as against the offeror irrespective of whether or not the letter of acceptance has reached the offeror. However, the communication of acceptance is complete as against B on 4th August, enabling him to revoke his acceptance if he wishes to before 4th August.

CASE INSTANCE

In the landmark case of **Bhagwandas Goverdhandas Kedia v. M/S. Girdharilal Parshottamdas & Co. (1965)**, the Supreme Court of India clarified that in contracts formed through instantaneous communication methods like telephone, the contract is concluded at the place where the acceptance is received by the offeror.

This principle was further reinforced in **Baroda Oil Cakes Traders v. Parshottam Narayandas Bagulia (1954)**, where the Bombay High Court emphasised that the communication of acceptance is complete as against the proposer when it is put in a course of transmission so as to be beyond the acceptor's control.

Felthouse v. Bindley (1862) is a foundational English contract law case that illustrates the principle that silence does not constitute acceptance in forming a contract. In this case, Felthouse, an uncle, offered to buy a horse from his nephew and stated in a letter, "If I hear no more about him, I consider the horse mine at £30 15s." The nephew did not respond but instructed an auctioneer, Bindley, to withdraw the horse from an upcoming auction. However, Bindley mistakenly sold the horse. Felthouse sued Bindley for conversion, arguing that he owned the horse. The court held that there was no binding contract because the nephew had not communicated

N O T E S

acceptance of Felthouse's offer. This case established that acceptance must be clearly communicated, and mere silence cannot be treated as agreement.

Under the law of contract, the contract is considered to have been made on 1st August in Mumbai in the above example. In the case of any dispute between parties relating to the contract, the suit will be filed in Mumbai where the contract has been legally concluded.

The communication of a revocation of an offer is complete as against the offeror when the message containing the details of revocation is sent to the intended person and when the message sent is put in the course of transmission and is out of the power of the offeror to recall.

EXHIBIT

Common Faults in Communication

- **Silence as acceptance:** Silence cannot generally be considered acceptance unless there is a prior agreement or established practice.
- **Ambiguous terms:** Vague communication can lead to misunderstandings and disputes.
- **Delays in communication:** Late acceptance or revocation may create confusion about the contract's validity.
- **Improper mode:** Failure to use the prescribed or agreed mode of communication may invalidate acceptance.

3.2.4 VOID, VALID AND VOIDABLE AGREEMENTS

Based on enforceability or validity, agreements can be classified as being valid, void or voidable. When a contract is in dispute, the terms 'voidable' and 'void' may seem similar but these have different meanings. These terms as defined in the Contract Act, 1872 are explained as follows:

- **Valid agreement:** When an agreement has all the five essential elements (there must be two or more parties, one of the parties must make an offer to the other party, the offer must be accepted by the other party, both the offer and the acceptance must coincide about the same subject matter and context which is called 'agreeing in the same sense' or consensus-ad-idem, there must be the intention to enter into a legal relationship) it is termed as a valid agreement.
- **Void agreement:** According to Section 2(g) of the Contract Act, 1872, an agreement that is not enforceable by law is called void.

The Contract Act defines certain types of agreements as void. These are as follows:

- Agreements made by incompetent parties (Section 11)
- Agreements where the consideration and/or the objectives are unlawful either in whole or in part (Section 24)
- Agreements without consideration (Section 25)
- Agreements that have expressly been declared void (Sections 26-30, 36 and 56):
    - ✓ Agreements in restraint of marriage (Section 26)
    - ✓ Agreements in restraint of trade (Section 27)
    - ✓ Agreements in restraint of legal proceedings (Section 28)
    - ✓ Uncertain agreements (Section 29)
    - ✓ Wagering agreements (Section 30)
    - ✓ Agreements that are contingent on the happening of a specified event within a fixed time (contingent contracts) (Section 36)
    - ✓ Agreement to do impossible acts (doctrine of frustration) (Section 56)

- **Voidable agreement:** According to Section 2(i) of the Contract Act, 1872, *an agreement which is enforceable by law at the option of one or more of the parties thereto, but not at the option of the other or others, is a voidable contract.* Following are the provisions of voidable agreements:
    - **Coercion (Section 15):** Coercion refers to forcing someone to enter a contract through the threat of harm or illegal action. This is defined as committing or threatening to commit any act forbidden by the Indian Penal Code or unlawfully detaining or threatening to detain property.

      Example: If Aman threatens to harm Bhushan's family unless Bhushan sells a piece of property, Bhushan's consent is obtained through coercion. This makes the contract voidable at Bhushan's discretion.
    - **Undue influence (Section 16):** Undue influence occurs when one party has a dominating position over another and abuses it to gain unfair advantage. This often happens in relationships where there is a power imbalance, such as between employer and employee or doctor and patient.

      Example: If a doctor convinces a patient to transfer their property to them in exchange for promised medical care, the patient's consent may be influenced by undue influence. The contract, therefore, becomes voidable at the patient's discretion.

NOTES

- **Fraud (Section 17):** Fraud includes any intentional deceit or concealment of material facts by one party to induce another into a contract. Fraud can take various forms, such as providing false information, actively concealing facts or making promises with no intention of fulfilling them.

  Example: If Aman sells a car to Bhushan but conceals that the car's engine is defective, Aman is engaging in fraud. Bhushan can void the contract upon discovering the defect, as Bhushan's consent was obtained by fraudulent misrepresentation.

- **Misrepresentation (Section 18):** Misrepresentation refers to false statements made innocently, without intent to deceive, which induce the other party to enter into a contract. Although not intentional, misrepresentation still affects the validity of consent.

  Example: If Aman sells Bhushan a painting, honestly believing it to be an original work of art when it is actually a replica, Aman has made a misrepresentation. Bhushan may void the contract upon discovering the truth, as Bhushan entered into the contract based on Aman's inaccurate assertion.

- **Voidability of agreements without free consent (Section 19):** Section 19 specifies that when consent to an agreement is obtained by coercion, undue influence, fraud or misrepresentation, the contract is voidable at the option of the party whose consent was improperly obtained.

  Example: If Bhushan is pressured into signing a property sale contract under threat from Aman, Bhushan's consent is not free. Bhushan can choose to enforce or void the contract due to lack of free consent as per Section 19.

- **Right to rescind and duty to return benefits (Section 64):** If a party rescinds a voidable contract, Section 64 of the Act mandates that any benefit received from the contract must be returned to the other party.

  Example: In the event of fraud, if Bhushan cancels the contract with Aman after discovering the deception, Bhushan must return any partial payment or benefit received, ensuring fairness in undoing the contract.

VOID AGREEMENTS WITH UNLAWFUL/ILLEGAL CONSIDERATION OR OBJECT

Unlawful agreements are those in which the consideration and/or object is/are unlawful. Object or consideration is considered unlawful under Section 23 if it is:

- Illegal
- Forbidden by law (bigamy among Hindus)

- Defeating the provisions of any law like furnishing bail after taking a deposit from the defendant
- Fraudulent
- Involving/implying injury to the person or property of another
- Immoral

It is relevant to discuss the meaning of public policy and the agreements that are opposed to public policy. There is no precise definition of 'public policy' as its meaning keeps on changing with the exigencies of time. However, over some time, various matters have been held to fall within the ambit of public policy, such as:

- Trading with the enemy
- Stifling of prosecution, i.e., absolving offenders of criminal liability or withdrawing a criminal case after receiving compensation
- Maintenance (filing frivolous litigation) and champerty (rendering assistance in pursuing legal remedy and sharing its benefits)
- Interference with the course of justice
- Trafficking in public offices
- Marriage brokerage agreements
- Agreements restricting personal liberty
- Agreements in restraint of parental rights
- Agreements interfering with marital rights
- Agreements creating interest opposed to duty
- Agreements for varying the period of limitation

EXPRESSLY DECLARED VOID AGREEMENTS

Sections 26-30, 36 and 56 of the Contract Act, 1872 describe various types of agreements that have been expressly declared as void. These are as follows:

- **Agreements in restraint of marriage (Section 26):** Any agreement that is made in restraint of marriage of any individual or forcing/ inducing an individual to enter into marriage.
- **Agreements in restraint of trade (Section 27):** As per Article 19 (1)(g), every person in India has a right to engage in any lawful trade, business, occupation, profession or employment of any kind. However, there are certain exceptions to such agreements restraining trade which means that apart from these exceptions, all other agreements in restraint of trade are void. The exceptions are as follows:
    - Sale of goodwill

NOTES

- ♦ Non-compete agreements under the Partnership Act, 1930:
  - ✓ with newly admitted or retiring partner(s)
  - ✓ between existing partners upon or in anticipation of dissolution
  - ✓ with the buyer of a firm's goodwill
- ♦ Other exceptions to Section 27 subject to reasonable restrictions include:
  - ✓ Service contracts prohibiting double employment
  - ✓ Employee bonds where an employee has to deposit security upfront or submit a bond to serve the company for a specified period in consideration of training; or bond with a guarantee from a third party
  - ✓ Agreements relating to non-disclosure, no poaching, non-solicitation, confidentiality, etc.

❑ **Agreements in restraint of legal proceedings (Section 28):** Agreements in which parties agree not to resort to courts for a legal remedy in the case of a dispute are called agreements in restraint of legal proceedings. All such agreements are void. There is an exception to this section. When two parties to an agreement mutually agree that in the case of any disputes that arise between them concerning the agreement, such dispute will be referred to arbitration rather than courts. Such an agreement is valid.

❑ **Uncertain agreements (Section 29):** Agreements with an uncertain meaning or agreements, the meaning of which cannot be made certain, are void.

CASE INSTANCE

The case of "**Shivam Realty v. Mehta, 2023**" highlights the importance of clear, specific and unconditional proposals in contract formation. The court emphasised that for a valid contract to exist, there must be a clear offer and acceptance, with both parties understanding the terms and conditions of the agreement. In this particular case, the court found that the proposal was not sufficiently specific, leading to ambiguity and ultimately preventing the formation of a binding contract.

This case serves as a reminder that vague or conditional proposals can lead to disputes and uncertainty. To ensure a valid contract, it is crucial to clearly define all terms and conditions, including the subject matter, price, payment terms and any other relevant details. This will help prevent misunderstandings and ensure that both parties are on the same page regarding their obligations and expectations.

❑ **Wagering agreements (Section 30):** In general, a wager is 'an agreement by a party to pay money or money's worth to another on the happening of some uncertain event in consideration of other person's promise to pay on the non-happening of the event'. The Contract Act, 1872 does not define a wagering agreement but states that agreements by the way of wager are void.

The following are the essential ingredients of a wager:

- There must be two persons.
- It must consist of a promise to pay money or money's worth.
- The payment must be conditional on the happening or non-happening of an event.
- The event must be uncertain.
- Parties must have an equal chance of winning or losing.
- Neither party has any control over the event, nor any other interest except winning.

EXHIBIT

Instances of Immoral or Prohibited Contracts in India

- **Dowry agreements:** Contracts involving dowry payments, directly or indirectly, are considered immoral and unlawful under the Dowry Prohibition Act, 1961, as they favour gender inequality and exploitation.
- **Surrogacy contracts for commercial gain:** Commercial surrogacy agreements, especially those exploiting vulnerable women for financial profit, are prohibited under the Surrogacy (Regulation) Act, 2021, which only permits altruistic surrogacy.
- **Prostitution contracts:** Agreements for sexual services in exchange for money are considered immoral under Indian law, even though prostitution itself is not explicitly illegal; brothels and pimping are criminalised under the Immoral Traffic (Prevention) Act, 1956.
- **Contracts for black magic or superstition-based services:** Agreements promoting superstitious practices such as witchcraft or black magic are unlawful in many Indian states under laws like the Maharashtra Prevention and Eradication of Human Sacrifice and Other Inhuman, Evil and Aghori Practices Act, 2013.
- **Child marriage agreements:** Any contract that facilitates or endorses child marriages is void and prohibited under the Prohibition of Child Marriage Act, 2006, as it undermines the well-being and rights of children.
- **Bonded labour agreements:** Contracts requiring individuals to work in perpetuity to repay debts are prohibited under the Bonded Labour System (Abolition) Act, 1976, as they violate personal liberty and dignity.

NOTES

EFFECT OF VOID, VALID AND VOIDABLE AGREEMENTS

A valid agreement has potential legal effects, whereas a void agreement has no legal effects. A voidable agreement can have two types of effects, either it can be rescinded or be adopted. If a voidable agreement is avoided by the party at whose option the agreement becomes void, then the other party need not perform the agreement. Also, if the party that rescinds the contract has received any benefit from the other party, it must restore the same. A valid contract is recognised under the law while a void agreement has no recognition under the law. The recognition of a voidable agreement is dependent on whether the affected party adopts or rescinds the agreement.

SELF ASSESSMENT QUESTIONS

1. The person making an offer/proposal is called offeror/ promisor and the one to which the offer/proposal is made is called __________.
2. A standing offer means an offer that is made to supply specific goods or services. (True/False)
3. The person to whom the offer has been sent is deemed to have come to the knowledge of the offeree on the date and time when such offer is received by him. (True/False)
4. The communication of acceptance is complete as against the offeror when the acceptance is put in a __________.
5. Which of the following agreements have not been expressly declared as void?
   a. Agreements in restraint of marriage
   b. Agreements in restraint of trade
   c. Agreements whose meaning is certain
   d. Agreements in restraint of legal proceedings
6. Object or consideration is considered unlawful if it is illegal. (True/False)

ACTIVITY

Find some case examples for void and voidable agreements.

3.3 SUMMARY

- The most significant legislation governing different forms of contracts to be used for transactions impacting Indian goods and properties is the Contract Act, 1872. A legally enforceable arrangement is referred to as a contract under Section 2(h) of the Contract Act, 1872.

NOTES

- The Law of Contract constitutes the most important branch of mercantile or commercial law.
- The Contract Act, 1872 is the most important law that governs various types of contracts to be applied for transactions affecting Indian goods and properties.
- The first step in the formation of a contract is ‘proposal’. An accepted proposal is a ‘promise’ and an ‘agreement’ is a promise or a set of promises.
- A ‘contract’ is an agreement enforceable by law. Essential elements of enforceability of a contract are defined in Section 10 of the Contract Act, 1872 and include competency of parties, free consent of parties, lawful object, lawful consideration, not expressly declared to be void and legal formalities like written registration, etc.
- The term ‘agreement’ given in Section 2(e) of the Act is defined as “every promise and every set of promises, forming the consideration for each other”.
- There must be a ‘lawful offer’ and ‘lawful acceptance’ for the formation of a valid contract. If an individual expresses his willingness to enter into a legally binding contract based on certain terms with some other party, it constitutes an offer to contract or a proposal.
- An agreement is essentially when two parties agree (consensus ad idem) regarding their promises and obligations.
- A valid agreement has potential legal effects, whereas a void agreement has no legal effects. A voidable agreement can have two types of effects, either it can be rescinded or be adopted.

KEY WORDS

- **Acceptance:** A final and unconditional assent to the terms of an offer, resulting in an agreement
- **Agreement**: Every promise or a set of promises that forms a consideration for each other
- **Contract:** A legally enforceable agreement between two or more parties, consisting of an offer, acceptance and consideration
- **General offer:** An offer made to the public at large, which anyone can accept by fulfilling the conditions
- **Offer:** A proposal made by one party to another, indicating a willingness to enter into a contract on specified terms
- **Valid offer:** A clear, definite proposal that creates a legal obligation upon acceptance

NOTES

- **Void agreement:** An agreement that is not enforceable by law and has no legal effect
- **Voidable agreement:** An agreement that is valid but can be cancelled or voided by one party due to certain legal grounds

3.4 MULTIPLE CHOICE QUESTIONS

1. What are the two essential elements of a contract under the Indian Contract Act, 1872?
   a. Offer and acceptance
   b. Consideration and legality
   c. Consent and capacity
   d. Agreement and enforceability by law
2. An agreement that is not enforceable by law is known as:
   a. Voidable contract
   b. Valid contract
   c. Void contract
   d. Illegal contract
3. A contract where one party can enforce it but not the other is:
   a. Void contract
   b. Valid contract
   c. Voidable contract
   d. Illegal contract
4. Which of the following is not an essential element of a valid offer?
   a. Acceptance
   b. Communication
   c. Definiteness
   d. Intention to create legal relations
5. A contract formed by the conduct of parties is known as:
   a. Express contract
   b. Implied contract
   c. Quasi contract
   d. Voidable contract
6. The postal rule of acceptance applies to:
   a. Acceptance by conduct
   b. Acceptance by email

c. Acceptance by letter

d. All of the above

7. An agreement where one party is under the undue influence of the other is:

   a. Void

   b. Voidable

   c. Valid

   d. Illegal

8. Which of the following agreements is void under the Indian Contract Act, 1872?

   a. Agreement in restraint of marriage

   b. Agreement in restraint of trade

   c. Agreement in restraint of legal proceedings

   d. All of the above

9. The doctrine of frustration applies to:

   a. Agreements that become impossible to perform

   b. Agreements that become illegal

   c. Agreements that become voidable

   d. All of the above

10. The term 'consensus ad idem' refers to:

   a. Meeting of mi nds   b. Free consent

   c. Consideration   d. Legality

3.5 DESCRIPTIVE QUESTIONS

1. Explain the meaning of offer and acceptance.
2. How are offer and acceptance communicated?
3. What are void, valid and voidable agreements?
4. Describe the elements of a contract.
5. Discuss the essentials of a valid acceptance.

3.6 HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

1. Goldi offers to sell his bike to Harsh for ₹5,000. Harsh replies, "I will think about it and let you know tomorrow." The next day, Goldi sells the bike to someone else. If Harsh later tries to hold Goldi to the original offer, what is the likely outcome?

   a. Goldi is bound to sell the bike to Harsh.

   b. Goldi is not bound to sell the bike to Harsh.

N O T E S

c. Harsh can sue Goldi for breach of contract.

d. Goldi can demand a higher price from Harsh.

2. Ridhima agrees to work for a firm for one year in exchange for a salary of ₹30,000 per month. After three months, Ridhima decides to quit and refuses to return the firm's property. The firm can take legal action against her based on which type of agreement?

   a. Valid agreement

   b. Void agreement

   c. Voidable agreement

   d. Unilateral agreement

3. Raj offers to sell his house to Kiara for ₹5,00,000, stating that the offer is valid until the end of the week. On Wednesday, Raj sends a message to Kiara to withdraw the offer. When is the communication of the revocation of the offer complete?

   a. When Kiara receives the message.

   b. When Raj sends the message.

   c. When Kiara acknowledges the message.

   d. At the end of the week.

3.7 ANSWERS AND HINTS

ANSWERS FOR SELF-ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
Law of Contract	1.	offeree/promisee
	2.	False
	3.	True
	4.	course of transmission
	5.	c. Agreements whose meaning is certain
	6.	True

ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer
1.	d. Agreement and enforceability by law
2.	c. Void contract
3.	c. Voidable contract

NOTES

Q. No.	Answer
4.	a. Acceptance
5.	b. Implied contract
6.	c. Acceptance by letter
7.	b. Voidable
8.	d. All of the above
9.	a. Agreements that become impossible to perform
10.	a. Meeting of minds

ANSWERS FOR DESCRIPTIVE QUESTIONS

1. If an individual expresses his willingness to enter into a legally binding contract based on certain terms with some other party, it constitutes an offer to contract or a proposal. Refer to Section **3.2 Law of Contract**
2. According to **Section 4** of the Contract Act, 1872, *communication of offer is complete when it comes to the knowledge of the person to whom the offer is made*. The communication of acceptance is complete as against the offer or when the acceptance is put in a course of transmission so that it is out of the power of the acceptor/ offeree. Refer to Section **3.2 Law of Contract**
3. Based on enforceability or validity, agreements can be classified as being valid, void or voidable. Refer to Section **3.2 Law of Contract**
4. The Indian Contract Act, 1872 lays down the fundamental legal principles governing contracts in India. It defines and outlines the enforceability of agreements between parties. A valid contract under the Act must contain certain essential elements, without which the agreement cannot be legally enforceable. Refer to Section **3.2 Law of Contract**
5. The essentials of a valid acceptance are acceptance may be express or implied and acceptance may be specific or general. Refer to Section **3.2 Law of Contract**

ANSWERS FOR HIGHER THINKING ORDER SKILLS (HOTS) QUESTIONS

Q. No.	Answer
1.	b. Goldi is not bound to sell the bike to Harsh.
2.	a. Valid agreement
3.	a. When Kiara receives the message.

NOTES

3.8 SUGGESTED READINGS & REFERENCES

SUGGESTED READINGS

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CASE LAW

NOTES

NATIONAL INSURANCE COMPANY LTD., VS. SEEMA MALHOTRA (2001 SUPREME COURT)

FACTS

On 21st December 1993, the insured, Yash Paul Malhotra signed an insurance contract with National Insurance Company. He had insured a Maruti car for a sum of ₹ 1,50,000 and gave a premium cheque to the insurance company. In return, the insurance company issued a cover note by Section 149 of the Motor Vehicles Act, 1988. Unfortunately, the insured met with an accident in which he died and the vehicle was damaged. Subsequently, the bank on which the cheque was drawn by the insured intimated the insurance company about the dishonour of the premium cheque due to insufficiency of funds in the account of the deceased. At this, the insurance company informed the insured party and also intimated to them the cancellation of the insurance policy with immediate effect.

The widow of the insured filed a claim for the loss of the vehicle, which the insurance company repudiated. At this, the respondents moved to the State Consumer Protection Commission. The State Commission rejected the claim for the absence of consideration (premium). The decision of the Commission was challenged in the Jammu & Kashmir High Court. The Division Bench of J&K High Court ruled that the insurance company is liable on the grounds that it chose the policy cancellation from the date of bouncing of the cheque though it has been liable from the date of the accident.

ISSUE

Whether the insurer is liable to honour the contract of insurance in the event of dishonour of the premium cheque.

JUDGEMENT

The Supreme Court held that the insurer can cancel the policy notwithstanding the issue of the cover note if the premium cheque given to it gets dishonoured due to the cardinal rule of 'no consideration, no contract'. According to Section 64VB of the Insurance Act, 1938, in case of the absence of any consideration, there can be no contract. Therefore, the insurer repudiated the contract after the bouncing of the premium cheque.

Only the premium received by insurance companies may provide them profits assuming that no accident or damage occurs. To obligate an insurance company to pay for the damages without receiving any premium runs contrary to the principles of equity.

Case Objective

This case law discusses the facts and judgment of the case, National Insurance Company Ltd. vs. Seema Malhotra on the issue of Consideration in a contract.

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CASE LAW

When an insurer provides insurance to indemnify the insured against the damage, loss or liability arising from an uncertain contingent to the insured, it is known as an insurance contract.

As per Section 64 VB of the Insurance Act, 1938, no risk is to be assumed unless the premium is received in advance-

(1) *No insurer shall assume any risk in India in respect of any insurance business on which premium is not ordinarily payable outside India unless and until the premium payable is received by him or is guaranteed to be paid by such person in such manner and within such time as may be prescribed or unless and until a deposit of such amount as may be prescribed, is made in advance in the prescribed manner.*

(2) *For the purposes of this section, in the case of risks for which premium can be ascertained in advance; the risk may be assumed not earlier than the date on which the premium has been paid in cash or by cheque to the insurer.*

Under Section 64 VB (1), the insurer is not liable until he receives the amount of the premium. However, Section 64VB (2) makes the receipt of the premium a pre-condition for honouring the obligation to indemnify by the insurer.

The crucial question is about the legal position under the law of contracts when the premium is paid using a cheque, which gets bounced. In this context, there are three relevant provisions under the Indian Contract Act, 1872, namely: Sections 51, 52 and 54. These provisions have been included under the 'Performance of Reciprocal Promises' title. Section 51 is concerned with a contract that deals with reciprocal promises to be simultaneously performed.

In this kind of agreement, the promisor must be prepared to carry out his end of the bargain voluntarily before the promisee is liberated from fulfilling his end. Reciprocal commitments that are required to be fulfilled but are not specifically stated in the contract are covered under Section 52. These obligations must be fulfilled in the order that the transaction's nature dictates.

Section 54 of the Insurance Act, 1938 provides that *when a contract consists of reciprocal promises, such that one of them cannot be performed, or that its performance cannot be claimed till the other has been performed, and the promisor of the promise last mentioned fails to perform it, such promisor cannot claim the performance of the reciprocal promise, and must make compensation to the other party to the contract for any loss which such other party may sustain by the non-performance of the contract.*

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A contract of insurance is a reciprocal promise in which the payment of premium must be actually paid before the insurer could be held liable to indemnify the insured. When an insured breaks his promise to pay promised premium amount, or if the premium cheque is dishonoured or returned, then, under Section 25 of the Contract Act, 1872 the insurance agreement is considered as void.

An agreement established without consideration is null and void under Section 25 of the Contract Act of 1872. A contract is deemed null and void, according to Section 65 of the Contract Act of 1872, if any party who has benefited from it returns it to the original source. As a result, an insurer is entitled to his money back if he has paid out the insured amount before the cheque has been returned to the insured or dishonoured; however, the situation would be completely different if the insured person pays the premium after the cheque has been returned but before the accident. The payment of consideration in cash can then be treated as a payment in the order in which the nature of the transaction requires it. However, in this case, no such event has happened. Therefore, the insurer can legally refuse to pay the amount claimed by the respondents.

Based on the above arguments, the Supreme Court upheld the contention of the appellant insurance company and set aside the impugned judgment of the Division Bench of the J & K High Court.

CONCLUSION

In this case, the insurance contract reflects fundamental contract law principles, particularly 'no consideration, no contract' under Section 25 of the Indian Contract Act, 1872. The insurer's responsibility to provide coverage depends on receiving the premium as consideration, as outlined in Section 64VB of the Insurance Act, 1938. Dishonour of the premium cheque voided the reciprocal promise, demonstrating that mutual obligations must be fulfilled for a valid contract.

NOTE

PRINCIPLES OF INSURANCE TIED TO CONTRACT LAW

- **Uberrima Fides (Utmost Good Faith)**

  The principle of utmost good faith is essential in insurance contracts, requiring both parties to disclose all material

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facts honestly. Non-disclosure or misrepresentation can lead to the insurer denying a claim or voiding the policy.:

- **Case law example:** *Reliance Life Insurance Co. Ltd. v. Rekhaben Nareshbhai Rathod (2019)*

  The Supreme Court emphasised that insurance contracts are based on utmost good faith. The insured must disclose all material facts, and failure to do so—even unintentionally—can void the policy.

- **Application to scenario:** If the insured fails to disclose a pre-existing condition or a significant risk associated with the insured asset, the insurer may lawfully deny coverage.

Indemnity

The principle of indemnity ensures that the insured is compensated only to the extent of their loss, preventing unjust enrichment. This principle ties closely to contract law principles of reciprocal promises and consideration.

- **Case law example:** *United India Insurance Co. Ltd. v. Kantika Colour Lab (2010)*

  The court held that indemnity in an insurance contract obligates the insurer to compensate for actual loss, but only when the premium has been paid, reaffirming the "no consideration, no contract" principle.

Current Scenarios Related to Non-Disclosure and Delayed Premium Payments:

- **Non-disclosure of material facts:** A policyholder obtains health insurance without disclosing a known heart condition. When a claim is made for a related surgery, the insurer rejects the claim, citing breach of utmost good faith.

- **Delayed premium payments:** A policyholder misses the premium payment deadline but suffers a loss during the grace period. Insurers often deny claims during this period unless explicitly covered in the terms.

- **Case Law Reference:** *LIC of India v. Smt. Asha Goel (2001)*

  The court held that strict compliance with the terms of payment is essential, but where ambiguity exists in policy terms, the benefit of doubt may be extended to the insured.

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- **Relevance to Digital-Age Contracts**

  Digital insurance platforms often require the insured to agree to terms electronically, making clear communication of obligations (e.g., premium deadlines and required disclosures) critical. Cases involving online policies highlight how non-disclosure or delayed payments are managed differently when compared to traditional contracts.

QUESTIONS

1. Explain the provisions of 64 VB (1) and 64 VB (2) of the Insurance Act.

   (**Hint:** Section 64 VB (1) says that the insurer is not liable until he receives the amount of the premium. Section 64VB (2) says that the receipt of the premium is a precondition for honouring the obligation to indemnify by the insurer.)

2. Do you think that the insurer is liable to honour the contract of insurance in this case? Give reasons.

   (**Hint:** The principle of equity is disturbed as the premium amount was not received by the insurer. Also, read Section 64 VB (1) and 64 VB (2).)

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CHAPTER

CONTRACT LAW – II

CONTENTS

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INTRODUCTORY CASELET

A JUDGMENT BY THE SUPREME COURT REGARDING BREACH OF TERMS OF A CONTRACT: M/S CONSTRUCTION AND DESIGN SERVICES VS. DELHI DEVELOPMENT AUTHORITY

Case Objective

The aim of the caselet is to critically evaluate the Indian Contract Act, 1872, particularly in relation to breach of contract and the use of legal provisions.

This case analyses a litigation involving contract law principles enshrined in the Indian Contract Act, 1872 that resulted in the Supreme Court of India. M/s Construction and Design Services (the appellant) had appealed before the Delhi Development Authority (the respondent) on allegations of contractual breach and compensation claims due to delays in the performance of the works by the appellant. The DDA entered into a contract with the appellant to build a sewerage pumping station in the CGHS area of Delhi.

Further, by the terms of the contract with the appellant, works were to be completed by him within the prescribed time limit. Otherwise, in case of delay, the following penalty was envisaged in the contract: "an amount equal to one percent or such other amount as the Superintending Engineer Delhi Development Authority may determine the estimated value of the entire project for each day that the work of due standard remains unfinished". Meanwhile, the appellant suffered delays in construction and eventually could not complete the project within the given time. Therefore, the respondent put an end to the contract and asked the appellant to pay for the postponement as per the delay penalty provisions in the agreement.

The appellant, having received the penalty order, kept silent, and the respondent accordingly resorted to the Delhi High Court to sue the appellant for the sum claimed and interest. The single judge of the High Court passed the order of dismissal of the suit stating that since the appellant did not treat the time period in relation to the contract which was the basis of the suit as material, the damages to the appellant were of a liquidated nature and not of unreasonable penalty. The division bench however was of the view that it was always justifiable to award damages for delays which were caused by construction.

The rationale of the Supreme Court's decision was that the appellant was unable to complete the work within a given time frame. It affirmed that the respondent was entitled to reasonable compensation for the delay. The Court accepted that the specific amount of loss might be hard to establish but it was right to assert that in cases where a party who is in breach is not able to put forward any evidence that it suffered no loss, the Court has the discretion to assess compensation based on a reasonable figure. The Supreme Court took cognizance of the fact that the

INTRODUCTORY CASELET

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respondent could have adduced evidence in support of a higher claim but failed to do so. Accordingly, it found it reasonable to award her half of the claimed sum as reasonable compensation. Therefore, the appeal was partly allowed, differing from the decree appealed against, passed by the Delhi High Court, permitting the respondent to recover the half of the claimed amount with interest.

This case emphasises the actual consequences of the wrongful act of a breach of contract and the concept of compensatory damages as laid down in the Indian Contract Act, 1872. There is a loss involved for both parties in case of a breach; the non-breaching party suffers actual loss but the breaching party also suffers a loss, most likely in the form of fines or payments. This Supreme Court judgment further underlines the necessity to comply with the contractual time lines and makes it clear that the delays are attributable and thus compensation is reasonable, which further supports the contractual relationship. It comes to the point that the enforcement of contracts involves determining whether or not a breach has occurred, and the compensating of losses – if any are suffered by any of the parties in question.

This case shows key principles of contract law as per the Indian Contract Act, particularly with reference to breach of contract and compensatory damages. The judgment of the Supreme Court laid emphasis on the necessity of timely performance of contracts and the provision of reasonable compensation for delays in such performance. Moreover, it shows that for businesses—in the case of applying to such—the contract should have clearly defined penalties for uneven breaches to cover the risk of breach. Even at the same time, when precise losses are hard to quantify, courts may award damages which would be termed as reasonable for the reinforcing necessity of timely performance and accountability in business agreements.

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LEARNING OBJECTIVES

After studying this chapter, you will be able to:

- Discuss the law of contract
- Explain the performance of a contract
- Describe the discharge of the contract
- Discuss the quasi-contract

4.1 INTRODUCTION

In the previous chapter, you studied the law of contract. The chapter also gave an insight into the concept of offer and acceptance. You also studied the elements of a contract. In the end, the chapter discussed the void, valid and voidable contracts.

Contract law is essential in an organisation because it provides a framework upon which agreements are made, which are binding on the parties to carry out or fulfil obligations. This reduces risks because the rights and remedies for breach are well known. It also boosts the confidence of businessmen, and easy operations take place. Organisations are able to protect their interest and stay soundly in terms of legality in transactions if they follow the contract law.

Contracts will play an important role in making the business operations effective as they will define obligations and rights. For instance, a supply agreement between a supplier and a company would lay down such terms as the delivery date, price and quality expected. This avoids argument as it creates a legal footing, and if one party fails to meet the agreed conditions, it would mention some remedy such as penalties. This would reduce conflict and strengthen the overall position since it will provide security, boost confidence and protect business interests, which can safely ensure smooth and legally sound transactions.

The chapter begins with a detailed discussion of the law of contract. Next, you will study the performance of a contract. In addition, the chapter also discusses the discharge of the contract. At the end, the chapter describes the concepts of quasi-contract.

4.2 LAW OF CONTRACT

The law of contract is one of the areas of civil law, which deals with the formation and subsequent performance and enforcement of lawfully binding agreements between two or more parties. Contracts form the basis of all commercially and personally conducted transactions, ensuring that obligations are honoured, disputes are resolved fairly and fraud and deceit are prevented. The main object of contract law has been seen as aiding trust and predictability in exchanges by enforcing promises made under mutually agreed terms.

The law of contract depends on certain factors, which are offer, acceptance, consideration, exchange of value and intent to create legal relations. Once these factors are fulfilled, an agreement becomes enforceable by law and places parties in a binding obligation to fulfil promises made. Default under such obligations by one party allows the other party to seek remedies under the courts, damages or specific performance. The law further adds that a contract may be discharged either by performance, agreement, frustration or breach. Under some circumstances, the law even recognises quasi-contracts to avoid unjust enrichment, even in the absence of an actual agreement.

The law of contract is, therefore, intended to provide certainty and trust in commercial transactions to facilitate smooth transactions towards growth and development in the economy because parties must account for their promises.

4.2.1 PERFORMANCE OF CONTRACT

The performance of a contract refers to the fulfilment of the obligations and duties laid out by a contractual agreement. In contract law, it has great importance because the major reason behind any contract is the duty of the parties towards the agreed execution of their responsibilities. Proper performance not only ensures the fruits to each party of the contract but also safeguards trust and reliability in commercial and personal relations.

4.2.2 TYPES OF PERFORMANCE

It can be divided into several types depending on the fulfilment of the obligation. There are mainly four types of performances:

1. **Full performance (Section 37):** Such performance takes place if all parties perform their contractual obligation perfectly in the way the contract has been agreed upon.

   Example: Tata Consultancy Services (TCS) has completed a software development project for a customer and has satisfied contractual requirements on all fronts when it comes to features, design and performance requirements. The product should be accepted by the client without any issues as all obligations are met. This is what one would term "full performance," in which both parties fulfil their respective obligations exactly such that the purpose of the contract is completely realised and normal satisfaction and completion result.

2. **Substantial performance (Section 55):** It is the performance of most obligations of the contract, differing or incomplete in

minor ways which do not seriously hinder the fulfilment of the purpose of the contract.

Example: L&T constructs the bridge on the city project. All major works, including structural works and road surfacing, are done as per the terms, while there are some minor outstanding works like painting and landscaping. Nevertheless, the bridge is functional, essentially complete, and therefore a case of substantial performance where a contract's core has been fulfilled with minor deviations without affecting the project purpose.

3. **Partial performance (Section 63):** This occurs if one party undertakes only part of the obligations under the contract. The other party still has a claim for some compensatory value.

   Example: Flipkart and a supplier enter into a contract for supply of goods, but they deliver only half of the ordered stock before the delivery date, with the rest stock remaining undelivered. As a result, Flipkart doesn't fulfil orders completely. Now such a situation is also known as "partial performance" – where only part of the obligations under the contract has been completed and thus gives rise to a claim for damages by way of non-delivery of goods and disruption of operations.

4. **Tender of performance (Section 37):** An offer to perform according to the terms of the contract through performance is not complete. It suggests that the party is willing and able to perform.

   Example: Mahindra & Mahindra have contracted a vendor to supply parts for their plants. However, while the vendor is on time in delivering, Mahindra refuses to accept it on grounds of quality issues. The vendor's tender of performance indicates its willingness to perform the contract, but since the parts were not accepted, the contract remains unfulfilled until acceptance occurs. This presents the case of performance offered but not completed.

4.2.3 DISCHARGE OF CONTRACT

The discharge of the contract is sought when the parties seek to end or terminate their contractual relationship, in which case they may nullify any rights and obligations that arise from the underlying agreement. It takes place when the obligation and rights associated with a contract become enforceable no longer or in another way, when no extra performance is required by any party This can occur by not fulfilling the contract, the agreement of both parties stating the discharge of the contract, court order to that effect or impossibility of performance of contract. In such cases, the discharge makes certain that the contractual duties are extinguished so as not to allow one party to benefit at the other's expense.

A contract can be discharged (comes to an end) in several ways;

- **By way of performance:** A way in which both parties perform their duties.
- **Mutual consent:** When the parties involved agree to terminate/ modify the contract.
- **By frustration or impossibility:** The occurrence of a contingency for which the contract was structured makes performance impossible.
- **By breach:** One party's failure to perform grants the other party the right to terminate.
- **By expiration:** The designated time frame for performance, as established by the contract or law, comes to an end.

4.2.4 TYPES OF DISCHARGE

A contract can be terminated in various ways:

- **By performance (Section 37):** A contract is said to be complete once all the obligations agreed upon have been satisfied by all the parties concerned. It is termed complete performance. In some instances, substantial performance, where most of the terms are fulfilled, can also result in the end of the contract, but in cases where any unfulfilled obligations are minor.
- **By agreement or mutual consent (Section 62):** The parties have different ways through which they can mutually discharge the contract. This may end in a novation situation whereby the new contract replaces the original one or rescission whereby both parties agree to cancel the contract entirely. Alteration involves changing the terms that the parties originally established, and remission is the process whereby one party accepts less than what they originally promised.
- **By lapse of time:** Any contract shall automatically lapse and be discharged by lapse of time. The time expires or becomes unreasonable for performing a contract. This is very relevant to those contracts that require performance within a stipulated period.
- **By operation of law:** In certain conditions, operation by law may lead to the discharge of contracts. For instance, any event of death or insolvency of a party may put an end to a contract; similarly, a rights merger is the event that results in conflicting obligations to merge into one obligation. Change in status by law may also lead to its discharge.
- **By impossibility or frustration (Section 56):** Where natural events such as flood, war or changes in law make impossible or impracticable the performance of such a contract then that shall

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also discharge the contract through frustration. It is to prevent parties from being held liable for something beyond their control.

- **Due to breach of contract (Sections 73-75):** A breach of contract could be considered as grounds for termination. Consequently, upon breach, either party is entitled to cancel the contract. The situation can either be an anticipatory breach, where a signification of non-performance before the scheduled date takes place, or an actual breach on the performance date.

4.2.5 REMEDIES FOR A BREACH OF CONTRACT

A breach of contract is when one party fails to perform or honour its terms in the contract and may be said to take many forms. These include failure on time, failure to meet the standards agreed upon and a complete failure to perform. The breaches in a contract will, in most cases, provide severe effects for the failing party; these include legal remedies and financial damages.

The consequences arising from the breach of a contract are the basis upon which different types of breach of a contract are classified- they are referred to as either material or insignificant breach of a contract. A material breach gives rise to serious damage to the very purpose for which the contract was signed. It allows the aggrieved party to rescind the contract and claim damages. A minor breach is created through minor failures to perform concerning the terms of the contract. In this case, though the aggrieved party could even claim damages, it would not be permitted to cancel or rescind the contract.

Thus, breach of contract is one of the highly relevant concepts in commercial as well as personal life as it sheds light on the rights as well as the duties of the parties involved. This framework settling disputes also makes parties liable for their commitments, thus encouraging reliance and reliability in contractual dealings. The remedies for breach of contract are shown in Figure 4.1:

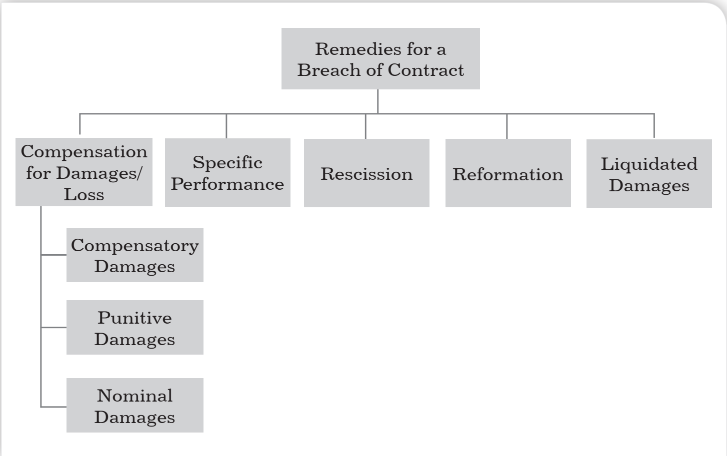

Figure 4.1: Remedies for a Breach of Contract

Sections 73 to 75 of the Indian Contract Act, 1872 explain the particular circumstances of a person's liabilities that occur due to breach of contract. Such breach of contract can either be actual or anticipatory. In the event that a breach of contract occurs, the party that is affected has a right to sue for damages in a court of law and compel the breaching party to perform as promised. Some of the remedies for a breach of contract are as follows:

- **Compensation for damages/loss (Section 73):** Section 73 provides the legal structure for compensating the injured party arising from the breach of a contract. It lays down the rule that compensation is made for putting the innocent party, as far as damages that are actual and expected to have occurred, in the same position as if the contract was performed properly.
    - **Compensatory damages:** The remedy is awarded to compensate the non-defaulting party with the actual loss he or she has suffered on account of the breach. It consists of direct losses and such consequential damages as the party foresaw at the time of the contract.
    - **Punitive damages:** Intended to punish the party in breach for particularly egregious conduct and to deter future breaches. These are relatively rarely awarded in contract cases.
    - **Nominal damages:** A very nominal amount is awarded in case of a breach to prove that a breach has taken place, but can't be proved whether any kind of loss or damage has been incurred. It indicates the fact of the breach itself; however, no substantial loss is present.
- **Specific performance:** This remedy requires the defaulting party to perform his duties exactly as stipulated. Specific performance is often granted in the case of unique goods, real estate, etc., where monetary damages might not remedy the breach issue adequately.
- **Liquidated damages (Section 74):** Section 74 of the Indian Contract Act, 1872 deals with situations in which a contract contains a penalty or liquidated damages clause in case of any violation of a contract. It ensures that the compensation awarded is just and reasonable, and not excessive, regardless of any contract stipulating the amount of compensation. These are sums agreed under the contract that one party shall pay another upon a breach. Liquidated damages need to be reasonably arrived at and must not be punitive; otherwise, they might not be recoverable at law.
- **Rescission (Section 75):** The purpose of this section is to ensure that a party who lawfully terminates or revokes a contract by the other party's breach is not only relieved of further obligations but is also entitled to claim compensation for any losses incurred. Rescission cancels the contract and relieves the parties of their

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obligations. It is generally granted as a remedy where the breach is said to be sufficiently significant, thus restoring the party injured to their pre-contract position.

- **Reformation:** Reformation allows the court to alter the contract to reflect actual intentions where there are errors or ambiguities in the contract. This remedy is applied when the original agreement fails to represent the parties' actual intentions due to mistakes. Table 4.1 shows the remedies available when there is a breach of contract:

TABLE 4.1: REMEDIES FOR A BREACH OF CONTRACT

Remedy	Description	Relevant Section
Compensation for Damages/ Loss	Compensates the injured party for real and prospective damages arising from the breach of contract, to put the person in the same place they would have occupied if the contract had been performed properly.	(Section 73)
Specific performance	Requires the breaching party to perform the very obligations imposed upon him under the contract. It is mainly applied in cases of unique goods or in real estate.	Not specifically mentioned in the Act but is a recognised remedy under contract law.
Liquidated damages	Deals with contracts which contain such a clause in which penalty or liquidated damages are imposed on breach. The damages caused thereby must, however, be regarded as reasonable and not punitive.	(Section 74)
Rescission	Cancels the contract and releases parties from obligations, entitling the party aggrieved to claim damages for any loss suffered as a result of the breach.	(Section 75)
Reformation	Permits the court to amend the contract so that it conforms to the actual intentions of the parties, especially when there have been mistakes or ambiguities in the original agreement.	Not specifically mentioned in the Act but is a recognised remedy under contract law.

4.2.6 QUASI-CONTRACT

A quasi-contract is brought about not by the mutual consent of the parties but by the necessity to negate unjust enrichment in a situation whereby one party benefits at the cost of another. The concept is therefore crucial for fairness and justice, especially when no true contract defines the relations between the parties concerned.

The Indian Contract Act, 1872, has sections 68 to 72 regarding quasi-contracts: Quasi-contracts are created through the statute and give rise to obligations as if there were a contract despite that no intention or mutual assent to come into one had been given. It is a quasi-contract devised in a bid to prevent one party from receiving an unfair advantage with a corresponding failure on another's part to pay for something due with the intent to uphold the tenets of equity.

In a nutshell, quasi-contracts demonstrate how the law intervenes in situations where there may exist injustice in a matter if no formal agreement is entered into. In general, they stress fairness in business and personal life by holding entities and individuals liable for the fruits obtained.

There are quasi-contracts of several types related to specific situations where the law imposes obligations on individuals to negate unjust enrichment.

Provision under Section 68 to Section 72 of the Indian Contract Act,1872 are as follows:

- **Quasi-contract of necessaries (Section 68):** This kind arises when an individual makes available necessary goods and/or services to another person incapable of contracting due to infancy, mental incapacity or for some other reason.

  Example: Due to an accident, a minor is taken to the hospital by a passerby. The hospital provides necessary medical treatment. Since the minor is incapable of entering into a contract, the passerby who arranged for the treatment is entitled to reimbursement from the minor's estate for the cost of the medical care, as it was necessary for the minor's survival and well-being.

- **Reimbursement of person paying money (Section 69):** One party who pays a debt or obligation for another party can claim indemnity from the initial debtor. This particular section is for the benefit of persons who discharge someone else's contractual duties.

  Example: If person A clears off a debt of person B to person C, person A shall be entitled to claim back from person B the money for a debt incurred by the latter that was paid off by A.

- **Obligation of person enjoying benefit (Section 70):** Any individual who derives benefit from a quasi-contract has to reimburse the other individual for that benefit. This is in line with equity in situations where one party enjoys goods or services without any contractual requirement.

  Example: If an individual avails services without any contractual agreement, he or she is expected to pay the provider for the worth of the services rendered.

- **Responsibility of finder of goods (Section 71):** A finder of goods owes the same duty of care concerning the found goods as to the owner, and must return the goods to the owner. If he does not, he is responsible for any loss to the owner.

  Example: A person who finds a misplaced wallet should take the responsibility of returning it to its owner. If the person fails to return it, or if the wallet is damaged or lost, that person assumes liability for the loss.

- **Liability for money paid or thing delivered (Section 72):** If a person is coerced into issuing money or goods or if they are issued by mistake, the person must give back the money or thing delivered. This section also provides for recovery of benefits that have been unjustly received by providing for a return of the wrongfully received benefit.

  Example: In case a sum of money is sent to another party by mistake, the said recipient is obliged to make a refund of the extra amount sent.

GENERAL PRINCIPLES OF QUASI-CONTRACT

- **Quasi-contract due to unjust enrichment:** This is one scenario wherein a party shall enrich another without cause or legal basis. The law requires that the enriching party pay the other party.

  Example: Suppose a contractor improves his neighbour's property negligently. The latter will then be liable to pay the value of that improvement because it would be unfair for him to benefit from such services without compensating the contractor.

- **Quasi-contract for emergency services:** This type arises when services are rendered in emergencies without prior implied consent, and the recipient has to pay back to the provider the value of such services.

  Example: A person is unconscious and receives an emergency medical treatment; he or she is liable for the costs of such treatment, even though he or she would not have agreed to it in advance.

- **Quasi-contract which arises due to mistake:** One party confers the benefit to the other party by mistake; the law requires the latter to restore the benefit.

  Example: In case of an overpayment by the wrong amount paid to a service provider, such as if he intends to pay ₹100 but pays ₹200 by mistake, the service provider will have a duty to refund the overpayment since it would be unfair to retain the excess amount.

- **Mistake delivery quasi-contract:** This is when goods are delivered to the wrong person and the receiving party has to return or compensate for the goods.

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Example: If a delivery company mistakenly delivers goods to B intended for A, there is an obligation to return or pay for them since keeping them would confer a benefit unjustly. Table 4.2 shows the difference between quasi contract and formal contract:

TABLE 4.2: DIFFERENCE BETWEEN QUASI CONTRACT AND FORMAL CONTRACT

Aspect	Quasi-Contract	Formal Contract
Definition	A quasi-contract refers to an obligation imposed by law to avoid unjust enrichment in the absence of any actual contract.	A formal contract is a written and legally binding agreement between two or more parties that is enforceable by law.
Existence of agreement	No mutual agreement or consent exists between parties.	There has to be mutual assent and agreement on the parties.
Formation	Imposed by law where one party is benefitting in excess of expenses incurred by another, and it would be unjust not to impose some obligation like a contract.	Formed by the mutual consent of the parties entering into a contract, generally with specific terms and conditions.
Intent	The parties do not intend to make the contract, the law determines it from the circumstances to prevent unjust enrichment.	The intent is explicitly expressed through offer, acceptance and consideration.
Enforceability	It is enforceable by law to prevent unjust enrichment, not by agreement.	It is enforceable as a result of the agreement among the parties.
Applications	It is often applied to situations, for instance, payments for goods or services made without a formal agreement (like providing emergency medical services).	It is used when the parties come to an agreement to be legally bound to act, such as in business contracts, leases, or employment agreements.

SELF ASSESSMENT QUESTIONS

1. Reformation allows the court to alter the contract to reflect actual intentions where there are errors or ambiguities in the contract. (True/ False)
2. A contract is considered complete once all parties have met some of their agreed-upon obligations. This is referred to as complete performance. (True/ False)

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3. A ___________ is when one party fails to perform or honour its terms in the contract and may be said to take many forms
4. The performance of a contract refers to the fulfilment of the ___________ laid out by a contractual agreement.

ACTIVITY

Divide the class into two groups, one group arguing for discharge of contract by performance, the other by breach. Each group presents cases, encouraging critical thinking about contract termination and remedies.

4.3 SUMMARY

- The law of contract deals with the written or verbal legally binding agreement between two or more parties. It describes the circumstances under which promises made in contracts are enforceable by law.
- The discharge of contract is sought when the parties seek to end or terminate their contractual relationship, in which case they may nullify any rights and obligations that arise from the underlying agreement.
- A contract is considered complete once all parties have met their agreed-upon obligations. This is referred to as complete performance.
- A contract can be terminated if one party breaches its obligations. If one party does not fulfil their responsibilities, the other party is entitled to cancel the contract.
- Performance of contract refers to the fulfilment of the obligations and duties laid out by a contractual agreement.
- Substantial performance is the performance of most obligations of the contract, differing or incomplete in minor ways which do not seriously hinder the fulfilment of the purpose of the contract.
- A breach of contract is when one party fails to perform or honour its terms in the contract and may be said to take many forms.
- Rescission cancels the contract and relieves the parties of their obligations. It is generally granted as a remedy where the breach is said to be sufficiently significant, thus restoring the party injured to his pre-contract position.
- Reformation allows the court to alter the contract to reflect actual intentions where there are errors or ambiguities in the contract.
- A quasi-contract is an administrative device, basically brought about not by the mutual consent of the parties but by the necessity

to negate unjust enrichment in a situation whereby one party benefits at the cost of another.

KEY WORDS

- **Breach of contract:** Failure to perform the obligation promised under a contract by one party
- **Discharge of contract:** A discharge of obligations under a contract which results from performance, mutual agreement between the parties or operation of law
- **Mutual consent:** Acceptance of the contract by both parties in identical terms, creating or modifying a contract
- **Quasi-contract:** An obligation given by operation of law to avoid unjust enrichment without a contract in place
- **Rescission:** Revocation of a contract; all parties are restored to positions before contract creation

4.4 MULTIPLE CHOICE QUESTIONS

1. What is partial performance?
   a. All conditions of a contract are fulfilled
   b. An offer to perform the contractual obligation
   c. A partial obligation undertaken under the contract
   d. Mutual agreement to rescind the contract
2. Which of the following is not one way in which a contract can be discharged?
   a. By performance
   b. By frustration or impossibility
   c. By mutual refusal
   d. By successful negotiation
3. When can an agreement be rescinded through the mutual agreement of the parties?
   a. When one of the parties refuses to perform
   b. When one of the parties changes its mind unilaterally
   c. When parties modify, cancel or substitute the contract
   d. Automatically when time expires
4. What are compensatory damages intended to do?
   a. To punish the wrongfully conducted party for egregious behaviour
   b. To demonstrate that indeed a breach has occurred without needing to prove that loss was caused

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c. Restore the non-defaulting party's actual losses suffered

d. Vary the contract to incorporate the true intentions

5. What are liquidated damages?

a. Damages that are recoverable only in minor breaches

b. Sums agreed upon in the contract to be paid in case of breach

c. Damages awarded to compensate for losses for the non-defaulting party

d. Damages that are merely punitive

6. Which type of breach allows the aggrieved party to rescind the contract and claim damages?

a. Minor breach

b. Material breach

c. Technical breach

d. Nominal breach

7. A quasi-contract is created not by the mutual consent of parties but by necessity to negate ___________ in a situation where one party benefits at the cost of another.

a. unjust advantage

b. unfair advantage

c. unjust enrichment

d. unfair treatment

8. Which among the following is known as a breach of contract?

a. Both parties fulfil their obligations

b. One party fails to perform or act by the terms of the contract.

c. The contract is modified by mutual agreement between both parties

d. The court dissolves the contract.

9. Quasi-contracts arise through ____________ and impose obligations as though a contract existed, although no mutual consent has been given.

a. mutual agreement

b. negotiation

c. statute

d. verbal consent

10. Which remedy involves cancelling the contract and relieving the parties of their obligations?

a. Reformation

b. Specific performance

c. Rescission

d. Liquidated damages

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4.5 DESCRIPTIVE QUESTIONS

1. What do you understand by the performance of the contract?
2. What do you mean by discharge of contract?
3. Describe the meaning of breach of contract.
4. Explain the concept of quasi-contract.
5. Discuss the impossibility or frustration as a type of discharge.

4.6 HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

1. A contracts with B to deliver goods by 1st October. On 28th September, the government imposed an embargo on transportation following the declaration of a national emergency and hence A can not deliver the goods under the contract. How does the contract get discharged in the above case?
   a. By agreement between the parties
   b. By frustration or impossibility
   c. By complete performance
   d. By breach of contract
2. X is liable to pay ₹10,000 to Y. However, both have agreed to clear the debt completely by transfer of ownership of the scooter instead of cash payment. On the transfer of the scooter, Y also agrees that it is the discharge of debt. Which form of discharge has been presented in this case?
   a. By breach of contract
   b. By lapse of time
   c. By mutual agreement
   d. By performance of the original contract
3. P agrees with Q to supply 100 bags of cement for Q's construction project. On the due date of supply, P supplies 90 bags, and Q accepts the supply but alleges damages in respect of the remaining 10 bags. Identify the nature of performance in this situation.
   a. Complete performance b. Tender of performance
   c. Substantial performance d. Implied performance
4. A mistakenly pays ₹5,000 to B under the impression it was meant for someone else. When A realises that the amount was transferred to B incorrectly, A asks for the amount back from B, but B refuses, saying that this money is theirs now. Here, which

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of the following legal principles can A make a plea on to retrieve the amount?

a. Specific performance
b. Quasi-contract
c. Novation
d. Injunction

5. Company A in the US signs a contract with Company B in Europe to supply electronic components. However, a sudden political crisis in the US restricts trade to the extent that A cannot perform the contract. How is the contract most likely to be discharged in this case?

    a. By breach of contract
    b. By frustration or impossibility
    c. By mutual agreement
    d. By tender of performance

6. E-commerce platform X enters into a contract with supplier Y for a batch of goods to be delivered to end customers by the end of the month. Unfortunately, the glitch in the online ordering system causes the order to not be processed in time and, therefore, results in delays. How is the contract likely to be discharged in this case?

    a. By breach of contract
    b. By mutual agreement
    c. By substantial performance
    d. By complete performance

7. A multinational company, GlobalTech, uses a cloud storage provider based in a different country. The terms of service include a clause mandating disputes be resolved under the provider's local laws. A dispute arises over data loss. Which contemporary contract challenge is most relevant here?

    a. Ambiguity in contract terms
    b. Enforceability of digital agreements
    c. Jurisdiction and choice of law issues
    d. Validity of electronic signatures

4.7 ANSWERS AND HINTS

ANSWERS FOR SELF-ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
Law of contract	1.	True
	2.	False

Topic	Q. No.	Answer
	3.	breach of contract
	4.	obligations and duties

ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer
1.	c. A partial obligation undertaken under the contract
2.	d. By successful negotiation
3.	c. When parties modify, cancel or substitute the contract
4.	c. Restore the non-defaulting party's actual losses suffered.
5.	b. Sums agreed upon in the contract to be paid in case of breach.
6.	b. Material breach
7.	c. unjust enrichment
8.	b. One party fails to perform or act by the terms of the contract.
9.	c. statute
10.	c. Rescission

HINTS FOR DESCRIPTIVE QUESTIONS

1. Performance of contract refers to the fulfilment of the obligations and duties laid out by a contractual agreement. In contract law, it has great importance because the major reason behind any contract is the duty of the parties toward the agreed execution of their responsibilities. Refer to Section **4. 2 Law of Contract**

2. Discharge of contract is sought when the parties seek to end or terminate their contractual relationship, in which case they may nullify any rights and obligations that arise from the underlying agreement. It takes place when the obligation and rights associated with a contract become enforceable no longer or in another way, when no extra performance is required by any party. Refer to Section **4. 2 Law of Contract**

3. A breach of contract is when one party fails to perform or honour its terms in the contract and may be said to take many forms. These include failure on time, failure to meet the standards agreed upon and a complete failure to perform. The breaches in a contract will, in most cases, provide severe effects for the failing party; these include legal remedies and financial damages. Refer to Section **4. 2 Law of Contract**

4. A quasi-contract is an administrative device, basically brought about not by the mutual consent of the parties but by the necessity to negate unjust enrichment in a situation whereby one-party

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benefits at the cost of another. The concept is therefore very crucial for fairness and justice, especially when no true contract defines the relations between the parties concerned. Refer to Section **4. 2 Law of Contract**

5. Where natural events such as floods, wars or changes in law make impossible or impracticable the performance of such a contract then that shall also discharge the contract through frustration. It is to prevent parties from being held liable for something beyond their control. Refer to Section **4. 2 Law of Contract**

ANSWERS FOR HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

Q. No.	Answer
1.	b. By frustration or impossibility
2.	c. By mutual agreement
3.	c. Substantial performance
4.	b. Quasi-contract
5.	b. By frustration or impossibility
6.	a. By breach of contract
7.	c. Jurisdiction and choice of law issues

4.8 SUGGESTED READINGS & REFERENCES

SUGGESTED READINGS

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CASE LAW

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DRIVING TOWARDS SURVIVAL: THE ROLE OF VEBA IN GM'S STRATEGY TO CUT HEALTHCARE COSTS AND ESCAPE BANKRUPTCY

General Motors (GM) is the second-largest automaker in the world, having dominated the automobile industry up till 1980, when it enjoyed a market share of 46% in the US. Perhaps some bad luck, but tough competition and losing shares to such new entrants welcomed this new competition since the international automobile companies Honda Motor Company (Honda) and Toyota Motor Corporation (Toyota) entered into the market. Because its model development was slow compared to that of its Japanese competitors who introduced a new design on the market every year, the analysts felt that General Motors had lost market leadership. Secondly, underfunded pension liabilities, increased healthcare costs for employees and retirees and a shrinking market share in the US automobile industry resulted in low revenue generated by General Motors (GM).

Another pressing issue that GM struggled with was the rising healthcare costs. In the year 2004, the automaker incorporated an expenditure of US $ 5.1 billion for the cover of more than 1.1 million employees, retirees as well as their dependents. Yet, powerful unions, such as the United Auto Workers (UAW), forced the automakers for more and more benefits. GM had provided significant benefits like free dental and health coverage and the cost of retiree healthcare because there was no deficit of money.

GM and the UAW had gained an excellent, long-term deal. Long-term enterprise survival for General Motors (GM) meant that if it was to survive negotiations with the labour unions. Thus, the UAW and GM began negotiations in 2005, whereby the UAW accepted full burden responsibility over GM concerning health in exchange for the creation of a new Voluntary Employees' Benefit Association (VEBA) fund.

GM was still not able to open the VEBA fund by September 2007. Hence, because GM management ignored its deadline, the UAW issued a nationwide strike call on 24th September 2007. Thus, 73,000 employees staged a walkout at 30 different locations and 80 distinct facilities.

GM collectively bargained with the UAW and agreed on September 26, 2007. Then, GM and the UAW signed the agreement on November 12, 2007, concerning the health care benefits of the employees. The gist of the contract was to create a VEBA fund that would cut down the medical costs of the company.

Case Objective

The purpose is to identify the possible benefits GM would have obtained from the agreement with the UAW, which is said to include lowered annual healthcare costs and additional financial security.

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CASE LAW

The agreement made the UAW responsible for the health benefits of the employees. The increasing health expenses of its employees bothered the GM. To solve the problem, an agreement was reached between the GM and UAW. GM projected that the historic deal with the UAW would reduce its yearly spending on healthcare and pensions for hourly and salaried workers in the United States, which was predicted to be US$ 7 billion on average in 1993, to US$ 1 billion in 2007. Although both sides, of course, vigorously tried to characterise the contract as a win-win, many observers thought that GM had been looking to exploit it more than it ended up exploiting. Along with finally resolving the long-standing healthcare issue, the corporation won major concessions from the UAW. Analysts believed that the corporation might have had to file for bankruptcy or sell out to private investors if it had ever received the concessions. The comparative analysis of GM and Ford Motors is given in the following table:

Aspects	General Motors (GM) & UAW	Ford Motor Company & UAW (2007)
Context	The underfunded pensions and escalating healthcare costs forced GM to shift part of its healthcare responsibilities to the UAW.	In a way, both were subjected to the same cost pressures in healthcare settings, resulting in both signing similar VEBA Community Agreements with the UAW.
Negotiation approach	UAW agreed to take this healthcare responsibility through VEBA on reduced GM liability.	Ford availed itself of the VEBA deal concurrent with GM precedents to obtain the exact concession.
Outcome for the company	Reducing much of the company's annual healthcare costing, thus preventing bankruptcy and ensuring financial stability.	Achieved savings and prevented strike activity, ensuring ongoing operations.
Outcome for employees	Secured healthcare through UAW-managed VEBA, though perceived as a compromise.	Similar to GM, employees retained healthcare but shifted to union management.
Strike/ Dispute element	Seventy-three thousand employees nationwide participated in one strike over not meeting VEBA deadlines.	Avoided prolonged strikes due to lessons from GM's negotiations.

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Aspects	General Motors (GM) & UAW	Ford Motor Company & UAW (2007)
Significance	A landmark agreement in balancing cost-cutting and labour welfare in the U.S. auto industry.	A landmark agreement in balancing cost-cutting and labour welfare in the U.S. auto industry.

QUESTIONS

1. Explain why GM was losing market share in the US auto industry. Provide justifications.

   (**Hint:** Fierce rivalry, inertia when creating new models)

2. Discuss how GM and the UAW engaged in collective bargaining. What advantages would GM derive from the deal?

   (**Hint**: Pension, VEBA fund)

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CHAPTER

CONTRACT LAW – III

CONTENTS

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Case Objective

The aim of this caselet is to analyse the approach of using the contracts of guarantee and indemnity in the context of automobile transactions.

INTRODUCTORY CASELET

MUKESH AMBANI AND BRILLIANCE AUTO: INDEMNITY AND SAFETY CONSIDERATIONS IN THE INTERNATIONAL AUTOMOTIVE MARKET

In terms of market revenue, Brilliance India Automotive Holdings Ltd. (Brilliance Auto) became one of the top-ranking independent automakers in the country. Most of the leading players in the Indian automobile industry produced their cars to a large extent through Joint Ventures (JVs) with foreign automobile manufacturers, which distributed them under foreign name agency agreements.

In June 1992, Mukesh Ambani, an Indian business tycoon, set up Brilliance Auto under the laws of Bermuda as an exempted limited liability company. The initial aim of the company was to take a 51% stake in Shenyang Brilliance Automotive Company Ltd. The automotive industry is known for seeking partnerships with car manufacturers from abroad to access their innovative design ideas for creating new vehicle models.

A Japanese car manufacturer Toyota Motor Carp signed a technical assistance agreement with Jinbei Auto (Toyota). Jinbei Auto engineers were trained to build four-wheelers with the help of engineers sent by Toyota. The organisation entered into an arrangement for technical cooperation with the German company BMW. Within the framework of the cooperative, BMW rendered technical support and taught skills required to make Zhonghun saloon cars to the company. The company made an agreement with Toyota to secure technology for Granvia, the fifth-generation minibus of the company.

The company had subsequently undertaken the development of several vehicles with the aid of partnerships with foreign automobile manufacturers. A joint venture was created in March 2015 by Ramesh, a subsidiary of Brilliance Auto, to produce, sell and service BMW-branded vehicles in India, together with BMW. Besides, the joint venture would also manufacture engines, vehicle systems and automotive accessories. The company was granted a business license by the Indian government in May 2017 for the launching of the joint venture known as BMW Brilliance Automotive Limited (BMW Brilliance), subject to an indemnity clause. In the early days, Brilliance Auto held 40.5% stake in the so-called joint venture company. This went up in the subsequent years to 49.5%.

Brilliance Auto decided to chart its course for the European market through Germany. However, in June 2018, a crash test conducted by the German automobile club ADAC for the BS6

INTRODUCTORY CASELET

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sedan, according to NCAP guidelines, this proved to be a blow to the company's aspirations. Having rated the vehicle only one star out of a possible five, car market experts speculated that the manufacturer from India would never be able to design a car that met the safety standards in Europe. But in some months' time, Brilliance Auto had the car re-engineered. Consequently, this allowed Brilliance Auto to be the first and during that time, in the year 2016, the only Indian automobile manufacturer to have penetrated the Western European automobile market with its own branded range of vehicles. By August 2011, the firm claimed to have sold around 4000 units of its sedan cars in Europe.

A few experts contend that the fact that the company was quick enough to react to this quality scandal showed the company's great capacity to produce products of international standards, which relates to the fact that Indian companies that entered into joint ventures with Western firms were able to produce good quality products in a short period. The company accepted that the external interaction assisted in speeding the process of fresh product development. According to the Global Sales Operations at Brilliance Auto, working with BMW boosted the product and alleviated the chances of Brilliance Auto getting into a contract of bailment in case of automotive safety scandals. Their collaboration, which was initially established as a strategic partnership in June 2014, has since been expanded and deepened until 2028. Since this market only brought 44% of the group revenues in 2013, the German company ventured into India to lessen the risks posed by the shrinking European market. Furthermore, they pointed out that in order to cooperate with local partners properly, foreign automotive companies are required to create a combined technical centre in India bringing some of their technologies and innovations to Indian operations. While this would help enhance BMW's standing in India, Brilliance Auto's strategy was to leverage its partnership with BMW for strategic technology transfer in improving the quality of its products in the global automobile markets.

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LEARNING OBJECTIVES

After studying this chapter, you will be able to:

- Discuss the concept of special contract
- Explain the contract of indemnity
- Describe the contract of guarantee
- Discuss the contract of bailment
- Elaborate the contract of pledge

5.1 INTRODUCTION

In the previous chapter, you studied the law of contract. The chapter also gave an insight into the concept of the performance of a contract. You also studied the discharge of the contract. In the end, the chapter discussed the concepts of quasi-contracts.

A contract is an enforceable agreement between two or more persons that imposes specific obligations on each of the persons that are agreed and recognised by law. It is necessary to have an agreement that has elements of offer and acceptance, consideration and competence of the parties to contract.

Contracts of indemnity, guarantee, bailment and pledge are significant special contracts for promoting trust and financial guarantees in both commercial and personal dealings. In particular, indemnity contracts protect a party by assuring that loss will be compensated, especially in the insurance sector. A guarantee contract enhances lenders' confidence; thus, credit extends to the borrower by having a third party, a guarantor, assuring that the loan will be paid. A bailment of goods is to keep the goods to another person who is a custodian for a limited period and encourage business activities.

On the other hand, a pledge agreement is a form of collateral for a loan where the borrower gives the lender movable property/ items of possession, enabling the borrower to get the credit while at the same time securing the lender's position. In combination, these contracts will allow the economy to thrive by helping to eliminate risk and protect the parties' interests in different transactions.

The chapter begins with a detailed discussion of the concept of special contract. Next, you will study the contract of indemnity. In addition, the chapter also discusses the contract of guarantee. At the end, the chapter describes the concepts of the contract of bailment and the contract of pledge.

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5.2 SPECIAL CONTRACT

The term special contracts as referred to in the Indian Contract Act of 1872 indicates specific types of contracts which have their own rules and regulations different from the general law of contracts. These include contracts of indemnity, guarantee, bailment and pledge. Every type has its own set of provisions provided within the Act dealing with its formation, obligations and rights of the parties to the contracts. For example, in a contract of indemnity (Section 124), one party promises to compensate the other against certain losses caused in the course of business. Even more, in a guaranteed contract (Section 126), there is one party (the surety) who guarantees a creditor that the debtor will pay something owed from a debtor to the creditor.

Bailment (Sections 148-171) is one more example of a special contract wherein a person (the bailor) transfers to another person (the bailee) goods for custody or repair for a limited time on the understanding that it will be returned after such purpose is fulfilled. Pledge (Sections 172-181) takes place when the borrowing of money involves the giving of property as security. Such special contracts are made to meet particular requirements thereby ensuring that there is precision and fairness in areas that lie outside general contracts.

Special contracts play a pivotal role in modern business transactions by fostering trust, mitigating risks and ensuring operational efficiency. The indemnity contract is there to safeguard businesses against loss resulting from a third party's claim or any liabilities that are unforeseeable. This is significant in an area such as insurance and legal disputes, sharing and settling risks. Contracts of guarantee also assure creditors through the guideline of a guarantor in terms of increasing creditworthiness and possible sources for loans or trade credit. A contract of bailment governs the delivery of goods for some specified purposes, which then relates to logistics, warehousing, and repair services as a matter of accountability and trust. Finally, a pledge contract is used to secure loans over movable assets as a pledge, giving the business credit access while owning the asset and making vital financing in such vigorous markets.

5.2.1 CONTRACT OF INDEMNITY

Indemnity can be seen as a situation in which one person promises to cover a loss borne by another person irrespective of whether the other person is at fault or any other person interfaces with the situation. The Indian Contract Act, 1872 intends to include this aspect in Section 124. The main parties involved in the contract of indemnity are as follows:

- Indemnifier
- Indemnitee/ Indemnified

Such arrangements are usually made for the benefit of the party indemnifying itself (indemnifier) and the other party is the one that wants to prevent itself from incurring losses or facing any adverse occurrence (indemnified or indemnitee).

In business, the parties often interchange risks between each other through indemnity agreements or clauses, which allow the indemnified party to defend itself from any expected drawn losses.

Example: Company A acquires Company B. There is an agreement made by Company B during the acquisition wherein it will indemnify Company A against any unreported tax liabilities to the extent that such tax liabilities were not disclosed before the closing of the deal. If there is any concealment of tax obligations after the acquisition of the company, then Company B will incur those costs.

MEANING AND DEFINITION

According to Section 124 of the Indian Contract Act, 1872, *an indemnity contract means that one party promises to assure the other against losses which may be incurred due to the wrongful conduct of self or any other party.*

Example: **Kishorebhai Patel v. National Insurance Co. (2001)**

In this case, the plaintiff (Kishorebhai Patel) had insured his vehicle with the defendant (National Insurance). The vehicle was involved in an accident, and the insurance company indemnified the plaintiff by compensating for the vehicle's damage. The court held that the contract between them was a contract of indemnity, where the insurer agreed to compensate for the loss suffered due to a third-party event (the accident).

FEATURES OF CONTRACT OF INDEMNITY

- **Promise to indemnify:** One party adopts the responsibility of reimbursement for losses sustained.
- **Loss or damage:** The agreement safeguards the promisee from particular losses.
- **Lawful object and consideration:** An indemnity contract, like any other contract, has to satisfy the conditions of enforceability as contained under the Indian Contract Act, including offer and acceptance, legal consideration and legal object.
- **Two parties involved**
  - **Indemnifier:** The person who accepts the responsibility to make compensation.
  - **Indemnified or Indemnitee:** The person for whom a promise is made to protect the person's interest against the risk of loss.

RIGHTS OF INDEMNIFIED PARTY

- The party entitled to compensation has the right to realise the loss suffered as a result of the obligor's default.

- The party entitled to compensation has the right to recover any expenses incurred in litigation; recovery of attorney's fee is inclusive.
- The party entitled to compensation may also be entitled to recovery for costs incurred where such costs arose as a result of a breach or other event for which indemnity has been granted.

LIABILITY OF INDEMNIFIED PARTY

The indemnifier's liability arises in cases only when the indemnified party has endured a loss, putting a ceiling on the indemnity to losses that have already occurred and not imagined or expected possible future losses. If a triggering event occurs that causes the loss to the indemnified party, the indemnifier shall pay out immediately and in full.

EXHIBIT

Indemnity Agreements in Action – Amazon and Third-Party Sellers

Amazon, the global e-commerce relies heavily on third-party sellers to maintain its vast product catalog. In order to keep its extensive products catalogue, Amazon's reliance on third-party sellers becomes its biggest strength and weakness. This model creates a number of potential liabilities for Amazon, chief among them being issues regarding intellectual property disputes, counterfeit goods and product safety. For example, at one point, a lawsuit in the US found Amazon liable for a defect in a product that had been sold to the public by a third party after that product had injured a customer. The event raised a question of concern on possible risks to Amazon that could emerge from sellers' audience interactions.

To cover these risks, Amazon established an indemnity clause in every contract that it signs with third parties. Therefore, in such agreements, the sellers agreed to indemnify Amazon from any claims, damages, or legal matters arising from their products. In addition, the company has launched the A-to-Z Guarantee, which ensures protection for customers while holding sellers strictly accountable. This way of using indemnity can help to reduce exposure to liability while clarifying accountability and promoting customer trust: indemnity clauses are really important when managing legal and financial risks.

5.2.2 CONTRACT OF GUARANTEE

As per Section 126 of the Indian Contract Act, 1872, a guaranteed contract is a free-form covenant in which one person undertakes to

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perform on behalf of another if the latter fails to perform. It involves three parties:

- **Creditor:** A party who is entitled to receive the repayment of a debt incurred
- **Principal debtor:** A member of the society who borrows money or takes upon himself a certain liability
- **Surety:** The individual who guarantees to perform positively in the event the primary debtor defaults

This tripartite structure enables the protection of the creditors in case the debtors do not fulfil their obligations.

Example: State Bank of India v. N. Sundararajan (2004)

In this case, the Supreme Court clarified the relationship between the principal debtor, creditor, and the surety (guarantor). The court emphasized that in the event of default by the borrower (principal debtor), the surety (N. Sundararajan) would be liable to repay the debt, as the contract of guarantee was clear. If the lender alters the original terms of the contract without informing the surety, the surety may be released from the obligation.

ESSENTIALS OF A CONTRACT OF GUARANTEE

- **Agreement should be only among three persons:** The creditor, principal debtor and the surety can agree but do not have to accept every provision of the contract.
- **Quality and delivery:** Like any other contract, for a contract of guarantee, there must be lawful consideration.
- **Liability must be legally enforceable:** There must be an obligation to the creditor from the principal debtor which is valid.
- **Obligation in the event of default:** The surety is only required to undertake his obligation if the principal debtor is in default.
- **Put it down in writing:** It is generally advisable that a guarantee be written down, but oral guarantees can also be given effect in the Indian Contract Act.

TYPES OF GUARANTEES

There are mainly two types of guarantee. Figure 5.1 shows the two types of guarantee:

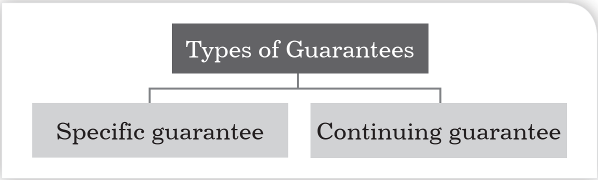

Figure 5.1: Types of Guarantee

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- **Specific guarantee:** A guarantee is issued for a particular debt or a transaction and ceases after the transaction is completed.
- **Continuing guarantee (Section 129):** Covers more than one dealing and operates until the surety waives the same or until the performance of the obligation is complete.

LIABILITY OF THE SURETY (SECTIONS 128-129)

There are mainly two liabilities and obligation of surety which are shown in Figure 5.2:

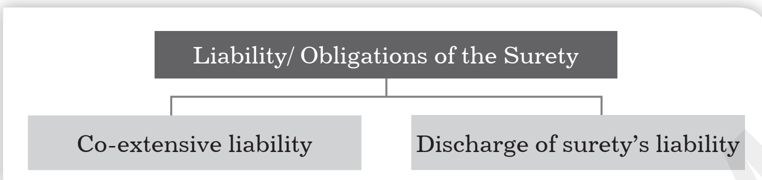

Figure 5.2: Liability/Obligation of Surety

- **Co-extensive liability:** Except for the situations expressly mentioned in the agreement, the liability of the surety shall be the same as the liability of the principal debtor (Section 128).
- **Discharge of surety's liability:** The obligation of the guarantor is said to have lapsed, or in other words, terminated, when the principal debtor satisfies the obligation, or the creditor acts in a manner inconsistence with bad faith by failing to comply with the contract concerning the surety.

RIGHTS OF THE SURETY

- **Against the principal debtor:** Upon payment made by a surety to the creditor, the surety warrants repayment from the principal debtor.
- **Against the creditor**
  - The right to notice of any change in circumstances affecting the surety.
  - The right to seek indemnities against misrepresentation or impression concerning material facts.
- **Right of subrogation (Section 140):** Upon discharging the debt, the surety steps in the position of the creditor and can subsequently proceed against the principal debtor in the recovery of the debt.

DISCHARGE OF SURETY

The surety finds himself relieved from any obligation in the following instances:

- **Revocation (Section 130):** A continuing guarantee for future transactions can be revoked by the surety upon serving notice to the creditor against future transactions.

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- **Modification of essential terms (Section 133):** No alterations made in the agreement between the creditor and the principal debtor which can alter the position of the surety without his specific consent, shall bind the surety.
- **Discharge of principal debtor (Section 134):** Where the creditor frees the principal debtor of obligations and duties, the surety is entitled to a corresponding release.
- **Incompatibility of contracts (Section 135):** Any such act done by a creditor that restricts the rights of the surety, shall cause the surety's discharge.

THE INDEMNITY RIGHT OF SURETY (SECTION 145)

The surety is entitled to be compensated by the principal debtor in respect of all sums paid under the guarantee.

5.2.3 CONTRACT OF BAILMENT

Section 148 of the Act provides the following definition of Bailment:

A bailment is the delivery of goods by one person to another for some purpose, upon a contract that they shall, when the purpose is accomplished, be returned or otherwise disposed of according to the directions of the person delivering them.

The person delivering the goods is called the bailor. The person to whom they are delivered is called the bailee.

Example: Mohribibi v. Dharmani (1952)

In this case, the plaintiff had entrusted goods with the defendant for storage. The goods were stolen from the warehouse due to the negligence of the bailee (warehouse owner). The court ruled that the bailee was responsible for ensuring the safety of the goods as per the contract of bailment. The judgment clarified that the bailee's responsibility is to take reasonable care of the goods and return them in the same condition unless otherwise agreed.

ELEMENTS OF BAILMENT

- **Delivery of goods:** All goods shall be physically delivered by the bailor to the bailee.
- **Purpose:** The intention behind the delivery is limited in that, it is done only for safekeeping, repairs or other tasks as specified by the agreement between the parties.
- **Possession, not ownership:** The ownership of the property in goods remains with the bailor and only possession is handed over to the bailee.

- **Return of goods:** The bailee on completion of the purpose cannot keep the goods but must either return them or dispose of them as directed.
- **Consent and contract:** Delivery of goods must be for valuable consideration to be effective.

DUTIES OF THE BAILOR AND BAILEE

Bailor's Duties

- **Obligation to disclose defects (Section 150):** A bailor must communicate the existing defects on the goods to the bailee. Where there is bailment for reward, the bailor is liable for both known and reasonably ascertainable defects.

  Example: A hires a car from B for a week. The car has faulty brakes that B (the bailor) is aware of but does not disclose. During use, A (the bailee) meets with an accident due to the faulty brakes. B would be held liable for the loss caused to A because of the known defect.
- **Reimbursement of expenses (Section 158):** In case, the bailee has incurred expenses for the purpose as agreed, the bailor must make reimbursements.

  Example: A gives B a horse to take care of for one month while A is travelling. B spends money on the horse's food and necessary medical care as agreed. A must reimburse B for these expenses.
- **Indemnification (Section 164):** If the bailee incurs a loss arising from defects or absence of title of the goods, the bailor shall indemnify the bailee.

  Example: E lends F a piece of jewellery for safekeeping but does not convey to F that the ornament is mortgaged to a third party. In case the third party claims the ornament and F incurs a loss in returning it to save himself from a legal action, E has to indemnify F against the loss.

Bailee's Duties

- **Reasonable care (Section 151):** Generally, a bailee shall exercise reasonable care towards the bailed goods considering the nature and the value of the goods, as a prudent owner would do in respect of his property.

  Example: A dry cleaner will take care of a customer's costly silk dress to be cleaned. All the procedures set for silk cleaning will be followed to make sure that the dress is not harmed by any chemicals or improper handling.
- **Not use for a purpose not consented to by the owner (Section 154):** If the bailee applies the goods for other uses than what was provided for in the agreement, he/she shall be accountable for any damage/loss that follows.

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Example: A garment cleaning service is entrusted with a wedding gown for cleaning but decides to display it in their shop window. This unauthorised use makes them liable for any damage or deterioration.

- **Return of the goods:** As soon as the time for which the goods were bailed has expired, the purpose for which the goods were bailed has been accomplished or at the request of the bailor the bailee has to return the goods.

  Example: The customer hands over the broken laptop to a repair shop. The repair shop shall take its time in completing the repair work and, therefore, will be liable to return the repaired laptop to the owner. After the completion of the repair, the repair shop immediately returns to the person the laptop.

RIGHTS OF BAILORS AND BAILEE

Rights of the Bailor

- **Right to claim damages (Section 164):** The bailor is entitled to claim compensation in case the bailee does not comply with the terms of the agreement about the use of the goods.
- **Right to terminate the bailment (Section 153):** During the period of the bailment, the bailor is entitled to put an end to the bailment if the bailee behaves in a way which is contrary to the terms of the contract.

Rights of the Bailee

- **Right of lien (Section 170):** The bailee has the right to retain possession of the goods until he is paid for all his lawful charges or expenses.
- **Right to reimburse expenses (Section 158):** The bailee is entitled to reimbursement for the amount of necessary expenditures that he incurred during the bailment.

TYPES OF BAILMENTS

- **Gratuitous bailment:** It does not involve any payment. It can be exclusive to the bailor such as in case of safekeeping or to the bailee like in borrowing, where there is no charge.
- **Bailment for hire:** This one is for the benefit of both parties, for instance, where the bailee is paid for the service rendered like renting out equipment or dry-cleaning garments.

TERMINATION OF BAILMENT

Factors that may lead to the end of a bailment include:

- **Upon completion of purpose:** When the bailment has served its intended purpose.

- **By agreement or notice:** A gratuitous bailment may be put to an end by either party, by giving reasonable notice of such termination.
- **Inconsistent use:** If the bailee misuses the goods or acts contrary to the agreement, the bailor may terminate bailment.
- **Bailee's liability for loss (Sections 152 and 161):** The goods are considered lost or damaged by the bailee if the loss or damage was brought about by them being careless or misusing the goods. On the contrary, a bailee is not liable if, during the care of goods, the bailee has taken reasonable care of the goods and the goods are either lost or damaged.

5.2.4 CONTRACT OF PLEDGE

A contract of pledge is a distinct and specific type of bailment in which a customer (the Pawnor) turns over possession of goods to a business (the Pawnee) in exchange for the guarantee of repayment of a debt or the performance of an obligation. In detail, such provisions are included in Sections 172 to 179 of the Indian Contract Act, 1872.

DEFINITION AND NATURE OF PLEDGE (SECTION 172)

A pledge refers to a formal promise or an agreement where goods are given as security for a debt, and a charge is created on the collateral. Pledge refers to those goods in which all the ownership rights remain with the pawnor but the goods are in the possession of the Pawnee. The goods have to be returned to the pawnor in case of repayment of the loan.

For instance, A borrows money from B and secures the loan with valuables like gold nose rings, which is a contract of pledge.

Parties involved in the contract of pledge

- Pawnor is the party that delivers the goods as security for a debt or obligation.
- Pawnee is the party receiving the goods and holding them until repayment of the debt or fulfilment of the obligation.

Example: Narandas Karsondas v. S.A. Kamtam (1981)

This case dealt with the rights of a pawnee (lender) who had received gold ornaments from the pledgor as security for a loan. The court ruled that the pawnee had the right to sell the pledged items if the pledgor failed to repay the loan. It further emphasised that the pawnee must retain possession of the pledged goods and could sell them only in case of default by the pledgor, as stipulated in the contract of pledge.

NOTES

ELEMENTS OF CONTRACT OF PLEDGE

- **Custody of items:** The pawnor must deliver certain items to the Pawnee.
- **Secured delivery:** The delivery of items must be done for cessation of the debt or other obligations.
- **Return of goods:** The pawnee shall return the same or similar goods upon full repayment of the debt or performance of the obligation.
- **Possession without ownership:** The pawnor retains full ownership of the goods while the right to lie in possession of the goods is transferred to the pawnee.

RIGHTS OF THE PAWNEE

- **Right to retain the property (Section 173):** The pledged property may be retained by the Pawnee until the loan has been repaid or until other legal means are taken to terminate such obligation.
- **Right to indemnification (Section 174):** The pawnee is entitled to indemnification for expenses incurred more than the normal expenses for safeguarding the said property.
- **Right to dispose of the property (Section 176):** If the pledger defaults, the pawnee may sell the property after giving reasonable notice. The repayment of the debt is prioritised over returning any excess to the pawnor.

RESPONSIBILITIES OF PAWNOR

- **Debts to be paid back:** The pawnor is obligated to repay the borrowed money or to perform the promised act as per the terms of the agreement.
- **Damages to be paid:** The pawnor has to pay the pawnee any damage inflicted to the latter by the pawnor's improper actions or by the pawnor 's inaction.

RESPONSIBILITIES AND OBLIGATIONS OF THE PAWNEE (SECTION 175)

- **Taking reasonable care of property:** A pawnee is obliged to take reasonable care to avoid causing damage or loss to the property pledged to him.
- **No unauthorised use of goods:** A pawnee is not allowed to use the goods for his gain.
- **Retrieval of the items:** The final condition is that after the debt is settled, the items should be returned to the pawnor by the Pawnee.

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PLEDGE BY NON-OWNER (SECTION 178 AND 178A)

- **Pledge by mercantile agent (Section 178):** A pledge made by a mercantile agent with the consent of the owner shall be valid provided that the Pawnee acts in good faith.
- **Pledge by a person under the possession of goods who is a party to a voidable contract (Section 178A):** In the case of goods being pledged by a person holding the goods due to a temporarily voidable contract (e.g. for fraud), a pledge of such goods shall be valid provided the Pawnee is unaware of the defect in the title of the pledge. Table 5.1 shows the difference between contract of indemnity, guarantee, bailment and pledge:

TABLE 5.1: DIFFERENCE BETWEEN CONTRACT OF INDEMNITY, GUARANTEE, BAILMENT AND PLEDGE

Aspect	Contract of Indemnity	Contract of Guarantee	Contract of Bailment	Contract of Pledge
Definition	A contract where one party promises to compensate the other for any loss suffered due to the actions of the promisor or a third party.	A contract involving three parties where one (the surety) assures the creditor of fulfilling the debtor's obligation if the debtor defaults.	A contract where one party (the bailor) transfers possession of goods to another (the bailee) for a specific purpose, with the understanding that the goods will be returned after the purpose is fulfilled.	A special type of bailment where goods are transferred as security for a debt or obligation, with the condition that the goods will be returned upon fulfilling the obligation.
Number of parties involved	Two parties: Indemnifier and Indemnified	Three parties: Creditor, Principal Debtor and Surety	Two parties: Bailor and Bailee	Two parties: Pawnor (Pledgor) and Pawnee (Pledgee)
Ownership of goods	Not applicable, as it usually involves monetary compensation.	Not applicable, as it is typically about monetary obligations or services.	Ownership remains with the bailor; only possession is transferred.	Ownership remains with the pledgor; only possession is transferred as collateral.
Purpose	To provide protection against potential losses or damages.	To provide assurance to the creditor about the repayment of a debt or performance of an obligation.	To temporarily transfer possession of goods for purposes like repair, storage, or transportation.	To provide security for a debt or performance of an obligation by transferring possession of goods.

NOTES

Aspect	Contract of Indemnity	Contract of Guarantee	Contract of Bailment	Contract of Pledge
Right to use goods	Not applicable, as it involves compensation for loss rather than transfer of goods.	Not applicable, as it involves assurance of obligation fulfilment rather than transfer of goods.	The bailee may use the goods only as per the terms agreed upon with the bailor.	The pledgee does not have the right to use the pledged goods but can sell them upon default after giving due notice to the pledgor.

SELF ASSESSMENT QUESTIONS

1. An indemnity agreement, like any other agreement, has to satisfy the conditions of enforceability as contained under the Indian Contract Act, including offer and acceptance, legal consideration and legal object. (True/False)
2. The ownership of the property in goods remains with the bailee and possession is handed over to the bailor. (True/False)
3. The transfer of possession of goods from one person to another for a purpose which is other than taking the custody of goods is ________.
4. __________ refers to a formal promise or an agreement where goods are given as security for a debt, and a charge is created on the collateral.

ACTIVITY

Search on the Internet and understand the role of the guarantors in the loan agreement and restate their obligations with the help of the Internet.

5.3 SUMMARY

- The term special contracts as referred to the Indian Contract Act of 1872 indicates specific types of contracts which have their own rules and regulations different from the general law of contracts.
- An indemnity contract means that one party promises to assure the other against losses which may be incurred due to the wrongful conduct of self or any other party. e.g. Kishorebhai Patel v. National Insurance Co. (2001).
- An indemnity contract, like any other contract, has to satisfy the conditions of enforceability as contained under the Indian Contract Act, 1872, including offer and acceptance, legal consideration and legal object.

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- The indemnifier's liability arises in illuminating cases only when the indemnified party has endured a loss.
- A guarantee contract is a free-form covenant in which one person undertakes to perform on behalf of another if the latter fails to perform. e.g. State Bank of India v. N. Sundararajan (2004).
- A guarantee which is issued for a particular debt or a transaction and ceases after the transaction is completed is called a specified guarantee.
- Upon discharging the debt, the surety steps in the position of the creditor and can subsequently proceed against the principal debtor in the recovery of the debt.
- The transfer of possession of goods from a person to another person for a purpose which is other than taking the custody of goods is called bailment.
- A bailment is the delivery of goods by one person to another for some purpose, upon a contract that they shall, when the purpose is accomplished, be returned or otherwise disposed of according to the directions of the person delivering them. e.g. Mohribibi v. Dharmani (1952).
- Generally, a bailee shall exercise reasonable care towards the bailed goods considering the nature and the value of the goods, as a prudent owner would do in respect of his property.
- Pledge refers to a formal promise or an agreement where goods are given as security for a debt, and a charge is created on the collateral. e.g. Narandas Karsondas v. S.A. Kamtam (1981).

KEY WORDS

- **Bailor:** A person who provides certain property to the custody of another (the bailee) for a certain period or purpose, but remains the owner is a bailor
- **Indemnifier:** The person who undertakes to make good a loss suffered by the other person – an indemnifier, based on terms stated in an indemnity agreement
- **Liability:** A duty imposed on a person to carry out an obligation, make a certain payment or settle any damages caused, or in the case of a default, loss incurred
- **Pawnee:** In a pledge agreement, it refers to an entity that takes over the possession of goods placed under a pledge for safeguarding purposes, which entity may also decide to hold onto the goods or get rid of them in a case of default by the pledger

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- **Pawnor:** A person who makes delivery of the goods to the possessor is the Pawnor under the contract of pledge. The ownership rests with the Pawnor but the possession is transferred to the Pawnee
- **Principle debtor:** The individual can also be defined as a borrower whose debt obligation has been guaranteed and as the one who must pay from the guarantees given

5.4 MULTIPLE CHOICE QUESTIONS

1. A company seeks to safeguard itself from a potential heavy financial loss owing to the acts of a third party. Thus, as per Section 124 of the Indian Contract Act, 1872, what kind of contract will it be advisable for the company to enter into that would indemnify its loss due to acts by a third party?
   a. Contract of guarantee
   b. Contract of sale
   c. Contract of indemnity
   d. Contract of bailment
2. Rahul borrows ₹2,00,000 from a bank, and his friend Ravi guarantees the amount in case Rahul defers repayment. According to Section 126 of the Indian Contract Act, 1872, who is the surety in this contract?
   a. Rahul (Principal Debtor)
   b. The Bank (Creditor)
   c. Ravi (Person guaranteeing)
   d. The supreme court
3. A person enters into a contract of indemnity whereby he is indemnified from any monetary loss caused by a third party. What rights will the indemnified party have further under this contract apart from the right to compensation?
   a. Right to sue the indemnifier in case of loss
   b. Right to sell the indemnified property
   c. Right to claim compensation even for non-financial losses
   d. Right to transfer the indemnity contract to a third party
4. A businessman is thinking about providing a guarantee for his friend's loan, and he wants the guarantee to be specific as to the loan amount. What does this guarantee called?
   a. Continuing guarantee
   b. Specific guarantee
   c. General guarantee
   d. Abstract guarantee

NOTES

5. Surety has given a guarantee for repayment of a debt; subsequently, the contract by the principal debtor has not been fulfilled. According to Section 140 of the Indian Contract Act, what rights does the surety have concerning the above matter?
   a. The surety can demand the entire debt from the principal debtor.
   b. The surety can seek compensation from the creditor.
   c. The surety has the right to be discharged from the guarantee.
   d. The surety has the right to seek contribution from the principal debtor.
6. A company wants to protect itself against any financial harm that may result from the actions of a third party. According to Section 124 of the Indian Contract Act, 1872, what type of contract would be most appropriate for that company to enter to ensure indemnification for any losses arising from such acts by the third party?
   a. Contract of guarantee
   b. Contract of sale
   c. Contract of indemnity
   d. Contract of bailment
7. The bailor is aware that the goods have some defects but does not inform the bailee about those defects. Which section of the Indian Contract Act lays down that the bailor would inform the bailee regarding these defects?
   a. Section 147
   b. Section 148
   c. Section 149
   d. Section 150
8. There is a car with a bailee belonging to a bailor, and on finding that some damages have occurred to the car, the bailee intends to secure his interest. What right does the bailee have under Section 170 of the Indian Contract Act in this case?
   a. The bailee has the right to sell the car to recover the damages.
   b. The bailee can retain the car until the bailor reimburses for any costs.
   c. The bailee has no right to retain the car and must return it immediately.
   d. The bailee has the right to sue the bailor for damages.
9. In a pledge agreement, an individual offers his or her ornaments in security for a loan. If the borrower fails to pay back the loan, who owns the rights to possess the pledged ornaments?
   a. The borrower
   b. The pledgor
   c. The pawnee
   d. The government

NOTES

10. A person pledged his or her valuable articles as security for a loan. What is one of the obligations of the pawnee under Article 175 in the contract of pledge?
    a. To return the pledged articles to the pledgor at any time, irrespective of the debt status
    b. To sell the pledged articles if the debt is not repaid
    c. To take reasonable care of the pledged articles and return them after the loan is repaid
    d. To keep the pledged articles as collateral until the loan is paid back in full, without any obligation

5.5 DESCRIPTIVE QUESTIONS

1. Explain the significance of specific types of contracts in relation to modern business transactions. What is the difference between the special contracts and the ordinary contracts in respect of legal enforceability and obligations?
2. Analyse the role and importance of a contract of indemnity in mitigating risk for the businesses or individuals to whom the contract applies. How does this type of contract protect the indemnified party and what are the legal implications emanating from its execution?
3. Discuss the relationship in a contract of guarantee. Examine the rights and obligations of the guarantor, as well as how the terms of the contract affect these parties in the event of default.
4. Evaluate the contract of bailment from a legal and practical point of view. How does the concept of ownership and possession affect the rights and obligations of bailor and bailee, respectively?
5. Examine a contract of pledge in relation to security interests. How does this contract act as an instrument of protection for lenders, and what are the repercussions for the pledgor if the loan is not paid back?

5.6 HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

1. A financial consultant, A ensures B, who is a client, that they will pay for any losses that may arise from any litigation resulting from a property transaction that A had provided advice on. Subsequently, B finds bearable legal costs due to the dispute and makes a claim to A based on the agreements. To what type of contract does this arrangement present itself?
    a. Contract of sale
    b. Contract of indemnity

NOTES

c. Contract of guarantee

d. Contract of bailment

2. C, the owner of a small firm, borrows ₹50,000 from D, the local bank, to boost his business activities. C's friend E signs a contract of guarantee, where she commits to pay the bank should C fail to repay the loan. Some months later, C ran into trouble and defaulted on the loan. In this context, how E is bound under the contract of guarantee?

   a. E has no obligation to repay.

   b. E should repay the amount D lent C.

   c. E can either repay or not repay.

   d. E should procure another loan for C.

3. K brought his expensive watch to the repair shop for service. L, the shop owner, is tasked with fixing the watch and ensuring the watch is returned to K after repairs are done properly. What is the responsibility that L has concerning K's watch that is with L?

   a. To sell it in case they appreciate the value

   b. To retain the watch for their use for all time

   c. To safeguard the watch and give it back once the repair has been done

   d. To pass the watch to others while it is in the custody of the shop

4. In a rush to get some money, L borrows ₹1000 from M by using his laptop in the house to secure the money and promises that if he or she does not pay back the money within the set period, M can keep or sell the laptop. Which type of contract is the arrangement between L and M?

   a. Contract of sale

   b. Contract of bailment

   c. Contract of indemnity

   d. Contract of pledge

5. Raj has guaranteed a loan for his friend Sameer with the condition that the terms of the loan will remain unchanged. Bank ABC – the lender – later agrees with Sameer to change the terms of the loan without informing Raj. Sameer, thereafter, defaults on the loan repayment, and Bank ABC files a suit against Raj for recovery of the amount. In such a situation, what will be Raj's liability as a surety in respect of the loan with the condition that he would not be bound by the bank due to terms modifications?

NOTES

a. Raj is still liable, as the surety's obligation is unaffected by changes to the loan terms.

b. Raj is not liable, as the modification of the loan terms without his consent releases him from his obligations.

c. Raj is liable only for the original loan terms before the modification.

d. Raj's liability is unaffected if the changes benefit Sameer financially.

5.7 ANSWERS AND HINTS

ANSWERS FOR SELF ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
Special Contract	1.	True
	2.	False
	3.	bailment
	4.	Pledge

ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer	
1.	c.	Contract of indemnity
2.	c.	Ravi
3.	a.	Right to sue the indemnifier in case of loss
4.	b.	Specific guarantee
5.	d.	The surety has the right to seek contribution from the principal debtor.
6.	c.	Contract of indemnity
7.	c.	Section 149
8.	b.	The bailee can retain the car until the bailor reimburses for any costs.
9.	c.	The pawnee
10.	c.	To take reasonable care of the pledged articles and return them after the loan is repaid

HINTS FOR DESCRIPTIVE QUESTIONS

1. The special contracts as referred to in the Indian Contract Act of 1872 indicates specific types of contracts which have their own rules and regulations different from the general law of

contracts. These include contracts of indemnity, guarantee, bailment, and pledge. Refer to Section **5.2 Special Contract**

2. Indemnity can be seen as a situation in which one person guarantees to cover a loss borne by another person irrespective of whether the other person is at fault or any other person interfaces with the situation. The Indian Contract Act, 1872 intends to include this aspect in section 124. Refer to Section **5.2 Special Contract**
3. A guarantee contract is a free-form covenant in which one person undertakes to perform on behalf of another if the latter fails to perform. Refer to Section **5.2 Special Contract**
4. The transfer of possession of goods from a person to another person for a purpose which is other than taking the custody of goods is called bailment. Refer to Section **5.2 Special Contract**
5. A contract of pledge is a distinct and specific type of bailment in which a customer (the Pawnor) turns over possession of goods to a business (the Pawnee) in exchange for the guarantee of repayment of a debt or the performance of an obligation. In detail, such provisions are included in Sections 172 to 179 of the Indian Contract Act, 1872. Refer to Section **5.2 Special Contract**

ANSWERS FOR HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

Q. No.	Answer
1.	b. Contract of indemnity
2.	b. E should repay the amount D lent C
3.	c. To safeguard the watch and give it back once the repair has been done
4.	d. Contract of pledge
5.	b. Raj is not liable, as the modification of the loan terms without his consent releases him from his obligations.

5.8 SUGGESTED READINGS & REFERENCES

SUGGESTED READINGS

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CASE LAW

NOTES

SUPREME COURT RULING ON THE TREATMENT OF COMPUTER SOFTWARE AS 'GOODS' LIABLE FOR SALES TAX

On November 5, 2019, the Supreme Court of India (Supreme Court) made a relevant ruling on one of its crucial aspects regarding the treatment of computer software as copyright or a taxable product on which sales tax is payable and which can also be pledged or bailed. The court ruled that computer software is a good that is subject to sales tax. The ruling was in connection with the appeal that the Indian software and IT services company INFO TECH filed before the Supreme Court against the decision of the Andhra Pradesh (AP) High Court which permitted the imposition of sales tax on 'computer software', branding it as a good under the AP General Sales Tax Act, 1957.

Case Objective

The purpose is to examine how the Supreme Court understood and interpreted the provisions relating to the taxation of digital products and how this decision will affect other digital products and the software industry in particular.

In 1994, the AP government declared that software in the form of CD-ROM or floppy disks was liable for state sales tax since it was considered to be a physical commodity. Moreover, the AP government contended sales tax to the 'canned software' packages sold by INFO TECH, which bears the copyright to the individual or companies who manufactured the software. INFO TECH contested such a ruling by the state. It contended that there is no way the said software can be classified as 'goods' for purposes of taxation since it is created through the intellect and is non-physical, that is, the software can only be contained in floppy and compact disks.

Mohan, the attorney for INFO TECH, stated that software would not be classified as good in AP because only moveable physical things were encompassed in Section 2(h) of the AP General Sales Tax Act. He added that the state's sales tax act will not apply to computer programs as it will not define them as movable and tangible property.

The AP High Court ruled that all branded software was liable to state sales tax after the district courts of AP rejected petitions by INFO TECH. Later when the case was brought to the Supreme Court for a hearing, which was in 2001, INFO TECH was at the centre of it. There was a judgment of the Supreme Court which reaffirmed the ruling of the AP High Court and ruled that the Government of AP was empowered to levy duty on the pre-packaged software belonging to INFO TECH. This decision modestly enhanced the income of the state government since custom-developed software constituted only 10% of the total software market in India.

NOTES

CASE LAW

The following table shows the difference between physical product and intellectual product.

Aspect	Physical Product	Intellectual Property
Tangibility	Tangible and has a physical form (e.g., smartphone, car)	Intangible and represents ideas, inventions, or brands (e.g., patents, copyrights, trademarks)
Ownership transfer	Ownership is transferred through the physical product itself	Ownership is transferred through rights or licenses to use, copy, or distribute (e.g., licensing of software)
Durability and reproducibility	Subject to wear and tear; limited in quantity unless mass-produced	Can be reproduced infinitely without degradation (e.g., software or music files)
Legal protection	Protected under property laws and regulations related to tangible goods	Protected by IP laws such as patents, copyrights, and trademarks, providing exclusive rights to the creator
Example	Smartphone, Television, Laptop	Patent for an invention, Copyright for a book, Trademark for a logo

QUESTIONS

1. Assess the decision made by the Supreme Court on considering software as a product, which is liable to sales tax.

   (**Hint:** Kinds of software, sales tax)

2. What was the effect of the ruling on the revenue of the state government?

   (**Hint:** Taxation effects)

6 CHAPTER

LAW OF SALE OF GOODS

CONTENTS

CONTENTS

INTRODUCTORY CASELET

NOTES

BREACH OF CONTRACT OF SALE

'A' goes to a chemist's shop to buy a hot water bottle. The chemist shows him a bottle and says that the bottle will not stand boiling water, but is fit to store hot water. On this representation by the chemist, 'A' buys the bottle. After a few days, while 'A' was using the bottle, it burst and caused injuries to 'A'.

Thereupon, it is found on examination that the bottle is not fit to be used as a hot water bottle. It is to be examined what the specific requirement of 'A' was while buying the bottle. In this case, 'A' specifically mentioned his purpose while buying the bottle, i.e., a bottle that can store hot water. Therefore, there was an implied condition by 'A' that the bottle must be capable of storing hot water and the same has been breached by the seller.

The seller is liable to pay damages to 'A' for the breach of this condition.

(**Source:** Priest v. Last (1903) 2 K.B. 148.)

Case Objective

The aim of this caselet is to understand the implications of implied conditions in a contract and the seller's liability for breach.

NOTES

LEARNING OBJECTIVES

After studying this chapter, you will be able to:

- Explain the concept of Sale of Goods Act, 1930
- Discuss the essentials of the contract of sale
- Describe the conditions and warranties
- Explain the doctrine of caveat emptor
- Discuss caveat venditor
- Define unpaid seller

6.1 INTRODUCTION

In the previous chapter, you studied the Special Contract Act. The chapter also gave an insight into the contract of indemnity. You also studied the contract of guarantee. In the end, the chapter discussed the contract of bailment and the contract of pledge.

Till now, you have studied the contracts in general. However, the contracts for the sale of goods are governed by the Sale of Goods Act, 1930. Before 1930, the law relating to the sale of goods was contained in the Indian Contract Act, 1872. In the year 1930, the Sale of Goods Act was enacted which came into force on 1st July 1930. This chapter starts with an explanation of the meaning of goods and their types, namely the existing goods, future goods and contingent goods.

The sale of goods act governs transactions involving the sale and purchase of goods. This Act outlines the essential elements of a valid sale contract, the duties and rights of the buyer and seller and the conditions and warranties that apply to goods sold. A sale, as defined by this law, is a contract where the seller transfers or agrees to transfer the ownership of goods to the buyer in exchange for a price. The Act focuses on ensuring transparency, fairness and protection for both parties involved, with clear guidelines on what constitutes a legal sale, along with remedies for breach of contract.

This law is a distinction between a sale and an agreement to sell. In a sale, ownership of goods transfers immediately from the seller to the buyer, making it an absolute contract. In contrast, an agreement to sell refers to a future transfer of ownership, which will only occur upon fulfilment of certain conditions, making it a conditional contract. The law further covers the classification of goods (existing, future and contingent), various types of conditions and warranties and the obligations of both buyers and sellers, including payment, delivery and acceptance of goods. This legal framework supports commercial transactions by protecting buyers against unfair trade practices and providing sellers with rights in case of buyer default.

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The shift from the Indian Contract Act, 1872 to the Sale of Goods Act, 1930, was driven by the need for a more specialised legal framework to address the growing complexity of trade and commerce. The 1872 Act's general provisions were insufficient for regulating intricate issues related to the sale and purchase of goods. The new Act provided clarity, uniformity, and fairness in commercial transactions by focusing specifically on goods-related contracts.

The chapter begins with a detailed discussion about the law of sale of goods. Next, you will study the concepts of Sale of Goods Act, 1930. In addition, the chapter also discusses the conditions and warranties and doctrine of caveat emptor. At the end, the chapter describes the concepts of caveat venditor and unpaid seller.

6.2 DEFINITIONS

The Sale of Goods Act, 1930 governs the sale of goods in India and lays down several important definitions essential for understanding its provisions. Some important definitions under the Sale of Goods Act, 1930 are as follows:

- **Goods [Section 2(7)]:** Goods means every kind of movable property other than actionable claims and money and includes stock and shares, growing crops, grass, and things attached to or forming part of the land which are agreed to be severed before sale or under the contract of sale.

  Example A: A television set being sold by an electronics store is a good. However, cash payments made for the TV are not considered goods.

  Example B: A bakery selling a batch of cakes to a customer, while cash received for the cakes is not considered goods.

- **Buyer [Section 2(1)]:** A buyer is a person who buys or agrees to buy goods under a contract of sale. This definition includes both a person who has completed a purchase and one who has made an agreement to purchase but hasn't yet acquired the goods.

  Example A: A person who purchases a car from a dealership or agrees to buy a car but hasn't taken delivery yet.

  Example B: A customer placing an online order for a mobile phone but awaiting its delivery.

- **Seller [Section 2(13)]:** A seller refers to a person who sells or agrees to sell goods under a contract of sale. Like the buyer, this term applies whether the sale is complete or there is an agreement to sell.

  Example A: A vendor selling fruits in a market or a person who agrees to sell a house in the future.

  Example B: A farmer agreeing to sell a crop after harvest is a seller in an agreement to sell.

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- **Contract of sale [Section 4(1)]:** A contract of sale of goods is a contract whereby the seller transfers or agrees to transfer the property in goods to the buyer for a price. A contract of sale includes both a sale and an agreement to sell.

  Example A: A company entering into a contract to sell 1,000 laptops to a client, either through an immediate sale or a future agreement to sell.

  Example B: A furniture retailer signing a contract to sell 50 chairs to a hotel chain.

- **Sale [Section 4(3)]:** A sale occurs when ownership of the goods is immediately transferred from the seller to the buyer. This is different from an agreement to sell, where ownership is transferred at a future date.

  Example A: A bookshop selling a book to a customer, where the ownership is immediately transferred.

  Example B: A bookstore immediately transferring ownership of a novel to a customer upon purchase.

- **Agreement to sell [Section 4(3)]:** An agreement to sell is a contract under which the transfer of ownership of goods is to take place at a future time or subject to certain conditions to be fulfilled later. Once these conditions are met, the agreement to sell becomes a sale.

  Example A: A car dealership agreeing to sell a specific model of a car to a customer after a month.

  Example B: A jeweler agreeing to deliver a custom-designed ring in two weeks after crafting it.

- **Price [Section 2(10)]:** Price refers to the money consideration for a sale of goods. It is the monetary compensation that the buyer pays to the seller for the transfer of ownership of goods. Price can be fixed by the contract, left to be determined in a manner agreed upon, or be determined by the course of dealings between the parties.

  Example A: A customer agrees to pay ₹50,000 as the price for a new smartphone.

  Example B: A tech company negotiating and agreeing to pay ₹5 lakhs for new office computers.

- **Conditions [Section 12(2)]:** A condition is a stipulation essential to the main purpose of the contract, the breach of which gives the aggrieved party the right to treat the contract as repudiated (i.e., voidable) and to claim damages.

  Example A: A buyer purchases a machine on the condition that it will process 100 units per hour. If it fails, the buyer can cancel the contract.

Example B: A buyer purchases a car on the condition it achieves 20 km/l mileage; failing this, the contract can be voided.

- **Warranties (Section 12(3)):** A warranty is a stipulation that is collateral to the main purpose of the contract. The breach of a warranty gives the aggrieved party the right to claim damages but does not entitle them to treat the contract as repudiated.

  Example A: A refrigerator is sold with a 1-year warranty for repairs. If it breaks down, the seller will repair it, but the buyer cannot return the fridge.

  Example B: A smartphone comes with a 6-month replacement warranty for hardware defects.

- **Delivery [Section 2(2)]:** Delivery refers to the voluntary transfer of possession from one person to another. The delivery of goods can be actual, symbolic or constructive.

  Example A: A courier company delivering a package from an online retailer to a customer's home.

  Example B: A grocery store arranging for the home delivery of purchased vegetables.

- **Specific goods [Section 2(14)]:** Specific goods refer to goods that are identified and agreed upon at the time the contract of sale is made. These are goods that the buyer and seller specifically refer to and select for the contract.

  Example A: A buyer selecting and agreeing to buy a specific, identified painting from an art gallery.

  Example B: A photographer selling a specific camera model identified during the contract.

- **Future goods [Section 2(6)]:** Future goods refer to goods that are to be manufactured or acquired by the seller after the making of the contract of sale. Since these goods do not exist at the time of the contract, they cannot be the subject of a present sale but can be sold through an agreement to sell.

  Example A: A farmer agreeing to sell next season's wheat harvest that is yet to be produced.

  Example B: A fashion designer agreeing to deliver a new collection that is yet to be made.

- **Existing goods [Section 6(1)]:** Existing goods are goods owned or possessed by the seller at the time of the contract of sale. They exist at the time of the sale, unlike future goods.

  Example A: A person selling their old furniture that they currently own and possess.

  Example B: A homeowner selling their current sofa to a friend.

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- **Contingent goods [Section 6(2)]:** Contingent goods are a type of future goods, where the acquisition of the goods by the seller is dependent on a future uncertain event. These goods will be sold if the condition precedent is fulfilled.

  Example A: A seller agreeing to sell a car if they win an upcoming auction for the car. The sale depends on the outcome of the auction.

  Example B: A dealer agreeing to sell a vehicle, contingent on receiving it from the manufacturer's next shipment.

SELF ASSESSMENT QUESTIONS

1. _________ are a type of future goods, where the acquisition of the goods by the seller is dependent on a future uncertain event.
2. _________ includes any transportable property, with the exception of cash and actionable claims.
3. _________ refers to the voluntary transfer of possession from one person to another.

ACTIVITY

With the help of the Internet, find the formation of the Sales of Goods Act, 1930.

6.3 SALE OF GOODS ACT, 1930 - OBJECTIVE

The objective of the Sale of Goods Act, 1930 is to regulate the sale and purchase of goods and to define the rights, duties and liabilities of buyers and sellers in contracts for the sale of goods. It aims to provide a legal framework that ensures fairness, certainty and transparency in commercial transactions involving movable property. Some objectives of the Sale of Goods Act, 1930 are as follows:

- **Codification of law:** To ensure consistency in the legal principles that apply to business transactions, the legislation governing the sale of products in India must be codified and consolidated.
- **Rights and duties:** To ensure that all parties are aware of their responsibilities, contracts for the sale of commodities should explicitly outline the rights and duties of both purchasers and sellers.
- **Transfer of ownership:** To control how ownership of commodities is transferred from the seller to the buyer, with explicit guidelines about the timing of the transfer of risk and ownership.
- **Provide a clear framework for the sale of goods:** It creates a legal framework that regulates the ownership transfer of items

and specifies important terms such as sale, agreement to sell, conditions and warranties.

- **Protect the interests of both buyers and sellers:** The Act guarantees that in the case of breach of contract, non-delivery, defective goods or other issues, both parties have clearly defined rights and remedies.
- **Facilitate commerce and trade:** By providing consistent guidelines for the sale of commodities, it encourages seamless business dealings throughout India, reducing the likelihood of conflicts and boosting business certainty.
- **Ensure fairness in transactions:** By outlawing exploitation, upholding fairness standards and offering guidance for resolving disputes, the Act promotes fair trading practices.

6.3.1 ESSENTIALS OF CONTRACT OF SALE

According to the Sale of Goods Act of 1930, the essentials of a contract of sale establish the fundamental components that must exist for a contract of sale to be enforceable in court. To guarantee mutual understanding, clarity and legal behaviour between the buyer and seller, each need is vital. Here is a detailed explanation of each essential element:

- **Two parties:** A contract of sale requires two distinct parties—a seller and a buyer. The seller must be the party transferring ownership of the goods, while the buyer is the one to whom the goods are transferred.

  Example A: A shop owner selling a laptop to a customer. The shop owner is the seller, and the customer is the buyer. Both must be distinct individuals or entities in this transaction.

  Example B: A freelance artist selling a painting to an art collector. The artist is the seller, and the collector is the buyer.

- **Goods:** The contract must involve goods as its subject. Goods are defined as movable items, which include all types of personal property, except actionable claims and money.

  Example A: Items like electronics, furniture or crops can be subject to a contract of sale, while land (immovable property) is not considered under this Act.

  Example B: A baker selling a custom-designed wedding cake to a client, which qualifies as goods under the Act.

- **Transfer of ownership:** The primary purpose of a contract of sale is to transfer ownership or title from the seller to the buyer. The contract must clearly state this intention to ensure both parties understand that ownership, not merely possession, is being transferred.

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Example A: When buying a car, the contract should explicitly indicate that the buyer will own the car once the transaction is complete.

Example B: A car rental service selling an old vehicle from its fleet, transferring full ownership to the buyer.

- **Price or consideration:** There must be a price in money (monetary consideration) involved in the contract, as it is essential to distinguish a sale from other agreements, like barter.

  Example A: If a bike is being sold for ₹10,000, this amount represents the price, which the buyer agrees to pay to acquire ownership of the bike from the seller.

  Example B: A bookstore selling a novel for ₹500, where the ₹500 serves as the monetary consideration.

- **Agreement to sell and sale:** A contract of sale may either be an actual sale or an agreement to sell. If the transfer of goods is immediate, it is a sale. If it's deferred to a future date or contingent upon certain conditions, it's an agreement to sell.

  Example A: If you buy a laptop today and the ownership is transferred immediately, it's a sale. If the laptop will be delivered and ownership transferred in two weeks, it's an agreement to sell until that date.

  Example B: Pre-ordering a limited-edition smartphone with delivery in three weeks constitutes an agreement to sell until the phone is delivered.

- **Competency of parties:** Both the seller and buyer must be legally competent to enter into a contract, which means they should meet the criteria defined under the Indian Contract Act, 1872. They must be of legal age, of sound mind and not disqualified by law.

  Example A: A minor purchasing a vehicle would not constitute a valid contract of sale since the minor is not legally competent.

  Example B: A business purchasing office supplies from a registered vendor, where both entities meet the legal competency requirements.

- **Free consent:** Both parties must enter the contract willingly, without coercion, undue influence, misrepresentation, fraud or mistake. Consent must be given freely to make the contract valid.

  Example A: If a person is forced to sell their property due to threats, the contract is voidable at the option of the party whose consent was not freely given.

  Example B: A farmer freely agreeing to sell their produce to a wholesale merchant without any misrepresentation or undue pressure.

- **Lawful object and consideration:** The object and consideration of the contract must be lawful. This means the transaction should not involve illegal goods or prohibited activities.

  Example A: A contract to sell prohibited drugs or counterfeit goods would be illegal and thus unenforceable.

  Example B: A software company selling a licensed antivirus program complies with lawful object and consideration.

- **Possibility of performance:** The goods being sold should exist and be in deliverable condition, or they should be capable of being produced or acquired in the future. The contract must be possible to perform.

  Example A: A contract for the sale of a batch of goods that has been destroyed before the contract is finalised would not be enforceable, as performance is impossible.

  Example B: A clothing store agreeing to sell a custom-tailored suit that will be ready for delivery in two weeks ensures the goods exist or can be produced.

- **Certainty of terms:** The terms of the contract must be certain and unambiguous. Both parties should have a clear understanding of the terms, including the description, price and quantity of the goods.

  Example A: If a contract states that 50 units of a specific type of machinery will be sold at ₹1,00,000 per unit, the terms are clear. An ambiguous agreement, such as "some units at a negotiable price," would not be valid due to the uncertainty of terms.

  Example B: A builder agreeing to sell 10 tonnes of cement for ₹5,000 per tonne, with delivery by the next week, ensures the terms are clear and unambiguous.

SELF ASSESSMENT QUESTIONS

4. A contract of sale can involve immovable property, such as land, under the Sale of Goods Act, 1930. (True/False)
5. Both parties in a contract of sale must be legally competent, meaning they should be of legal age and sound mind as per the Indian Contract Act, 1872. (True/False)

ACTIVITY

Draft a mock contract of sale for a product of your choice, ensuring that you include all essential elements outlined in the Sale of Goods Act,1930.

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6.4 CONDITIONS AND WARRANTIES

When you buy some goods, like electronic gadgets, you are concerned about their warranty period. You always ask the seller about the warranty to ensure that the product gets easily replaced or repaired even if it is found to be faulty after purchase. Thus, the sale or purchase of goods forms a contractual relationship between a buyer and the seller. These contractual relationships lead to certain rights and liabilities.

Whenever there is a breach of these rights and liabilities, a breach of contract arises. To avoid or curb the instances of a breach of contract, the terms 'Condition' and 'Warranty' are mentioned in the contract of sale to determine remedies the parties can claim in case of a breach by either of the parties.

6.4.1 CONDITION

A condition is a stipulation which is essential for the very purpose of the contract and gives the aggrieved party an option to terminate the contract.

Example: A asks B, a two-wheeler dealer, if he wants to purchase a bike that can run at a speed of 200 miles/hour. B suggests a bike to A, and A purchases the suggested bike. However, A finds that the bike purchased by him is not running at the required speed which was one of the conditions of the contract. On breach of this condition, A is entitled to reject the bike and seek a refund of the price paid.

It must be noted that the non-fulfilment of a condition is considered to be a breach of contract. In other words, non-fulfilment of a condition is considered akin to failure to perform the contract. When a condition is not fulfilled, the buyer has the right to terminate the contract and recover damages.

6.4.2 KINDS OF CONDITIONS

There are two types of conditions, which are explained as follows:

- **Express condition:** It is a condition inserted in a contract with the mutual consent of both parties.

  Example: If Sarita wants to buy an air conditioner that has a five-star rating, then the five-star rating is an express condition.

- **Implied condition:** It is a condition that the law automatically presumes the existence of some terms in a contract, even though parties to a contract may not have made any express contract related to those.

Example: If Sarita purchases an air conditioner from a store, it is implied that the air conditioner will be fit for cooling. Even though Sarita and the seller did not specifically discuss this, the law assumes this condition as part of the contract for her purchase.

6.4.3 TYPES OF IMPLIED CONDITIONS

Implied conditions are those conditions not explicitly stated in a contract but assumed by law. The law incorporates different implied conditions in a contract of sale, as shown in Figure 6.1:

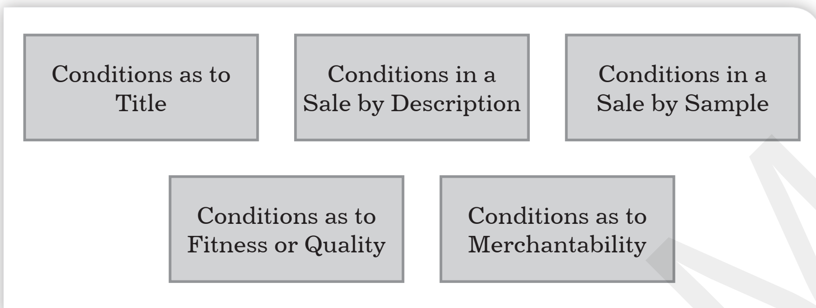

Figure 6.1: Implied Conditions in a Contract

Let us now discuss these implied conditions.

- **Conditions as to title:** In every contract, there is an implied condition on the part of the seller that he is the owner of the goods. In the case of a sale, the seller has a right to sell goods and in the case of an agreement to sell, the seller will have the right to sell at the time when the title of the property is to pass.

  Example A: Ram purchases a second-hand car from Suresh, a car dealer. After a few months, the car was taken by the police for it being a stolen one. Hence, Ram can recover the full price from Suresh since he has committed a breach of the condition of the title.

  Example B: Priya purchases a pre-owned smartphone from an online reseller platform. Later, the phone is blocked as it was reported stolen. Priya can demand a refund as the seller breached the condition of title.

- **Condition in a sale by description:** In a contract for the sale of goods by description, there is an implied condition that the goods shall correspond with the description given. The description may be in terms of grade, brand, symbol, packaging, quality or characteristics of the goods, such as basmati rice, champagne, MP wheat, etc.

  Example A: X bought a machine from Y who claimed it to be only six months old. However, after using it, X found that the machine

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was extremely old. X has the right to reject the machine as the description of the machine does not match the one provided by the seller.

Example B: Raj orders a smartwatch advertised as "waterproof up to 50 meters." If the watch malfunctions after being submerged in water, he can reject the product as it does not match the description.

- **Condition in a sale by sample:** When, under a contract of sale, goods are supplied according to a sample, the implied conditions are that:
  - The bulk shall correspond with the sample shown.
  - The buyer shall have a reasonable opportunity to compare the bulk with the sample.
  - The goods must be free from any defect that renders goods un-merchantable and which is not apparent on reasonable examination (latent).

  Example A: In E&S Ruben Ltd. vs. Fair Bros. (1949), some rubber rolls were sold corresponding to the specific length and width. However, the supplied rolls did not match the sample, giving a right to the buyer to repudiate the contract.

  Example B: A bakery orders 100 pieces of cupcakes based on a sample provided by a supplier. If the delivered batch differs in taste or decoration from the sample, the bakery has the right to reject the order.

- **Condition as to fitness or quality:** Under a contract of sale, there is no implied condition as to the quality or fitness of goods supplied. In fact, in most agreements, this assurance or condition of fitness or quality is specifically disclaimed by the seller. This is expressed by the principle of caveat emptor (i.e., let the buyer beware). However, the buyer has the right to satisfy himself/herself about the quality of goods. In the following cases, an implied condition is deemed to exist on the part of the seller that the goods supplied shall be reasonably fit for the purpose for which the buyer wants them:
  - The buyer discloses the purpose for which the goods are needed except where the purpose is self-evident from the nature of the goods.
  - The buyer relies on the seller's skill or judgement.
  - The business of the seller must be to sell goods of that kind.

  Example A: A customer purchased a packet of milk from H's dairy. However, the milk was infected with typhoid bacteria, resulting in the customer's wife falling ill on consumption of milk. He will be liable to pay damages as it is a case of breach of condition of fitness.

Example B: A software company purchases an antivirus program for corporate use. If the software fails to detect viruses and causes data loss, the company can claim damages under breach of fitness.

- **Condition as to merchantability:** There is an implied condition that the goods shall be of merchantable quality unless specifically disclaimed by the seller, or the goods are specifically stated to be sold on an 'as is' condition (i.e., with all their defects). The expression 'merchantable quality' means that goods are free from any latent defects. The quality and condition of the goods must be such that an individual would accept them as the goods of that description.

  Example A: A customer bought some worst-quality coatings after seeing the sample. Later, it was discovered that the clothing was unfit for stitching into coats. The same defect was also there in the sample but it was discoverable by ordinary examination. The goods were held to be un-merchantable.

  Example B: A consumer buys a smart TV that unexpectedly shuts down during normal use. The TV can be considered unmerchantable, and the buyer can demand a replacement or refund.

6.4.4 WARRANTY

Section 12(3) of the Sale of Goods Act, 1930 defines a warranty as a stipulation that is collateral to the main purpose of the contract. It is not a condition but an assurance provided by the seller, which becomes significant if the goods are found defective or do not meet specified requirements after the sale. A breach of warranty does not entitle the buyer to repudiate the contract but only to claim damages. Warranties are meant to protect the buyer's interests by ensuring the goods meet certain quality standards and specifications.

6.4.5 TYPES OF WARRANTIES

In contract law, warranties are secondary terms or stipulations in a contract that provide assurance about certain aspects of goods or services. Unlike conditions, breaches of warranties do not allow for contract termination but entitle the injured party to seek damages. Warranties ensure that the product or service meets specified standards, offering protection to the buyer and promoting trust in contractual agreements. These play a vital role in commercial transactions, particularly in sales of goods and services.

Similar to conditions, there are two types of warranties, which are:

- **Express warranty:** It is a warranty which is added in a contract by expressed words (oral or written) between the two contracting parties.

N O T E S

Example: If Sarita purchases an air conditioner with a written agreement from the seller that it will have a five-year warranty on parts and repairs, this is an express warranty. The seller has explicitly promised that any parts or repairs needed within five years will be covered, which is stated in the contract or purchase agreement.

- **Implied warranty:** It is a warranty that can be inferred from the conduct of parties regarding the existence of some terms in a contract even though the parties to a contract may not have made any express contract related to those.

  Example: If Sarita purchases an air conditioner, there is an implied warranty that it must not be dented or otherwise damaged.

TYPES OF IMPLIED WARRANTY

The law provides for the following types of implied warranties (unless otherwise agreed upon) in a contract of sale:

- **Warranty of quiet possession [Section 14(b)]:** As per this implied warranty, the buyers shall have and enjoy quiet possession of the goods. The buyer will not face any disturbance of any kind including the seller himself. This is an extension of the implied condition as to the title. If the buyer's quiet possession is disturbed due to a defective title, the buyer can claim damages from the seller.

  Example A: Anita purchases a laptop from Sarita and spends some money on its repair. However, the laptop sold by Sarita was a stolen one. Therefore, in this case, Anita can file a suit for a claim against Sarita for the recovery of damages, including the cost of repair.

  Example B: An IT firm purchases licensed graphic design software. If another company claims infringement and demands the software's removal, the firm can seek damages for breach of quiet possession.

- **Warranty as to freedom from encumbrances [Section 14(c)]:** As per this implied warranty, the goods that are sold must be free from any charge of a third party. In other words, the goods must be free from any encumbrance in favour of any third person.

  Example A: Mitali borrows ₹3, 00,000 from Rahul and hypothecates her car with Rahul as security. After a month, Mitali sells the car to Jagdish who buys the car in good faith. In this case, Jagdish can claim damages from Mitali because his possession is disturbed by Rahul having a charge. However, if the buyer is aware of such a charge or encumbrance, this warranty shall not hold.

Example B: A car buyer discovers after purchase that the vehicle has an unpaid loan associated with it. The buyer can demand compensation from the seller for breach of warranty.

- **Warranty of disclosing the dangerous nature of goods to the ignorant buyer (Section 16(1)):** As per this implied warranty, the seller has to disclose the dangerous nature or dangers associated with the use of the goods that he is selling. In such a case, the buyer can claim compensation for damages.

  Example A: Ashok purchases a strong chemical disinfectant from Zoya. Zoya knows that the packaging of the product is defective and must be handled with care, or else it may prove to be dangerous. However, Zoya does not disclose this to Ashok who opens the packet and the disinfectant rushes out suddenly causing severe damage to his eyes. In this case, Zoya is liable to pay for damages caused to Ashok.

  Example B: A tech enthusiast buys a lithium-ion battery without being informed of proper handling precautions. If the battery catches fire due to mishandling, the buyer can claim damages for non-disclosure of its hazardous nature.

6.4.6 DISTINGUISH BETWEEN CONDITION AND WARRANTY

As mentioned earlier, both conditions and warranties are types of stipulations. The decision to categorise a certain stipulation as being a condition or a warranty depends on the very nature of the stipulation. If the stipulation forms the basis of a contract, it is considered as a condition and if the stipulation is only a collateral promise, then it is considered as a warranty.

When a buyer would not have purchased the goods in the absence of a stipulation, it is called a condition. However, if a buyer would still have purchased the goods in the absence of the stipulation, it is called a warranty. When the stipulations are only designed to assure the quality and suitability of the goods, it is called a warranty.

The difference between the two stipulations (condition and warranty) can be judged from the fact of whether the breach of the stipulation would make the rights of the aggrieved party nugatory or not. If it does, the stipulation is a condition. If the stipulation is only auxiliary, it is a warranty.

In each case, the decision regarding whether a stipulation is a condition or warranty depends on the construction of the contract. In case of court disputes, the court takes guidance from the terms of the contract and circumstances. This view is also supported by Section 12(4), according to which a stipulation may be a condition, though called a warranty in the contract.

NOTES

Some of the important differences between a condition and a warranty are shown in Table 6.1:

TABLE 6.1: DIFFERENCE BETWEEN CONDITION AND WARRANTY

Basis	Condition	Warranty
Definition	A condition is a fundamental stipulation essential to the main purpose of the contract.	A warranty is a subsidiary term or promise in a contract.
Importance	It is crucial to the contract; its breach may lead to termination of the contract.	It is not essential to the contract; its breach results in a claim for damages, but not termination.
Remedy for Breach	The aggrieved party can terminate the contract and claim damages.	The aggrieved party can only claim damages but cannot terminate the contract.
Example	Delivery of the correct type of goods as per contract.	Guarantee about the quality or condition of goods.
Legal Provisions (India)	Governed under Section 12(2) of the Sale of Goods Act, 1930.	Governed under Section 12(3) of the Sale of Goods Act, 1930.

EXHIBIT

A Condition Can Become a Warranty but a Warranty Cannot Become a Condition – Concept and Examples

According to Section 13 of the Act, a condition is to be treated as a warranty under three cases as mentioned in Sections 13(1), 13(2) and 13(3). In all these three cases, the aggrieved party has the right to claim damages, but it cannot rescind the contract. Section 13(1) states that where a contract of sale is subject to any condition to be fulfilled by the seller, the buyer may waive the condition or elect to treat the breach of the condition as a breach of warranty and not as a ground for treating the contract as repudiated.

This means that the buyer may voluntarily waive the condition. Here, the buyer's waiving off of the condition and treating the breach of condition as a breach of warranty is completely voluntary and it depends upon the will of the buyer. When a buyer finds out that the seller has committed a breach of condition, the buyer has the right to repudiate the contract. However, if the buyer does not repudiate the contract, it is assumed that he has waived off the condition. And after a condition has been voluntarily waived off by the buyer, he cannot ask the seller to fulfil it.

Example: Lipikant, a wholesaler, agrees to supply 100 kg of A1 quality wax powder to Hemant, a retailer, at the rate of ₹130/kg. However, Lipikant supplies 100 kg of A3 quality wax powder at the rate of ₹90/ kg. Here, if Hemant does not repudiate the contract and considers voluntarily waiving off the condition, he can claim a compensation of ₹40/ kg from Lipikant.

Section 13(2) states that where a contract of sale is not severable and the buyer has accepted the goods or part thereof, the breach of any condition to be fulfilled by the seller can only be treated as a breach of warranty and not as a ground for rejecting the goods and treating the contract as repudiated, unless there is a term of the contract, express or implied, to that effect.

This means that when a buyer has accepted goods and comes to know about the breach of condition later, he cannot reject the goods, but can claim for damages. There can be certain cases where the buyer has accepted a part of the entire consignment and the contract is indivisible.

In this case, the buyer has to accept the entire consignment but has the right to claim damages. For example, upon the purchase of a television, the buyer finds that the remote of the TV is defective and in that case the buyer cannot repudiate the contract but claim damages as both are not severable.

In the case of a divisible contract, the buyer has to retain goods that have been accepted and claim damages for the part of goods received. However, for the remaining unaccepted part of the goods, the buyer can repudiate the contract.

In this regard, Section 42 of the Sale of Goods Act, 1930 describes acceptance as: the buyer is deemed to have accepted the goods when he intimates the seller that he has accepted them or when the goods have been delivered to him and he does any act in relation to them which is inconsistent with the ownership of the seller, or when, after the lapse of a reasonable time, he retains the goods without intimating the seller that he has rejected them.

Section 13(2) states that nothing in this Section shall affect the case of any condition or warranty, the fulfilment of which is excused by law by reason of impossibility or otherwise. It means that when the fulfilment of a condition or warranty is excused by the law, the condition may be treated as warranty.

SELF ASSESSMENT QUESTIONS

6. A __________ is a stipulation which is essential for the very purpose of the contract and gives the aggrieved party an option to terminate the contract.
7. __________ is a condition inserted in a contract with the mutual consent of both the parties.

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ACTIVITY

Find some advantages and disadvantages of conditions and warranties.

6.5 DOCTRINE OF CAVEAT EMPTOR

The Sale of Goods Act of 1930 established the customary rule known as the doctrine of caveat emptor, or "let the buyer beware," which states that the customer must make sure the products they buy fulfil their requirements and quality standards. According to this theory, it is the buyer's responsibility to examine and assess the products before making a purchase; hence, unless specifically agreed upon, the seller is not required to reveal any flaws or issues about appropriateness. In principle, there is "no implied warranty or condition as to the quality or fitness for any particular purpose of goods supplied," unless certain exceptions apply, according to Section 16 of the Sale of Goods Act, 1930.

Section 16 lists a number of significant exceptions to the doctrine's overall shift of obligation to the buyer. For example, there is an implicit condition that the items delivered will be suitable for the specified purpose if the customer specifies a specific use for the goods. The implied condition as to fitness for purpose is the name given to this exemption. Additionally, an implicit condition of merchantability applies if products are purchased by description from a seller that specialises in those kinds of goods; this means that the commodities must be of a quality that satisfies reasonable buyer expectations under normal usage. By assuming that products would often match their description and intended use, this shields the customer from being deceived.

The applicability of the theory has changed over time, especially in light of contemporary consumer protection regulations and the caveat vendor (let the seller beware) doctrine, which places some of the blame back on merchants. Caveat emptor is still a good rule of thumb, though, particularly in situations like commercial or second-hand sales when buyers are supposed to know more. Thus, the Sale of Goods Act, 1930, offers a fair and transparent method by requiring sellers to achieve quality requirements under certain situations while simultaneously requiring purchasers to do due diligence.

6.5.1 EXCEPTIONS TO CAVEAT EMPTOR

The buyer must make use of his skill and judgment while making the purchase. In this regard, Section 16 of the Sale of Goods Act, 1930 states that there is no implied warranty or condition for the quality of the goods or the fitness, as to the purpose of the buyer under the contract of sale.

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However, there are certain exceptions to the doctrine of caveat emptor as follows:

- **Fitness of product for the buyer's purpose:** When the buyer informs the seller about the purpose of purchasing the goods, it is implied that the buyer is relying on the seller's judgment. In such a case, it becomes the seller's duty to ensure that the goods are suitable for the intended purpose of the buyer.

  For example, A goes to B to buy a bicycle. He informs B that he intends to use the bicycle for mountain trekking. If B sells him an ordinary bicycle that is incapable of fulfilling A's purpose, the seller will be held responsible.

- **Goods purchased under brand name:** When the buyer purchases goods under a trade name or a branded product, the seller cannot be held responsible for the usefulness or quality of the product. Therefore, it is not implied that the goods will be suitable for the buyer's intended purpose.

- **Goods sold by description**: When the buyer purchases goods solely based on the description, there will be an exception. If the goods do not match the description, then in such a case, the seller will be held responsible for the goods.

- **Goods of merchantable quality:** Section 16 (2) deals with the exception of merchantable quality. This section states that the seller who is selling goods by description has a duty to provide goods of merchantable quality, i.e., goods that meet market standards.

  So, if the goods are not of merchantable quality, the buyer will not be responsible. It will be the seller's responsibility. However, if the buyer has had a reasonable opportunity to examine the product, this exception will not apply.

- **Sale by sample:** If the buyer buys his goods after examining a sample, then the rule of Doctrine of Caveat Emptor will not apply. If the rest of the goods do not resemble the sample, the buyer cannot be held responsible. In this case, the seller will be the one responsible.

  For example, A places an order for 50 toy cars with B. He checks one sample where the car is red. The rest of the cars turn out to be orange. Here, the doctrine will not apply and B will be responsible.

- **Sale by description and sample:** If the sale is done via a sample as well as a description of the product, the buyer will not be responsible if the goods do not resemble the sample and/or the description. Then the responsibility will fall squarely on the seller.

- **Usage of trade:** There is an implied condition or warranty about the quality or the fitness of goods/products. But if a seller deviated from this then the rules of caveat emptor cease to apply. For example, A bought goods from B in an auction of the contents of a ship. But B did not inform A the contents were sea damaged, and so the rules of the doctrine will not apply here.

- **Fraud or misrepresentation by the seller:** This is another important exception. If the seller obtains the consent of the buyer by fraud, then caveat emptor will not apply. Also, if the seller conceals any material defects of the goods which are later discovered on closer examination, then again, the buyer will not be responsible. In both cases, the seller will be the guilty party.

6.5.2 PERFORMANCE OF THE CONTRACT OF SALE

The performance of a contract is discussed in Sections 31 to 44 of the Sale of Goods Act, 1930. For a seller, the performance of a contract means the delivery of the goods to the buyer. For a buyer, the performance of a contract means accepting the delivery of goods and making the payment as per the contract terms.

Delivery means the voluntary transfer of goods from the seller to the buyer. The seller must be willing to give the possession of the goods to the buyer for a price and the buyer must be willing to accept and pay the price.

The first part of the performance of a contract is delivery. Delivery can be of three types which are as follows:

- **Actual delivery:** In the case of actual delivery, goods are transferred by the seller to the buyer or his agent.
- **Symbolic delivery:** At times, it is not possible to make the actual delivery of goods such as in the case of bulk goods or bulky goods. In this case, delivery is given symbolically such as by handing over the keys.
- **Constructive delivery:** In the case of constructive delivery, it is not made by physical or symbolic modes. In such cases, an individual possesses the products for the benefit of the purchaser. Constructive delivery can be made in three ways:
  - When a seller, after selling goods, agrees to hold the goods for the buyer.
  - When a third party holds the goods for the seller and agrees and acknowledges to hold them for the buyer.

The second part of the performance of the contract is a buyer's acceptance of goods. When the buyer gives his assent, the goods are accepted. But, before a buyer gives his assent, he can follow the steps mentioned below:

- Examine the products upon delivery. It means that on receiving the delivery of the goods, the buyer has the right to examine the

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goods to confirm whether or not they conform to the order and are in good condition.

- A buyer is deemed to have accepted goods in the following cases:
  - He informs the seller that he has received goods and they are appropriate.
  - He does an act to the goods which is inconsistent with the rights of the seller, such as resale or pledge of the goods received by him.
  - He retains the goods after the expiry of a reasonable time without informing the seller.

The third and last part of the performance of a contract relates to making the payment for goods received. The buyer, after receiving the goods, must make the absolute payment in line with the terms of the contract. In case the price is to be paid in instalments, it must be paid as per the payment schedule.

SELF ASSESSMENT QUESTIONS

8. What is the fundamental principle of caveat emptor as established by the Sale of Goods Act, 1930?
   a. The seller must ensure the buyer is satisfied with the goods.
   b. The buyer must inspect the goods before purchasing.
   c. The seller is responsible for any defects in the goods.
   d. The buyer is entitled to a refund regardless of the product's condition.
9. Which of the following is not an exception to the doctrine of caveat emptor as per the Sale of Goods Act, 1930?
   a. If the buyer is aware of the defects in the goods
   b. If the seller misrepresents the goods
   c. If the seller conceals defects that are not visible upon reasonable examination
   d. If the buyer relies on the seller's skill and judgment

ACTIVITY

Write some examples of the rights of caveat emptor.

6.6 CAVEAT VENDITOR

The caveat venditor principle, which translates to let the seller beware, has grown in importance in consumer protection legislation around the globe, especially in India. In the age of digital commerce, when

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the power dynamics between customers and sellers are constantly changing, this idea is especially crucial.

According to a legal theory, sellers are responsible for making sure that the goods they offer are of a suitable calibre and that any flaws or problems are made obvious to potential buyers. This idea runs counter to "caveat emptor," which holds buyers accountable for doing their research before making a purchase.

A larger trend toward improving consumer protection is seen in the change from caveat emptor to caveat venditor. This change recognises that vendors frequently know more about the product than purchasers do, particularly in this era of mass manufacturing and sophisticated items. As a result, it is only right that the seller bears the responsibility for guaranteeing product quality and transparency.

A contemporary example of caveat venditor can be observed in the online marketplace, such as Amazon. Given the vast number of third-party sellers on the platform, Amazon has implemented stricter policies to ensure that these sellers accurately describe and deliver products that meet consumer expectations. Amazon has faced lawsuits for allowing counterfeit or unsafe products on its platform, which underscores the legal and ethical responsibility of sellers to proactively monitor the quality and authenticity of their products.

Another example is in the tech industry, where app stores like Apple's App Store and Google Play Store enforce stringent guidelines to prevent fraudulent or misleading apps from being listed. In 2021, Apple settled a lawsuit that required them to make changes to how it presents information about app privacy practices. This highlights the responsibility of digital sellers to be transparent and accurate, ensuring that customers are not misled. These cases illustrate caveat venditor's modern application in holding digital and e-commerce sellers accountable for product safety, honesty in advertising and overall customer satisfaction, emphasising that the burden of product quality and accurate representation rests with the seller.

6.6.1 HISTORICAL BACKGROUND AND SHIFT FROM CAVEAT EMPTOR

In the past, customers were expected to check items before buying them under the caveat emptor concept, particularly in open marketplaces where products were sold as-is. However, the caveat venditor concept was developed to safeguard purchasers who might lack the technical know-how or capacity to completely scrutinise complicated items due to the increase of mass manufacturing, complex commodities and the information imbalance between sellers and buyers.

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6.6.2 KEY ASPECTS OF CAVEAT VENDITOR

The principle of caveat venditor places responsibility on sellers to provide accurate information about their products and ensure that goods meet the quality and fitness expected by buyers. The following are the key aspects of caveat venditor:

- **Seller's responsibility for disclosure:** Caveat venditor mandates that sellers report any known flaws in the products. If problems occur, the seller is held accountable for failing to disclose facts that might impact the product's value or usage.

  Example: The car seller may be liable for repairs if they are aware of engine problems but fail to disclose them to the buyer.

- **Fitness and quality standards:** The concept highlights that sellers must ensure that items fulfil quality and fitness requirements by contractual obligations. Implied warranties and conditions are incorporated into several consumer protection laws, such as India's Sale of Goods Act, 1930, and Consumer Protection Act, 2019, which mandate that products be suitable for their intended use.

  Example: The vendor of a refrigerator may be held liable for replacement or repairs if the device does not match the specified quality requirements, even when the seller claims that the refrigerator is suited for tropical conditions.

- **Implied warranties and statutory protection:** Under caveat venditor, even in cases where certain guarantees and conditions are not expressly mentioned in sales contracts, the law assumes that they apply. Caveat venditor is supported by implied conditions under the Sale of Goods Act, 1930, which safeguard the buyer's rights. These conditions include the assurance of peaceful possession, merchantable quality and suitability for purpose.

  Example: There is an implied warranty that a laptop purchased from an electronics retailer will function as intended for routine computing operations. The buyer is entitled to reimbursement or repair under the implied guarantee of merchantability and fitness if the laptop has concealed flaws that keep it from working.

6.6.3 MODERN APPLICATION AND RELEVANCE IN CONSUMER PROTECTION

Consumer protection has gained significant importance in the modern era due to the rise of complex markets, digital transactions, and global trade. With consumers being exposed to deceptive practices, unsafe products, and unfair contractual terms, the need for robust legal frameworks to safeguard their rights has never been more relevant. Modern consumer protection laws aim to empower consumers, ensuring transparency, fairness, and accountability in the marketplace while promoting ethical business practices.

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In today's market, caveat venditor is particularly significant for consumer protection:

- **Online and e-commerce sales:** Customers are unable to personally verify products in online marketplaces. To prevent deceiving customers, vendors must give accurate product descriptions, photos and information about any possible problems. Refunds or legal action may result from failure to comply.
- **Product liability:** Under caveat venditor, producers and sellers may be responsible for any damages brought on by faulty goods. This duty entails warning consumers of possible risks, guaranteeing product safety and recalling faulty goods. For instance, the maker must do a recall if a toy is discovered to be dangerous.
- **Consumer Protection Act, 2019:** Caveat venditor is reflected in India's Consumer Protection Act, 2019, which requires that goods and services fulfil quality standards and gives customers the right to pursue remedy if they get subpar products. This law holds vendors responsible by allowing customers to complain about items that are flawed or misrepresented.
- **E-commerce Platform Policies:** Modern e-commerce platforms like Amazon, Flipkart, and other online retailers have implemented strict policies to ensure that products sold on their platforms are authentic and meet quality standards. These platforms not only offer easy return and refund policies to protect consumers but also monitor sellers for compliance with product authenticity and fair practices. In case of product issues, these platforms often step in to mediate disputes and facilitate compensation or exchanges, providing a level of consumer protection that extends beyond traditional physical retail markets.

EXHIBIT

Caveat Venditor in Case Law

Courts often interpret caveat venditor principles through consumer protection and sale of goods laws. For example:

- In *Laxmi Engineering Works v. PSG Industrial Institute*, the Supreme Court of India underscored the seller's duty to ensure that goods sold for specific uses (such as machinery) must be suitable for those uses as expected by the buyer.
- In cases related to e-commerce, Indian courts have also emphasised that sellers must maintain transparency and take responsibility for defective products, aligning with *caveat* venditor principles.

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SELF ASSESSMENT QUESTIONS

10. The principle of __________ places responsibility on sellers to provide accurate information about their products and ensure that goods meet the quality and fitness expected by buyers.
11. Under caveat venditor, even in cases where certain guarantees and conditions are not expressly mentioned in sales contracts, the law assumes that they apply, supported by implied conditions under the __________.

ACTIVITY

Find some practical examples of caveat venditor with the help of the Internet.

6.7 UNPAID SELLER

An unpaid seller refers to a seller who has not received the full price for the goods sold by him.

The term 'unpaid seller' has been defined in Section 45 of the Sale of Goods Act, 1930 as follows:

(1) *The seller of goods is deemed to be an 'unpaid seller' within the meaning of this Act—*

(a) *When the whole of the price has not been paid or tendered.*

(b) *When a bill of exchange or other negotiable instrument has been received as conditional payment and the condition on which it was received has not been fulfilled by reason of the dishonour of the instrument or otherwise.*

As per the given definition, the seller of goods is considered as an unpaid seller in two cases – first, when the full price has not been paid; and, second, when a cheque, bill of exchange or any other negotiable instrument has been received as a conditional payment, but is dishonoured.

The conditions that must be satisfied for an unpaid seller are as follows:

- Goods are sold by the seller, but the price is due.
- Full price is not received.
- If the price is not paid immediately, a negotiable instrument, such as a bill of exchange, cheque, etc., is received as payment.
- The negotiable instrument received had been dishonoured.

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Example: If Sameeksha sold a T-shirt for ₹1,500 to Aditya, but Aditya paid her ₹1,300 only, then Sameeksha is an unpaid seller.

If Sameeksha sold a T-shirt for ₹1,500 to Aditya, but Aditya paid the whole amount through a cheque that was dishonoured, then Sameeksha is an unpaid seller.

If Sameeksha sold a T-shirt for ₹1,500 to Aditya, but allows a time of one month to make the payment, but does not receive the payment after one month, then Sameeksha is an unpaid seller.

There are certain cases where the seller cannot be called an unpaid seller, which are as follows:

- If the payment has been received in full, but some other expenses have not been paid, the seller will not be called an unpaid seller.
- If the seller has sold the products on credit, the seller cannot be called an unpaid seller till the expiry of the credit period.
- If a buyer has paid the full price of goods, but the seller refuses to accept the payment, he cannot be called an unpaid seller.

6.7.1 RIGHTS OF AN UNPAID SELLER

An unpaid seller has several rights under the Sale of Goods Act to protect their interests when a buyer fails to pay for goods. These rights are designed to ensure that the seller can either secure payment or reclaim their goods. The rights of an unpaid seller are shown in Figure 6.2:

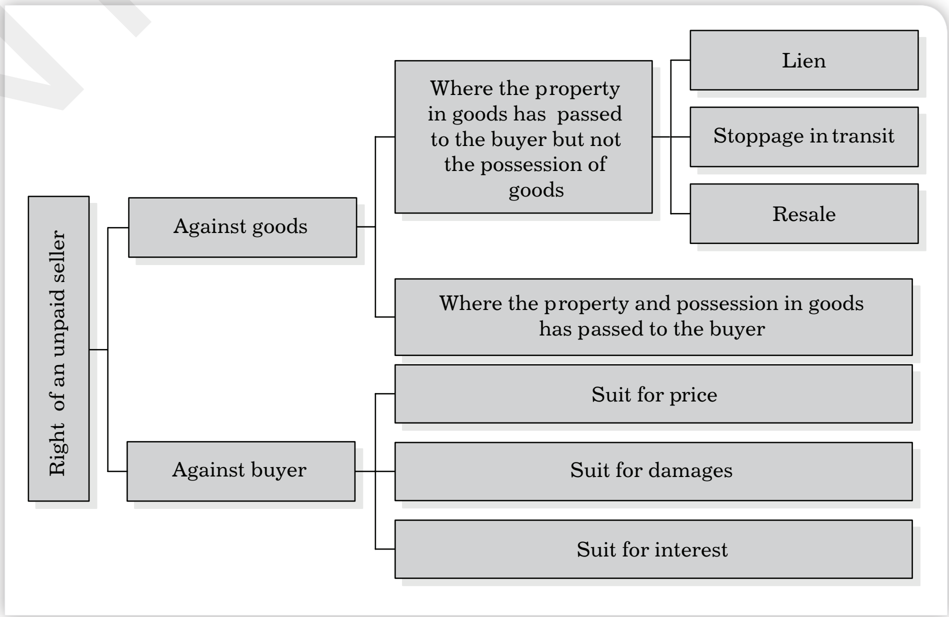

Figure 6.2: Rights of an Unpaid Seller

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Let us now discuss these rights in detail.

- **Rights Against Goods**
  - **Where the property in goods has passed to the buyer:** The rights of an unpaid seller when the property in goods has passed to the buyer are as follows:
    - ✓ **Right of lien:** Right to lien means that the seller can retain possession of the goods until he receives the full price of the goods. The right to lien can be exercised under the following three circumstances:
      - When the goods have been sold without any stipulation as to credit.
      - When the goods were sold on credit, but the credit period has expired.
      - When the buyer becomes insolvent.

      According to **Section 47(2)**, the seller may exercise his right of lien even if he possesses goods as an agent or a bailee for the buyer.

      After a lien has been exercised, it is relevant to determine when a lien will be terminated. A lien is terminated when the seller loses possession of goods. This happens when the delivery of goods is made by the seller to the carrier or when the buyer lawfully obtains possession from the seller by paying the due amount. A lien may also be terminated when the seller voluntarily waives off the lien.

  Example: A clothing manufacturer sells a bulk order of garments to a retailer on credit. The retailer fails to make the payment within the agreed time. The manufacturer, exercising the right of lien, retains the goods in his warehouse until the retailer pays the full amount.

- **Right of stoppage in transit:** Right of stoppage of goods in transit means that the goods that have been dispatched by the seller and are in the possession of middlemen in transit, the delivery of goods can be stopped and retained by the seller till the full amount of goods is received.

  The right of stoppage in transit can be exercised only if the following conditions are met:
  - The buyer has become insolvent.
  - Goods are in transit, i.e., goods are not in the possession of the seller and have not reached the buyer.

  Unpaid seller can stop goods in transit only in order to receive the full amount of payment.

  The duration of transit is the time when goods are handed over from the seller to the middlemen till the time the buyer receives the goods. If the buyer refuses to take delivery, the transit continues.

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The transit of goods is terminated in the following cases:

- Delivery of goods at the intended destination of the buyer
- Interception by the buyer
- Acknowledgement by the carrier to the buyer that he holds goods on his behalf
- Part delivery has been made with the intention to delivering the whole

There are two modes of stoppage in transit, i.e., by taking actual possession of goods and by giving notice to the carrier not to deliver the goods. When the seller stops goods in transit, the goods are returned to the seller and all the related expenses are borne by the seller.

Example: A furniture wholesaler ships a large order of tables to a buyer who, after receiving the shipment, declares bankruptcy. The wholesaler, noticing the buyer's insolvency, stops the delivery in transit by informing the carrier and prevents the goods from reaching the buyer.

- **Right of resale:** An unpaid seller has the right to resell the goods in the following cases:
  - Goods are perishable.
  - When the unpaid seller expressly reserves a right of resale in the case a buyer makes a default in payment.
  - When the unpaid seller has exercised his right of lien or stoppage in transit and gives notice to the buyer about his intention to resell if the buyer does not repay the amount in a reasonable amount of time.

  Example: A seller of perishable fruits, after the buyer fails to pay for the delivery within the agreed time, informs the buyer of the seller's intention to resell the goods. As the fruits are perishable, the seller resells them to a new buyer at the market price to recover his losses.
- **Where the property in goods has not passed to the buyer:** In addition to the above-mentioned three rights, in the case when the property in goods has not passed to the buyer, the unpaid seller also has an additional right to withhold delivery if the goods have not been passed to the buyer.
- **Rights Against the Buyer**

  The rights of an unpaid seller against the buyer are as follows:
  - **Suit for price:** If, in a contract of sale, the property in goods has passed from the seller to the buyer, but the buyer refuses to pay the price, the seller has the right to sue the buyer for the price. In certain cases, the property in goods may not have passed from the seller to the buyer, but the contract makes it

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necessary to pay the price at a certain date, and then the seller may sue the buyer for the price.

Example: A car dealership sells a luxury car to a buyer, and the buyer takes possession of the car but refuses to pay the agreed price. The dealer sues the buyer for the price of the car, as the property in the goods has passed to the buyer.

- **Suit for damages:** An unpaid seller may sue the buyer for claiming damages in the following cases:
  - ✓ When the buyer refuses to accept the goods and pay the price.
  - ✓ When the buyer repudiates the contract before the date of delivery.

  Example: A seller agrees to deliver a custom-made machine to a factory, but the buyer cancels the order before the machine is shipped, causing the seller to lose the potential sale. The seller sues for damages to recover the financial loss caused by the buyer's repudiation of the contract.

- **Suit for interest:** A seller may recover such interest from the buyer if there is an agreement between the seller and the buyer which specifically states the interest that would be charged on the price of the goods after the payment becomes due. However, if there is no specific agreement regarding the interest payment, the seller may charge interest after notifying the buyer of the interest that has become due.

  Example: A seller of office supplies has an agreement with the buyer stating that payments will incur interest after 30 days. When the buyer delays payment for more than 30 days, the seller demands the due amount along with the agreed interest for the late payment.

6.7.2 RESPONSIBILITIES OF AN UNPAID SELLER

The responsibilities of an unpaid seller in a contract of sale of goods arise when the buyer fails to pay for the goods.

Some important responsibilities of an unpaid seller are as follows:

- Delivering the goods back to the buyer after he has made the payment while exercising his right to stoppage in transit.
- Giving notice to the middleman (carrier or bailee) who possesses the goods for stopping goods in transit.
- Maintaining the goods in a deliverable state.
- Giving notice to the buyer that he intends to resell the goods.
- Bearing the expenses of redelivery if he has stopped goods in transit.

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EXHIBIT

Conditions vs. Warranties:
Key Differences in Contractual Breach and Remedies

1. **Conditions vs. Warranties**
    - **Summary:** "Conditions are essential to contracts, while warranties are collateral; breach impacts remedy options differently."
    - **Explanation:** A condition is a fundamental term of the contract, and its breach allows the aggrieved party to terminate the contract and claim damages. A warranty, on the other hand, is a secondary term, and its breach allows for a claim for damages but does not allow the contract to be terminated.
    - **Example:**
        - ✓ **Condition:** A buyer purchases a car with the condition that it should run on petrol. If it runs on diesel, the buyer can cancel the contract.
        - ✓ **Warranty:** A car's color is promised to be red. If it's slightly different (e.g., dark red), the buyer can claim damages but cannot cancel the contract.
2. **Express vs. Implied Terms**
    - **Summary:** "Express terms are clearly stated, while implied terms are assumed by law based on conduct or the nature of the agreement."
    - **Explanation:** Express terms are specifically agreed upon by the parties, while implied terms are those that the law assumes to be part of the contract, based on standard practices or the nature of the relationship.
    - **Example:**
        - ✓ **Express term:** A contract explicitly stating delivery within 10 days.
        - ✓ **Implied term:** In a sale contract, it's implied that the goods must be of satisfactory quality, even if not explicitly mentioned.
3. **Breach of Contract**
    - **Summary:** "A breach can be either material or minor; the impact on remedies depends on the severity."
    - **Explanation:** A material breach is significant enough to undermine the contract, allowing the non-breaching party to terminate the contract and seek damages. A minor breach doesn't affect the contract's overall purpose and may only result in a claim for damages.

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- **Example:**
  - ✓ **Material breach:** A contractor fails to complete a house by the agreed deadline, allowing the homeowner to terminate the contract and claim damages.
  - ✓ **Minor breach:** A contractor delivers the house a day late but the homeowner can still use the house. The homeowner may claim damages for the delay but not terminate the contract.

4. **Mistake in Contract**
   - **Summary:** "A mistake in contract formation can render the agreement void or voidable, depending on its nature."
   - **Explanation:** A mistake can either be a mutual mistake (both parties are mistaken about the same fact) or a unilateral mistake (only one party is mistaken). A contract can be void or voidable if there is a fundamental mistake.
   - **Example:**
     - ✓ **Mutual mistake:** Both parties mistakenly believe a painting is an original when it is a replica, making the contract void.
     - ✓ **Unilateral mistake:** One party mistakenly offers to sell a house with a broken foundation without realising it, potentially making the contract voidable.

SELF ASSESSMENT QUESTIONS

12. According to which section, the seller may exercise his right of lien even if he possesses goods as an agent or a bailee for the buyer?
    a. Section 47(1)
    b. Section 47(2)
    c. Section 47(3)
    d. Section 47(4)
13. An unpaid seller has the right to resell the goods in which of the following cases?
    a. Goods are of a perishable nature
    b. Interception by the buyer
    c. The buyer has become insolvent
    d. None of these

ACTIVITY

Write a short note on the legal remedies of an unpaid seller.

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6.8 SUMMARY

- Agreements for sale and agreement to sell are quite different. Similarly, contracts for the sale of goods and contracts for work and labour are different.
- The contracts for sale are guided by the doctrine of caveat emptor, which means that examining the goods before buying is the primary responsibility of the buyer.
- A seller refers to a person who sells or agrees to sell goods under a contract of sale.
- A contract of sale includes both a sale and an agreement to sell.
- A condition is a stipulation which is essential for the very purpose of the contract and gives the aggrieved party an option to terminate the contract.
- An express condition is a condition inserted in a contract with the mutual consent of both parties.
- An implied condition is a condition that the law automatically presumes the existence of some terms in a contract, even though parties to a contract may not have made any express contract related to those.
- Under the Sale of Goods Act, 1930, a warranty is a stipulation that relates to the goods sold but is not fundamental to the main purpose of the contract.
- The Sale of Goods Act of 1930 established the customary rule known as the doctrine of caveat emptor, or let the buyer beware, which states that the customer must make sure the products they buy fulfil their requirements and quality standards.
- Performance of a contract is discussed in Sections 31 to 44 of the Sale of Goods Act, 1930. For a seller, performance of a contract means delivery of the goods to the buyer.
- The caveat vendor principle, which translates to "let the seller beware," has grown in importance in consumer protection legislation around the globe, especially in India.
- An unpaid seller refers to a seller who has not received the full price for the goods sold by him.

KEY WORDS

- **Condition:** A stipulation that is central to the very purpose of the contract
- **Implied condition:** A condition that the law automatically presumes the existence of some terms in a contract even though the parties to a contract may not have made any express contract related to those

- **Merchantability:** The state of being fit for market, i.e., the goods can be bought and sold
- **Security interest:** An enforceable legal claim or lien on collateral
- **Specific goods:** Goods that are identified and agreed upon at the time of making the contract of sale

6.9 MULTIPLE CHOICE QUESTIONS

1. Which of the following is the primary difference between a condition and a warranty in a contract of sale?
   a. A condition is a major term, while a warranty is a minor term.
   b. A warranty is a major term, while a condition is a minor term.
   c. Both are equally important and their breach has the same consequences.
   d. Neither is important for the contract's validity.
2. Which is not an implied condition in a contract of sale?
   a. Condition as to title
   b. Condition as to fitness for purpose
   c. Condition as to merchantability
   d. Condition as to the buyer's financial status
3. What is the doctrine of caveat emptor?
   a. Let the seller beware
   b. Let the buyer beware
   c. Buyer beware, seller beware
   d. Neither the buyer nor the seller is responsible
4. An unpaid seller has the right to:
   a. Withhold delivery
   b. Stoppage in transit
   c. Resale
   d. All of these
5. Which of the following is a specific good?
   a. A good that is identified and agreed upon at the time of the contract
   b. A good that will be produced in the future

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c. A good that is not yet identified

d. A good that is sold on credit

6. Which of the following is the primary purpose of the Sale of Goods Act, 1930?

   a. To regulate the sale of goods and protect the interests of both buyers and sellers

   b. To promote unfair trade practices

   c. To restrict the sale of certain goods

   d. To encourage monopoly in the market

7. A contract of sale requires:

   a. Two parties

   b. Goods

   c. Transfer of ownership

   d. All of these

8. What is the difference between a sale and an agreement to sell?

   a. In a sale, the transfer of ownership is immediate, while in an agreement to sell, it is deferred.

   b. In an agreement to sell, the transfer of ownership is immediate, while in a sale, it is deferred.

   c. There is no difference between the two.

   d. A sale is a contract, while an agreement to sell is not.

9. What is the right of lien?

   a. The right of a buyer to reject defective goods.

   b. The right of an unpaid seller to retain possession of the goods until the price is paid.

   c. The right of a seller to sue for damages.

   d. The right of a buyer to claim a refund.

10. What is the right of stoppage in transit?

    a. The right of an unpaid seller to stop the goods in transit and take possession of them.

    b. The right of a buyer to stop the goods in transit and take possession of them.

    c. The right of a carrier to stop the goods in transit.

    d. The right of a seller to cancel the contract.

NOTES

6.10 DESCRIPTIVE QUESTIONS

1. Explain the concept of the Sale of Goods Act, 1930.
2. Discuss the difference between conditions and warranties.
3. Explain the doctrine of caveat emptor.
4. What do you mean by caveat venditor?
5. Explain the rights of an unpaid seller.

6.11 HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

1. When Aditi visits a car showroom, she is adamant about buying a vehicle that can drive from zero to sixty miles per hour in less than six seconds. She is shown an automobile by the salesperson that, he says, satisfies this condition. Aditi finds that the automobile barely accelerates in 8 seconds after buying it. What legal rights does Aditi have under the terms of the contract of sale?
   a. She cannot do anything since it is a warranty issue.
   b. She can reject the car and demand a refund since the performance condition was not met.
   c. She must keep the car regardless of the speed.
   d. She can ask for a partial refund but must keep the car.
2. Rahul especially requests "Alphonso mangoes" after purchasing a bunch of fresh mangoes from a nearby seller. He finds out, after making the purchase, that the mangoes are not Alphonso. In this case, what kind of condition has been broken?
   a. Express condition regarding the description of goods
   b. Implied condition of merchantability
   c. Warranty of quiet possession
   d. Implied condition of title
3. The seller guarantees Sita a two-year warranty against manufacturing problems when she purchases a washing machine. A flaw causes the washing machine to break down after a year. What kind of legal protection does Sita have under the warranty?
   a. The warranty allows her to reject the washing machine and claim a full refund.
   b. The warranty is irrelevant as she must pay for repairs.
   c. The warranty allows her to claim damages or a repair service but does not allow her to reject the machine.
   d. The warranty provides no protection since it was not written in the contract.

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6.12 ANSWERS AND HINTS

ANSWERS FOR SELF ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
Definitions	1.	Contingent goods
	2.	Goods
	3.	Delivery
Sale of Goods Act, 1930 - Objective	4.	False
	5.	True
Conditions and Warranties	6.	condition
	7.	Express condition
Doctrine of Caveat Emptor	8.	b. The buyer must inspect the goods before purchasing.
	9.	a. If the buyer is aware of the defects in the goods.
Caveat Venditor	10.	caveat venditor
	11.	Sale of Goods Act, 1930
Unpaid Seller	12.	b. Section 47(2)
	13	a. Goods are of perishable nature

ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer
1.	a. A condition is a major term, while a warranty is a minor term.
2.	d. Condition as to the buyer's financial status
3.	b. Let the buyer beware
4.	d. All of these
5.	a. A good that is identified and agreed upon at the time of the contract
6.	a. To regulate the sale of goods and protect the interests of both buyers and sellers
7.	d. All of these
8.	a. In a sale, the transfer of ownership is immediate, while in an agreement to sell, it is deferred.
9.	b. The right of an unpaid seller to retain possession of the goods until the price is paid.
10.	a. The right of an unpaid seller to stop the goods in transit and take possession of them.

HINTS FOR DESCRIPTIVE QUESTIONS

1. The Sale of Goods Act, 1930, governs the sale of goods in India and lays down several important definitions essential for understanding its provisions. Refer to Section **6.2 Definitions**
2. The difference between the condition and warranty can be judged from the fact whether the breach of the stipulation would make the rights of the aggrieved party nugatory or not. If it does, the stipulation is a condition. If the stipulation is only auxiliary, it is a warranty. Refer to Section **6.4 Conditions and Warranties**
3. The Sale of Goods Act of 1930 established the customary rule known as the doctrine of caveat emptor, or “let the buyer beware,” which states that the customer must make sure the products they buy fulfil their requirements and quality standards. Refer to Section **6.5 Doctrine of Caveat Emptor**
4. The “caveat vendor” principle, which translates to “let the seller beware,” has grown in importance in consumer protection legislation around the globe, especially in India. In the age of digital commerce, when the power dynamics between customers and sellers are constantly changing, this idea is especially crucial. Refer to Section **6.6 Caveat Venditor**
5. An unpaid seller refers to a seller who has not received the full price for the goods sold by him. Refer to Section **6.7 Unpaid Seller**

ANSWERS FOR HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

Q. No.	Answer
1.	b. She can reject the car and demand a refund since the performance condition was not met.
2.	a. Express condition regarding the description of goods.
3.	c. The warranty allows her to claim damages or a repair service but does not allow her to reject the machine.

6.13 SUGGESTED READINGS & REFERENCES

SUGGESTED READINGS

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CASE LAW

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RAVINDER RAJ VS. MARUTI UDYOG LIMITED AND M/S COMPETENT MOTORS CO. PVT. LTD. (2011 SUPREME COURT)

Case Objective

This case law discusses the facts and judgment of the case, Ravinder Raj vs. Maruti Udyog Limited and M/S Competent Motors Co. Pvt. Ltd. on a purchaser's liability to pay tax in a transaction once goods are sold.

FACTS

Mr. Ravinder Raj, the complainant filed a case against M/S Competent Motors who was the first respondent and Maruti Udyog Limited, the second respondent. He booked a car from the dealer M/S. Competent Motors by paying ₹78,351 as an initial booking amount. Then, on 5th April 1989, the balance amount was called upon and he paid the remaining amount. The official billing of the car was done on 5th April, 1989. Then, the car was delivered to him on 13th April, 1989. However, the price of the vehicle rose by ₹6000 during the intervening period. Therefore, he had to pay an amount of ₹7000 extra for receiving the delivery of the car. The complainant filed a case with complaint number 1133/1990 to get a refund of the excess amount paid against the pro forma invoice.

ISSUE

Whether the consumer is liable to pay the increased amount of excise duty on the product when he had already paid the initial booking amount, also because the excise duty increased after the company had sent a letter of allotment to the consumer, but the billing date is at a later date, after the price had increased.

JUDGEMENT

The District Forum rejected the petition. After verifying details, the Commission concluded that the prices, in this case, were revised as there was an increase in the Central Excise Duty. The District Forum dismissed the complaint and declined the refund of the extra amount paid by the complainant because an increase in the future tax rate is not in the hands of the producer, therefore, he should not bear the extra burden. The additional amount asked by the dealer is to be deposited to the government authorities. The amount was not retained by the dealer or by Maruti Udyog Limited. However, when appealed to the State Commission, the Commission directed the respondents to refund the extra amount received by them. Both the respondents filed an appeal before the National Commission, which reversed the decision of the State Commission and ruled in favour of the car dealership and manufacturers.

National Commission considered Section 64A (2) of the Sales of Goods Act, 1930, which states, any contract for the sale or purchase of goods without the stipulations about the payment of tax where the tax was not charged at the time of making the

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CASE LAW

contract, or for the sale or purchase of such good any increase in the tax or any part of tax is payable, the seller may add the amount equivalent to the increase in tax to the contact price and he shall be entitled to be paid and to sue for the recovery of the additional amount.

Therefore, the respondents possess the right of an unpaid seller stated in Section 46A (1) of the Act. Considering all the facts and findings, the revised petition was heard on 28th July, 2008 which stated that the verdict passed by the State Commission was refuted and the conclusions passed by the District Forum were approved. Therefore, the complainant was asked to file an affidavit by stating whether the said undertaking is correct or not. However, he avoided filing an affidavit denying its veracity.

Against the said order of the National Commission, a Special Leave petition was filed in the Supreme Court of India by the Petitioner Ravinder Raj, his main contention was that the delay in the delivery of the car was not his fault – neither failure nor negligence on his part – hence he should not bear the brunt of the price increase. However, the Apex Court found that the receipt given to the petitioner indicated that the price prevailing on the date of billing would apply. The price on the date of billing included the increased rate of excise duty. Keeping in view this fact, and Sections 46(1) and 64A(2) of the Sale of Goods Act, 1930, the Supreme Court dismissed the petition of the consumer and held that he is liable to pay the amount due on the increase of excise duty.

QUESTIONS

1. As per your understanding, do you think the extra amount paid by the complainant would have to be paid by the dealer or manufacturer?

   (**Hint:** The increased excise duty shall not be borne by the manufacturer or dealer.)

2. Which section of 'the Sales of Goods Act, 1930' defended the respondents in this case?

   (**Hint:** Section 64A (2) of 'the Sales of Goods Act, 1930' states the sellers have the right to ask for the additional amount on the contract price in case of an increase in the tax or duties as a purchaser is bound to pay the additional amount.)

7

CHAPTER

COMPANIES ACT

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INTRODUCTORY CASELET

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NAVIGATING THE NEW CORPORATE LANDSCAPE: A CASE OF STELLAR ENTERPRISES LTD.

Case Objective

The objective of this caselet is to understand the implications of the Companies Act, 2013, on corporate governance and compliance.

Stellar Enterprises Ltd., a mid-sized manufacturing company based in India, has built a reputation for its innovative product designs and customer-centric approach. Established in 2001, the company grew steadily over the years, attracting a diverse portfolio of clients across domestic and international markets. However, by 2014, with the enforcement of the Companies Act, 2013, Stellar Enterprises found itself at a crossroads. The new legislation introduced a comprehensive framework emphasising corporate governance, transparency and accountability—areas where Stellar had yet to align fully.

Under the Companies Act, 2013, the company now needed to comply with stricter provisions such as mandatory appointment of independent directors, formation of an Audit Committee, and adherence to Corporate Social Responsibility (CSR) obligations. Stellar Enterprises, being categorised as a 'large company' under the Act due to its annual turnover exceeding ₹1,000 crore, was also required to implement rigorous financial reporting and internal control measures. For the company's board of directors, who had largely operated under the comparatively lenient provisions of the Companies Act, 1956, this was uncharted territory.

One of the immediate concerns was the appointment of independent directors. Stellar's board, previously composed mainly of family members and long-time associates, lacked diversity and independence. The company also faced difficulties establishing the CSR committee and allocating the required 2% of its net profits toward socially beneficial activities. Additionally, the enhanced accountability provisions made directors personally liable for lapses in compliance, leading to hesitation in decision-making.

To navigate these challenges, Stellar Enterprises sought external consultants specialising in corporate governance and compliance. The company revamped its board by inducting independent directors with experience in governance and sustainability. An internal audit department was established to strengthen financial disclosures and ensure compliance with statutory requirements. Furthermore, the company developed a CSR strategy focusing on education and rural development, aligning with its corporate values while meeting legal obligations.

By 2016, Stellar Enterprises had transformed its governance framework, earning accolades for its CSR initiatives and transparent financial reporting. The improved governance

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INTRODUCTORY CASELET

standards not only enhanced investor confidence but also opened doors to new business opportunities, including partnerships with global firms. While the transition was challenging, it underscored the importance of adaptability and the value of aligning corporate practices with evolving legal standards.

LEARNING OBJECTIVES

After studying this chapter, you will be able to:

- Explain the Companies Act
- Describe the concept and evolution of a company
- Define the definitions under Section 2 of the Companies Act, 2013
- Discuss the salient features of a company
- Explain the formation of a company
- Describe the types of companies
- Discuss the concept of a Memorandum of Association
- Define the doctrine of ultra vires
- Describe the Articles of Association (AOA)
- Discuss the corporate veil theory
- Explain the concept of directors of the company
- Describe the share capital
- Explain the buy-back
- Discuss the types of meetings
- Describe the winding up of a company

7.1 INTRODUCTION

In the previous chapter, you studied the law of sale of goods. The chapter also gave an insight into the concepts of the Sale of Goods Act, 1930. You also studied the conditions, warranties and doctrine of caveat emptor. In the end, the chapter discussed the caveat Venditor and unpaid seller.

The Companies Act, 2013 has consolidated and amended the law relating to joint stock companies. It has replaced the Companies Act, 1956 with rule-based legislation containing 470 sections across 29 chapters and 7 schedules as against 658 sections in the Companies Act, 1956. It delineates the concept of company formation and the legal procedures that are required to start a joint stock company. In this chapter, the 'company' would mean a joint stock company. Since every company is a legal entity with its rights, it is important to know the founding and governing principles of companies.

The Companies Act, 2013 provides for the registration of various kinds of companies in India. It is designed to ensure enhanced disclosure norms as well as accountability of management, stricter enforcement, protection of minority shareholders and other investors, better framework for investigation, and punishment for indulgence in corporate crimes.

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The Government of India passed the Companies Act, 2013, a comprehensive law that governs the establishment, operation, and dissolution of corporations in the nation. To improve corporate governance, accountability, and openness in company operations, it superseded the previous Companies Act of 1956 and implemented important modifications.

The Companies Act, 2013 ensures the interest of stakeholders on the platform of creating business-friendly governance by strengthening corporate governance with board independence, better transparency in the financial reporting, and an oversight of regulations. This act introduces certain provisions about creating an efficient system of corporate regulation with a significant role from the Ministry of Corporate Affairs in the implementation and enforcement process. The Act proposes increasing the ease of doing business in India with the interest of investors by enhancing the general integrity of the corporate sector.

The chapter begins with a discussion about a company's concept and evolution in light of the Companies Act, 2013. Next, you will study the essential features of the company, the formation of a company, the types of companies and the memorandum of association. In addition, the chapter also discusses the doctrine of ultra vires, Articles of Association (AOA), and corporate veil theory. In the end, the chapter describes the company's directors, share capital, buy-back and winding up of the company.

7.2 COMPANIES ACT, 2013—CONCEPT AND EVOLUTION OF A COMPANY

As per Section 2(20) of the Companies Act, 2013, a company means a company incorporated under this Act or under any previous company law. A company is considered a separate entity or an association with a common seal, and perpetual succession. A company can be described as a contractual entity distinct from its members and has legal rights and obligations.

A company is run and governed under the Companies Act, 2013. Before independence, the company law in India was governed by the Companies Act, 1913. After independence, the Act underwent several amendments; and in 1956, the Act was fully revised and re-enacted as Companies Act, 1956 with several major amendments based on changing business requirements, and was recently replaced with the new Companies Act, 2013 which received the President's assent on 29th August 2013 and a few provisions of the Act were brought into force on 12th September 2013; thereafter, from time to time, provisions of the law were brought into force, and became applicable from the financial year 2014-15. The Companies Act, 2013 has several major changes including higher power for shareholders, provisions

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for corporate social responsibility and the establishment of the National Company Law Tribunal among others.

The evolution of a company under the Companies Act, 2013:

- **Inception and registration:** Promoters conceive the business idea, prepare documents like the Memorandum of Association (MOA) and Articles of Association (AOA), and register the company with the Registrar of Companies (RoC).
- **Legal recognition:** Upon meeting the requirements, the RoC issues a Certificate of Incorporation, granting the company its legal status.
- **Commencement of business:** The company begins operations by obtaining necessary licenses, adhering to compliance regulations, and fulfilling statutory obligations.

You will learn about the detailed process of company formation in the later sections of this chapter.

EXHIBIT

Comparison of Company Laws in India (Under the Companies Act, 2013) with some International Company Laws

Aspect	India (Companies Act, 2013)	United States (Delaware General Corporation Law - DGCL)	United Kingdom (Companies Act, 2006)
Inception and Registration	Promoters prepare MOA and AOA, register with Registrar of Companies (RoC)	Incorporation through filing with the Delaware Secretary of State	Incorporation through filing with Companies House
Legal Recognition	Certificate of incorporation grants legal status	Certificate of incorporation issued by the state	Certificate of incorporation issued by Companies House
Commencement of Business	Begins after obtaining necessary licenses and complying with regulations	Immediate commencement post-incorporation	Commencement requires at least one director and share allotment
Shareholder Rights	Shareholder powers increased; provisions for minority protections.	Shareholder rights are generally expansive, especially in Delaware.	Shareholders have significant powers, including voting rights.

N O T E S

Aspect	India (Companies Act, 2013)	United States (Delaware General Corporation Law - DGCL)	United Kingdom (Companies Act, 2006)
Directors	Minimum of two directors for private companies	Minimum of one director	Minimum of one director
Taxation	Taxation based on profits; dividend distribution taxed separately	Corporate taxes on profits, different tax rates for corporations and pass-through entities	Corporate taxes on profits, dividends taxed

SELF ASSESSMENT QUESTIONS

1. The Companies Act, 2013 replaced the Companies Act of __________ to introduce rule-based legislation with enhanced corporate governance standards.
2. As per Section 2(20) of the Companies Act, 2013, a company is an entity incorporated under this Act or under any __________ company law.

ACTIVITY

Organise a case study competition where participants are required to analyse a real-life company formation issue under the Companies Act, 2013, and propose solutions.

7.3 DEFINITIONS— SECTION 2

Section 2 of the Companies Act, 2013 contains definitions that provide clarity and understanding of various terms used throughout the Act. These definitions are foundational to interpreting and applying the provisions of the Companies Act effectively. Here are some definitions under the Act:

- **Company [Section 2(20)]:** Defines a company as a corporate entity incorporated under the Companies Act, 2013, or any previous law. This section lays down the legal foundation that establishes a company as a separate entity distinct from its shareholders or directors.
- **Director [Section 2(34)]:** Refers to the individual(s) appointed to manage the company by the provisions in the Articles of

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Association (AOA). The duties and responsibilities of directors are elaborated further in Sections 166 and 149-172.

- **Independent Director [Section 2(47) and Section 149(6)]:** Section 2(47) provides the definition of an independent director, while Section 149(6) specifies the qualifications and requirements for independent directors. These sections mandate that certain public companies appoint independent directors to ensure an unbiased board and prevent conflicts of interest.
- **Memorandum of Association (MOA) (Section 2(56) and Sections 4-13):** Section 2(56) defines the "Memorandum of Association," while Sections 4-13 detail the contents and procedural aspects of the MOA. The MOA outlines the company's objectives, powers, and limitations. Any modification to the MOA must comply with the procedures specified in these sections.
- **Articles of Association (AOA) [Section 2(5) and Sections 5-10]:** Section 2(5) defines "Articles of Association," and Sections 5-10 outline its purpose and contents. The AOA governs internal rules and procedures, providing the framework for managing the company's operations.
- **Financial Statements [Section 2(40) and Section 129]:** Section 2(40) defines "Financial Statements," and Section 129 lays down the requirements for preparing and presenting these statements. It mandates that companies prepare their financials in compliance with prescribed standards and formats, ensuring transparency and accountability in financial reporting.
- **Share Capital [Sections 43, 44, and 61-66]:** Share capital is addressed in various sections. Section 43 defines the types of share capital (equity and preference), Section 44 establishes that shares are movable property, and Sections 61-66 cover alterations in share capital, reduction, and other adjustments.
- **Prospectus [Section 2(70) and Sections 23-41]:** Section 2(70) defines "Prospectus," while Sections 23-41 detail the process, disclosures, and responsibilities associated with issuing a prospectus. These sections ensure that a company discloses all relevant information to potential investors before issuing shares or debentures.
- **Related Party [Section 2(76) and Section 188]:** Section 2(76) defines "Related Party," while Section 188 covers Related Party Transactions (RPTs). Section 188 requires board or shareholder approval for RPTs to prevent conflicts of interest and ensure that such transactions are conducted fairly and transparently.
- **Small Company (Section 2(85)):** Section 2(85) defines "Small Company," outlining criteria related to paid-up capital and turnover. Small companies enjoy specific compliance relaxations

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to simplify regulatory requirements and reduce the administrative burden on small businesses.

- **One Person Company (OPC) (Section 2(62) and Sections 3-3A):** Section 2(62) defines a “One Person Company,” while Sections 3 and 3A set out the incorporation process and unique requirements for OPCs. This type of entity enables a single individual to start a company with limited liability, catering to sole entrepreneurs.
- **Subsidiary Company [Section 2(87)]:** Section 2(87) defines a “Subsidiary Company,” where a holding company controls the majority of the board or shares. This section determines the hierarchical structure between companies and specifies when a company is considered a subsidiary.
- **Holding Company [Section 2(46)]:** Section 2(46) defines “Holding Company,” which has control over one or more subsidiaries by holding the majority of shares or controlling their board. It establishes a parent-subsidiary relationship within corporate groups.
- **Dividend (Sections 2(35), 123-127):** Section 2(35) defines “Dividend,” and Sections 123-127 lay out the rules for declaring and paying dividends. These sections ensure that dividends are declared from profits and provide guidelines for their distribution to shareholders, ensuring fairness and financial integrity.

SELF ASSESSMENT QUESTIONS

3. According to the Companies Act, 2013, an independent director is required to be appointed by all companies in India. (True/False)
4. The Memorandum of Association (MOA) governs the internal management and operational procedures of a company. (True/False)

ACTIVITY

Go to the following link and see the sample of MOA and AOA:

https://www.gmrgroup.in/pdf/GEPL-MOA-and-AOA-August.pdf

7.4 SALIENT FEATURES OF A COMPANY

A company is referred to as an association of people who contribute money or money’s worth to a common fund and use it for a purpose. It is an artificial person that exists as a corporate legal entity which is different from its core members or shareholders and has a common authentication utilised for its signature.

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Here are the salient features of the Companies Act, 2013:

- **Separate legal entity:** A company can, therefore, be said to be a separate legal entity with its rights and powers as if it were any human being. That is, changes in the membership of the company do not affect it.

  Example: A company like Apple Inc. exists as a separate legal entity from its shareholders. If the shareholders change, the company continues to function without disruption. If a shareholder sells their shares, it does not affect Apple's operations or existence.

- **Transferability of shares:** Shareholders can sell their shares. This means shareholders can withdraw their investment in the company without their withdrawal influencing the financial position of the company. In a private company, the transfer of shares can be restricted through AOA.

  Example: Shareholders of Reliance Industries can buy and sell shares on the stock market. If an individual sells their Reliance shares, it does not impact the company's overall financial health or operations. In private companies, like XYZ Pvt. Ltd., the Articles of Association may restrict this transfer.

- **Perpetual succession:** A company continues to exist, and not dissolve by the death, bankruptcy, or even by the change of its members.

  Example: Microsoft Corporation will continue to exist despite the death or departure of its co-founders Bill Gates and Paul Allen. The company is not dissolved because the death of an individual does not affect its operations, showing its perpetual existence.

- **Public seal:** A company is not a natural person; therefore, it cannot sign documents in the same way that a natural person may.

  Example: A company like Amazon uses its official public seal to authenticate important documents. However, it cannot sign contracts or legal documents like a natural person, but instead uses its authorised representatives to do so.

- **Common seal:** It is a seal used for affixing in documents such as contracts. Now, the common seal is made at the option of the company. The Companies Act, 2013 required a common seal to be affixed on certain documents such (bills of exchange, share certificates, etc. All such documents which required affixing the common seal may now instead be signed by two directors or one director and a Company Secretary of the company.

  Example: Earlier, Tata Motors would have affixed its common seal on share certificates or contracts. However, following the Companies Act, 2013, it is no longer mandatory, and now, the documents can be signed by two directors or a director and the company secretary.

- **Capacity to sue and be sued:** As, a company is a separate legal entity, it is having capacity to sue and to be sued.

  Example: Facebook Inc. can sue another company for intellectual property infringement or be sued if it violates contractual agreements. Its legal identity allows it to engage in lawsuits like any individual or organisation, separate from its shareholders.

SELF ASSESSMENT QUESTIONS

5. Under the Companies Act, 2013, a company does not cease to exist if one of its members dies or declares bankruptcy. (True/False)
6. The Companies Act, 2013 mandates that all companies must have a common seal to be used on documents like share certificates and bills of exchange. (True/False)

ACTIVITY

Create a presentation highlighting the salient features of a company, such as limited liability, separate legal entity, and perpetual succession, with real-world examples.

7.5 FORMATION OF A COMPANY

A company can be formed for any lawful purpose by a minimum of seven persons for a public company, two persons for a private company, or one person for a One Person Company (OPC), by subscribing their names to a memorandum and fulfilling the registration requirements under the Companies Act, 2013. For an OPC, the memorandum must include the name of another person, with their prior written consent in the prescribed form, who will become the member in case of the subscriber's death or incapacity to contract.

This written consent must be filed with the Registrar at the time of incorporation along with the memorandum and articles. The nominated person can withdraw their consent or be changed by the member at any time through a prescribed process, with the company required to notify the Registrar of such changes. Importantly, any change in the nominee's name is not considered an alteration of the memorandum. Companies formed under this provision may be structured as companies limited by shares, companies limited by guarantee, or unlimited companies.

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Figure 7.1 shows the steps in the formation of a company:

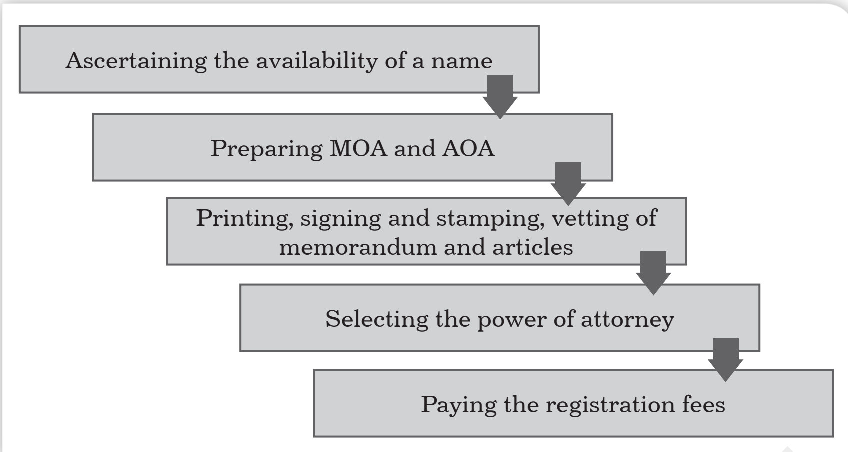

Figure 7.1 Steps in the Formation of a Company

Let's discuss the steps in the formation of a company in detail.

1. **Ascertaining the availability of a name:** The first step in the incorporation of a company is to choose an appropriate name. A company is identified through the name it is registered. The name of the company is stated in the MOA of the company. The company's name must end with 'Limited' if it is a public company and 'Private Limited' if it is a private company.
2. **Preparing MOA and AOA:** The MOA of a company can be referred to as its constitution or rulebook. The memorandum states the field in which the company will do business, the objectives of the company, as well as the type of business the company plans to undertake. It is further divided into five clauses:

   a. Name Clause
   b. Registered Office Clause
   c. Objects Clause
   d. Liability Clause
   e. Capital Clause

   The Articles of Association is basically a document that states rules that the internal management of the company will follow. The article creates a contract between the company and its members. The article mentions the rights, duties, and liabilities of the members. It is equally binding on all the members of the company.
3. **Printing, signing and stamping, vetting of memorandum and articles:**

   a. Memorandum and articles of the company duly signed by all the subscribers to the memorandum in such manner as may be prescribed.

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b. The Registrar of Companies can provide the necessary forms that need to be completed and filled during the incorporation of the company. The duly completed signed forms of AOA and MOA can then be presented to the Registrar of Companies for vetting and approval.

4. **Selecting the power of attorney:** For an offshore company, the directors can then fulfil the legal process concerning documentation formalities that authorise the inclusion of a local director who can act on behalf of the company. This is vital during the incorporation process especially if it is an offshore company. The attorney will have the authority to make any changes to other documents that are filed with the registrar but with full knowledge of the directors.

5. **Paying the registration fees:** A prescribed fee should then be paid to the Registrar of Companies during the course of incorporation of the company. The fee is normally based on the nominal capital of a company which also has a share capital.

NOTE

The company incorporated on or before December 31, 2017

a. Every company incorporated on or before December 31, 2017 shall file such particulars of the company and its registered office, as required in e-Form ACTIVE (Active Company Tagging Identities and Verification) (or e-form 22A) on or before April 25, 2019. The Email ID as indicated in the e-form would be duly verified by One Time Password (OTP).

b. The e-form 22A has no filing fee up to the due date, i.e., April 25, 2019.

SELF ASSESSMENT QUESTIONS

7. The ________ can provide the necessary forms that need to be completed and filled during the incorporation of the company.

8. Which document in the incorporation process of a company is referred to as its “constitution” or “rulebook,” defining its business field, objectives, and type of business?

   a. Power of Attorney
   b. Articles of Association
   c. Memorandum of Association
   d. Certificate of Incorporation

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ACTIVITY

Form a company by creating a mock MOA and AOA, defining objectives, capital structure, and governance roles.

7.6 TYPES OF COMPANIES

As defined by the Companies Act, 2013, companies in India have been categorised under different heads based on some factors such as member, liability, control, and purpose. Now let us discuss the various main head types of companies:

1. **On the basis of liability**
   a. **Company limited by shares:** Liability of the shareholders to creditors of the company is limited up to the unpaid amount of shares they have acquired.
   b. **Company limited by guarantee:** A company having the liability of its members limited by the memorandum. Here the members act as guarantors and are required to contribute a nominal amount in the event of winding up of the company.
   c. **Unlimited company:** A company not having any limit on the liability of its members.
2. **On the basis of number of members**
   a. **Private company:** It is a company which by its article restricts the right to transfer its shares. The minimum number of members required to form a private company is two and the maximum is 200. Its article also prohibits any invitation to the public to subscribe to any securities of the company.
   b. **Public company:** It is a company which is not a private company. Its shares can be traded freely on a stock exchange. Its shares can be bought by the general public. The minimum number of members to form a public company is seven and the maximum number is unlimited. If a Private Limited Company is a subsidiary of a Public Limited Company, then that private company is known as the deemed public company.
3. **On the basis of control**
   a. **Holding company:** Holding company of one or more other companies, means a company of which such companies are subsidiary companies. Holding companies must hold 50 per cent or more of a company's stock before it is considered as a subsidiary.
   b. **Subsidiary company:** A subsidiary company is a company in which the holding company controls the composition of the

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Board of Directors and exercises or controls More than 50% of voting rights.

4. **On the basis of the listing of shares**

   a. **Listed company:** A listed company is a company which has any of its securities listed on the stock exchange.

   b. **Non-listed company:** A public company which has not listed its shares on any stock exchange is called a non-listed company.

5. **On the basis of Government control**

   a. **Government company:** A company in which not less than 51 per cent of the paid-up share capital is held by the central government or any state government

   b. **Non-government company:** A company in which either of the Government has no paid-up share capital is called a non-government company

6. **Other type of companies**

   a. **Associate company:** An associate company is a company in relation to another company, a company in which that other company has a significant influence. The term "significant influence" means having control of 20 per cent of the total share capital of another company.

   b. **Banking company:** A banking company is a company which is defined under Section 5(c) of the Banking Regulation Act, 1949.

   c. **Foreign company:** A foreign company is a company or body corporate, incorporated outside India which has a place of business in India and also conducts its business activity in India whether by itself or through an agent or an electronic mode.

7. **One-person Company**

   a. One Person Company, or OPC, means a company which has only one person as a member as per Section 2(62).

   b. It is also considered a private company.

   c. A natural person who is an Indian citizen and resident in India shall be eligible to incorporate an OPC. (Resident in India means a person who has stayed in India for not less than 182 days during the immediately preceding a calendar year)

   d. Companies Act, 2013 has not prescribed any amount as minimum paid-up capital for OPCs.

   e. OPCs need to have a minimum of one person (the member) as director. They can have a maximum of 15 directors.

f. The Subscriber of the company has the right to appoint any person as a nominee.

g. Subscriber will intimate the name of the nominee to ROC.

h. A written consent from the nominee is required to be filed with ROC.

i. Subscriber can also change the name of the nominee if he feels so, but is required to file the same with ROC.

j. No minor shall become a member or nominee of OPC.

k. Such company cannot carry out non-banking financial investment activities.

l. OPC enjoys the following privileges and exemptions under the Companies Act:

   i. They do not have to hold annual general meetings.

   ii. Their financial statements need not include cash flow statements.

   iii. A company secretary is not required to sign annual re turns; directors can also do so.

   iv. Provisions relating to independent directors are not applicable.

   v. Their articles can provide additional grounds for vacation of a director's office.

   vi. Several provisions relating to meetings and quorum are not applicable.

   vii. They can pay more remuneration to directors than compared to other companies.

8. **Small Company [Section 2 (85)]**

a. A small company is a company other than a public company.

   i. Paid up share capital which does not exceed ₹50 lakh rupees or such higher amount as may be prescribed which shall not be more than ₹10 crore.

   ii. Turnover as per its last profit and loss account does not exceed ₹2 crore or such higher amount prescribed which shall not be more than ₹100 crore.

b. The definition of a small company does not apply to:

   i. a holding company

   ii. a subsidiary company

   iii. a company registered under section 8

   iv. a company or body corporate governed by any special act

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EXHIBIT

Differences of Types of Company

Category	Private Company	Public Company	OPC	Small Company
Number of members	2 to 200	Minimum 7, Maximum unlimited	1	Varies, but has a cap on capital/ turnover
Liability of members	Limited by shares	Limited by shares	Limited by shares, but only 1 member	Limited by shares
Share transferability	Restricted by AOA	Free transfer of shares	Not applicable (only 1 member)	Free, but subject to certain conditions
AGM requirement	Yes	Yes	No	Yes, unless exempted under conditions
Directors	Minimum 2	Minimum 3	Minimum 1, Maximum 15	Minimum 2
Nominee requirement	Not required	Not required	Must appoint a nominee	Not applicable
Government control	No	No	No	No
Listing of shares	Not listed	Can be listed on stock exchanges	Not applicable	Not listed
Annual general meeting	Yes	Yes	Not required (subject to exemptions)	Yes

SELF ASSESSMENT QUESTIONS

9. An OPC, under the Companies Act, 2013 must have a minimum paid-up capital specified by the Act. (True/False)

10. A government company is defined as a company in which at least 51 per cent of the paid-up share capital is held by the central government or any state government. (True/False)

ACTIVITY

Organise a group presentation where each team researches and presents on a specific type of company (e.g., private, public, LLP, sole proprietorship), covering its characteristics, advantages, and real-life examples.

7.7 MEMORANDUM OF ASSOCIATION

MOA is the Charter or Constitution of a company that defines and confines the scope of business objects of the company. It is also called the life-giving document. Since it contains the fundamental conditions on which a company has been registered, it is also described as the constitution or charter of the company. By laying down the objects and powers of the company, it regulates the external relationships of the company. After registration, the memorandum becomes a public document that any outsider dealing with the company is bound by the terms contained in it. MOA, both, describes and circumscribes the scope of a company's business activities.

The MOA of a company defines the constitution and the scope of powers of the company.

The object of registering MOA

- The MOA of a company contains the object for which the company is formed. It identifies the scope of its operations and determines the boundaries it cannot cross.
- It is a public document according to Section 399 of the Companies Act, 2013. Hence, any person who enters into a contract with the company is expected to have knowledge of the MOA.
- It contains details about the powers and rights of the company.

FORMAT OF MOA

According to Section 4 of the Companies Act, 2013, companies must draw the MOA in the form given in Tables A-E in Schedule I of the Act. Here are the details of the forms:

- **Table A:** Form for the MOA of a company limited by shares
- **Table B**: Form for the MOA of a company limited by guarantee and not having a share capital
- **Table C:** Form for the MOA of a company limited by guarantee and having a share capital
- **Table D:** Form for the MOA of an unlimited company
- **Table E:** Form for the MOA of an unlimited company and having a share

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7.7.1 PURPOSE OF REGISTERING AN MOA

The MOA is one of the significant documents that should be filed in the process of company registration, especially in countries that have adopted or followed the UK's Companies Act patterns, like India, Singapore, and Hong Kong. An MOA contains basic information regarding the company, including its structure and objectives, thus serving both practical and legal purposes. The main purposes of registering an MOA include:

- **Defines company scope and objectives:** MOA indicates for what purpose the company has been incorporated.
- **Establishes legal boundaries:** It sets the legal boundaries within which the company can operate. This protects shareholders, creditors, and the public by clearly defining what the company is and is not allowed to do.
- **Outlines relationship with shareholders:** The MOA specifies the nature of the relationship between the company and its shareholders. It defines the extent of the liability of the shareholders, usually being limited to the amount unpaid on their shares.
- **Acts as a public document:** Once registered, the MOA becomes a public document accessible to anyone interested in understanding the company's structure, objectives, and limitations. This transparency builds trust among investors, creditors, and the general public.
- **Essential for legal existence:** In most jurisdictions, an MOA is a statutory requirement for forming a company as a legal personality. This would be the first step to incorporate a company, to be submitted to the Registrar of Companies.
- **Provides basic company information:** The MOA provides information, for instance, the name of the company, its registered office address, capital structure, and type of liability, which can be limited or unlimited, all of which are required for regulatory use.

7.7.2 CONTENTS OF THE MOA

The MOA is a foundational legal document required for registering a company, as it defines the company's identity, structure, and purpose. While its exact structure may vary slightly across jurisdictions, the MOA typically includes the following key clauses:

- **Name Clause:** For a public limited company, the name of the company must have the word 'Limited' as the last word. For the private limited company, the name of the company must have the words 'Private Limited' as the last words. This does not apply to companies formed under Section 8. Some words such as Foundation, Forum, Association, Federation, Chambers,

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confederation, council, and Electoral Trust will become applicable in the case of Section 8 companies.

- **Registered Office Clause:** It must specify the State in which the registered office of the company will be situated.
- **Object Clause:** It must specify the objects for which the company is being incorporated. It limits and defines the scope of the company's operations. It provides details on the scope of activity the company will undertake and explains how capital provided by members will be used.
- **Liability Clause:** It should specify the liability of the members of the company, whether limited or unlimited. Also,
  - For a company limited by shares, it should specify if the liability of its members is limited to any unpaid amount on the shares that they hold.
  - For a company limited by guarantee, it should specify the amount undertaken by each member to contribute to:
    - ✓ The assets of the company when it winds up. This is provided that he is a member of the company when it winds up or the winding up happens within one year of him ceasing to be a member. In the latter case, the debts and liabilities considered would be those contracted before he ceases to be a member.
    - ✓ The costs, charges, and expenses of winding up and the adjustment of the rights of the contributors among themselves.
- **Capital Clause:** This is valid only for companies having share capital. The clause must specify the total number of share capital with which the company must be registered, the number of shares of each kind and the face value of shares against their names.
- **Association Clause:** The MOA must clearly specify the purpose of the subscriber to form a company. This clause is also known as the subscription clause, which explains that any individual signing the bottom of the MOA wants to be part of the association that's being formed by the memorandum. The MOA has to be signed by at least seven people or more if it is a public company. It has to be signed by at least two or more people if it is a private company.

SELF ASSESSMENT QUESTIONS

11. The MOA becomes a public document after registration, by Section _________ of the Companies Act, 2013.
12. According to Section 4 of the Companies Act, 2013, companies must draft the MOA in the form given in Table ___________ for a company limited by shares.

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ACTIVITY

With the help of the Internet, draft a sample MOA for a hypothetical company, specifying objectives, capital, and liability clauses.

7.8 DOCTRINE OF ULTRA VIRES

One of the core principles of company law is the Doctrine of Ultra Vires. It declares that a company's goals, as outlined in its memorandum of association, may only be deviated from the degree that the Act permits. Therefore, any action or agreement that the business takes that goes beyond the authority of the directors and/or the company itself is null and invalid and does not bind the firm legally.

The term Ultra Vires means 'Beyond Powers'. Legally speaking, it only applies to actions taken beyond the scope of the doer's authority. This operates under the presumption that the powers are constrained. Since the Doctrine of Ultra Vires limits the company to the objects specified in the memorandum, the company can be:

- Restrained from using its funds for purposes other than those specified in the Memorandum
- Restrained from carrying on trade different from the one authorised.

The company is unable to file a lawsuit over an ultra vires transaction. Additionally, it cannot be sued. A business that provides products, services, or loans money under an ultra vires contract is unable to collect payment or recoup the debt.

However, if a lender extends a loan to a business that has not yet been extended, he can use an injunction to prevent the business from repaying the debt. Because it is beyond the firm's purview, the lender retains ownership of the funds and the company does not acquire them. Furthermore, the lender has the right to recoup his loan from the business if it borrows funds in an ultra vires transaction to pay back a legitimate loan.

Sometimes, an act, which is ultra vires, can be regularised by the shareholders of the company. For example,

- If an act is ultra vires the power of directors, then the shareholders can ratify it.
- If an act is ultra vires the Articles of the company, then the company can alter the Articles.

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CASE INSTANCE

Ashbury Railway Carriage & Iron Co. Ltd. v. Riche (1875)

In this landmark case, Ashbury Railway entered into a contract to finance the construction of a railway, an activity not stated in its Memorandum of Association. The House of Lords held that the contract was ultra vires and void, as it went beyond the company's stated objectives. This case established that any contract outside the scope of a company's memorandum is unenforceable, protecting shareholders and creditors from unauthorised actions.

PURPOSE OF DOCTRINE OF ULTRA VIRES

The purpose of the Doctrine of Ultra Vires is to protect the company's investors and creditors. The corporation is prohibited by the theory of ultra vires from utilising investor funds other than those specified in the memorandum's object clause. As a result, both the investors and the business need to be guaranteed that their money will not be utilised for purposes or endeavours they did not specify when they made their investment. This guarantees that the corporation would not use the investors' money for illegal purposes. A firm may become insolvent—a state in which its creditors are not being paid—as a result of improper use of its assets.

The company's doctrine protects creditors by preventing improper use of the company's assets. Additionally, the ultra vires concept forbids directors from deviating from the purpose for which the corporation was established; therefore, it continuously scrutinises the directors' actions. The directors benefit from knowing what business sectors they can operate in.

SCOPE OF DOCTRINE OF ULTRA VIRES

Only corporations that have been incorporated or have a distinct legal existence are subject to the ultra vires concept. All unregistered businesses, including partnerships and sole proprietorships, will not be covered by the ultra vires doctrine. The notion of ultra vires only applies to firms that are incorporated or that have a distinct legal existence.

Every illegal transaction or abuse of power by directors or employees of a company will not come under the scope of the doctrine of ultra vires. Under the theory of ultra vires, a firm will only be held accountable for transactions that fall beyond its purview. The object clause of the company's memorandum of association always outlines the company's capabilities or goals. Accordingly, this concept will condemn the corporation if it is going beyond its jurisdiction as stated in the MOA's object clause.

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SELF ASSESSMENT QUESTIONS

13. What does the Doctrine of Ultra Vires in company law ensure for a corporation?
    a. That the company can only change its name with government approval
    b. That the company can pursue any objective, even beyond those specified in its memorandum
    c. That the company is restricted to using its funds only for purposes specified in its memorandum
    d. That the company can engage in any business activity, even without shareholder approval
14. Which of the following is true regarding an ultra vires transaction?
    a. A company can legally enforce the agreement in court.
    b. A lender can prevent the company from repaying an ultra vires loan with an injunction.
    c. Shareholders cannot ratify any ultra vires action taken by directors.
    d. Any act beyond the powers of directors is automatically regularised.

ACTIVITY

Analyse a real-life case where a company's action was declared ultra vires, discussing its impact on stakeholders and legality.

7.9 ARTICLES OF ASSOCIATION

AOA specifies the rules, regulations, and bylaws for the internal administration and management of the company. It governs the relationship between the company and its constituent members by prescribing their rights and obligations. An act of a company in contravention of the AOA is not null and void. It is merely irregular and can be ratified using a special resolution.

Contents of the AOA pertain to the following subject matters:

- Share capital and rights attached to different classes
- Procedures regarding making calls and forfeiture of shares
- Appointment of managerial personnel, their power, rotation, duties, etc.

- Rules regarding matters such as transfer of shares, issuing of shares, general meetings, common seal, dividends and reserves, accounts and audits, remuneration of managers, issuing of redeemable preference shares, a lien on shares, paying commissions and fixing rate thereof, and winding up of the company.

IMPORTANCE OF AOA

MOA and AOA, once registered, bind the company and its members to its clauses and put them under observation. The AOA helps in overcoming the day-to-day problems and issues in the functioning of the company. Simply put, Articles are the rules, regulations, and bylaws for the internal management of the affairs of the company. AOA establishes a formal and ethical relationship between a company and its shareholders to bind the members to the company and the company to its members. It constitutes a contract between a company and its members in respect of rights and liabilities as members. Articles usually contain provisions relating to share capital and variation of rights, transfer of shares, alteration of capital, general meetings, voting rights, proceedings of the Board, dividends and reserves, winding up, and the like.

ALTERATION OF ARTICLES—MANNER AND EFFECT

As per the Companies Act, 2013, a company can alter its Articles even with a retrospective effect. AOA can be changed by passing a special resolution. The following are the provisions about the alteration of Articles:

- AOA can be altered only through a special resolution.
- AOA cannot go beyond any provisions of the MOA or of the Companies Act, 2013.
- AOA cannot be illegal, contrary to any statute or public policy.
- Alteration in the AOA must be done in good faith and for the benefit of the company as a whole.
- Alteration cannot increase the liability of the existing members to contribute to the share capital, nor can the board of directors expel a member by altering the Articles.
- A listed company can alter its AOA only with the approval of the concerned stock exchange.
- Alteration of AOA with the effect of converting a public company into a private company can happen only after approval from the central government.

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7.9.1 CONTENTS OF AOA

AOA is a document that defines the regulations for a company's internal management and governs the relationship between shareholders and the company. It works alongside the MOA, which outlines the company's purpose and objectives. The Companies Act, 2013, provides a standardised structure for the AOA under Model Table F, which serves as a guideline for drafting. Companies can modify these clauses based on their specific needs while ensuring compliance with the Act. The following are the common contents under Model Table F of the Companies Act 2013 found in the AOA:

- Interpretation
- Private Company
- Share Capital and Variation Right
- Preference Shares
- Alteration to Memorandum
- Control of Shares
- Shares Held Jointly
- Increase of Capital
- Lien on Shares
- Calls on Shares and Transfer of Shares
- Transmission of Shares
- Forfeiture of Shares
- Alteration of Capital
- Capitalisation of Profits
- Buy-Back of Shares
- Issue of Shares in Kind
- General Meetings
- Proceedings at General Meetings
- Voting Rights and Proxy
- Directors
- Proceedings of The Board
- Chief Executive Officer, Manager, Company Secretary or Chief Financial Officer.
- Common Seal
- Borrowing Powers
- Operation of Bank Accounts
- Dividends and Reserve
- Accounts

- Audit
- Winding Up
- Secrecy
- Indemnity
- Execution Clause

7.9.2 DIFFERENCE BETWEEN MOA AND AOA

The Memorandum of Association (MOA) and the Articles of Association (AOA) are two fundamental documents in the formation and governance of a company under the Companies Act, 2013. The difference between MOA and AOA is given in Table 7.1:

TABLE 7.1: DIFFERENCE BETWEEN MOA AND AOA

S. No.	Feature	MOA	AOA
1.	Purpose	It contains the main conditions based on which the company is allowed to be incorporated.	These are the rules and regulations to manage the internal affairs of the company.
2.	Status	It is subordinate to the Act and specifies the limits within which the company can operate.	Articles are subordinate, both, to the Act and also to the MOA and lays down rules, etc., for working within the boundaries of the memorandum.
3.	Nature	It specifies the conditions for making of contracts by outsiders with the company.	They constitute contracts between the company and its members.
4.	Changes	Alterations involve stricter conditions.	They can be frequently altered by passing a special resolution.
5.	Ratification	Acts beyond the scope of the MOA are ultra vires, void and cannot be ratified by any means.	Acts beyond the Articles are considered irregular and can be ratified later by shareholders.

EXHIBIT

Comparison MOA and AOA

Aspect	MOA	AOA
Definition	The MOA is the charter of the company, defining its objectives and scope of operations.	The AOA contains the rules and regulations for the internal management of the company.

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Aspect	MOA	AOA
Purpose	It specifies the fundamental objectives for which the company is formed.	It provides guidelines for governing the company's operations and administration.
Nature	MOA is a primary document.	AOA is a subsidiary document and must comply with the MOA.
Necessity	It is mandatory for all companies to prepare and file at the time of incorporation.	It is optional for public companies, which can use Table F of the Companies Act.
Scope	It outlines the company's external relationships with stakeholders such as shareholders, creditors, and the public.	It focuses on internal relationships within the company among members, directors, and employees.
Legal Effect	Acts beyond the MOA (ultra vires) are void and unenforceable.	Acts beyond the AOA can be approved by the company.
Binding Nature	It is binding on the company and its members as well as third parties.	It is binding only between the company and its members.
Legal Requirement	It is compulsory for all companies.	It is compulsory only if the company chooses not to adopt Table F (for public companies).

SELF ASSESSMENT QUESTIONS

15. The AOA specifies the rules and regulations for the __________ administration and management of the company.
16. AOA can be altered only through a __________ resolution as per the Companies Act, 2013.

ACTIVITY

With the help of the Internet, draft a simplified AOA for a hypothetical startup, outlining key rules for governance and decision-making.

7.10 CORPORATE VEIL THEORY

The Corporate Veil Theory is a key doctrine of corporate law, establishing the legal distinction between a company as a separate

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legal entity from its shareholders or directors. The "veil" symbolises the separation of the persons behind it from liability for the debts and obligations of the company itself. However, in particular circumstances, the courts can "lift" or "pierce" the corporate veil to hold individuals personally accountable for the company's actions when the entity is used for fraudulent, illegal, or unethical purposes.

Generally, this theory is founded on the fact that a corporation possesses its legal personality whereby it can own property, incur debts, enter into contracts, sue, and be sued irrespective of the nature of the shareholders or directors. The "veil" of corporate personality, therefore, shelters individuals involved with the company against any claims for the liabilities of the company. Some specific exceptions under the Companies Act, 2013 remain though, under which the court may "lift" or "pierce" the corporate veil and compel a person to personally be liable.

CASE INSTANCE

Salomon v. Salomon & Co. Ltd. (1897)

This landmark case established the foundation of the Corporate Veil Theory. Mr. Salomon formed a company and sold his business to it, becoming the majority shareholder. When the company went bankrupt, creditors sought to hold Salomon personally liable. The House of Lords upheld the corporate entity's separate legal personality, ruling that Salomon was not personally liable for the company's debts. However, this doctrine is not absolute, as courts can pierce the veil in cases of fraud or wrongful conduct.

7.10.1 LIFTING OR PIERCING OF CORPORATE VEIL OF THE COMPANY

The term 'lifting' or 'piercing the corporate veil' is applied in cases where a court disregards the corporate entity principle and holds the shareholders or directors of a company personally liable for the liabilities of the company. In most cases, the members of the company are treated as separate legal entities from the company because the company has its right to hold assets, be indebted, sue and be sued without the interference of its shareholders. This legal construct that is often referred to as the corporate veil shields the shareholders from being personally accountable for the debts incurred in the company. Nonetheless, this separation can occasionally be set aside by the courts and this is to prevent abuse of the company structure and achieve justice.

The concept of lifting or piercing the corporate veil refers to the judicial act of holding shareholders, directors, or officers personally liable for the obligations and actions of the corporation. Under normal

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circumstances, a corporation is regarded as an independent legal entity, distinct from its shareholders and directors, which protects these individuals from personal liability. However, if the company structure is misused, courts may disregard this separation to prevent abuse of the corporate form.

Lifting the corporate veil is normally an exception instead of the norm and it is used in particular situations when the structure of the corporation has been misused. Courts commonly pierce the veil of incorporation in instances of fraud, tax evasion, false representation or other wrongful acts committed by directors or shareholders. For instance, if the owners are using the company as a 'sham' or 'alter ego' to avoid legal obligations, the courts may get involved to prevent the abuse of the corporate form. Such an intervention is viewed as a measure to prevent the abuse of the company as a shield against legal liability.

7.10.2 INSTANCES WHEN A COURT CAN DELIBERATE PIERCING OR LIFTING THE CORPORATE VEIL

Some circumstances include that the veil needs to be pierced or lifted when an individual needs to be held responsible for his act done under the veil. Even though the common trend is for a corporation and its shareholders to stand alone, yet such a departure has made the use of the corporate form misuse proof. Instances wherein courts tend to pierce the veil and may lift are:

- **Fraud or misrepresentation:** When individuals use the corporate entity to commit fraud or deceit, courts may pierce the veil to hold them personally liable. This ensures that the corporate form is not used as a cover to protect individuals engaging in illegal activities.

  Example: In the case of Gilford Motor Co. Ltd. v. Horne (1933), the court lifted the veil when a former employee used a company to breach a non-compete clause, intending to deceive his former employer.

- **Evasion of legal obligations:** If a corporation is used to avoid legal obligations, such as contracts or statutory liabilities, the court may lift the corporate veil to prevent unfair evasion.

  Example: A person may attempt to transfer liabilities to a new company while leaving creditors unpaid in the old company. Courts can hold the individual personally liable to prevent abuse of the corporate structure.

- **Tax evasion:** Courts may pierce the corporate veil if the corporate entity is used solely to evade taxes. This is done to prevent individuals from using complex corporate structures to conceal income or evade tax liabilities.

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Example: In Vodafone International Holdings v. Union of India (2012), the Supreme Court of India examined corporate structures to determine tax obligations and emphasised that the corporate veil could be lifted in cases of tax avoidance schemes.

- **Public policy and interest:** When maintaining the corporate veil would harm public interest or is against public policy, the court may lift it to protect societal interests.

  Example: In cases related to environmental damage or labour law violations, the court may disregard corporate separateness if the corporate structure is used to shield responsible parties from liability.

- **Avoiding statutory provisions:** Courts may pierce the veil if a corporate structure is created to circumvent statutory provisions or regulations. This prevents individuals from misusing the corporate entity to avoid legal requirements.

  Example: If a company is set up merely to bypass regulations or avoid compliance with labour laws, courts may hold the individuals responsible rather than allow them to hide behind the corporate entity.

- **Agency or trust relationship:** When a company is found to be merely an agent or "alter ego" of its shareholders or another company, courts may pierce the veil. This is common in cases where the corporation does not act independently but is directly controlled by another party.

  Example: In cases where a parent company uses a subsidiary as an instrument for conducting its own business, courts may disregard the subsidiary's separate legal entity.

- **Protection of creditors and minority shareholders:** Courts may lift the corporate veil to protect the interests of creditors and minority shareholders, especially when a controlling group uses the company in a way that is detrimental to others' interests.

  Example: If the majority shareholders are engaging in actions that drain company resources for personal gain, courts may pierce the veil to hold them accountable to protect minority shareholders or creditors.

SELF ASSESSMENT QUESTIONS

17. Courts may pierce the corporate veil to prevent tax evasion and ensure that individuals cannot use corporate structures to conceal income or evade taxes. (True/False)
18. The corporate veil is always pierced when a company evades legal obligations or contracts, and the shareholders or directors are automatically held personally liable. (True/False)

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ACTIVITY

Conduct a debate arguing for or against lifting the corporate veil in various real-life business scenarios.

7.11 DIRECTORS OF A COMPANY

A director is a person who serves on a company's board of directors and possesses the variety of knowledge and abilities necessary to successfully lead and oversee the corporate entity. He takes part in crucial business decisions that impact the organisation's overall development and growth, both financially and in terms of long-term success.

Under numerous laws and rules, they are required to satisfy the company's legal and regulatory needs. As they develop policies, keep an eye on performance, and adhere to the organisation's ethical standards, they also play a significant part in upholding the company's sound corporate governance processes.

WHO IS A DIRECTOR?

The Companies Act of 2013 does not define the term director, but Section 2(34) of the Companies Act of 2013 provides that a director is appointed to the board of directors of the company. The role of the directors of a company is very crucial in nature, as they are directly responsible for its success or failure.

The role of a director is multifaceted and pivotal in a company's governance and operations. Bowen, L.J., in his description, highlights the dynamic nature of a director's role:

- **As Agents:** Directors act on behalf of the company, representing its interests in dealings with third parties.
- **As Trustees:** They are entrusted with the responsibility to safeguard the company's assets and act in its best interest.
- **As Managing Directors:** Directors sometimes take up managerial duties, directly overseeing operations and decision-making processes.

A company cannot act through itself. It can only act through persons, and the persons it acts through are known as directors. Thus, embarking on a relationship of principal and agent between the company and those persons. The above-mentioned relationship has also been held up in several judicial pronouncements such as Himachal Pradesh State Electricity Board v. Shivalik Casting Pvt. Ltd (2004).

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As a lot of provisions of the MOA and AOA give vast powers of management to the directors, they act as the supreme decision-making body, which is why they fit right into the spheres of managing partners.

7.11.1 BOARD OF DIRECTORS

An organisation's daily operations and long-term choices are influenced by its board of directors. A board meets often to debate strategies to boost returns and total earnings, acting as a safeguard for the interests of a company's shareholders. Knowing how the hierarchy of boards operates might be useful if you are interested in joining a company board of directors or becoming a shareholder.

Often referred to as a "board" or "BOD," a board of directors is a group of individuals chosen by a company's shareholders to act as their representatives. The board serves as the corporation's or company's governing body. Their main objective is to safeguard the assets of the shareholders by making sure that the management of an organisation works in their best interests and that they receive a healthy return on their investment (ROI) in the business. They accomplish this by holding frequent meetings to develop guidelines for the general administration and supervision of the business. A board of directors including both internal and external members is mandatory for all publicly traded corporations. Nonetheless, a lot of private and nonprofit organisations choose to operate in this manner as well.

Section 2 (10) of the Companies Act, 2013 defined that "Board of Directors" or "Board", about a company, means the collective body of the directors of the company.

7.11.2 MINIMUM AND MAXIMUM NUMBER OF DIRECTORS

Section 149(1) of the Companies Act, 2013 requires that every company shall have a minimum number of three directors in the case of a public company, two directors in the case of a private company, and one director in the case of a One Person Company. A company can appoint a maximum of 15 directors. A company may appoint more than 15 directors after passing a special resolution in a general meeting and approval of the Central Government is not required. A period of one year has been provided to enable the companies to comply with this requirement.

7.11.3 COMMITTEES OF THE BOARD

Board committees are specialised groups formed by a company's board of directors to oversee particular areas of the company's operations and decision-making processes. These committees help

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in distributing the board's workload and ensure more detailed and focused oversight. While committees vary depending on the company's needs and regulatory requirements, the following are commonly found in most corporations:

- **Committees of the Board:** To enhance the efficiency and effectiveness of governance, boards of directors establish specialised committees focusing on key areas. These committees help in managing the workload and ensuring thorough oversight of specific aspects of the company's operations and compliance.
- **Audit Committee:** Responsible for overseeing financial reporting, internal controls, and the audit process, ensuring the accuracy and integrity of financial statements.
- **Compensation Committee:** Focuses on determining executive compensation packages, aligning them with the company's performance, and ensuring fair compensation practices.
- **Nomination and Governance Committee:** Manages board composition, nomination of new directors, and promotes good governance practices to maintain board effectiveness.
- **Risk Management Committee:** Identifies, assesses, and monitors key risks to the organisation, ensuring that appropriate mitigation measures are in place.
- **Corporate Social Responsibility (CSR) Committee:** Oversees the company's CSR initiatives, ensuring alignment with corporate values and regulatory requirements, and enhancing its positive impact on society.

7.11.4 APPOINTMENT OF DIRECTORS

The crucial role that the directors play in the management of the affairs of the companies is unquestionable. Thus, the persons appointed to the post of director hold desirable qualities and integrity. The 2013 Act has an ample body of provisions that deal with the appointment of various directors in a very elaborate manner.

According to Section 149 of the 2013 Act, every company is required to have a Board of Directors. The board shall have individuals as directors. Further, it provides the minimum number of directors that a company is required to have, i.e., for a public company, the minimum number is three, and for a private company, the minimum number is two. In the case of a one-person company, the minimum number is one. Furthermore, the provision also provides for a maximum number of directors, i.e. 15.

The proviso clause provides that a company can also appoint more than 15 directors by passing a special resolution. Also, having one woman director is an essential requirement.

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Section 149(3) mandates the presence of at least one director who stays in India for a total of 182 days during the financial year. Whereas, sub-section 4 provides that every listed company is to have at least one-third of the total number of directors as independent directors. For public companies, the Central Government may prescribe a limit on the minimum number of independent directors.

Section 152 provides for the appointment of directors. Let's have a brief overview of how different classes of directors are appointed.

APPOINTMENT OF THE FIRST DIRECTORS

Generally, the first directors are appointed by the subscribers of the MOA (Section 152(1) of the 2013 Act). In case the appointments are not done in the aforementioned way, the individual subscribers and signatories of the MOA become the directors. Further, it is important to note that the first directors only hold the office until the new ones are appointed in the first annual general meeting.

It is pertinent to note that no person shall be capable of being appointed as a director of a public company (that has a share capital) unless he fulfils the below-mentioned points:

- Allotment of a Director Identification Number (DIN) as per the provisions of Section 154 of the 2013 Act.
- The First Director has signed and filed a consent in writing for the appointment with the Registrar of Companies (ROC). This must be done within 30 days of the appointment of the director.
- He has signed the memorandum for his qualification shares, if any.
- A written undertaking to the ROC if he has taken any qualification shares from the company. He must also pay for that qualification share. Further, an affidavit is also required to this effect, specifying that shares have been registered in his name.
- In cases of independent directors appointed in the general meeting, it is mandatory that an explanatory statement by the board be provided for such an appointment. The statement must mention that the director fulfils the requirements as per the 2013 Act.

SECTION 162: VOTING ON THE APPOINTMENT OF DIRECTOR

It is important to note that the appointment of every director in a public company or its subsidiary and the passing of an ordinary resolution in this context in the general meeting is mandatory. According to Section 162 of the 2013 Act, each candidate must be voted individually. Thus, if two or more directors are appointed by a

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single resolution, then it will be invalid and void in the eyes of the law. However, if in the meeting it has been unanimously decided, more than one director can be appointed by a single resolution. Further, if such an appointment is made, it is necessary that first a resolution is passed which authorises such an appointment.

One must note that this provision does not apply to private companies that are not subsidiaries of public companies.

APPOINTMENT BY PROPORTIONAL REPRESENTATION

The basic or traditional method for appointment is an election by a simple majority of the shareholders. However, it has been observed that this method of appointment frequently fails to appoint even a single director on the board. Thus, Section 163 of the Companies 2013 Act allows the minority to place their representative and enables minority shareholders to appoint directors through the method of proportional representation. The purpose of enumerating this provision of voting through proportional representation is to amplify the method of minority voting. This method can be followed by different methods, namely, a single transferable vote, voting by way of cumulative voting or any other means. This system of appointment by way of proportional representation is also called a 'cumulative voting system'. Put simply, this provision allows companies to appoint directors through the method of proportional representation. One must note that this method can only be adopted if the AOA provide for it.

APPOINTMENT OF DIRECTORS BY THE BOARD

As per the provisions of the 2013 Act, the board has the power to appoint any person as director if he fulfils the requirements in a general meeting. As per Section 162 of the 2013 Act, the following directors can be appointed by the board, namely:

- Additional director (Section 161(1) of the 2013 Act)
- Alternate director (Section 161(2) of the 2013 Act)
- Nominee director (Section 161(3) of the 2013 Act)
- To fill in vacancies of directors (Section 161(4) of the 2013 Act)

APPOINTMENT BY TRIBUNAL

The Company Law Tribunal has been given the power to appoint directors, and the provision for the same has been enumerated under Section 242(2)(j) of the 2013 Act.

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APPOINTMENT OF DIRECTORS THROUGH ELECTION BY SMALL SHAREHOLDERS

As enunciated under Section 151 of the 2013 Act, it is mandatory that at least one director should be elected by small shareholders. The term 'small shareholders' connotes those shareholders who possess a maximum of ₹20,000 shares in the company.

7.11.5 RETIREMENT OF DIRECTORS

According to Section 152(6)(a), the Articles of the Association of Companies prescribe the retirement of all directors at the Annual General Meetings (AGMs). Otherwise, the directors of public companies retire through rotation. At least two-thirds of the total directors (i.e., rotational directors) are liable for retirement. They may be eligible to be directors in general meetings. The remaining directors are appointed as per the Articles of Association in general meetings [Section 152(6)(b)].

One-third of the rotational directors retire annually in Annual General Meetings (AGMs). If their number is neither three nor multiple of three, the number nearest to one-third, retire from office [Section 152(6)(c)]

Retirement of Directors refers to the process by which directors of a company step down from their positions, either due to the end of their term, reaching a specified retirement age, or other reasons stipulated in the company's bylaws or under corporate law. The retirement process is governed by various legal provisions and the company's AOA. The following are some of the ways by which directors can retire:

- **Retirement by rotation:** Many companies have a system where a certain proportion of directors are required to retire by rotation at each AGM. This applies mainly to public companies and is designed to bring in fresh perspectives and allow shareholders to periodically review and renew board membership.

  Process:

  - Typically, one-third of the directors are required to retire by rotation at each AGM, as stipulated under company law.
  - Directors retiring by rotation are eligible for re-election if the shareholders choose to reappoint them.

- **Retirement due to term expiry:** Directors appointed for a fixed term (e.g., five years) are required to step down once their term expires.

  Process:

  - The director's appointment term is specified in the appointment letter or resolution passed by the board or shareholders.

- ♦ Upon expiry of this term, the director either retires or may be reappointed based on the company's needs and the shareholders' decision.

- ❑ **Retirement due to age limit:** Some companies have an age limit for directors, beyond which they must retire from the board.

  Process:

  - ♦ The company's AOA or corporate governance guidelines specify a mandatory retirement age (e.g., 70 years).
  - ♦ Once directors reach this age, they must retire, unless an exception is made by shareholders or board members, where allowed by law.

- ❑ **Voluntary retirement:** A director may choose to retire before their term ends for personal reasons, health issues, or other professional commitments.

  Process:

  - ♦ The director submits a written resignation or retirement notice to the board.
  - ♦ The board, upon accepting the resignation, initiates the formal process to relieve the director of their duties.

- ❑ **Retirement due to corporate governance requirements:** Many corporate governance codes require companies to rotate directors regularly, especially in the case of independent or non-executive directors.

  Process:

  - ♦ Directors may be required to retire after serving a specific number of terms (e.g., two consecutive terms of three years each).
  - ♦ These directors may not be eligible for reappointment immediately to ensure independence and reduce conflicts of interest.

7.11.6 DISQUALIFICATION FOR THE APPOINTMENT OF DIRECTORS

In many corporate laws worldwide, certain conditions disqualify individuals from being appointed as directors of a company. These rules are designed to ensure that individuals in significant managerial positions meet specific ethical, legal, and professional standards. Section 164 of the Companies Act, 2013 deals with the disqualifications for appointment as a director in a company. This section aims to ensure that individuals appointed as directors are

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qualified and capable of performing their duties responsibly. Here are common grounds for disqualification:

- He is of an unsound mind and is declared so by the court.
- He is insolvent.
- He is in the process of declaring insolvency and his application is pending.
- He has been convicted by a court of any offence (whether or not involving moral turpitude) and has been imprisoned for at least six months. Moreover, if a person has been convicted of any offence and has served seven years or more, he shall not be eligible to be appointed as a director in any company.
- If an order has been passed disqualifying him from being appointed as a director by a court or Tribunal.
- He has not paid any calls concerning any shares of the company held by him, whether alone or jointly with others, and six months has elapsed from the last day fixed for the payment of the call.
- He has been convicted of offences dealing with related party transactions at any time during the preceding five years.
- He has failed to acquire a Director Identification Number.

7.11.7 RIGHTS OF DIRECTORS

Directors hold essential rights that enable them to effectively manage and govern the company's affairs while protecting their roles and responsibilities. These rights vary slightly across jurisdictions but generally include the following:

- **Right to participate in meetings:** Directors have the right to be notified of and attend board meetings. This includes the right to vote on issues discussed and to voice opinions and suggestions.
- **Right to access information and documents:** Directors have the right to access relevant company information, such as financial reports, legal documents, policies, and other records necessary for making informed decisions.
- **Right to exercise powers granted by the AOA:** Directors can exercise the powers conferred on them by the Articles of Association and any applicable laws. This includes powers like authorising financial transactions, entering into contracts, or making strategic decisions for the company.
- **Right to delegate:** Directors can delegate certain powers or responsibilities to committees, officers, or subordinates, depending on what the Articles of Association and company policies permit.

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- **Right to seek professional advice:** Directors have the right to seek external, professional advice (such as from accountants, auditors, or legal counsel) to fulfil their duties, often at the company's expense, especially in cases of complex or high-stakes decisions.
- **Right to remuneration:** Directors are entitled to receive remuneration as stipulated in the company's policies or approved by the shareholders. This can include salary, commission, stock options, or other forms of compensation.
- **Right to indemnity and protection:** Directors have the right to indemnification by the company, which means they are protected from certain legal liabilities incurred during their tenure as long as they act within the scope of their authority and in good faith.
- **Right to inspection and audit:** Directors can inspect the company's books of accounts, financial statements, and records to ensure accuracy and compliance. In some cases, directors may also request an audit if there are concerns about financial integrity.

7.11.8 DUTIES OF DIRECTORS

The duties and liabilities imposed on the directors of companies by the Indian Companies Act 2013 are as follows:

- A director of a company shall act by the AOA of the company.
- A director of the company shall act in good faith, to promote the objectives of the company, for the benefit of the company as a whole, and in the best interests of the stakeholders of the company.
- A director of a company shall exercise his duties with due and reasonable care, skill and diligence and shall exercise independent judgment.
- A director of a company shall not be involved in a situation in which he may have a direct or indirect interest that conflicts, or possibly may conflict, with the interest of the company.
- A director of a company shall not achieve or attempt to achieve any undue gain or advantage either to himself or to his relatives, partners, or associates and if such director is found guilty of making any undue gain, he shall be liable to pay an amount equal to that gain to the company.
- A director of a company shall not assign his office and any assignment so made shall be void.
- If a director of a company contravenes the provisions of this section such director shall be punishable with a fine which shall not be less than one lakh rupees but which may extend to five lakh rupees.

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7.11.9 TYPES OF DIRECTORS

Directors play a vital role in managing and governing a company, with different types of directors having distinct responsibilities, powers, and levels of involvement.

Here are the common types of directors found in many organisations:

- **First directors:** First directors are the directors whose names are expressly provided in the AOA of a company. If the AOA of a company is silent, then the promoters will appoint the first directors of the company and if the promoters do not appoint them, then the individual subscribers to the MOA are deemed to be the first directors of the company. The first directors enjoy the term of being so until other directors are finally appointed by the company.
- **Executive directors:** Executive directors are directors who operate for the firm on a full-time basis and take an active role in its ongoing day-to-day management and operations. They actively participate in decision-making, the execution of strategies, and the management of several affairs within the company. Operations, finances, and administration are frequently handled by executive directors. In addition to their usual fixed income, they may also get bonuses and other incentive payments based on performance. The financial statements of the company include information about their remuneration.
- **Non-executive directors:** Non-executive directors are the individuals who serve on the board of directors of a company but are not actively participating in the everyday affairs or management of the organisation as a whole. To offer unbiased and objective opinions on the issues of a company, some independent non-executive directors are appointed. They have the potential to enhance corporate governance and add an impartial viewpoint to the board's deliberations. Independent and non-executive directors commonly serve as expert consultants to the board and management of the company. They might contribute to strategy remarks, attend board meetings, and offer advice based on their expertise. They are in charge of regulating the executive directors and the company's management's operations. They are essential in making sure that rules, laws, and moral guidelines are followed within the company. The remuneration for non-executive directors' services tends to be determined by the stockholders of the company.
- **Rotational directors:** Section 152(6) of the Companies Act 2013 states that a company must have a minimum of two-thirds of its total directors as rotational directors. However, the articles of association of the company can provide for a much higher limit for the same. Also, here, total directors do not include

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independent directors and nominee directors if appointed by financial institutions under any special Act.

Out of the two-thirds of such rotational directors, one-third must compulsorily retire by rotation in the AGM of the company. The term for the rotational directors is not fixed. The retirement would be based on which director was for the longest time in the office. If the directors were appointed on the same day, then they could mutually decide who would retire, and if they could not come to a decision, then the lot system would come to the rescue.

There are three ways in which the vacancy that arises from the retirement of such a director, at every AGM, can be dealt with:

- The retired director could be reappointed.
- The vacancy could be filled by making a new appointment of a director
- A resolution could be passed to keep such a vacancy alive

If the company cannot do the above-mentioned things, then the meeting shall be adjourned. In the subsequent meeting, it would be expected that the vacancy would be filled by using the chosen method from the above three categories. If no appointment happens at the subsequent meeting, then there will be an automatic reappointment of the retired director. But such an automatic reappointment would not happen if:

- The director shows his unwillingness to be appointed again.
- He becomes disqualified to be a director of the company.
- A resolution has been put up with the company for his re-appointment, but it was not successful.
- The AOA of the company states that a resolution would be required for such re-appointment of the director retiring at the AGM.

- **Non-rotational directors:** The term "non-rotational directors" refers to directors who are not required to retire by rotation under the provisions of Section 152 of the Companies Act, 2013 The term for such non-rotational directors would be fixed, and they should be a maximum of one-third of the total directors of the company. Like rotational directors, here too, total directors do not include independent directors and nominee directors if appointed by financial institutions under any special Act.
- **Additional directors:** Section 161 of the Companies Act of 2013 states that if the AOA of a company provides for the clause of additional directors, then the board of directors can appoint them just by passing a board resolution. The term for an additional director is either till the conclusion of the AGM or, in cases where

the same is delayed, the last date of the annual general meeting, or if the postponement of the AGM has been in accordance with the permission of the registrar of the company, then on such date. A director would not be eligible to become an additional director if his appointment had been rejected at the general meeting.

- **Alternate directors:** For the appointment of an alternate director, the first requirement is authorisation by the AOA of the company. It is only then that an alternate director can be appointed if the original director has gone outside India for a period of three months or more. The power to appoint alternate directors vests with the board of directors of a company. The existing directors of a company cannot be the alternate directors of the same company.
- **Casual vacancy directors:** In the event of the death of a director appointed by shareholders, his resignation, his removal, or his disqualification, a casual vacancy director can be appointed in place by the board of directors of a company as per Section 161 of the Companies Act of 2013. To nominate a casual vacancy director, a board meeting has to be taken up to pass board resolution as such an appointment cannot be made by circulation. In the subsequent general meeting, the ordinary resolution to the effect is also a necessity for the appointment of a casual vacancy director.
- **Resident directors:** A resident director is a director who has stayed for 182 days or more in India in the past year, and if the company so incorporated has not surpassed one year since its commencement, then the requirement would be seen proportionately.
- **Independent director:** Section 149(6) of the Companies Act of 2013 states that an independent director means a director other than a managing director, a whole-time director, or a nominee director about a company. The Securities Exchange Board of India (Listing Obligations and Disclosure Requirements), 2015 adds to it by stating that an independent director is a non-executive director, which in simple terms means that he would not have the power to make executive decisions but would act like a watchdog. It states that the company and independent directors must abide by the provisions of the code of conduct that is provided in Schedule IV.

The schedule acts as a guide for conduct to be carried out by independent directors. It lays down the required standards to be followed in regard to professional conduct, roles and functions, duties, manner of appointment, re-appointment, meetings, resignation, and removal.

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EXHIBIT

Real-life Cases Where Director Appointments or Removals were in Court

- **Tata Consultancy Services Ltd. v. Cyrus Mistry (2019)**

  This high-profile case arose when Cyrus Mistry was removed as the Chairman of Tata Sons. Mistry challenged his removal, alleging oppression and mismanagement. The Supreme Court ultimately upheld Tata Sons' decision, ruling that the removal was in compliance with the company's AOA and corporate governance norms.

- **Shanta Devi Jain v. Kalinga Tubes Ltd. (1965)**

  In this case, the court dealt with the removal of directors through shareholder resolutions. The court ruled that the removal was valid as it followed proper procedures outlined in the Companies Act and the company's AOA.

- **LIC v. Escorts Ltd. (1986)**

  The case involved the election of directors by shareholders in a controversial manner. The Supreme Court upheld the shareholders' right to appoint or remove directors, emphasising that corporate democracy must be respected within the framework of the Companies Act.

- **National Textile Workers Union v. P.R. Ramakrishnan (1983)**

  The case discussed whether workers had the right to participate in director appointments during the winding-up of a company. The court ruled that workers, being stakeholders, could intervene, highlighting the broader implications of director appointments during insolvency.

SELF ASSESSMENT QUESTIONS

19. According to Section 149(1) of the Companies Act, 2013, every company shall have a minimum of ___________ directors in the case of a public company.

20. As per Section 152(6)(a), the Articles of Association of companies prescribe the retirement of all directors at the ___________.

ACTIVITY

Participants role-play a board meeting where they make strategic decisions, each taking on different director roles (e.g., CEO, CFO, independent director).

7.12 SHARE CAPITAL

The money raised by an organisation to offer shares to the public is referred to as share capital. In a nutshell, share capital is the money that shareholders give to a company. It is a long-term source of funding that promotes a company's financial growth, profitability, and efficient operations.

Capital primarily refers to the resources utilised to operate a firm, or it can be the resources needed to start a business. Capital and share capital are synonymous words. A company's proportion of capital or interest is referred to as share capital under the Indian Companies Act.

The maximum share capital of a company is specified in its Memorandum of Association (MOA) and can be increased by amending the MOA. Additionally, a company limited by guarantee does not have share capital, whereas a company limited by shares issues share capital to raise funds.

From the perspective of financial reporting, share capital is shown on a balance sheet under liabilities. After all other creditors have been paid, the shareholders get the remaining assets in a liquidation.

7.12.1 TYPES OF SHARE CAPITAL

Share capital can be classified into various types based on its role in the company's financial structure, issuance status, and shareholder obligations. Here are the primary types of share capital:

- **Authorised share capital:** The maximum number of shares that a business is permitted to issue is known as the authorised share capital. The permitted capital is restricted to a specific amount by the MOA. The total number of outstanding shares is less than the authorised share capital.

  For a number of reasons, including purchasing stock options for employees or another business, a firm may raise its authorised capital. Since an increase in allowed capital might tip the scales of power between shareholders and other stakeholders, shareholder approval is required for each change in the authorised capital.

- **Unissued share capital:** Employees or the general public still need to get unissued shares. Unissued stock does not affect shareholders; it is a component of the company's treasury. Unissued shares are within the Board of Directors' authority. Shares that have not yet been issued cannot be traded on the secondary market.

  The majority of businesses own a sizable portion of their unissued stock. The unissued share capital has a low value. The goal is to eventually sell or distribute unissued shares at a higher price.

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Unissued shares may be used by the business to settle debt or raise capital for new ventures. If required, directors may even assign unissued shares to a minority shareholder.

- **Issued share capital:** Issued share capital is the number of shares a company issues to its shareholders. Issued share capital is a mix of common equity shares and preferred capital. It makes up a sizable portion of shareholder funds beneath a balance sheet's liabilities. Additionally, analysts assess the value of common equity shares using issued capital. ABC Ltd., for instance, issues 1,000 shares with a face value of ₹10. The shares are offered by the corporation for ₹15 each. As a result, ABC Ltd. makes ₹10,000 from the first share sales. The company's reserves are ₹5,000, which is excess.
- **Subscribed capital:** The approved share capital of a business is equivalent to its registered capital. The subscribed capital is a portion of the issued capital. Investors commit to buying or subscribing to a company's stock. Subsidiary share capital may be paid in instalments.

  The amount of a company's issued capital that is accepted by the general public is known as subscribed capital. A subscription is one method which the public expresses interest in a business. Only a portion of the share capital may be issued by a firm at a time. It could eventually issue more shares. Furthermore, the business can merely want a portion of the full-face value of the share.
- **Paid-up capital:** A company's investment from a share offering is paid-up capital. To raise money, a business usually issues new capital, which is made up of new share capital. According to the Companies Act of 2013, a minimum of one lakh rupees in paid-up capital is required. It may be necessary for a business with little paid-up capital to finance its operations through debt. High paid-up capital, on the other hand, indicates less dependence on borrowed money.
- **Called-up capital:** Called-up capital is the portion of subscribed capital that includes shareholder payments. Called-up capital is recorded separately on the balance sheet under shareholders' equity. Businesses with unexpected or urgent funding needs might benefit from called-up cash.

  The business asks its shareholders to contribute a portion of the capital when shares are issued. More flexibility in terms of investment and payment arrangements is thus provided by called-up capital.
- **Reserve share capital:** Share capital that a business cannot access outside of bankruptcy is referred to as reserve capital. The corporation can only issue reserve share capital with a specific resolution. Furthermore, a business cannot issue reserve share

capital by changing its articles of organisation. Reserve share capital is meant to facilitate liquidation. Reserve capital, which is subject to many limitations, serves as the company's emergency fund.

- **Uncalled share capital:** Shares that are issued but not claimed are referred to as uncalled share capital. The contingent liabilities of the business include uncalled share capital. It stands for the remaining sum following the deduction of the called-up capital from the total number of shares granted.

7.12.2 KINDS OF SHARES

According to the Companies Act of 2013, a share is a measurement of a shareholder's stake in a company's assets. Stated differently, a shareholder's ownership position in a corporation is represented by their shares. By issuing stocks, public limited businesses can raise money for their operations. These shares come with several other privileges in addition to ownership rights. Certain share kinds grant voting rights, priority dividend rights, a portion of the company's surplus earnings, a part of its losses, etc. The entitlement to dividends, which are paid by the firm from its profits, is a characteristic shared by all share varieties. As per Section 43 of the Companies Act 2013, shares can be broadly classified into two types:

1. **Ordinary equity shares:** The most common type of stock that a public business offers to raise money is the ordinary or equity share. Ordinary shareholders often can vote, attend annual and general meetings of the corporation, and receive any excess profits made by the business. When it comes to types of shares, ordinary shares involve classification based on two understandings. One is definition-based, and the other is feature-based.
   - The definition-based types of equity shares are
     - ✓ Authorised share capital
     - ✓ Issued share capital
     - ✓ Subscribed capital and paid-up capital
   - Feature-based types of equity shares are:
     - ✓ Voting shares and non-voting shares
     - ✓ Sweat equity shares
     - ✓ Right shares
     - ✓ Bonus shares
2. **Preference shares:** Special rights or preferred treatment are attached to preference shares, particularly in relation to dividend payments and capital repayment during an organisation's

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winding down. To put it another way, preference shareholders get dividends first, and when a company is going through liquidation, it returns its money before common shareholders. The different types of shares under preference shares are as follows:

- Redeemable and irredeemable preference shares
- Convertible and non-convertible preference shares
- Participating and non-participating preference shares
- Cumulative and non-cumulative preference shares

SELF ASSESSMENT QUESTIONS

21. Reserve share capital can be used by a company at any time, without any restrictions, to meet its financial needs. (True/False)
22. Preference shareholders are entitled to dividends before ordinary equity shareholders and have priority over them in the event of liquidation. (True/False)

ACTIVITY

Organise a simulation where participants decide on the issuance of new shares, set share prices, and determine the impact on company ownership and valuation.

7.13 BUY-BACK

The buy-back of shares is also known as 'share repurchase' and is a capital restructuring process. It is a financial strategy that enables a company to buy back its equity share and securities from the shareholders. The buy-back of shares is the method of cancellation of share capital. It leads to a reduction in the share capital of a company as opposed to the issue of shares which increases the share capital.

A share repurchase is a strategy by which a company buys back its shares from the market, usually because management thinks the shares are undervalued, reducing the number of outstanding shares. The company buys shares directly from the market or its shareholders at a fixed price. Buy-back of shares is the reverse of the issue of shares by a company where it offers to take back its shares owned by the investors at a specified price. This offer can be binding or optional to the investors.

In a no-growth situation, the buy-back option is expected to help correct the positively twisted equity share capital in the existing capital structure of a lowly leveraged company that earns stable returns.

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PROVISIONS OF BUY-BACK UNDER SECTION 68

If the company makes any default in the process as provided under Section 68 or in case any listed company of any regulation made by SEBI:

- Such company shall be punishable with a fine not less than one lakh rupees but may exceed up to three lakhs
- Every such officer who is involved in the process who is in default shall be punished for a period which may extend to three years or fined not less than one lakh rupees.

7.13.1 CONDITIONS OF BUYBACK OF SHARES

As per Section 68 of the Companies Act, 2013, the conditions for the buy-back of shares are:

- Articles must authorise otherwise amend them by passing a Special Resolution in the general meeting.
- For buy-back, we need to pass a Special Resolution in the general meeting, but if the buy-back is up to 10 per cent, then a resolution at the board meeting needs to be passed.
- The maximum number of shares a company can buy back in a financial year is limited to 25% of its total paid-up share capital. Additionally, the total amount spent on the buyback, including the shares and other costs, cannot exceed 25% of the sum of the paid-up share capital and free reserves in that financial year.
- Post-buy-back the debt-equity ratio cannot exceed 2:1.
- Only fully paid-up shares can be bought back in a financial year.
- The notice of the meeting for which the special resolution is proposed to be passed shall be accompanied by an explanatory statement stating:
  - A complete disclosure of all the material facts
  - The necessity of buy-back
  - The class of shares intended to be bought back
  - The amount invested under the buy-back
  - The time limit for completion of buy-back
- The company must maintain a register of buy-back in Form SH-10.
- Now, submit a return of buy-back in Form SH-11 annexed with a compliance certificate in Form SH-15, Signed by two directors out of which one must be a managing director, if any.
- A company should extinguish and physically destroy shares bought back within seven days of completion of the buy-back.

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- Observe a six-month cooling period, i.e., no fresh issue of share is allowed.
- No offer of buy-back should be made by a company within one year from the date of the closure of the preceding offer of buy-back.
- The buy-back should be completed within one year from the date of passing of special resolution or board resolution, as the case may be.

7.13.2 METHODS OF BUY-BACKS

A company can buy-back its own shares:

- From the existing shareholders on a proportionate basis
- From the open market
- From old lots
- By purchasing securities issued to employees of the company under a scheme of stock option or sweat equity

These methods refer to various ways in which a company can acquire or buy back shares. Each method serves a specific purpose and follows particular regulatory guidelines. Here is an explanation of each approach in detail:

- **From the existing shareholders on a proportionate basis:** In this method, the company offers to buy back shares from its existing shareholders based on their current shareholding percentage. This means each shareholder has the right to sell back a certain proportion of their holdings in the company.
  - **Purpose:** This is often done as a way to return surplus funds to shareholders, increase the value of remaining shares, or improve certain financial ratios by reducing the number of shares outstanding.
  - **Process**
    - ✓ The company announces the buy-back offer to all existing shareholders.
    - ✓ Each shareholder receives an invitation to participate in the buy-back, with details on the proportion of shares they can sell based on their ownership.
    - ✓ Shareholders can choose to accept the offer and sell their shares or decline it.
  - **Regulation:** This method typically follows legal and regulatory guidelines, such as approval from the board and compliance with applicable company and securities laws.
  - **Benefits:** It provides all shareholders an equal opportunity to participate in the buy-back, without affecting the control or ownership structure significantly.

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- **From the open market:** A buy-back from the open market involves the company purchasing its shares directly from the stock exchange where its shares are traded. In this method, there is no direct offer to shareholders; instead, shares are bought at the prevailing market price.
  - **Purpose:** This method is commonly used when the company wants to buy-back shares gradually over a period, based on the market conditions and stock price.
  - **Process:**
    - ✓ The company announces its intent to conduct an open market buy-back, typically specifying the maximum number of shares or the budget for the buy-back.
    - ✓ The company then purchases shares on the stock exchange over a period, at the market price at the time of purchase.
  - **Regulation:** In most jurisdictions, there are limitations on the daily volume of shares the company can buy to prevent artificial price manipulation.
  - **Benefits:** The company has flexibility in timing its purchases, which can be advantageous if it believes the stock is undervalued at certain times.
- **From old lots:** Purchasing shares from old lots refers to buying back shares from long-standing shareholders who may hold stocks in odd or specific lots that are generally illiquid or difficult to trade on the open market.
  - **Purpose:** This can be beneficial in cases where the company wants to streamline its shareholder base or help long-term investors liquidate their holdings, especially when these shares are hard to sell due to their odd lot sizes.
  - **Process:**
    - ✓ The company identifies shareholders with old or odd lots of shares.
    - ✓ These shareholders are offered a buy-back option, often at a price that provides an incentive for them to sell their shares back to the company.
  - **Regulation:** There may be specific guidelines governing the purchase of old lots, depending on the jurisdiction, to ensure fair treatment of these shareholders.
  - **Benefits:** It helps reduce the number of small shareholders with old lot holdings, which can simplify shareholder management and reduce administrative costs.
- **By purchasing securities issued to employees of the company pursuant to a scheme of stock option or sweat equity:** This method involves buying back shares that were originally issued

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to employees under stock option schemes or as sweat equity. Stock options and sweat equity are mechanisms through which companies compensate employees by giving them the opportunity to own shares in the company.

- **Purpose:** This buy-back is typically conducted when the company wants to reduce the dilution effect caused by these shares or when employees with vested shares wish to sell back their shares to the company.
- **Process:**
  - ✓ Employees holding vested stock options or sweat equity shares are provided the option to sell these shares back to the company, usually at a predetermined or market price.
  - ✓ This process may be done periodically, in line with the terms of the stock option or sweat equity scheme.
- **Regulation:** Companies usually have internal policies governing buy-backs from stock option schemes or sweat equity, and this must also comply with securities regulations.
- **Benefits:** This method helps the company manage its equity structure and avoid excessive dilution while offering a liquidity option to employees who hold these shares.

SELF ASSESSMENT QUESTIONS

23. According to Section 68 of the Companies Act, 2013, which of the following conditions must be met for a company to buy back its shares?
    a. The company can buy back shares without any special resolution.
    b. The buy-back must not exceed 25 per cent of its paid-up share capital and free reserves in a financial year.
    c. The company can buy back shares even if the AOA does not authorise it.
    d. The company can buy back any percentage of its outstanding shares without restriction.
24. Which of the following is not a method of buy-back of shares as per the provided details?
    a. From the open market
    b. From the existing shareholders on a proportionate basis
    c. By purchasing shares from the stock exchange only
    d. By purchasing securities issued to employees under stock options or sweat equity

ACTIVITY

Conduct a simulation where participants analyse a company's financials and decide whether to approve a share buy-back proposal, considering the impact on shareholders and the market.

7.14 TYPES OF MEETINGS

In corporate governance, various types of meetings are conducted to facilitate decision-making, ensure compliance, and engage with stakeholders. Figure 7.2 shows the types of meetings commonly held in organisations:

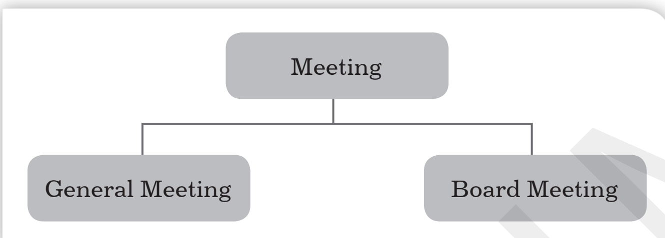

Figure 7.2: Types of Meetings

Let's discuss the various types of meetings in detail.

- **General Meeting:** This meeting is conducted to make decisions and to transact business. Business can be of two types. One is ordinary business and the other is special Business. Simultaneously, we need to pass an ordinary resolution for ordinary business and a special resolution for special business at the general meeting to get approval from the shareholders. The majority of the shareholders should vote in favour, then only we can say the resolution is passed. Resolutions are of two types:
  - **Ordinary resolution:** It is said to be passed if the votes cast in the favour are greater than the votes cast against the resolution.
  - **Special resolution:** It is said to be passed if the votes cast in favour are at least three times the votes cast against the resolution.

TYPES OF GENERAL MEETING

1. **Annual general meeting (Section 96):** The annual general meeting of a company is held once a year. The time limit of the AGM is:
   - 15 months from last AGM
   - 6 months from the end of the financial year. (whichever is earlier)

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2. **Extra Ordinary General Meeting (EGM) Section 100:** Sudden decisions are taken by the shareholders in an EGM.
3. **Class Meeting:** This is a meeting in which a particular class of shareholders retains. There are two classes of shareholders mentioned in the Companies Act, 2013. One is an equity shareholder and the other one is a preference shareholder. Equity shareholders have voting rights in almost every matter of the company but preference shareholders can vote only in two matters, i.e., winding up and capital reduction.

ESSENTIALS OF A VALID MEETING

It should satisfy all the following three conditions:

1. It should be properly convened (a meeting should be called).
2. It should be properly constituted (Quorum should be present).
3. It should be properly conducted (should follow the Companies Act 2013 and Article)

NOTICE (SECTION 101)

A general meeting of a company may be called by giving not less than a clear 21-day notice either in writing or through electronic mode in such manner as may be prescribed. A general meeting may be called after giving a shorter notice if consent is given in writing or electronic mode by not less than ninety-five per cent of the members entitled to vote at such a meeting.

QUORUM (SECTION 103)

Quorum means the minimum number of persons who should be present so that the meeting should be properly constituted

1. If the number of shareholders, as of date, is less than 1000, then 5 members should, personally present will constitute a quorum.
2. If the number of shareholders, as of date, is between 1001 - 5000, then 15 members should personally present.
3. If the number of shareholders, as of date, is more than 5000, then 30 members should personally present.

If a quorum is not present within half an hour of the appointed time, then the meeting shall be adjourned to the same day, next week at the same time and place or such other time and place as the board may determine.

If a meeting is called on requisition of shareholders, then the meeting will be cancelled.

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CHAIRMAN OF MEETINGS (SECTION 104)

- Unless the articles of the company otherwise provide, the members personally present at the meeting shall elect one of themselves to be the chairman thereof on a show of hands.
- If a poll is demanded on the election of the chairman, then by the provisions of this Act, the chairman elected on a show of hands as mentioned above, shall continue to be the chairman of the meeting until some other person is elected as the chairman as a result of the poll, and such other person shall be the chairman for the rest of the meeting.
- **Board Meeting (Section 173):** Section 173 of the Companies Act, 2013 governs the conduct and requirements of board meetings for companies in India. This section outlines the procedures, frequency, and notice requirements for board meetings, aiming to ensure that directors regularly engage in decision-making and oversight of the company's activities. Some provisions of the board meeting are as follows:
- The first board meeting of a company must be held within 30 days of its incorporation. A minimum of four meetings must be held in a year. The gap between two board meetings should not be more than 120 days.
- The board of directors is the supreme authority in a company and they have powers to take all major actions and decisions for the company.
- In the case of small companies or OPCs, at least two meetings must be conducted, one in each half of the financial year. The gap between the two meetings must be at least 90 days.
- In case the meeting is held at short notice, at least one independent director must be attending the meeting.
- The notice of Board Meeting refers to a document that is sent to all directors to the company. This document informs the members about the venue, date and agenda of the meeting. All types of companies are required to give notice at least seven days before the actual day of the meeting.
- If the notice is issued to the directors at a shorter period and there is no independent director to take the decision, the decision taken in the meeting shall be circulated to the directors of the company. Once the decision is circulated to all the directors, the decision shall be considered final only on Ratification thereof By a Majority of the Directors.

QUORUM (SECTION 174)

For board meetings, the quorum refers to the minimum number of directors required. For board meetings, the minimum number of members required is 1/3rd of the total number of directors. In any

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case, (in the case of the Interested Director) a minimum number of two directors is necessary.

CHAIRMAN OF BOARD MEETING

- The chairman of the company shall be the chairperson of the board meeting. In case of the absence of a chairman, the directors of the company among themselves may elect one of them to be the chairman.
- It is the duty of the chairman with the assistance of the company secretary to look after the affairs of the board meeting and to keep a check that the meeting is duly convened by the Companies Act, 2013.

MINUTES OF THE BOARD MEETING (SECTION 118)

- Every company shall maintain a record of the meeting in a minute book.
- Minutes shall be prepared by the company following the provision of the Companies Act, 2013.
- There must be a proper record in the minute book maintained by the company secretary for that purpose.
- The pages of the minute book shall be consecutively numbered.
- The minute book shall be kept in the custody of the company secretary of the company.
- Further, the director of the company can inspect the minute book, but the members of the company are not allowed to inspect the minute book.
- The chairman shall sign each page of the minute book prepared by the company secretary within a stipulated time.

SELF ASSESSMENT QUESTIONS

25. According to Section 101 of the Companies Act, 2013, a general meeting of a company may be called by giving not less than ________ days' notice.
26. Section 173 of the Companies Act, 2013 states that the first board meeting of a company must be held within ________ days of its incorporation.

ACTIVITY

Organise a role-playing activity where participants simulate different types of meetings (e.g., brainstorming, status updates, decision-making) to practice communication, leadership, and problem-solving skills.

7.15 WINDING UP OF COMPANY

Winding up is the process of closing down a company, selling off its assets, paying its debts, and distributing any remaining assets to shareholders. It is the last step in the life cycle of a company and marks its legal dissolution. The winding up process can be initiated voluntarily by the company's members or creditors or compulsorily by an order of the court.

A company's legal position is maintained throughout the winding up phase, which is essentially the first stage in which its assets are realised. However, in the dissolution stage, which is the last step, a company's legal existence is terminated.

There are two ways to wind up: first, by the Tribunal, as governed by the Companies Act of 2013, and second, by voluntary liquidation, which is currently governed by the Insolvency and Bankruptcy Code of 2016.

If the Central Government is convinced that it is necessary for the public interest, it may order that a business that has had its license revoked be wound up under this Act or merged with another company that is registered under this section. The corporation must be given a fair chance to be heard before such an order may be issued.

The following are some reasons for winding up of a company:

- **Winding up by the Tribunal:** The Tribunal on receipt of such petition for winding up shall pass an order under section 273 of the Act within 90 days from the date of presentation of the petition. The Tribunal can dismiss it, make an interim order, appoint a provisional liquidator, make an order for winding up or make any other order in its regard.
- **Voluntary liquidation:** Voluntary liquidation is when a company decides to dissolve itself on its own terms, as approved by the shareholders of the company. The decision usually occurs when a company decides that it has no reason for operating anymore, or if it is not feasible to operate anymore.

7.15.1 DISSOLUTION

A company ceases to exist as a corporate entity after its dissolution. The firm name will be published in the Official Gazette and removed from the Register of Companies. A firm may dissolve in one of the following two ways:

- By moving the business's operations to a different business through a merger or rebuilding plan. The transferor corporation will be dissolved by the NCLT ruling without being wound up.

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- By closing the business, selling its assets, and using the money raised to settle its debts. Following the settlement of the business's obligations, the NCLT will issue an order of dissolution and divide the remaining funds among the stakeholders.

A firm is shut down via an application to the NCLT. The NCLT issues the dissolution decision when the relevant parties have given their assent and the compliances under the Companies Act of 2013 have been satisfied. The dissolution order upon winding up of a company has the following implications:

- The winding up procedure of the company is completed.
- The assets and liabilities are settled and distributed among the stakeholders in the order of preference.
- The company name is struck off from the Register of Companies.

When the company is dissolved under the scheme of amalgamation or reconstruction, the dissolution order has the following implications:

- The winding up procedure need not be carried out as the company is taken over under the scheme of reconstruction or amalgamation.
- The winding up application need not be made for dissolution, and the transferor company is dissolved when it amalgamates or is reconstructed.

CASE INSTANCE

Winding Up of Kingfisher Airlines

Kingfisher Airlines faced a winding-up process after defaulting on loan repayments and failing to pay its employees and creditors. The process began with a petition filed by creditors in the High Court under the Companies Act. The court appointed a liquidator to assess the company's assets and liabilities. Following due process, assets were sold to settle debts, starting with secured creditors, followed by unsecured creditors, and employees' dues. Shareholders were last in line for any remaining funds. The case highlights the critical steps of insolvency proceedings and the priority of claims in the winding-up process.

7.15.2 DIFFERENCE BETWEEN WINDING-UP AND DISSOLUTION

The terms winding-up and dissolution are often used interchangeably, but they refer to different stages in the process of closing a company.

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Table 7.2 shows some differences between winding-up and dissolution:

TABLE 7.2: DIFFERENCE BETWEEN WINDING-UP AND DISSOLUTION		
Aspect	**Winding Up**	**Dissolution**
Definition and Process	Winding up is the process of selling off a company's assets, paying off its debts, and distributing any remaining assets to shareholders. It involves liquidating the company's assets and settling its liabilities. During this phase, the company is still legally in existence and can carry out activities necessary to complete the winding up.	Dissolution is the final stage of the winding up process, where the company's legal existence is formally terminated. Once a company is dissolved, it ceases to exist as a legal entity and can no longer conduct any business or initiate any legal proceedings.
Legal Status	The company remains a legal entity throughout the winding up process, albeit only for liquidation and settlement purposes. It retains the ability to enter into transactions solely for the purpose of winding up its affairs.	Upon dissolution, the company's legal existence is completely terminated. It is struck off from the register of companies and can no longer engage in any business activities or legal matters.
Purpose	The primary purpose of winding up is to settle the company's financial obligations, which includes selling assets, paying off creditors, and distributing any remaining funds to shareholders.	The purpose of dissolution is to formally end the company's legal existence after all assets have been liquidated and liabilities settled in the winding up process.
Managed By	The winding-up process is usually managed by a liquidator (an appointed individual or firm) who takes charge of the company's assets, liabilities, and distribution of funds.	The dissolution is a legal declaration that typically occurs at the end of the winding-up process. Once the liquidator completes winding-up, they apply for dissolution, which is then officially registered by the company registrar.
Legal Consequences	The company can still be subject to lawsuits and legal actions during the winding up process. Creditors and stakeholders can still make claims against the company's assets.	All legal claims and proceedings cease once the company is dissolved. Creditors cannot pursue any new claims after dissolution, and the company cannot initiate or defend any legal proceedings.

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TABLE 7.2: DIFFERENCE BETWEEN WINDING-UP AND DISSOLUTION		
Aspect	**Winding Up**	**Dissolution**
Timing	Winding up is the initial phase that leads to dissolution. It can be a lengthy process, depending on the complexity of the company's assets, debts, and legal obligations.	Dissolution is the final step after the winding up process has been fully completed. It marks the official end of the company.

EXHIBIT

Comparison of Company Types and Share Structures

Aspect	Private Company	Public Company	One Person Company (OPC)	Small Company	Listed Company
Definition	A company restricting the transfer of shares and prohibiting public subscription	A company allowing public subscription and share transfer	A company with only one person as a member	A private company meeting certain size thresholds	A company whose shares are listed on a stock exchange
Minimum Members	2	7	1	2	7
Maximum Members	200	Unlimited	1	200	Unlimited
Share Transferability	Restricted as per Articles of Association	Freely transferable	Not applicable; only one member	Restricted as per Articles of Association	Freely transferable
Public Subscription	Prohibited	Allowed	Not applicable	Prohibited	Allowed
Minimum Paid-up Capital	No minimum requirement under Companies Act, 2013	No minimum requirement under Companies Act, 2013	No minimum requirement under Companies Act, 2013	₹50 lakhs or less	No minimum requirement under Companies Act, 2013
Governance Requirements	Lower compliance compared to public companies	Higher compliance, including regular public disclosures	Minimal compliance compared to private/public companies	Lower compliance compared to public companies	Extensive compliance with SEBI regulations
Annual General Meeting	Not mandatory if not required in AOA	Mandatory	Not required	Not mandatory	Mandatory
Legal Identity	Separate from its members	Separate from its members	Separate from its sole member	Separate from its members	Separate from its members

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Aspect	Private Company	Public Company	One Person Company (OPC)	Small Company	Listed Company
Examples	Family-owned businesses, start-ups.	Large corporations like Reliance Industries.	Freelancers, consultants with small operations.	Small local businesses with limited scope.	Companies like Infosys and TCS.

SELF ASSESSMENT QUESTIONS

27. A company can only be dissolved by a court order if it is wound up voluntarily by its members or creditors. (True/False)
28. When a company is dissolved through an amalgamation or reconstruction, it must go through the winding up process before its dissolution can be finalised. (True/False)

ACTIVITY

Organise a case study analysis on the winding up process of a real company, where students evaluate legal, financial, and operational challenges faced during liquidation.

7.16 SUMMARY

- The Companies Act, 2013 has consolidated and amended the law relating to joint stock companies.
- As per Section 2(20) of the Companies Act, 2013, a company means a company incorporated under this Act or any previous company law. A company is considered a separate entity or an association with a common seal, and perpetual succession.
- The Companies Act, 2013 is a significant legal framework governing corporate law in India.
- As defined by the Companies Act, 2013, companies in India have been categorised under different heads based on some factors such as member, liability, control, and purpose.
- MOA is the charter or constitution of a company that defines and confines the scope of business objects of the company.
- MOA is a foundational legal document required for registering a company, as it defines the company's identity, structure, and purpose.
- One of the core principles of company law is the Doctrine of Ultra Vires. It declares that a company's goals, as outlined in its memorandum of association, may only be deviated from the degree that the Act permits.

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- AOA specifies the rules, regulations, and by-laws for the internal administration and management of the company.
- AOA is a document that defines the regulations for a company's internal management and governs the relationship between shareholders and the company.
- The term Corporate Veil refers to the concept that members of a company are shielded from liability connected to the company's actions.
- The term 'lifting' or 'piercing the corporate veil' is applied in cases where a court disregards the corporate entity principle and holds the shareholders or directors of a company personally liable for the liabilities of the company.
- A director is a person who serves on a company's board of directors and possesses the variety of knowledge and abilities necessary to successfully lead and oversee the corporate entity.
- The money raised by an organisation to offer shares to the public is referred to as share capital. In a nutshell, share capital is the money that shareholders give to a company.
- According to the Companies Act of 2013, a share is a measurement of a shareholder's stake in a company's assets.
- The buy-back of shares is also known as 'share repurchase'. Buy-back of equity shares is a capital restructuring process.
- In corporate governance, various types of meetings are conducted to facilitate decision-making, ensure compliance, and engage with stakeholders.
- Winding up is the process of closing down a company, selling off its assets, paying its debts, and distributing any remaining assets to shareholders.

KEY WORDS

- **Articles of Association:** A document specifying the internal rules and regulations for the management of a company
- **Company:** A legal entity formed to carry out business activities, distinct from its owners
- **Director:** An individual appointed to manage and oversee the affairs of a company
- **Dividend:** A portion of a company's profit distributed to shareholders as a return on their investment
- **Limited Liability:** A shareholder's financial responsibility is limited to the amount invested in the company's shares
- **Memorandum of Association:** A document outlining the company's objectives, scope, and authority to operate
- **Share Capital:** The funds raised by a company through the issuance of shares to shareholders

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7.17 MULTIPLE CHOICE QUESTIONS

1. According to Section 4 of the Companies Act, 2013, which table format is used for a company limited by guarantee and not having a share capital?

   a. Table A b. Table B

   c. Table C d. Table D

2. Which clause in the MOA specifies the state where the registered office of the company will be located?

   a. Capital Clause b. Object Clause

   c. Registered Office Clause d. Liability Clause

3. Under which circumstance can a court lift the corporate veil?

   a. When a company is performing well financially

   b. When a company is used to evade legal obligations

   c. When a company is making large profits

   d. When a company adheres to all regulations and laws

4. Under the Companies Act, 2013, if a board meeting is held at short notice and no independent director is present to take the decision, what is required for the decision to be considered final?

   a. Approval from the chairman of the board.

   b. Ratification by a majority of the directors after circulation.

   c. Approval by the company secretary.

   d. Unanimous consent of all directors.

5. According to Section 152(6)(a) of the Companies Act, 2013, how are directors of public companies typically retired?

   a. Directors are retired by age limit.

   b. Directors retire through rotation at Annual General Meetings (AGMs).

   c. Directors are retired by a special resolution.

   d. Directors retire when their term expires.

6. What is the maximum number of shares a company is allowed to issue under its authorised share capital?

   a. The number of shares defined by the company's AOA

   b. The number of shares specified in the company's MOA

   c. The total shares held by the company's directors

   d. The number of shares purchased by investors

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7. Which of the following is NOT a type of preference share?
    a. Redeemable preference shares
    b. Convertible preference shares
    c. Non-cumulative preference shares
    d. Unissued preference shares
8. What is a key benefit of a buy-back from old lots?
    a. It helps streamline the shareholder base and reduce administrative costs associated with old-lot holdings.
    b. It offers liquidity to employees holding stock options.
    c. It allows the company to purchase shares at a fixed market price.
    d. It helps increase the number of shares outstanding.
9. What is the quorum requirement for a general meeting if the number of shareholders is between 1001 and 5000?
    a. 5 members should be present
    b. 10 members should be present
    c. 15 members should be present
    d. 30 members should be present
10. According to Section 173 of the Companies Act, 2013, what is the minimum number of board meetings a company must hold in a year?
    a. 2 meetings
    b. 3 meetings
    c. 4 meetings
    d. 5 meetings

7.18 DESCRIPTIVE QUESTIONS

1. Explain the salient features of the company.
2. What is MOA? Explain the purpose of registering an MOA.
3. List some rights of a director of a company.
4. What do you mean by share capital? Explain the types of share capital.
5. Explain the types of meetings in detail.
6. Discuss the concept of winding up a company. Differentiate between the winding up and dissolution of a company.

7.19 HIGHER ORDER THINKING ORDER SKILLS (HOTS) QUESTIONS

1. 2,500 people own stock in a corporation as of the general meeting date. The purpose of the gathering is to address special business. The majority of shareholders have provided written

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approval for a shortened notice period, and the notice for the meeting was sent out just 15 days before the scheduled date. When shareholders voted on the special business during the meeting, there were 300 votes in favour and 50 votes against. Which of the following statements is correct regarding the outcome of the special resolution?

a. The special resolution has been passed because the votes in favour were more than three times the votes against.

b. The special resolution has been passed because the votes in favour were more than the votes against.

c. The special resolution has not been passed because the quorum was not met.

d. The special resolution has not been passed because the notice period was less than 21 days.

2. Depending on the state of the market, a corporation may announce a buy-back of up to one million shares from the open market over the following six months. Without explicitly issuing any shares to its shareholders, the corporation purchases shares throughout this time at different prices based on market changes. The management thinks this repurchase will help the firm in the long run, and the stock price is now cheap. Which of the following statements best describes the method used by the company for this buy-back?

a. The company is conducting a buy-back from old lots to help long-term shareholders sell their holdings back to the company.

b. The company is conducting a buy-back from stock options and sweat equity to reduce dilution caused by employee shares.

c. The company is conducting an open market buy-back to repurchase shares gradually at market prices over time.

d. The company is conducting a buy-back through a direct offer to shareholders at a fixed price.

3. ABC Ltd. has decided to sell shares to the general public to obtain money for expansion. Only 500,000 of the company's 1 million authorised shares are issued to the general public. Investors subscribe for 400,000 of these 500,000 shares, and the business is paid in full for the remaining 200,000 shares. Although they have been issued, the remaining 200,000 shares have not yet been paid for. Which of the following types of share capital best describes the shares that have been issued but not yet paid for?

a. Subscribed capital b. Paid-up capital

c. Uncalled share capital d. Reserve share capital

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7.20 ANSWERS AND HINTS

ANSWERS FOR SELF ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
Companies Act, 2013	1.	1956
	2.	previous
Definitions - Section 2	3.	False
	4.	False
Salient Features of Company	5.	True
	6.	False
Formation of A Company	7.	Registrar of Company
	8.	c. Memorandum of Association
Types of Companies	9.	False
	10.	True
Memorandum of Association	11.	399
	12.	A
Doctrine of Ultra Vires	13.	c. That the company is restricted to using its funds only for purposes specified in its memorandum
	14.	b. A lender can prevent the company from repaying an ultra vires loan with an injunction
Articles of Association	15.	internal
	16.	special
Corporate Veil Theory	17.	True
	18.	False
Directors of The Company	19.	three
	20.	Annual General Meetings (AGMs)
Share Capital	21.	False
	22.	True
Buy-back	23.	b. The buy-back must not exceed 25 per cent of its paid-up share capital and free reserves in a financial year
	24.	c. By purchasing shares from the stock exchange only
Types of Meetings	25.	21
	26.	30
Winding Up of Company	27.	False
	28.	False

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ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer
1.	b. Table B
2.	c. Registered Office Clause
3.	b. When the company is used to evade legal obligations
4.	b. Ratification by a majority of the directors after circulation.
5.	b. Directors retire through rotation at Annual General Meetings (AGMs).
6.	b. The number of shares specified in the company's Memorandum of Association
7.	d. Unissued Preference Shares
8.	a. It helps streamline the shareholder base and reduce administrative costs associated with old lot holdings
9.	c. 15 members should be present
10.	c. 4 meetings

HINTS FOR DESCRIPTIVE QUESTIONS

1. The Companies Act, 2013 is a significant legal framework governing corporate law in India. It modernised corporate governance and regulation, aiming for improved transparency, accountability, and ease of doing business. Refer to Section **7.4 Salient Features of Company**

2. MOA is the Charter or Constitution of a company that defines and confines the scope of business objects of the company. It is also called the life-giving document. Refer to Section **7.7 Memorandum of Association**

3. Directors hold essential rights that enable them to effectively manage and govern the company's affairs while protecting their roles and responsibilities. Directors have the right to be notified of and attend board meetings. This includes the right to vote on issues discussed and to voice opinions and suggestions. Refer to Section **7.11 Directors of the Company**

4. The money raised by an organisation to offer shares to the public is referred to as share capital. In a nutshell, share capital is the money that shareholders give to a company. Refer to Section **7.12 Share Capital**

5. In corporate governance, various types of meetings are conducted to facilitate decision-making, ensure compliance, and engage with stakeholders. Refer to Section **7.14 Types of Meetings**

NOTES

6. Winding up is the process of closing down a company, selling off its assets, paying its debts, and distributing any remaining assets to shareholders. It is the last step in the life cycle of a company and marks its legal dissolution. Refer to Section **7.15 Winding Up of Company**

ANSWERS FOR HIGHER ORDER THINKING ORDER SKILLS (HOTS) QUESTIONS

Q. No.	Answer
1.	a. The special resolution has been passed because the votes in favour were more than three times the votes against.
2.	c. The company is conducting an open market buy-back to repurchase shares gradually at market prices over time.
3.	c. Uncalled share capital

7.21 SUGGESTED READING & REFERENCES

SUGGESTED READING

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CASE LAW

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COMPLIANCE AND CORPORATE GOVERNANCE UNDER THE COMPANIES ACT 2013

Case Objective

The objective of this case law is to understand the importance of compliance with the Companies Act 2013 and corporate governance practices for business sustainability.

SCENARIO

The mid-sized Indian manufacturing firm ABHI Ltd. is having trouble making sure that the rules of the Companies Act 2013 are being followed. The business was established in 2015 and has been expanding quickly, but it recently encountered a problem with non-compliance with corporate governance standards. As required by Section 134 of the Act, ABHI Ltd. did not hold its Annual General Meeting (AGM) within the allotted time frames and did not sufficiently disclose its financial accounts. Furthermore, the business disregarded Section 149's requirements, which state that certain business classes must nominate at least one independent director.

ISSUES IDENTIFIED

ABHI Ltd.'s main problem is that it does not grasp the compliance structure set up by the Companies Act of 2013. The board of the firm failed to guarantee that independent directors were appointed, which is required for businesses of its size, and failed to recognise the significance of timely compliance with AGM requirements. The poor disclosure of related party transactions, which violated Section 188's restrictions, was another major worry. Penalties were also imposed since the business failed to submit the financial statements and annual return on time.

IMPACT ON THE COMPANY

The Registrar of Companies (RoC) punished ABHI Ltd. for the non-compliance, which included delays in completing the annual report and financial statements. Additionally, the lack of independent directors raised concerns about the business's corporate governance procedures, which hurt its standing with stakeholders and investors. Because they were left out of the decision-making process, shareholders lost faith in the company as a result of the AGM's tardiness.

ACTIONS TAKEN

The business promptly enlisted legal and financial counsel to address these problems and guarantee complete adherence to the Companies Act of 2013 regulations. The board went over the guidelines for hosting AGMs and made sure that all future meetings would take place within the allotted time frames. To improve corporate governance, the business also hired an

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CASE LAW

independent director. To guarantee complete transparency, a thorough examination of related party transactions was carried out, and the financial statements were restated. In addition, the business established a compliance committee to monitor future adherence to legal standards.

The case of ABHI Ltd. emphasises how crucial it is to comprehend and abide by the compliance standards outlined in the Companies Act of 2013. It emphasises how important corporate governance and regulatory compliance are for businesses, particularly those growing, in order to prevent legal issues and harm to their brand. Such risks can be reduced with regular statutory compliance training for key managerial staff and board members.

QUESTIONS

1. What are the key provisions of the Companies Act 2013 that ABHI Ltd. failed to comply with?

   (**Hint:** AGM requirements (Section 96), the appointment of independent directors (Section 149), related party transactions disclosure (Section 188), financial statement filing (Section 134).)

2. How can ABHI Ltd. improve its corporate governance practices moving forward?

   (**Hint**: By appointing independent directors, conducting timely AGMs, ensuring accurate disclosures, and setting up a compliance committee.)

8

CHAPTER

COMPETITION ACT

CONTENTS

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INTRODUCTORY CASELET

NOTES

THE CASE OF MEGAMART LTD.: MARKET DOMINANCE OR ABUSE?

MegaMart Ltd., one of the largest retail chains in India, had established a dominant position in the supermarket industry by leveraging its extensive network of outlets, competitive pricing strategies and strong supplier relationships. The company, often referred to as the 'giant of retail,' commanded a significant market share. However, by 2019, allegations began to surface about MegaMart's business practices. Smaller competitors and suppliers accused the company of engaging in anti-competitive practices that violated the Competition Act, 2002.

MegaMart was accused of abusing its dominant position in the market by imposing unfair terms on suppliers, including exclusivity clauses that restricted them from dealing with other retailers. Smaller competitors claimed that MegaMart used predatory pricing strategies, offering goods at prices below cost to eliminate competition. These practices were seen as preventing fair competition and creating a monopoly-like situation in the retail sector. The accusations also extended to MegaMart allegedly leveraging its market power to force favourable terms in advertising deals, thereby limiting the visibility of its rivals.

Following complaints from industry stakeholders, the Competition Commission of India (CCI) launched a detailed investigation into MegaMart's business practices. The inquiry focused on whether the company's actions constituted an abuse of dominant position under Section 4 of the Competition Act, 2002. The investigation involved examining MegaMart's pricing strategies, supplier agreements and overall market behaviour. The CCI also sought to understand whether the practices of the company had an adverse impact on competition and consumer welfare.

The CCI found evidence suggesting that MegaMart had engaged in practices that limited competition. The exclusivity agreements with suppliers and predatory pricing were identified as anti-competitive actions aimed at undermining smaller players. While MegaMart argued that its pricing strategies benefitted consumers by offering lower costs, the CCI ruled that such practices disrupted the competitive equilibrium and affected the long-term interests of the market and consumers.

The CCI directed MegaMart to cease its anti-competitive practices and imposed a significant penalty. It also mandated the company to restructure its supplier agreements to ensure fairness and transparency. The case underscored the importance of adhering to the principles of fair competition while operating in a dominant market position. For MegaMart, it was a lesson in balancing business growth with compliance to the Competition Act, 2002, to avoid legal and reputational risks.

Case Objective

The objective of this caselet is to understand the key provisions of the Competition Act, 2002, particularly concerning abuse of dominant position.

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LEARNING OBJECTIVES

After studying this chapter, you will be able to:

- Explain the Competition Act, 2002
- Define the definitions under Section 2 of the Competition Act, 2002
- Discuss the anti-competitive agreements
- Explain the abuse of dominant position
- Discuss the composition of commission
- Explain the Competition Commission of India (CCI)
- Describe the competition appellate tribunal
- Explain the competitive advocacy

8.1 INTRODUCTION

In the previous chapter, you studied the concept of Companies Act, 2013. The chapter also gave an insight into the salient features of company, formation of a company, types of companies and Memorandum of Association (MOA). You also studied the doctrine of ultra vires, Articles of Association (AOA) and corporate veil theory. In the end, the chapter discussed the directors of the company, share capital, buyback and winding-up of company.

Competition refers to a situation that exists in a market in which organisations and sellers attract buyers independently for achieving some business objectives, such as increasing profits or sales, increasing turnover or increasing the market share. However, in order to gain maximum market share and other objectives, organisations usually resort to various strategies and tactics. At times, these tactics may hinder fair competition in the market and creates a market situation in which the players do not get a level playing field. If all big players collude and engage in such anti-competitive practices, it creates a situation of disadvantage for all other players in the market.

In order to ensure that organisations do not indulge in any anti-competitive practices, the governments of all countries should enact laws that can help them in dealing with all such cases of anti-competition laws.

The Indian legislature had also passed the Competition Act, 2002. This Competition Act, 2002 defines various anti-competitive practices such as entering into anti-competitive agreements, abuse of dominant position and combinations. The different authorities involved, penalties and punishments for violations and the procedure using which the authorities decide whether or not violation has indeed taken place are all described under this Competition Act, 2002.

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For instance, in the Microsoft vs. Competition Commission of India (CCI) case, Microsoft faced allegations of abusing its dominant market position by bundling software products to stifle competition. Similarly, Maruti Suzuki was penalised for anti-competitive practices, such as restricting discounts offered by dealers. These cases highlight the application of the Competition Act, 2002 in addressing market imbalances and promoting fair competition.

The chapter begins with a detailed discussion about the Competition Act. Next, you will study the definitions under Section 2 of Competition Act, 2002 and anti-competitive agreements. In addition, the chapter also discusses the abuse of the dominant position and the composition of commission. Then, you will study the Competition Commission of India (CCI). At the end, the chapter describes the concepts of the competition appellate tribunal and competitive advocacy.

8.2 THE COMPETITION ACT, 2002

The Competition Act, 2002 is applicable in all the parts of India except Jammu and Kashmir. The Act came into force through notification by the Central government in an official gazette. The Competition Act, 2002 was amended in 2007 and 2009. The provisions of competition laws are equally applicable to all the agreements whether these are written or verbal between the parties. The Act was enacted to:

- Promote the welfare of consumers
- Implement competition policies
- Promote competition advocacy
- Promote fair and healthy competition

The Act is based on the philosophy of modern competition laws. It prohibits anti-competitive agreements and abuse of the dominant position by enterprises. The Act also regulates combinations (acquisition, acquiring of control, merger and acquisition), which may lead to appreciable adverse effects on competition in India.

Any agreement that has a severe impact over the competition but not limited to:

- Any agreement which limits or makes an attempt to limit the production
- Any agreement which limits or makes an attempt to limit supply
- Any agreement which fixes the price or makes an attempt to fix price
- An agreement that attempts collusive bidding
- Refusal to deal

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- The exclusive supply agreement
- Exclusive distribution agreement

To achieve the above objectives, CCI undertook the following tasks:

- Create a market that works for the benefit and welfare of customers and consumers
- Ensure fair and healthy competition for the faster growth of the economy
- Implemented the competition policies with the aim of effective utilisation of resources
- Carry the competition advocacy in an efficient manner and help spread the information of competition amongst all concerned persons and entities

SELF ASSESSMENT QUESTIONS

1. The Competition Act, 2002 is applicable throughout India, including Jammu and Kashmir. (True/False)
2. One of the objectives of the Competition Act, 2002 is to promote fair and healthy competition in the market. (True/False)

ACTIVITY

Prepare a short report analysing how the provisions of the Competition Act, 2002 address anti-competitive agreements in the context of modern business practices and discuss a recent case where the CCI intervened to promote fair competition.

8.3 DEFINITIONS - SECTION 2

The Competition Act, 2002 is significant legislation enacted by the Government of India to foster and maintain fair competition in markets, prevent monopolistic practices, protect consumer interests and promote overall economic efficiency. The following terms have been defined under Section 2 of Competition Act, 2002:

- **Acquisition [Section 2(a)]:** The term acquisition means directly or indirectly acquiring or agreeing to acquire shares, voting rights or assets of any company, acquiring the control over the assets of the company or acquiring control over the management of the company.
- **Agreement [Section 2(b)]:** An agreement is an arrangement or action in a contract or understanding. It is not necessary that such an understanding should be formally written or enforceable by the law.

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- **Cartel [Section 2(c)]:** The term 'cartel' refers to "an association of producers, sellers, distributors, traders or service providers who by agreement amongst themselves limit, control or attempt to control the production, distribution, sale price or provision of goods or services in any particular industry or commodity" [Union of India v. Hindustan Development Corporation, 1994 CTJ 270, SC].
- **Chairperson [Section 29(d)]:** The term 'Chairperson' refers to a person appointed as a Chairperson of the Commission under sub-section (1) of Section 8.
- **Commission [Section 2(e)]:** The term 'Commission' means a commission established under sub-section (1) of Section 7.
- **Consumer [Section 2(f)]:** The word 'consumer' means:
  - A person who buys any goods for a consideration which has been paid, partly paid or promised to be paid at a later date under any system, including deferred payment. It is not relevant if such purchase of goods is for resale or for any commercial purpose or personal use.
  - A person who hires or avails any services for consideration which has been paid or partly paid or promised to be paid at a later date under any system including deferred payment. It is not relevant if such hiring or availing of services is for any commercial purpose or for personal use.
- **Director General [Section 2(g)]:** Director General is appointed under Section 16 (1) of the Act and includes the Additional, Deputy or Assistant Directors appointed under this Act.
- **Enterprise [Section 2(h)]:** The term 'enterprise' means 'an entity engaged in an economic or commercial function'. Section 2(h) has defined enterprise to mean any firm or person engaged in activities related to the production, supply, storage, distribution, acquisition or control of articles, goods or services. The meaning of the term does not depend on the legal nature of the enterprise but on the nature of its activity. It will encompass within its purview various types of public, private or governmental organisations and departments except those performing sovereign functions.
- **Goods [Section 2(i)]:** The term 'Goods' means goods as defined in the Sale of Goods Act, 1930 and includes:
  - Products manufactured, processed or mined
  - Debentures, stock and shares after the allotment is over
  - Goods imported to India or distributed and controlled in India
- **Member [Section 2(j)]:** The term 'Member' means a member of the commission who is appointed under sub-section (1) of Section 8 and also includes the Chairperson.

NOTES

- **Price [Section 2(o)]:** Price in relation to the sale of any goods or supply of any services includes every valuable consideration, whether direct or indirect or deferred, and includes any consideration which relates to the sale of any goods or to performance of any services although ostensibly relating to any other matter or thing.

8.3.1 CHARACTERISTICS OF THE COMPETITION ACT 2002

The Competition Act, 2002 is key legislation in India aimed at promoting and sustaining fair competition in markets and protecting consumer interests. Figure 8.1 shows the major characteristics of the Competition Act, 2002:

Figure 8.1: Characteristics of the Competition Act, 2002

Let us now study these features of the Competition Act, 2002 in detail.

- **Prohibits anti-competitive agreements (Section 3):** An agreement is considered anti-competitive if it causes or may potentially cause an adverse effect on competition. An important feature of the Competition Act, 2002 is to prohibit anti-competitive agreements such as tie-in arrangements, exclusive supply and distribution agreements, etc.
- **Prohibits abuse of dominant position (Section 4):** The abuse of a dominant position means that an organisation or a group of organisations which is in a superior or dominant position in a certain market engages in acts which might be aimed at one of the following:
  - Eliminating or disciplining competitors
  - Deterring the future entry by new competitors
  - Preventing competition or creating a kind of monopoly situation

Examples of abuse of dominant position include indulging in unfair or discriminatory conditions or restricting the production of goods or services and restricting market access.

- **Provides for regulation of combinations (Section 6):** In the context of businesses, a combination may refer to any type of corporate restructuring such as mergers, amalgamation, acquisition of shares, acquiring of control, etc.

  If one organisation (or a group of organisations) is able to regulate combinations, it can potentially cause adverse effects on competition within the concerned market. The Competition Act, 2002 also regulates operations and activities of combinations. It is important to note that the operation of this Act is not limited to combination transactions within India but it also regulates combination transactions that take place outside India.

- **Enjoins competition advocacy (Section 49):** Under the Competition Act, 2002 the CCI has been entrusted with various tasks such as facilitating competition advocacy, creating awareness and providing training. The term 'competition advocacy' refers to all the activities carried out by the CCI that aim at promoting competition. Apart from this, the basic task of the CCI is to enforce the competition law.

8.3.2 OBJECTIVES OF THE COMPETITION ACT 2002

The Competition Act, 2002 is based on the philosophy of modern competition laws. It prohibits anti-competitive agreements and abuse of the dominant position by organisations. The Act also regulates combinations (acquisition, acquiring of control, merger and acquisition), which may lead to appreciable adverse effects on competition in India.

This Act ensures the adequate promotion and sustainability of competition. Some important objectives of the Competition Act, 2002 are as follows:

- To provide a legal framework for ensuring the implementation of competition policies
- To prevent anti-competitive practices
- To penalise organisations engaging in any such acts
- To protect free and fair competition and freedom of trade
- To protect the interests of consumers
- To prevent monopolies
- To prevent needless intervention by the government
- To establish the Competition Commission of India (CCI)

NOTES

8.3.3 IMPORTANCE OF COMPETITION

Business competition is a condition wherein organisations in the same industry engage or participate in an attempt to gain or win something by establishing superiority over others. While doing business, business owners have to face competition in every form such as price, quality, design, sales, location, etc. In markets, competition can be direct, indirect or potential.

Competition is not necessarily negative; in fact, healthy competition among organisations is actually good for businesses. For example, competition helps keep the prices of products under control. Competition is important for organisations as it helps to:

- Encourage organisations to find out about the actual needs, wants and demands of customers
- Motivate organisations to serve customers better than their competitors in a bid to gain maximum market share
- Analyse the strengths and weaknesses of organisations to compete aggressively and gain more market share
- Create an optimum combination of product offerings that would satisfy the needs of customers
- Focus on making more efforts with respect to marketing, branding, customer service and customer retention
- Inculcate a culture of innovation and improve the existing products
- Encourage businesses to learn about the working of markets, positioning brands, how to produce and sell efficiently and so on
- Provide various options to customers to choose from
- Increase the demand for goods, which encourages competitors to develop more unique products
- Find its areas of competitive advantage

SELF ASSESSMENT QUESTIONS

3. The term ________ means directly or indirectly acquiring or agreeing to acquire shares, voting rights or assets of any company, or acquiring control over the management of the company
4. According to the Competition Act, 2002 an agreement is considered anti-competitive if it causes or may potentially cause an __________ effect on competition.
5. According to the Competition Act, 2002 an agreement is considered anti-competitive if it causes or may potentially cause an __________ effect on competition.

NOTES

ACTIVITY

Create a case study on a recent example where the CCI intervened to address an anti-competitive practice (such as abuse of dominant position or cartel formation) and analyse the impact of this intervention on market competition and consumer welfare.

8.4 ANTI-COMPETITIVE AGREEMENTS - SECTION 3

Section 3 of the Competition Act, 2002 relates to the prohibition of anti-competitive agreements. The anti-competitive agreements are the types of agreements that unduly benefit a person or group and which might harm competition in any particular market. All such agreements are prohibited under Competition Act, 2002.

As per Section 3(1) of the Competition Act, 2002, no enterprise or association of enterprises or person or association of persons shall enter into any agreement in respect of production, supply, distribution, storage, acquisition, or control of goods or provision of services, which causes or is likely to cause an appreciable adverse effect on competition within India. If any agreement violates Section 3(1) of this Competition Act, 2002, it would be void.

Based on the provisions contained in Sections 3(3) and 3(4), the anti-competitive agreements can be classified into horizontal agreements and vertical agreements.

8.4.1 HORIZONTAL ANTI-COMPETITIVE AGREEMENTS - SECTION 3 (3)

Horizontal agreements are agreements that are entered into by two or more competing businesses working at the same level in the market, and the purpose of such agreements is to ensure that all businesses cooperate and manipulate competition among all competitors in the market. The businesses cooperate with respect to pricing, production and distribution of the products. Such agreements are presumed to be anti-competitive due to their pernicious effect on competition. Various types of horizontal agreements are discussed as follows:

- **Fix prices:** Price fixing is one type of horizontal agreement wherein two or more competitors collude to increase, decrease, fix or stabilise prices in a specific market. In this way, businesses are able to manipulate the prices, which causes an unfair advantage to them. When price manipulation leads to setting same prices on their products, it negatively affects others in the marketplace.
- **Limit or control production supply:** Two or more businesses may enter into an agreement to limit or control the production output. The production output is fixed by fixing a particular production level or setting quotas for production. For example, competing producers of antiseptic liquid meet and allocate annual sales

volume ration amongst themselves as the idea being gaining control over the market.

- **Allocate customer/products/territories or market division agreements or market-sharing:** At times, two or more businesses may enter into an agreement with one another to share market in terms of customers they serve, the products they produce and the territories they serve. In other words, businesses may restrict their sales of goods and services to certain geographic areas. This leads to the development of monopoly which is an anti-competitive activity.

8.4.2 VERTICAL ANTI-COMPETITIVE AGREEMENTS

Vertical agreements are the types of agreements that are formed among non-competing enterprises or individuals working at different stages or levels of production in respect of production, supply, distribution, storage, sale or price of goods, etc. Such agreements among manufacturers and wholesalers can adversely affect competition in the market and are known as vertical anti-competitive agreements. Various types of vertical agreements as per the Competition Act are as follows:

- **Tie-in arrangement:** A tie-in arrangement means any agreement that requires a purchaser of goods to purchase some other goods as a condition for such purchase. For such an arrangement, the purchaser of certain goods must purchase some goods along with the goods required by him/her as a precondition for effecting the primary purchase. Such tie-in agreements are used by sellers to increase their sales and earn more profit. For example, a pencil manufacturer and seller agree to sell pencils to a customer only if the customer purchases sharpeners also.

> NOTE
>
> A tie-in arrangement compels a buyer to purchase a secondary product or service as a condition for obtaining the primary product.

- **Exclusive agreement:** An exclusive agreement may be of two types—exclusive supply agreement and exclusive distribution agreement. Under exclusive supply agreement, the supplier restricts the purchaser of the goods from acquiring or dealing in goods other than those offered by the supplier. Such agreements are entered into by a seller or supplier because he/she enjoys a dominant position in the market. For example, an automobile manufacturer purchases engines from a particular supplier and he/she enters into an agreement with the supplier that he/she would not make the same engine for any other buyer. Under exclusive distribution agreement, restrictions are imposed on the supply of certain goods which may limit the availability of the goods. At times, such restrictions with respect to allocation of any area or market or sale of goods are also covered under this Competition Act, 2002.

> NOTE
>
> An exclusive agreement under the Competition Act involves restrictive conditions limiting buyers or sellers to specific transactions or parties.

- **Resale price maintenance:** Any agreement to sell goods on condition that the prices to be charged on the resale by the purchaser shall be the prices stipulated by the seller unless it is clearly stated that prices lower than those prices may be charged is called resale price maintenance. In simple words, resale price maintenance involves any attempt by an upstream supplier to control or maintain the minimum price at which a product can be resold by a customer. Such restrictions ensure that the resellers do not compete too fiercely, which leads to lower profits. If an agreement prescribes that a product is resold at a specific margin or limits, the discount offered by a reseller restricts a reseller's ability to set a price; such agreements are prohibited.
- **Refusal to deal:** Any agreement that restricts or may potentially restrict the persons or classes of persons to whom goods are sold or from whom goods are bought are prohibited under the Act. Such agreements are considered as anti-competitive.

8.4.3 CARTELS

A cartel refers to an association of organisations that work in the same industry and they collude with each other for preventing, restricting, reducing or eliminating competition. Businesses involved in a cartel take decisions or steps which would help them to dominate the market and control market prices. Such collusive decisions lead to the creation of a monopoly or a duopoly.

Most cartels and collusive agreements are illegal. When cartels are able to convert the perfectly competitive market into a monopoly or a duopoly, they gain control over all critical business areas such as pricing and market control. Collusive agreements usually lead to anti-competitive practices such as price-fixing and market-sharing.

Such practices are aimed at reducing output and raising prices. Cartels may also indulge in making decisions that lead to misallocation of resources. For instance, cartels may wilfully create an artificial shortage of goods or services demanded by customers.

Most cartels are illegal; however, export cartels in most countries and at the international level are legal. For example, the organisation of the Petroleum Exporting Countries (OPEC) is a legal international cartel.

NOTES

CASE INSTANCE

The landmark case, Union of India v. Hindustan Development Corporation (1994), concerned cartelisation in public procurement. The Supreme Court of India examined whether a consortium of aluminium producers indulged in anti-competitive practices by forming a cartel to fix prices during tenders. The Court held that cartelisation confines fair competition and negatively affects the market and, thus, such practices are against public policy. This case defines the way to creating a precedent for recognising cartels as detrimental to competition under Indian law leading to more stringent regulation against collusive agreements.

8.4.4 BID RIGGING

Bid rigging is an illegal practice or agreement created between different organisations or persons that are engaged in production of identical or similar products or trading of services which leads to eliminating or reducing competition for bids. It adversely affects or manipulates the bidding process. Under bid rigging, different competing parties collude with each other and choose a winner of the bidding process by making all competitors submit uncompetitive bids.

Rigged bidding creates an illusion of real bidding even though the result of bidding is already predetermined. Due to this manipulation, competitors do not get a fair chance of participating in the bidding process which creates a case of unfair competition. The CCI has the power to prohibit such anti-competitive agreements which involve bid rigging.

Bid rigging involves the submission of non-competitive bids that are submitted by organisations with the help of corrupt officials and a set of orchestrated collusive activities.

There are three major types of bid rigging, which are as follows:

- **Cover bidding:** It is also known as complementary bidding. Under cover bidding, a group of bidders submit collusive bids so that some other bidder can win the contract.

  NOTE

  Cover bidding is a strategy where a bidder submits a deliberately high bid to ensure they do not win, often to support a predetermined winner or maintain appearances of competitive bidding. It is commonly associated with unethical practices in procurement or auction processes.

- **Bid suppression:** It occurs when many bidders agree not to bid or they withdraw their bids. This is done in order to make a particular bidder win the bid.

NOTE

Bid suppression is an anticompetitive practice where participants in a bidding process agree to refrain from submitting bids or intentionally submit uncompetitive bids, often to allow a predetermined party to win. This undermines fair competition and violates antitrust laws.

- **Bid rotation:** It refers to a process wherein all bidders take turns to submit a low bid with an intention to make each bidder win on a rotational basis.

NOTE

Bid rotation is an illegal practice where competing bidders agree to take turns winning contracts, ensuring each party benefits over time while undermining fair competition.

SELF ASSESSMENT QUESTIONS

6. Under____________, the supplier restricts the purchaser of the goods from acquiring or dealing in goods other than those offered by the supplier.
7. Which of the following is not a vertical agreement?
   a. Price fixing
   b. Tie-in agreement
   c. Exclusive distribution agreement
   d. Resale price maintenance

ACTIVITY

Find out about the cartels which were recently in the news.

8.5 ABUSE OF DOMINANT POSITION - SECTION 4

The prohibition of the dominant position states that no enterprise should use its position in a manner which directly or indirectly imposes restrictions or conditions over the purchase, sale and supply of goods or services. Abuse of dominance occurs when an enterprise commanding dominant position controls the market in such a manner that it may vary the prices or quality of products without facing adverse reactions from customers and suppliers.

Dominant position is a position of strength held by an enterprise in the relevant market in India whereby it can operate independent of market forces. The Act does not detest dominance but its abuse.

N O T E S

Section 4 prohibits and punishes 'dominant position' if the following are shown to exist:

a. The enterprise must be shown to hold a dominant position
b. It must be using such dominant position negatively

The provisions of Section 4 are applicable to all types of enterprises belonging to any sector-public or private, financial institution, co-operative societies, trade unions, government departments, etc.

MEANING OF DOMINANT POSITION

A dominant position implies a position of strength held by an enterprise in the relevant market which enables it to:

i. Operate independently of the competitive forces prevailing in the market, or
ii. Affects customers, consumers or the relevant market. By virtue of such dominant position, the concerned enterprise does the following:
    a. Directly or indirectly imposes unfair and discriminatory:
        ✓ Conditions in purchase or sale or in services
        ✓ Prices in purchase or sale or goods or service, including predatory price.

        There are two conditions precedent to bring a case within the ambit of predatory pricing:

        i. Selling goods or provision of services at a price which is below its cost of production
        ii. Practice is resorted to eliminate the competitors or to reduce competition
    b. Limits or restricts:
        ✓ Production of goods or provisions for any services or market thereof
        ✓ Any technical or scientific development in relation to the goods or services which may prejudice consumers
    c. The enterprise indulges in practice(s), which results in the denial of market access
    d. An enterprise using its dominant position in one relevant market to enter and protect another relevant market

INSTANCES OF ABUSE OF DOMINANT POSITION [SECTION 4(2)]

The following are considered abuses of the dominant position:

❑ Abuse in pricing, such as predatory pricing, whereby unfair or discretionary conditions or prices are imposed on purchase or sale of goods or services

NOTES

- Adoption of discriminatory prices
- Imposition of unfair or discriminatory conditions
- Indulgence in price squeezing
- Limiting or restricting production
- Denial of market access

EXHIBIT

Provisions under Section 4 of the Competition Act, 2002, addressing the abuse of dominant position

Provision	Description	Effect
Dominant position	Position of strength enabling an enterprise to operate independently of market forces.	May lead to unfair practices affecting competitors and consumers.
Predatory pricing	Selling goods/services below production cost to eliminate competitors.	Reduces competition and may create monopolies.
Unfair/ discriminatory pricing	Imposing arbitrary conditions or prices on goods/services.	Harms market equality and consumer interests.
Limiting production/ technical progress	Restricting goods/services production or innovation to harm market competition.	Reduces consumer choice and slows innovation.
Denial of market access	Practices that block competitors' entry or access to a market.	Stifles competition and market growth.
Leveraging dominance	Using dominance in one market to gain an unfair advantage in another.	Distorts market dynamics across multiple sectors.
Public and private enterprises	Applicable to all sectors, including public, private, cooperatives, and government bodies.	Ensures accountability and fair practices across all industries.

SELF ASSESSMENT QUESTIONS

8. The prohibition of the dominant position attempts to restrict or restricts:

   a. Purchase
   b. Sale
   c. Supply
   d. All of the above

9. Which of the following is considered an abuse of dominant position under Section 4(2)?

   a. Increasing market share through innovation

NOTES

b. Imposing predatory pricing on goods or services
c. Forming partnerships with suppliers
d. Reducing prices to match competitors

ACTIVITY

Using the Internet, explain the term prohibition of the dominant position.

8.6 COMPETITION COMMISSION OF INDIA (CCI)

The CCI is the regulatory authority that oversees competition in the Indian market. It was established with an aim to enforce the Competition Act, 2002. This Act was amended by the Competition (Amendment) Act, 2007. This amended Act led to the establishment of the CCI. The primary objective of the CCI is to create a fair and competitive business environment. CCI is able to do that with the help of all the stakeholders, including industry members, government and international jurisdictions.

CCI believes that competition is a means for ensuring that the common people of India can access a range of goods and services at competitive prices. It aims to regulate competition so that the producers can have maximum incentive for facilitating innovation and bringing specialisation. Healthy competition in markets leads to reduced costs and increased choice available to consumers. Therefore, the CCI works towards providing a level playing field to the market participants and, at the same time, takes care of the interests of the consumers as well.

The CCI is the body through which the central government aims at achieving the objectives of the Competition Act, 2002. The CCI consists of a chairperson and not less than two and not more than six members which are appointed by the central government. The major activities of the CCI are as follows:

- Eliminating practices having Appreciable Adverse Effect on Competition (AAEC)
- Promoting and sustaining competition
- Protecting the interests of consumers
- Ensuring the freedom of trade in Indian markets
- Undertaking competition advocacy
- Creating public awareness
- Imparting training on competition issues to its staff, within and outside country

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8.6.1 COMPOSITION OF COMMISSION - SECTION 8

As per Section 8 of the Competition Act, 2002 as amended by the Competition (Amendment) Act, 2007, the CCI comprises a Chairperson and other members which may range from two to six in number. The members of the CCI are appointed by the central government and they serve as full-time members.

The central government selects the members of the CCI based on certain characteristics, which are:

- Members must be persons of proved ability, integrity and standing.
- Members must possess certain special knowledge.
- Members must have a professional experience of at least 15 years in international trade, economics, business, commerce, law, finance, accountancy, management, industry, public affairs or competition matters, including competition law and policy.
- Each member, including the Chairperson is appointed for a term of five years and is eligible for re-appointment.
- No member can remain a member after reaching 65 years of age.

8.6.2 OBJECTIVES OF CCI

The CCI, established under the Competition Act, 2002, aims to ensure fair competition in the Indian market. Its primary objectives include:

- **Promoting and sustaining competition:** CCI works to prevent practices that harm competition in markets across India, ensuring that markets remain fair and competitive.
- **Protecting consumer interests:** By preventing anti-competitive practices, CCI ensures that consumers have access to a range of goods and services at fair prices, safeguarding them from monopolistic exploitation.
- **Ensuring freedom of trade:** The commission aims to create an environment where businesses can operate freely and fairly, fostering a level playing field without monopolistic or restrictive trade practices.
- **Preventing abuse of dominance:** CCI monitors and regulates companies with a dominant market position to prevent them from using their power to eliminate competition, exploit consumers or unfairly restrict other businesses.
- **Regulating mergers and acquisitions:** CCI examines mergers and acquisitions to ensure that they do not negatively impact competition. Large combinations that could potentially lead to market dominance or reduce competition must be approved by CCI before they are finalised.

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- **Promoting awareness and advocacy:** CCI promotes competition advocacy and awareness among businesses, consumers, and policymakers to encourage competitive practices and educate stakeholders on the benefits of fair competition.

8.6.3 DUTIES AND FUNCTIONS OF CCI

The CCI performs various duties and functions under the Competition Act, 2002 to uphold competition and fair practices in the Indian economy. The following are the main duties and functions of the CCI:

- **Preventing anti-competitive agreements:** CCI is responsible for scrutinising agreements between enterprises to identify and prohibit those that have an adverse effect on competition. This includes both horizontal agreements (between competitors) and vertical agreements (between suppliers and distributors) that may lead to price-fixing, bid-rigging or limiting market access.
- **Preventing abuse of dominance:** CCI investigates and prevents the abuse of a dominant position by companies in the market. This includes practices like unfair pricing, restricting competition, and other forms of exploitation that limit consumer choices or hinder other players in the market.
- **Regulating combinations (mergers and acquisitions):** CCI reviews and approves mergers, acquisitions and amalgamations to ensure they do not have a negative impact on competition in the market. CCI intervenes if a proposed combination is likely to create or strengthen a dominant position and reduce competition.
- **Promoting competition advocacy and market awareness:** CCI conducts advocacy programs to promote understanding of competition principles among businesses, consumers, government bodies and other stakeholders. The goal is to foster a culture of competition and educate the public on the benefits of competitive markets.
- **Advising the government on competition policy:** CCI provides expert advice to the central and state governments on policies and laws that might impact competition. CCI's input is sought to ensure that government policies align with competitive practices and foster a healthy market environment.
- **Conducting market studies and investigations:** CCI regularly undertakes market studies to identify anti-competitive practices and assess market structures. This helps the commission in proactive policy formulation and enforcement efforts.
- **Enforcing penalties and remedies:** When competition laws are breached, CCI has the authority to impose penalties, order corrective actions, and prescribe remedies to address and prevent anti-competitive practices.

- **Engaging in international cooperation:** CCI collaborates with international organisations, foreign competition authorities, and multilateral bodies to promote cooperation and alignment of competition law standards. This helps India stay aligned with global competition practices and handle cross-border competition issues.

8.6.4 POWERS OF THE CCI

After inquiring into agreements or abuse of dominant position, CCI can pass appropriate orders. It can order the division of enterprise enjoying the dominant position. CCI has powers to grant interim relief, award compensation, regulate its own procedure and review and rectify its own orders. CCI has the power to inquire into acts taking place outside India but having their effect on competition in India. Apart from this, the powers of the CCI are as follows:

- Eliminating the business practices that have Appreciably Adverse Effect on Competition (AAEC)
- Conducting inquiry into certain agreements and dominant position of enterprises
- Conducting suo moto inquiries if they receive any such information related to any anti-competitive agreements
- Conducting inquiry into cases of combinations and determining if such an agreement has AAEC
- Regulating its own procedure for discharging its functions, as it is not bound by rules of Civil Procedure Code, 1908
- Imposing monetary penalty
- Issuing interim orders if the CCI is satisfied that it is a case of anti-competitive agreements or abuse of dominant position
- Awarding compensation after making inquiry into allegations
- Reviewing its own order if no appeal is filed within 30 days from the order and the aggrieved party applies to the Commission
- Engaging in competition advocacy

As of now, the jurisdiction of the CCI has been widely debated. There have been cases wherein some other courts have stayed the verdict of the CCI. There are various jurisdictional challenges related to CCI encroaching the jurisdiction of another regulator or court. The CCI actually faces a lot of issues because it sees an overlap between its own jurisdiction and that of other regulators.

The Competition Act, 2002 does not specify any rules based on which the CCI can decide the cases to be taken cognisance of. There have been numerous instances of overlap and exercise of authority between CCI and other regulators. This often leads to delay in justice.

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EXHIBIT

Case Studies and Developments Involving the Competition Commission of India (CCI)

MakeMyTrip-Goibibo and Oyo Case (October 2022): CCI imposed a penalty of ₹223.48 crore on MakeMyTrip-Goibibo and ₹168.88 crore on Oyo for indulging in anti-competitive practices.

The companies were found to have entered into an arrangement that caused a denial of market access to competitors, impacting consumer choice and market fairness.

Google Android Ecosystem Case (October 2022): CCI fined Google ₹1,337.76 crore for abusing its dominant position in the Android mobile ecosystem. The commission directed Google to cease and desist from anti-competitive practices, including its policies on app pre-installation.

CCI vs. Amazon (2023): The commission investigated Amazon for providing misleading information regarding its acquisition of Future Coupons. The case highlighted how false disclosures during mergers and acquisitions could affect market dynamics.

Amendment Act Provisions (2023): The Competition (Amendment) Act, 2023, introduced significant changes, including deal value thresholds for mergers, enhanced penalties for false statements, and new mechanisms for settlement and commitments to reduce litigation and ensure quicker compliance.

Zee Entertainment-Sony Merger (2023): CCI scrutinised this merger to ensure it would not result in a dominant position, emphasising the importance of maintaining a balanced competitive environment in the entertainment sector.

INQUIRY INTO CERTAIN AGREEMENT AND DOMINANT POSITION OF ENTERPRISES

The CCI has the power to inquire into any alleged violation of Sections 3 and 4, i.e., anti-competitive agreements and abuse of dominant position by taking suo moto cognisance (on its own motion) or in the following cases:

- When the CCI receives any information from any person, consumer, or their association which is accompanied with the required fee amount
- When the CCI receives a reference made to it by the central government or state government or statutory authority

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8.6.5 POWERS AND JURISDICTION OF THE DIRECTOR GENERAL

According to Section 2 (g) of the Competition Act, 2002, 'Director General' (DG) means the Director General that has been appointed under Section 16 (1) of the Competition Act, 2002 and it includes any Additional, Joint, Deputy or Assistant Directors General appointed under that section.

Section 16 of the Competition Act, 2002 relates to the appointment of DG of the CCI. This section states that the central government may appoint a DG for assisting the CCI. The DG helps the CCI in conducting inquiry into the contraventions of any provisions of the Competition Act, 2002 along with certain other functions as specified in the Act. The office of the DG also comprises Additional, Joint, Deputy or Assistant General. All the Additional, Joint, Deputy or Assistant Director Generals, advisers, consultants and officers are required to exercise their powers and discharge their functions under the supervision and direction of the DG. The appointment, number, the manner of appointment and the salary and allowances of the Additional, Joint, Deputy or Assistant Director Generals, advisers, consultants and officers are decided by the central government. The DG and the other officers who are appointed must be persons of integrity and proven ability. Such officers must have experience related to investigation and have knowledge of accountancy, management, business public administration, international trade, law, economics, etc.

The DG does not have powers to initiate investigation by taking suo motu cognisance of any matter. The DG has to follow the process by submitting information to the CCI. Thereafter, the CCI can cause an inquiry in accordance with Section 19 of the Act. The CCI can order for an investigation to be initiated by the DG. The CCI must not delay the process by seeking multiple opinions before deciding to initiate an investigation.

8.6.6 PROCEDURE FOR INQUIRY INTO THE COMPLAINTS (SECTION 19)

The CCI has to follow a thorough procedure for carrying out an inquiry into any complaint received by it. Whenever the CCI receives any complaint or reference from the central government or state government or from a statutory authority or on its own knowledge or information (received from a consumer, trade association, etc.), there can be two situations.

In the first situation, the CCI is satisfied that there exists some substance in the complaint; then, in such a situation, the CCI directs the DG to investigate the matter. If the CCI receives any complaints or information that is similar to any previously received information, then all the new information should be clubbed with the previously available information.

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In the second situation, the CCI is not satisfied with the matter referred to it and it does not find that a prima facie case is made out; then, the CCI closes the matter and passes orders as it deems fit. The CCI also has to send a copy of this order to the central government or the state government or to the authority from which the complaint was received.

When a case is referred to the DG, he/she carries out a thorough investigation and prepares a report of his/her findings. If the report of the DG states that there was no contravention of any provisions of the Competition Act, 2002, the complainant may rebut and appeal against the findings of the DG to the CCI. Following this, the CCI hears the case of the complainant.

If the CCI agrees with the recommendations of the DG, it shall close the matter and pass necessary orders. However, if, after examining all the objections and suggestions, the CCI is of the opinion that the matter requires further investigation, then the CCI may order the DG to conduct further inquiry. If the report of the DG finds that there has been a contravention of the provision(s) of the Competition Act, then the CCI may order further inquiry if it feels the need for such further inquiry.

SELF ASSESSMENT QUESTIONS

10. The CCI is the regulatory authority that oversees ___________ in the Indian market.
11. No member of the CCI can remain a member of this body after reaching 65 years of age. (True/False)

ACTIVITY

Make a list of a few anti-competitive agreements that have recently been pointed out by the CCI.

8.7 COMPETITION APPELLATE TRIBUNAL

The central government has established the National Company Law Appellate Tribunal (‘NCLAT’, an Appellate Tribunal), also known as the Competition Appellate Tribunal (COMPAT) in accordance with Section 53A of the Competition Act, 2002. The two main objectives and purpose of the Act are as follows:

- To hear and dispose any appeals against any directions issued or decisions or orders passed by the CCI
- To adjudicate on the claim for compensation that may arise from the findings of the CCI

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In May 2017, the central government dissolved the CAT and replaced it with NCLAT. Now, NCLAT is the appellate body that works under the Competition Act, 2002. The right to appeal to NCLAT remains unchanged. It is also the relevant authority to seek compensation under the Competition Act, 2002.

The COMPAT is a statutory organisation established under the provisions of the Competition Act, 2002 to hear and dispose of appeals against any direction issued or decision made or order passed by the CCI under sub-sections (2) and (6) of Section 26, Section 27, Section 28, Section 31, Section 32, Section 33, Section 38, Section 39, Section 43, Section 43A, Section 44, Section 45 or Section 46 of the Competition Act, 2002. The Appellate Tribunal shall also adjudicate on claims for compensation that may arise from the findings of the CCI or the orders of the Appellate Tribunal in an appeal against any findings of the CCI or under section 42A or under sub-section (2) of section 53Q of the Act and pass orders for the recovery of compensation under section 53N of the Act. There is no requirement that the Commission should follow the procedure as laid down by the Code of Civil Procedure Act, 1908 or any other relevant act.

However, the procedure followed should be guided by the principles of natural justice, subject to other provisions of the Act or of any rules made or prescribed by the Central Government from time to time. The Commission can prescribe its own procedure, including the places of sittings, the duration of hearings, etc. Some of the important features of the Competition Tribunal Procedure and laws are as follows:

- It can prescribe its own procedure.
- It is not bound by any other laws.
- It has a right to summon and enforce the attendance.
- It is guided by the principles of natural justice.

The Commission is vested with the following powers, which are in line with the Code of Civil Procedures, 1908:

- Summoning or enforcing the attendance of any person.
- Requiring the parties in dispute for the discovery and production of documents.
- Receiving the evidences on affidavits.

The Commission may also direct any person or party to produce such books of accounts, records or other documents in custody of the person, which may be deemed necessary while conducting inquiry under this Act. If the Commission is of the opinion that any agreement or the combination is likely to have an adverse effect on competition in the relevant market, in that case, in the interest of the consumers, it may conduct any inquiry or adjudicate upon any matter under this Act after giving the reasonable opportunity to the parties.

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SELF ASSESSMENT QUESTIONS

12. The __________ was established under Section 53A of the Competition Act, 2002, to hear and dispose of appeals against directions issued or decisions made by the CCI.
13. The COMPAT is guided by the principles of __________, and is not bound by the procedures of the Code of Civil Procedure Act, 1908.

ACTIVITY

Draft a policy brief for a company explaining the potential consequences of violating competition laws in India, focusing on how the NCLAT handles appeals and compensation claims.

8.8 COMPETITIVE ADVOCACY

The term competition advocacy provides that while making any law on the competition, the Central Government may make a reference to the Commission for obtaining its comments. On receipt of the reference, the Commission shall within 60 days of the receipt give its opinion to the Central Government. The Central Government is not bound to accept the opinion expressed by the Commission, but if the Government deems it fit, it may consider that opinion while formulating the policy.

The Commission shall take proper actions and suitable measures as may be prescribed for the promotion of the competition advocacy and create awareness among the public on the competition-related issues.

Competitive advocacy involves persuasive and strategic communication skills designed to argue a position or viewpoint in a competitive setting. This often takes place in legal contexts, debate competitions, policy discussions and other structured environments where advocates seek to influence decisions, judgments or public opinion. Elements of competitive advocacy include:

- **Research and preparation:** Gathering factual evidence, data, and case studies to substantiate arguments and anticipate opposing viewpoints.
- **Clear structure and organisation:** Developing a clear, logical argument flow, which often includes an introduction, points of argument, rebuttal and conclusion.
- **Persuasion techniques:** Utilising ethos (credibility), pathos (emotional appeal) and logos (logical reasoning) to make arguments more compelling.

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- **Oral and written communication skills:** Presenting arguments confidently and persuasively, both in speaking and in writing, to maintain clarity and impact.
- **Refutation and rebuttal:** Identifying weaknesses in the opposition's arguments and presenting counter arguments to reinforce your position.
- **Teamwork and collaboration:** Ensuring smooth coordination between team members for consistent messaging and effective argument presentation.

SELF ASSESSMENT QUESTIONS

14. The Central Government is required to accept the opinion of the CCI when formulating competition-related policy. (True/False)
15. Competitive advocacy involves the use of persuasive communication techniques such as ethos, pathos and logos to strengthen arguments. (True/False)

ACTIVITY

Prepare a competition advocacy proposal for a business scenario where a company is facing scrutiny under competition laws.

8.9 SUMMARY

- Competition refers to a situation that exists in a market in which organisations and sellers attract buyers independently for achieving some business objectives, such as increasing profits or sales, increasing turnover or increasing the market share.
- The Competition Act, 2002 is applicable in all the parts of India except Jammu and Kashmir. The Act came into force through notification by the Central government in an official gazette.
- The Competition Act, 2002 is significant legislation enacted by the Government of India to foster and maintain fair competition in markets, prevent monopolistic practices, protect consumer interests and promote overall economic efficiency.
- The Competition Act, 2002 is key legislation in India aimed at promoting and sustaining fair competition in markets and protecting consumer interests.
- Section 3 of the Competition Act, 2002 relates to the prohibition of anti-competitive agreements.
- Horizontal agreements are agreements that are entered into by two or more competing businesses working at the same level in the market.

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- Vertical agreements are the types of agreements that are formed among non-competing enterprises or individuals working at different stages or levels of production in respect of production, supply, distribution, storage, sale or price of goods, etc.
- A cartel refers to an association of organisations that work in the same industry and they collude with each other for preventing, restricting, reducing or eliminating competition.
- Bid rigging is an illegal practice or agreement created between different organisations or persons that are engaged in production of identical or similar products or trading of services which leads to eliminating or reducing competition for bids.
- The prohibition of the dominant position states that no enterprise should use its position in a manner which directly or indirectly imposes restrictions or conditions over the purchase, sale and supply of goods or services.
- The CCI is the regulatory authority that oversees competition in the Indian market. It was established with an aim to enforce the Competition Act, 2002.
- The central government has established the National Company Law Appellate Tribunal ('NCLAT', an Appellate Tribunal), also known as the Competition Appellate Tribunal (COMPAT) in accordance with Section 53A of the Competition Act, 2002.
- The term competition advocacy provides that while making any law on the Competition, the Central Government may make a reference to the Commission for obtaining its comments.

KEY WORDS

- **Anti-competitive agreements:** The agreements that tend to restrict competition in India
- **Appellate courts:** The courts concerned with or dealing with applications for decisions to be reversed
- **CCI:** The Competition Commission of India, which is entrusted with the duty of implementing the Competition Act, 2002 in India
- **Competition advocacy:** The activities aimed at creating, expanding and strengthening awareness of competition in the market
- **Consumer:** One who buys any good or avails any service against the payment of a consideration or on the basis of the deferred payment system
- **Dominant position:** A position that directly or indirectly imposes restrictions or conditions over the purchase and supply of goods or services

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8.10 MULTIPLE CHOICE QUESTIONS

1. What is one of the primary objectives of the Competition Act, 2002?
   a. To control inflation
   b. To increase government revenue
   c. To promote fair and healthy competition
   d. To increase the profits of large corporations
2. Which of the following practices is not considered anti-competitive under the Competition Act, 2002?
   a. Limiting production or supply
   b. Refusal to deal
   c. Exclusive supply agreements
   d. Free pricing based on demand and supply
3. According to Section 2 of the Competition Act, 2002, which of the following best describes a "Cartel"?
   a. A government body that regulates fair competition
   b. An agreement between producers to fix prices or control production
   c. A consumer advocacy group
   d. A legal agreement between two companies to merge
4. Which section of the Competition Act, 2002, prohibits the abuse of dominant position in the market?
   a. Section 4
   b. Section 6
   c. Section 3
   d. Section 49
5. Which of the following is an example of a horizontal anti-competitive agreement under Section 3 of the Competition Act, 2002?
   a. A manufacturer requiring a buyer to purchase additional goods
   b. A supplier agreeing to sell goods only through a specific distributor
   c. A company setting a minimum resale price for its products
   d. Two competing companies agreeing to fix prices
6. Which of the following best describes bid suppression in the context of bid rigging?
   a. A group of bidders submitting non-competitive bids to let another win
   b. Bidders taking turns to submit the lowest bid

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c. Bidders agreeing not to bid or withdrawing their bids
d. A company lowering its bid to win a contract through competitive means

7. What is the role of the CCI in the context of competition advocacy?
   a. To promote competition awareness and provide opinions on competition-related laws
   b. To regulate market prices
   c. To make binding decisions on government policies
   d. To create new competition laws without consulting the government
8. Which of the following is a key element of competitive advocacy in policy discussions?
   a. Providing financial support to government projects
   b. Persuading with a mix of credibility, emotional appeal, and logical reasoning
   c. Ignoring opposing viewpoints to strengthen one's argument
   d. Avoiding any counterarguments during presentations
9. Which of the following is not considered an abuse of dominant position under Section 4 of the Competition Act, 2002?
   a. Imposing unfair or discriminatory prices
   b. Selling goods below cost to eliminate competition
   c. Limiting the production of goods or services
   d. Offering promotional discounts to increase market share
10. Which condition is required to establish a case of predatory pricing under Section 4 of the Competition Act, 2002?
    a. Selling goods at a price higher than the cost of production
    b. Selling goods below the cost of production to eliminate competitors
    c. Offering products at a discount rate to attract more customers
    d. Using discounts solely for promotional purposes

8.11 DESCRIPTIVE QUESTIONS

1. Explain the concept of the Competition Act, 2002.
2. What are the objectives of the Competition Act, 2002?
3. What do you mean by anti-competitive agreements?
4. Discuss the concept of abuse of dominant position.
5. What do you mean by CCI?

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8.12 HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

1. PIYUSH Corporation is a dominant player in the smartphone industry in India. The company is accused of engaging in anti-competitive practices by charging excessive prices for its smartphones, thereby restricting competition and exploiting consumers. The CCI receives a complaint from a consumer association about the alleged abuse of dominance. Upon investigation, the DG concludes that PIYUSH Corporation's pricing strategy violates the Competition Act, 2002. What is the next step that the CCI will take after receiving the DG's report?
   a. The CCI will immediately close the matter and pass necessary orders.
   b. The CCI will refer the case to the central government for further action.
   c. The CCI may order further investigation if it believes the case requires more inquiry.
   d. The CCI will issue a fine without conducting any further investigation.
2. A company, ABHI Ltd., has been accused of anti-competitive behaviour by the CCI. After a thorough investigation, the CCI imposes a fine on ABHI Ltd., for violating the provisions of the Competition Act, 2002. ABHI Ltd. wishes to challenge the CCI's decision. Which of the following is the appropriate forum for ABHI Ltd., to appeal against the CCI's decision?
   a. The NCLAT
   b. The Supreme Court of India
   c. The CCI itself
   d. The High Court of India
3. The Central Government is formulating a new law, which may affect market competition. Before finalising the law, the Government resolves to consult the CCI. According to the direction, the Commission is supposed to submit its recommendation in some time. What is the maximum period within which the CCI must submit its opinion to the Central Government?
   a. 30 days
   b. 60 days
   c. 90 days
   d. 120 days

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4. A company is considering a merger with a competitor, which it believes will lead to better resource sharing and market expansion. However, the company is concerned that the merger might negatively impact competition in the market, as it could create a dominant entity with the ability to control prices and limit market access for smaller firms. Based on the Competition Act, 2002, which provision would regulate such a merger to ensure it does not harm competition?
   a. Section 3 - Prohibition of Anti-Competitive Agreements
   b. Section 4 - Prohibition of Abuse of Dominant Position
   c. Section 6 - Regulation of Combinations
   d. Section 49 - Competition Advocacy

8.13 ANSWERS AND HINTS

ANSWERS FOR SELF ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
Competition Act, 2002	1.	False
	2.	True
Definitions - Section 2	3.	Acquisition
	4.	adverse
	5.	competitive
Anti-Competitive Agreements -Section 3	6.	competitive
	7.	a. Price fixing
Abuse of Dominant Position - Section 4	8.	d. All of the above
	9.	b. Imposing predatory pricing on goods or services
Competiton Commission of India (CCI)	10.	competition
	11.	False
Competition Appellate Tribunal	12.	National Company Law Appellate Tribunal (NCLAT)
	13.	natural justice
Competitive Advocacy	14.	False
	15.	True

ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer
1.	c. To promote fair and healthy competition

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Q. No.		Answer
2.	d.	Free pricing based on demand and supply
3.	b.	An agreement between producers to fix prices or control production
4.	a.	Section 4
5.	d.	Two competing companies agreeing to fix prices
6.	c.	Bidders agreeing not to bid or withdrawing their bids
7.	a.	To promote competition awareness and provide opinions on competition-related laws
8.	b.	Persuading with a mix of credibility, emotional appeal, and logical reasoning
9.	d.	Offering promotional discounts to increase market share
10.	b.	Selling goods below the cost of production to eliminate competitors

HINTS FOR DESCRIPTIVE QUESTIONS

1. The Competition Act, 2002 is applicable in all the parts of India except Jammu and Kashmir. The Act came into force through notification by the Central government in an official gazette. The Competition Act, 2002 was amended in 2007 and 2009. Refer to Section **8.2 Competition Act, 2002**
2. The Competition Act, 2002 is based on the philosophy of modern competition laws. Some important objectives of the Competition Act, 2002 are to provide a legal framework for ensuring the implementation of competition policies, to prevent anti-competitive practices and to penalise organisations engaging in any such acts. Refer to Section **8.3 Definitions - Section 2**
3. Section 3 of the Competition Act, 2002 relates to the prohibition of anti-competitive agreements. The anti-competitive agreements are the types of agreements that unduly benefit a person or group and which might harm competition in any particular market. All such agreements are prohibited under Competition Act, 2002. Refer to Section **Anti-Competitive Agreements -Section 3**
4. The prohibition of the dominant position states that no enterprise should use its position in a manner which directly or indirectly imposes restrictions or conditions over the purchase, sale and supply of goods or services. Refer to Section **8.5 Abuse of Dominant Position - Section 4**
5. The CCI is the regulatory authority that oversees competition in the Indian market. It was established with an aim to enforce the Competition Act, 2002. This Act was amended by the Competition (Amendment) Act, 2007. Refer to Section **8.7 Competition Commission of India (CCI)**

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ANSWERS FOR HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

Q. No.	Answer
1.	c. The CCI may order further investigation if it believes the case requires more inquiry.
2.	a. The NCLAT
3.	b. 60 days
4.	c. Section 6 - Regulation of Combinations

8.14 SUGGESTED READINGS & REFERENCES

SUGGESTED READINGS

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CASE LAW

NOTES

THE FLIPKART AND AMAZON CASE: COMPETITION COMMISSION OF INDIA'S INVESTIGATION INTO E-COMMERCE PRACTICES

In 2020, the CCI began investigating business practices by Amazon and Flipkart following a complaint by brick-and-mortar retailers and the Confederation of All India Traders. The e-commerce giants were accused of having engaged in anti-competitive practices that injured small competitors and consumers. The central problem was that Flipkart and Amazon were giving special treatment to some sellers on their respective e-commerce sites, and therefore, a distortion of the competitive landscape is possible. The most salient issues that came out were exclusive deals, deep discounting and price manipulation, all of which might have a great influence on the nature and fairness of the retail marketplace.

The complaint further alleged that Flipkart and Amazon's strategy was anticompetitive, which allowed the companies to favour certain sellers, often large brands over smaller and independent retailers. They complained that these practices resulted in unfair price fluctuations, alleging each firm has a practice of manipulation of prices to attract customers with low prices and then to recover through hikes. This practice is commonly known as predatory pricing. These actions were also, trade associations feared, not only harming small retailers but also deceiving consumers about the actual value and pricing of goods. The scenario caught the spotlight in such an economy where e-commerce giants were growing wild without a control system.

Flipkart and Amazon denied the allegations and stated that both e-commerce companies have an open platform where sellers compete on a level-playing field, big or small. They continued to assert that their business models were transparent, fair and demand-led. The companies further argued that their pricing models and advertisement campaigns fell under the jurisprudence of free market competition, and their business platforms operate quite similarly to the other more traditional marketplaces. The e-commerce companies suggested that market forces were, by their nature, dictated by the choices of customers. The business practices on their part did not seem to cause appreciable harm to competition.

However, the CCI's investigation focused on whether these business practices violated the Competition Act, 2002, particularly under Section 3 (which prohibits anti-competitive agreements) and Section 4 (which prohibits the abuse of a dominant position in the market). The central issue was whether

Case Objective

The objective of this case law is to understand how the CCI investigates anti-competitive practices in the e-commerce sector.

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the preferential treatment to certain sellers or the control over pricing mechanisms created barriers for other potential market entrants. The CCI also examined whether such behaviour led to an adverse impact on consumers, especially in terms of price inflation, reduced choice or distorted market conditions due to unfair advantages given to certain sellers.

A critical part of the inquiry was to determine whether the practices adopted by Flipkart and Amazon can be termed an abuse of the dominant positions in the Indian e-commerce market. Both these companies have a lot of market share in India; in fact, Amazon and Flipkart have large chunks of the online retail business. In that light, the commission was to determine if their market strength was enough to qualify them to engage in anti-competitive practices that would affect competition substantially, especially in the internet marketplace, whereby the entrance barriers are generally very low compared to their brick-and-mortar counterparts.

The result of the aforementioned investigation was widely publicised and keenly awaited by both consumers and industry players. This case is therefore paramount because it sets precedents on market dominance, anti-competitive agreements and consumer protection led by the way the CCI regulates e-commerce business cases in the future. The inquiry was part of broader efforts to ensure that the e-commerce sector grew in a way that promoted healthy competition, transparency and fairness in both pricing and market access and did not unnecessarily disadvantage small retailers or consumers in an increasingly digital economy. It was one case that underlined the growing need for a regulatory framework capable of adapting to the challenges raised by rapidly evolving online business models.

OUTCOME:

The outcomes of the case study could include directives from the CCI to prohibit anti-competitive practices, such as exclusive deals, predatory pricing, and preferential treatment of specific sellers. The CCI may impose fines or penalties on Amazon and Flipkart if violations of Sections 3 and 4 of the Competition Act, 2002, are established. Additionally, the companies could be mandated to implement transparent policies ensuring equal opportunities for all sellers on their platforms. The ruling might set precedents for regulating e-commerce in India, emphasising fair competition and consumer protection. This case could also lead to the introduction of stricter guidelines or a regulatory framework for digital marketplaces.

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QUESTIONS

1. What were the main allegations against Flipkart and Amazon in the CCI investigation?

   (**Hint:** Look into allegations of preferential treatment and anti-competitive agreements affecting smaller sellers.)

2. How does the CCI determine whether a company is abusing its dominant position in a market?

   (**Hint:** Consider factors like market share, pricing strategies and barriers to entry for other competitors.)

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CHAPTER

LABOUR LAWS

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INTRODUCTORY CASELET

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LABOUR RIGHTS AND THE ROLE OF COMPLIANCE IN MODERN WORKPLACES

Sunbeam Industries is a mid-size manufacturing company that has been in operation for over two decades in a small town. It presently employs around 500 workers. For 10 years now, the company's employees have enjoyed stable wages and job security. However, the workers have lately been complaining about being made to extend their working hours without receiving overtime pay, getting few or no rest breaks, and fewer safety measures in place, particularly in at-risk areas such as the chemical processing unit.

Management dismissed these, saying they faced rising production costs and had competitive pressures that necessitated the approach they took. To address the mounting dissatisfaction, a group of employees brought their grievances to a labour union. The union organised several meetings and filed a formal complaint, claiming that Sunbeam Industries was violating several labour laws, including the Factories Act and Minimum Wages Act. The complaint drew media attention, and government labour inspectors were soon involved, conducting a thorough review of Sunbeam's employment practices.

The management at Sunbeam Industries, after being exposed to massive penalties and reputational damage, had to face major policy changes. Labour laws became a must to abide by to protect employees' well-being and maintain the morale and productivity level of workers. Such a scenario is a landmark in realising the need for organisations to adopt legal compliance in labour matters toward creating a fair, safe working environment.

Case Objective

The objective of this caselet is to understand the significance of labour laws in safeguarding employee rights.

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LEARNING OBJECTIVES

After studying this chapter, you will be able to:

- Discuss the concept of Labour Law
- Explain the Code on Wages
- Describe the salient features of the Code on Wages, 2019
- Elaborate on the Industrial Relations Code, 2020
- Analyse the features of the Industrial Relations Code, 2020
- Explain the forums under the Industrial Relations Code, 2020

9.1 INTRODUCTION

In the previous chapter, you studied the Competition Act. The chapter also gave an insight into the definitions under Section 2 of the Competition Act, 2002 and anti-competitive agreements. You also studied the abuse of dominant position and composition of commission. In the end, the chapter discussed the concepts of the competition appellate tribunal and competitive advocacy.

Labour laws consist of the rules and regulations that govern the relationship between the employee, employer, and labour. This ensures that both of them are treated fairly in the working environment as employees have their rights protected. The main purpose of the labour laws are to ensure workers' rights. They are meant to address a wide range of issues concerning wages, work hours, health and safety conditions, terms of employment, and the right to form unions as well as bargain collectively. Labour laws create minimum requirements to abolish exploitation and maintain ethical labour relations that cause a wholesome balance between employers and employees.

Generally, the importance of labour laws has been accompanied by industrialisation and economic development in most countries. Beyond offering basic rights, labour laws significantly determine the culture of an organisation and bring stability to a workplace. These laws foster transparency and non-discriminatory approach and make the workplace free from harassment of any type. Compliance with these laws protects workers' rights and helps employers by reducing turnover rates and boosting worker morale and productivity.

In 2021, the UK Supreme Court ruled that Uber drivers are classified as workers rather than independent contractors, granting them rights to minimum wages and holiday pay. This landmark decision underscores the application of labour laws in safeguarding the rights of individuals engaged in flexible or platform-based work.

The chapter begins with the concept of labour laws. Next, you will study code on wages and definitions under code on wages. In addition, the chapter also discusses the Industrial Relations Code, 2020. At the end, the chapter describes the forums under the Industrial Relations Code, 2020.

9.2 CODE ON WAGES

The Code on Wages, 2019 (hereinafter referred to as the 'CW 2019') is the act that was introduced in Lok Sabha in July, approved by the parliament in August 2019, and assented by the President of India on 8th August 2019. The Code regulates the bonus and wage payments in all commercial establishments. The Code on Wages, 2019 subsumes the following legislations:

- The Payment of Wages Act, 1936
- The Minimum Wages Act, 1948
- The Payment of Bonus Act, 1965

The minimum wages decided by the State or Central government are set as the minimum wages that have to be paid by employers. Employers cannot reduce the standard minimum wages fixed by the government; they have to pay wages higher than the floor wages.

Therefore, the Code on Wages prohibits employers from paying less than their minimum wages. The Code on Wages protects the interest of workers. Moreover, the government has fixed the minimum working hours on a normal day. Therefore, if the employees or workers perform their duty or service more than a normal working day, they are entitled to overtime wages that have to be at least twice the normal rate of wages. Also, the Code on Wages provides provisions for penalties for offences committed by the employer such as paying less than the due wages or for contravening the provisions of the Code on Wages. The maximum amount of penalty can be either imprisonment for three months or a fine of up to one lakh rupees.

9.2.1 DEFINITIONS

The Code on Wages, 2019 is an important piece of legislation in India that consolidates and simplifies provisions related to wages, bonus payments, and labour laws. Below are some definitions under the Code on Wages:

- **Employee [Section 2(k)]:** Any person (other than an apprentice) employed on wages by an establishment, either directly or through a contractor, whether the terms of employment are express or implied.

  Example: A salesperson at a retail store working under an employment contract is considered an employee under this section.

- **Wages [Section 2(y)]:** "All remuneration" whether by way of salaries, allowances, or otherwise, expressed in terms of money

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or capable of being expressed in terms of money. It includes basic pay, dearness allowance, and retaining allowance.

Example: The monthly salary of a factory worker, including basic pay, overtime pay, and a performance bonus, constitutes wages.

- **Worker [Section 2(z)]:** Any person employed in any industry to do any manual, unskilled, skilled, technical, operational, clerical, or supervisory work for hire or reward.

  Example: A warehouse labourer packing goods or an office clerk entering data are considered workers under this definition.

- **Establishment [Section 2(n)]:** Any place where any industry, trade, business, manufacturing, or occupation is carried out.

  Example: A clothing manufacturing plant where garments are produced is an establishment under the code on wages.

- **Minimum Wages (Section 5):** The minimum remuneration payable to an employee for work performed during a given period, as prescribed by the government based on factors like skills, type of work, and geographical location.

  Example: A construction worker in Delhi must be paid at least the minimum wage set by the government for manual labour in that area.

- **Bonus (Section 26):** A sum of money paid to an employee as a reward in addition to their wages, typically linked to profits or productivity.

  Example: A tech company gives its employees a year-end bonus based on the company's annual profits, in addition to their regular salaries.

- **Inspector-cum-facilitator [Section 51(1)]:** An officer appointed by the government under the Code to enforce its provisions and assist employers and employees with compliance.

  Example: An inspector visits a manufacturing unit to check if the workers are receiving the prescribed wages and bonus, as per the Code.

- **Appropriate Government [Section 2(d)**: Refers to the central or state government responsible for implementing the Code, depending on the type of establishment.

  Example: For a large multinational corporation, the central government is the appropriate authority, while for a local bakery, it's the state government.

- **Overtime (Section 14):** Extra remuneration payable to an employee for working beyond the standard working hours, as defined in the rules.

  Example: A factory worker who works 10 hours instead of the regular 8 hours would receive overtime pay for the additional 2 hours worked.

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EXHIBIT

Quick-Reference Glossary

- **Employee:** Person employed for wages by an establishment.
- **Wages:** Money paid for work, including salary, bonuses, and allowances.
- **Worker:** Person doing manual, skilled, technical, or clerical work for pay.
- **Establishment:** A place where business or manufacturing is conducted.
- **Minimum wages:** The least amount an employee can be paid for their work.
- **Bonus:** Additional money paid to employees as a reward.
- **Inspector-cum-facilitator:** A government officer who ensures the law is followed by employers and employees.
- **Appropriate government:** The central or state government responsible for implementing the law.
- **Overtime:** Extra money paid for working more than the standard working hours.

9.2.2 SALIENT FEATURES OF THE CODE ON WAGES, 2019

The Code on Wages, 2019 is one of the four labour codes introduced by the Government of India to consolidate and simplify existing labour laws. It aims to provide a universal framework for wages and related issues, ensuring fair compensation for workers while simplifying the regulatory framework for employers. The following are some of the salient features of the Code on Wages, 2019:

- **Uniform Applicability:** The Code, in Section 2 (k) and (l) has expanded the definition of "employee" and "employer ", to cover employees in both organised and unorganised sectors. Before this, the provisions of the Minimum Wages Act (MWA) and Payment of Wages Act (PWA) used to apply only to workers drawing wages below a particular ceiling and working in scheduled employment only. However, under the Code, the minimum wages and the payment of wages provisions cover all establishments, employees and employers as defined, unless specifically exempted by the Code, such as the member of the Armed Forces of the Union and apprentice engaged under the Apprentices Act, 1961 are specifically excluded from the definition of employee.
- **Uniform definition of wages:** The definition of 'wages' varied across PWA, MWA, Payment of Bonus Act (PBA) which resulted in numerous litigations. For example, in the MWA, the definition of wages includes house-rent allowance, whereas, in the PWA the

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same is excluded from the definition. Therefore, the Code seeks to provide a single uniform definition of 'wages' for the computation and payment of wages to the employees. The definition of wages is divided into 3 (three) parts- an inclusion part, specified exclusions and conditions which limit the quantum of exclusions.

- **Inclusion:** The definition includes basic pay, dearness allowance and retaining allowance.
- **Specified exclusions:** It specifically excludes components such as statutory bonus, the value of house accommodation and utilities (light, water, medical etc.), employer contribution to provident fund/ pension, conveyance allowance/ travelling concession, the sum paid to cover special work expenses, house rent allowance, remuneration payable under the settlement, overtime allowance, commission, gratuity and retrenchment compensation.
- **Conditions to limit the quantum of exclusion:** The Code states that the specified exclusions, shall not exceed 50 per cent of all remuneration, and in the event of exceeding, the excess amount shall be deemed to be remuneration and would be considered as wages. The purpose of this proviso is to ensure that companies do not adopt compensation structures that result in wages being reduced below 50 per cent of the total remuneration.

- **Equal remuneration:** Section 3 (1) of the Code provides that there shall be no discrimination in the payment of Wages based on the gender of the employee about the same work or similar work done by the employee. This is a change from the earlier act, ERA, which provided for payment of equal remuneration to men and women workers exclusively.
- **Minimum wages:** Chapter II, Section 5 of the Code, provides for minimum wages. The appropriate government, (either Central or State Government depending on the type of establishment), shall specify the minimum wages for time work and piece work. Minimum wages shall be prescribed while taking into consideration the skill of workers, geographical area and the difficulty of work, like temperature, humidity, hazardous occupation, underground work, etc.

  As per Section 9 of the Code, the Central Government, after consultation with the Central Advisory Board, will set the national floor rate for wages after taking into consideration the minimum living standards of workers varying across geographical areas. The minimum wages, fixed by State Governments for their respective region, cannot be lower than the national floor rate for wages.

  The Code also provides that there would be a review/ revision of minimum wages at Intervals not exceeding five years. The appropriate government, under the Code, shall also fix the number of hours of work that will constitute a normal day, provide for a rest day after every seven days of work and provide that overtime rate (for every extra hour, not less than twice the normal rate of wages) shall be paid to the worker who is asked to work on a rest day.

- **Payment of wages:** Chapter III of the Code provides for the manner of payment of wages to employees, i.e., currency, cheque, bank account or electronic mode. The employer shall fix the wage period for the employees, which shall be on a daily, weekly, fortnightly or monthly basis only. The wages shall be subjected to deductions as and in the manner specified below:
  - **Permissible deductions from the wages:** Any payment made by the employer to the employee shall be deemed to be a deduction from his wages. Other permissible deductions are fines, absence from duty, damage or loss of goods due to neglect of employee, the deduction for house accommodation provided by the employer, deductions for any other amenities or services supplied by the employer, for advances and loans, deductions for payment to be made by the employer on behalf of an employee following a court order, etc.
  - **Limit on permissible deductions:** However, in any case, the deductions made in a wage period shall not exceed 50 per cent of the wages.
- **Payment of bonus:** Chapter IV of the Code provides for payment of bonus to all employees of an establishment employing 20 (twenty) or more people, who have put in at least 30 (thirty) days' work in an accounting year. The minimum bonus shall be paid on an annual basis at the rate of 8.33 per cent of the wages or ₹ 100 (Rupees hundred) whichever is higher, irrespective of the employer having an allocable surplus of the previous accounting year. If the allocable surplus exceeds the minimum bonus payable to employees, the employee shall be entitled to receive the bonus in proportion to their wages, subject to a maximum of 20 per cent of their wages.

  The allocable surplus is addressed under Section 31 of the Code. According to the provisions of this section:
  - In the case of a banking company, the allocable surplus shall be equal to 60 per cent of the available surplus.
  - For other establishments, the allocable surplus shall be calculated as 67 per cent of the available surplus.

The available surplus shall be the gross profits of that accounting year minus certain deductions, i.e., depreciation admissible under income tax and direct tax that the employer is liable to pay.

- **Claims:** The appropriate government shall appoint one or more authorities to hear and determine claims that arise under the Code.

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The authority shall endeavour to decide the claim within three months depending on the circumstances under which the claims have arisen. Any person aggrieved by the order of such authority may appeal to an appellate authority within 90 days from the date of the order. It is pertinent to note that the earlier labour laws provided for varied limitation periods for filing claims. However, under the Code, the limitation period for filing claims has been fixed at three years from the date on which the claim arises.

- **Penalty for offences:** The quantum of the penalty provided under the Code varies depending on the nature of the offence. The maximum penalty provided under the Code is imprisonment for three months and/ or a fine of up to ₹ 1,00,000 (Indian Rupees One Lakh only).
- **Inspector-cum-facilitator:** Chapter VII of the Code provides for the appointment of an Inspector-cum-facilitator (Inspector) by the appropriate government. The appropriate government may also lay down an inspection scheme, to provide for web-based inspection and calling of information electronically. The inspector shall be a public servant and shall have the following functions:
    - Advising the employer regarding compliance with the Code
    - Inspecting the establishments assigned to him

9.2.3 MINIMUM WAGES

The Minimum Wage Act, 1948 protects the labour against the dangers of unfair methods and exploitation. Although social welfare is a prime aim of determining the minimum wage structure, its immediate aim is to settle the dispute between employers and employees and bring justice to the interests of both labour and capital.

The Act aims to establish harmony between them and facilitate cooperation in the task of production. The main object of this legislation on wages is to regulate and fix the quantum of wages. Effective implementation of legislation for workers to receive a minimum wage is the hallmark of any progressive nation. It is one of the fundamental premises of a genuine and harmonious workplace. In India, the Minimum Wages Act, 1948 offers for the fixation and enforcement of minimum wages in respect of scheduled employment. Minimum wages can be defined as the minimum amount of compensation an employee must receive for the discharge of his/her duties and performing labour. Typically, a contract or legislation by the government establishes minimum wages.

The Minimum Wages Act, 1948 was passed to provide fixed minimum wages in case of certain occupations. The Minimum Wages Act, 1948, protects employees from exploitation by ensuring that they are paid their entitled wages, which enables them to afford the necessities

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of life. According to the Minimum Wages Act, 1948, it is illegal to pay an employee less than the minimum wage amount. Fluctuations in the rate of minimum wages are common and vary across countries and sometimes across states or provinces. The Minimum Wages Act, 1948 ensures that workers and employees earn wages that are sufficient for their livelihood.

OBJECTIVES AND APPLICABILITY

The objective of the Minimum Wages Act, 1948, is to promote the welfare of workers by fixing a minimum rate of wages in certain industries where the labour is not organised and sweat labour is prevalent. The Minimum Wages Act, 1948 seeks to prevent the exploitation of workers by ensuring that they are paid the prescribed minimum wages for their subsistence and efficiency. The objectives of the Minimum Wages Act, 1948, are as follows:

- To fix and revise minimum wages in certain employments or establishments
- To prevent exploitation of unorganised labour
- To prevent the employment of sweated labour in the interests of the general public
- To prescribe minimum wage rates, keeping into account the capacity of the employer

The main objective of the Minimum Wages Act, 1948 is to safeguard the interests of workers who are employed in the unorganised sector. The Minimum Wages Act, 1948 lays down provisions for the fixation of minimum wages in certain specified employment. It acts as a binding force on employers to pay their workers the minimum wages fixed under the Minimum Wages Act, 1948 at definite time periods.

APPLICABILITY

Dr. B.R. Ambedkar, the father of our constitution, drafted the Minimum Wages Bill on April 11, 1946. The bill was introduced and enforced on March 15, 1948 due to delay by constitutional changes. The Minimum Wages Act, 1948 is applicable to the whole of India. The provisions of this Act are applicable to every employer that employs more than 1000 employees in a state. The provisions of the Minimum Wages Act, 1948 do not apply to the employees undertaken by the central government or railways unless the same has been consented to by the central government.

9.2.4 PAYMENT OF WAGES

The concept of Payment of Wages is governed by labour laws to ensure that employees receive fair and timely compensation for their work. The payment of wages is an important concept since such remuneration may safeguard the rights of employees, stabilise income and, consequently, benefit the overall economic welfare.

Wages are regular fixed payments made by an employer to an employee, usually made monthly or weekly. This pay is a reward for services offered, provided normally in the form of a pre-agreed amount or in line with the terms agreed upon. Wages can also represent other forms of monetary allowances such as overtime, bonuses, and holiday pay.

The Payment of Wages Act, 1936 is a central legislation in India dealing with the regulation and responsibility of timely wage payments. It applies to several kinds of establishments, such as factories, railway establishments, and other specified industries.

OBJECTIVES OF THE PAYMENT OF WAGES ACT

- **Ensure timely payment:** The first aim is to ensure that every worker receives the due amount at a stipulated time. Wages that are lagging could cause workers loss, thus the statute sets specific timelines and depends on the size of the establishment.
- **Prevent unapproved deductions:** The Act outlines the legal deductions that may be taken from wages and prevents arbitrary cuts by employers against workers. Only such deductions that are approved would include provident fund contributions, income tax, fines and loans as long as the guidelines regarding the said are lawful and permissible.
- **Establish a fair payment system**: The Act ensures that wages are paid on time and in full. It promotes a harmonious employer-worker relationship and reduces the number of cases that may exist in the workplace on issues related to remunerations.
- **Protect workers from exploitation**: The Act safeguards the workers, especially those in low-wage occupations, from exploitation by providing legal protection against withholding wages or unfair deductions.
- **Provide a mechanism for grievance redressal**: If an employer fails to make wages as provided under the Act, employees are eligible to file a complaint with appropriate authorities. The scheme offers a chance for the worker to get justice and actual compensation.

APPLICABILITY OF THE PAYMENT OF WAGES ACT

The Payment of Wages Act applies to a wide type of establishments and employees. Here are the specific criteria for its applicability:

- **Wage limit for employees**: As long as one can remember, the Act applied to only an employee who earned below a certain minimum wage. Today, as defined by the Act, it applies to an employee whose monthly earnings will not exceed that amount fixed by the government and updated periodically. This one protects the interests of low-income employees.

- **Number of employees:** The provision on pay date differs with the number of employees in the establishment. Business establishments employing 1,000 or less than 1,000 are to remit on or before the 7th day of the following month; business establishments employing 1,000 more or more than 1,000 by the 10th day of the following month.
- **Government power to extend**: The Act confers on the government the discretion and power to extend its applicability to any class of employees or establishments if it is so deemed under specific needs or emerging industries.
- **Geographic scope**: It extends to the whole of India and applies uniformly to each state and union territory.

9.2.5 PAYMENT OF BONUS

The Payment of Bonus Act, 1965 (hereinafter referred to as the 'PBA1965') was made applicable from 25th September 1965. This law is applicable where 20 or more employees are employed. The law shall continue to apply notwithstanding that the number of persons employed falls below 20 [Section 1]. It offers the regulation for the amount of bonus that is to be paid to the employees in an establishment based on productivity and profit. The PBA, 1965 is applied on an establishment that has more than 20 or more persons employed.

OBJECTIVES

The law provides for the payment of bonuses to the persons employed in certain establishments and for matters connected therewith. However, the Act has not defined the term 'bonus', which involves the sharing of the prosperity of the concern with those employed therein.

The objectives of the PBA, 1965 are:

- To impose a legal obligation on employers to pay bonuses to employees
- To offer redressal mechanism in case of non-compliance
- To designate minimum and maximum percentage of bonus
- To prescribe the formulae for calculating bonus

APPLICABILITY

This law extends to the whole of India.

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PROVISIONS AND FEATURES

The law extends to the whole of India and covers all the employees [Section 2(13)] receiving salary or wages up to ₹ 21,000 per month [as amended by the Payment of Bonus (Amendment) Act, 2016] and engaged in any kind of work whether skilled, unskilled, manual, supervisory, managerial, administrative, technical or clerical, in the factory or establishment of the employer-provided the employee has worked for at least 30 days in that particular accounting year (Section 8). The minimum bonus payable is 8.33 per cent of the salary or wages of the employee during the accounting year. This is payable even if the employees suffer a loss. The maximum bonus payable under the Act is 20 per cent of the basic salary and wages.

The bonus is paid within 8 months of the closure of the accounting year and is paid on an annual basis. There shall be no bonus to a worker who has been dismissed for fraud, riotous behaviour, theft, misappropriation and sabotage of property.

On 31st December 2015, this Act was amended by the Payment of Bonus (Amendment) Act, 2016 with retrospective effect from 1st April 2014 the threshold of the applicability of the Act has been increased from ₹10,000 to 21,000 per month. Also, the wage ceiling for bonus calculation has been increased from ₹3,500 to ₹7,000 per month. This amendment in the act has been brought into effect from the 1st April 2014.

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Bonus Computation Chart

Category	Details
Eligibility	Employees earning up to ₹21,000/month and working for at least 30 days in the accounting year.
Minimum Bonus	8.33% of the salary/wages for the accounting year, even if the company has incurred a loss.
Maximum Bonus	20% of the basic salary/wages for the accounting year.
Bonus Payment Timeframe	Within 8 months of the closure of the accounting year.
Exclusions	No bonus to employees dismissed for fraud, theft, or misconduct (e.g., riotous behaviour, misappropriation, sabotage).

Example of Bonus Calculation

Assume an employee earns a basic salary of ₹15,000 per month.

Step-by-Step Calculation

1. **Eligibility Check:** Employee earns ₹15,000/month, which is below the ₹21,000 ceiling, and works for 30+ days in the accounting year. Eligible for bonus.

2. **Minimum Bonus (8.33%):** = ₹15,000 × 8.33% × 12 months = ₹15,000 × 0.0833 × 12 = ₹14,998.80
3. **Maximum Bonus (20%):** = ₹15,000 × 20% × 12 months = ₹15,000 × 0.20 × 12 = ₹36,000

Therefore, the bonus payable to the employee is between ₹14,998.80 and ₹36,000 depending on company performance.

SELF ASSESSMENT QUESTIONS

1. The Code on Wages, 2019 ensures that employees receive at least the __________ wages prescribed by the government, and it prohibits employers from paying less than the set minimum wages.
2. All __________ whether by way of salaries, allowances, or otherwise, expressed in terms of money or capable of being expressed in terms of money.

ACTIVITY

Organise a debate on the impact of labour laws on modern business strategies and employee welfare.

9.3 INDUSTRIAL RELATIONS CODE, 2020

The Industrial Relations Code, 2020 was introduced in Lok Sabha in November 2018 and after passing from the Lok Sabha and Rajya Sabha, it received the President's assent on 28th September 2020. It results in a calmer industrial environment as it would introduce the recognition of trade unions and a notice period for the resolution of industrial disputes, strikes and lock-outs. It subsumes:

- The Industrial Dispute Act, 1947
- The Trade Union Act, 1926
- The Industrial Employment (Standing Order) Act, 1946

Any employer or worker cannot go on strike without giving a prior notice of 14 days to reduce the workers' ability to strike and employees to lock down. It also defines the constitution of industrial tribunals to resolve industrial disputes. Also, to lay off or retrench workers, an organisation with 100 or more employees or workers needs to get prior permission from the State or Central government. In this code, the registration of a Trade Union is the same as mentioned in the Trade Union Act, 1926 which states that at least 10 per cent of the workers or all the workers need to be members of the Union on the date of application for union registration.

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9.3.1 DEFINITIONS

The Industrial Relations Code, 2020 is an important piece of labour legislation in India that consolidates and simplifies the existing laws related to industrial relations, including trade unions, wages, dispute resolution, and other work-related issues. The following are some definitions under the Industrial Relations Code, 2020:

- **Appropriate Government [Section 2(b)]:** Refers to the central government or state government, depending on the nature of the establishment, which is responsible for the administration of the provisions of the Code. For central government establishments, the central government is the appropriate government, and for state-level establishments, the respective state government is the appropriate government.
- **Employer [Section 2(m)]:** Any person or organisation, including the government, that employs one or more workers in an industrial establishment. The employer is responsible for ensuring compliance with labour laws, wages, and working conditions.
- **Worker** [**Section 2(zr)**]: A person who is employed in any industry to do manual, unskilled, skilled, technical, or clerical work for hire or reward. The definition excludes people who are employed in managerial, administrative, or supervisory capacities.
- **Industry** [**Section 2(p)**]: Any systematic activity carried on by cooperation between an employer and workers, where the employer and workers are engaged in the production or distribution of goods or services. The Code includes a wide variety of industries and commercial establishments, such as manufacturing, agriculture, and services.
- **Industrial Dispute** [**Section 2(k)**]: Any dispute or difference between employers and workers, or between workers and workers, that relates to the conditions of employment or the interpretation and implementation of the industrial laws, which may lead to a breakdown of industrial peace or production.
- **Trade Union** [**Section 2(zl)**]: An association of workers formed to promote and protect their rights and interests. A trade union represents workers in negotiations with employers and is responsible for promoting industrial harmony.
- **Strike** [**Section 2(zk)**]: A cessation of work by workers to express a collective grievance or to enforce a demand related to their employment conditions. It can include withholding services and may involve a planned collective action by workers.
- **Lock-out** [**Section 2(u)**]: The action by an employer of closing an industrial establishment or suspending the work to compel workers to accept terms of employment. It is essentially the reverse of a strike, where the employer initiates a stoppage of work.

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- **Lay-off** [**Section 2(t)]**: The temporary suspension of employment by an employer due to economic conditions or a reduction in the workforce requirement. In such cases, the employer does not terminate the contract but temporarily suspends the employment of workers.
- **Retrenchment** [**Section 2(zh)]**: The termination of the services of a worker by an employer for reasons other than misconduct or voluntary resignation. Retrenchment typically happens due to financial constraints, technological changes, or other operational reasons.
- **Wages** [**Section 2(zq)]**: The remuneration paid to a worker for the work done, including basic pay, allowances, and other benefits. The Code defines wages more comprehensively, including various bonuses and payments that workers are entitled to, but excludes certain payments like gratuity or provident funds.
- **Disciplinary Action**: Any action taken by an employer to address misconduct or violation of company rules by an employee. Disciplinary action may include warnings, suspension, or termination.
- **Grievance Redressal** [**Section 4]**: A process by which workers can raise complaints related to their working conditions, wages, or other workplace issues. The employer is expected to address these grievances in a structured and timely manner.
- **Settlement** [**Section 2(zi)]:** An agreement between the employer and workers or between two groups of workers (or their unions) that resolves an industrial dispute. Settlements can be either voluntary (by mutual consent) or under the auspices of a labour authority.
- **Standing Order** [**Section 2(zj)]:** A set of rules and regulations that govern the working conditions, responsibilities, and discipline in an industrial establishment. Standing Orders are required to be framed by employers and should be approved by the appropriate government.

9.3.2 SALIENT FEATURES OF THE INDUSTRIAL RELATIONS CODE, 2020

The Industrial Relations Code, 2020 hereinafter referred to as "Code" has been introduced as a part of the labour legislation Industrial Relations, Wages, Social Security, and Welfare and Safety are the four sections into which the Ministry of Labour and Employment has separated the labour law laws. It includes legal elements about collective bargaining and labour dispute resolution. Three labour laws the Industrial Dispute Act, The Industrial Employment Act, and the Trade Unions Act were included in the Code.

N O T E S

The following are salient features of the Industrial Relations Code, 2020:

- **Definition of workman:** The term "workman" generally refers to an employee who is engaged in manual labour, skilled or unskilled work, or in some cases, supervisory or clerical tasks. Under the Industrial Disputes Act, 1947 (before the new labour codes), a workman was defined as someone employed to do any manual, unskilled, skilled, operational, technical, clerical, or supervisory work for hire or reward, but not in a managerial or administrative capacity.

  However, the Code on Wages, 2019, and Industrial Relations Code, 2020 broaden the definition to include employees in supervisory positions earning up to ₹18,000 per month, as well as sales promotion employees and working journalists. This ensures that a broader category of workers, including those in managerial or supervisory roles (but earning below the specified wage ceiling), benefit from labour protections.

  For example, a shift supervisor at a factory earning ₹15,000 per month, previously not classified as a workman, is now entitled to protections under labour laws like dispute resolution, bonus payments and regulated working hours.

- **Applicability:** Previously, businesses with 100 or more employees were subject to adhere to the Industrial Disputes Act. However, the Code has increased this threshold limit to 300 and granted the relevant government the authority to exclude any industrial institution or class of industrial establishments from all or a portion of the Code's rules.

- **Trade Union:** According to the Code, if an enterprise has multiple unions, the one with 51 per cent of the workforce as members will be given the status of a negotiating union. This threshold level has been lowered by the Code from 75 per cent, as established in the 2019 amendment law. In the unlikely event that no union satisfies the aforementioned criterion, a council made up of representatives from the several unions with at least 20 per cent of the workforce as members may be formed. Additionally, if necessary, the federal government or state governments may recognise the registered trade unions as federal or state unions.

- **Strikes and Lockouts:** A casual leave taken by 50 per cent or more of the establishment's employees on a certain day is included in the definition of a strike. In spite of this, trade unions must give 14 days' notice before striking. This notice is only effective for the next sixty days, though. In a similar vein, no company may fire any employee without providing 14 days' notice, and the decision will be in effect for 60 days. Besides this, the Code prohibits strikes and lockouts in the following situations:

  - During and up to 7 days after the arbitration.

- During and up to 60 days after or before court proceedings.
- During the period when the arbitration award is in force.

- **Concept of Re-skilling Fund:** A new notion for workers who are fired by their company has been created by the Code. The payment from the employer will be equivalent to the last 15 days' wages of the laid-off worker. Within 45 days of the employee's termination, the money must be promptly credited to their bank account.
- **Lay-off and retrenchment:** The Code states that establishments with less than 50 employees on average per working day or seasonal establishments are exempt from the layoff and retrenchment regulations. Additionally, without government consent, businesses with less than 300 employees may be laid off, retrenched, or closed.
- **Standing Orders:** According to the Code, enterprises with 300 or more employees on any one day during the previous 12 months are subject to the regulations pertaining to standing orders. This means that within six months of the Code's implementation, an employer must create standing orders using the government's structure. Crucially, the certifying authority must certify the document after it has been drafted in conjunction with registered bargaining unions.

SELF ASSESSMENT QUESTIONS

3. The Industrial Relations Code, 2020 increases the threshold for applicability of the Industrial Disputes Act from businesses with 100 employees to 300 employees. (True/False)
4. Under the Industrial Relations Code, 2020, trade unions are allowed to strike without providing any notice period. (True/False)

ACTIVITY

Conduct a case study discussion and analyse the impact of the Industrial Relations Code, 2020 on businesses and workers.

9.4 FORUMS

The forums under the Industrial Relations Code, 2020 refer to the institutional mechanisms and bodies established to address and resolve disputes between employers and workers, ensure compliance with labour laws, and maintain industrial harmony. These forums provide a structured framework for dispute resolution, enabling both individual grievances and collective disputes to be addressed in a time-bound and efficient manner. They aim to balance the interests

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of employers and workers while minimising disruptions to industrial operations.

9.4.1 WORKS COMMITTEE

The Works Committee is a statutory forum that the Industrial Relations Code, 2020, establishes to encourage cooperation and amicably harmonious relations between employers and workers in an industrial establishment. It offers a channel for ordinary issues that may become disputes and provides an opportunity to amicably resolve them, which should be helpful in the promotion of harmony in industrial life. Key Features of the Works Committee are as follows:

- **Establishment**: The Code mandates the formation of a Works Committee in industrial establishments employing 100 or more workers. It is a bipartite body consisting of representatives from both the employer and the workers.
- **Composition**: The Committee must have an equal number of representatives from employers and workers. Workers' representatives are typically chosen through elections or nominated by recognised trade unions, ensuring fair representation.
- **Objective**: The primary objective is to promote goodwill and cooperation between the employer and the workers. It seeks to address and resolve minor disputes related to working conditions, policies, or other employment issues at the workplace level.

EXHIBIT

Effective Dispute Resolution by Works Committees in Various Industries

- **Automotive industry:** A works committee in an automotive plant resolved a dispute over the implementation of a new shift system. By consulting both worker representatives and management, they agreed on a balanced rotation schedule, ensuring minimal disruption to production while addressing workers' concerns about family time.
- **Textile industry:** In a textile factory, the Works Committee mediated a disagreement over safety measures after an accident. The committee facilitated the installation of additional safety equipment and implemented training sessions for workers, improving workplace safety and trust.
- **Pharmaceutical industry:** A works committee addressed concerns about wage disparities in a pharmaceutical company. Through discussions, the employer agreed to review and adjust wages for certain roles, aligning them with industry standards and avoiding a potential strike.

- **IT sector:** In an IT firm, the Works Committee resolved complaints about extended working hours during a project. They introduced a policy for compensatory leaves and overtime pay, ensuring fairness and boosting employee morale without disrupting project timelines.
- **Manufacturing sector:** A Works Committee in a manufacturing unit successfully handled a dispute regarding canteen facilities. Workers requested better food quality and hygiene, and the committee facilitated a third-party audit and improvement plan, satisfying both workers and management.

9.4.2 GRIEVANCE REDRESSAL COMMITTEE

The Grievance Redressal Committee (GRC) is an important body under the Industrial Relations Code, 2020, by which individual grievances of a worker in an industrial establishment are redressed efficiently in a time-bound manner. Its objective is to devise a structured approach in the workplace at this stage before issues escalate into disputes for harmony in the workplace. Key features of the Grievance Redressal Committee are as follows:

- **Establishment**: It is mandatory for all industrial establishments employing 20 or more workers, ensuring that even smaller workplaces have a mechanism to address individual grievances effectively.
- **Composition**: The Committee must have an equal representation of employers and workers. In establishments employing women, the Committee must include at least one-woman member. The size and composition may vary based on the number of employees, ensuring proportional representation.
- **Objective**: To provide workers with a formal and accessible platform to raise grievances related to their employment, working conditions, or disciplinary actions.

9.4.3 TRADE UNIONS

Trade Unions are one of the most critical forums under the Industrial Relations Code, 2020; it is a collective organisation among workers formed to protect rights, improve working conditions, and fight for issues related to employment. They tend to represent the workforce in negotiations as well as in settling disputes between employees and employers. Key features of Trade Unions are as follows:

- **Definition**: A trade union is defined as an association of workers formed primarily to regulate relations between workers and employers, or between workers themselves, in matters of employment, working conditions, and related issues.

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- **Registration**: Under the Code, Trade Unions must register with the Registrar of Trade Unions for legal recognition. Registration provides legitimacy, enabling the union to act as a representative body in negotiations and disputes.
- **Negotiating Agent:** A registered trade union can act as a negotiating union if it represents at least 51 per cent of workers in the establishment. If no single union meets this threshold, a negotiating council is formed with representatives from multiple unions.

9.4.4 STRIKES AND LOCKOUTS

A strike is simply a temporary stoppage of work by employees, usually orchestrated by a trade union or a group of workers, as a means of exerting pressure on employers to realise their demands. Strikes are caused by varied issues ranging from wage disputes, working conditions, or unfair treatment. Types of strikes are as follows:

- **Sympathy strikes**: Workers may go on strike in support of other workers' disputes, though these are often limited under the Code.
- **Go-Slow strikes**: Workers may slow down the pace of work as a form of protest without ceasing work entirely.
- **Wildcat strikes:** Unofficial strikes initiated without union support or without following the legal procedures.

A lockout simply reverses the order of a strike, whereby the employer shuts down the business or denies the workers access to the workplaces usually in response to a strike or other industrial disputes. Lockouts are generally used by employers as a tool to ensure workers comply with terms during disputes. Regulation of lockout under the Code are as follows:

- **Legal lockout:** Similar to strikes, a lockout can only be legally implemented if prior notice is given to the workers (usually 14 days). A lockout can only be carried out after a failed attempt at resolving the dispute through conciliation.
- **Illegal lockout:** An employer may face legal consequences if they impose a lockout without following the legal process, such as failing to provide proper notice or if the lockout occurs while the dispute is under conciliation or adjudication.
- **Effect of lockout:** During a legal lockout, the employer is not obliged to pay wages, but workers cannot be permanently dismissed during the lockout.

9.4.5 CLOSURE

Closure refers to the permanent shutting down of a business, industry or part of an establishment by the employer. This is usually due to economic reasons, financial losses, restructuring, or on account of a protracted industrial dispute. The Code, 2020 regulates the closure of industrial establishments for the protection of the interests of the workers and to ensure that the process is carried out lawfully with justice. Key features of closure under the code are as follows:

- **Definition of closure:** Closure is defined as the permanent cessation of operations or business in an industrial establishment. It can involve shutting down the entire establishment or part of the business operations. However, it excludes temporary suspension of operations due to reasons like maintenance or seasonal factors.
- **Legal framework:** The Industrial Relations Code, 2020 imposes certain conditions for the closure of establishments, particularly those employing 300 or more workers. The employer is required to seek prior approval from the appropriate government before closing the business or any part of it.
- **Approval process:** For industrial establishments with 300 or more workers, the employer must seek approval from the appropriate government authority (such as the state government or central government). Prior notice must be given to the authorities, and workers should be informed about the closure. In cases where the closure affects workers, the employer may be required to pay compensation, such as severance pay, by labour laws.

9.4.6 MECHANISM FOR RESOLUTION OF INDUSTRIAL DISPUTES

The Industrial Relations Code, 2020 spells out a structured framework for the resolution of industrial disputes fairly and efficiently. Such a mechanism is expected to keep industrial harmony intact and should not allow prolonged competition between labourers and employers that could disturb business operations and lead to economic instability. These procedures are provided for in the Code, which, as stated, creates multi-tiered processes at levels such as conciliation, arbitration, adjudication, and then tribunals to settle the dispute before things go wide-scale.

9.4.7 CONCILIATION OFFICER

Conciliation is the first step in resolving industrial disputes. It involves a neutral third party, known as a Conciliation Officer, who helps the disputing parties (workers and employers) reach a mutually acceptable solution. Conciliation Officers are appointed by the appropriate government (either state or central), and they intervene to facilitate negotiations between the parties. The Conciliation Officer has the authority to:

- Investigate the dispute
- Encourage settlement through dialogue

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- Report to the government if a settlement is not reached within a specified time

POWERS AND FUNCTIONS OF CONCILIATION OFFICER

- **Initiation of conciliation**: Conciliation officers have the authority to initiate conciliation proceedings upon receiving a notice of dispute or on their initiative in cases of industrial unrest.
- **Encouragement of settlement**: They may propose solutions to the issues in dispute and encourage both parties to consider compromise, often proposing creative or flexible solutions to resolve the conflict.
- **Intervention during strikes or lockouts**: In cases where a strike or lockout is imminent or ongoing, the Conciliation Officer can intervene to resolve the conflict and restore normalcy in the workplace. They may also advise the government to take action if they believe that the dispute is likely to escalate and harm the public interest.
- **Binding recommendations (in some cases)**: While the decisions of the Conciliation Officer are not binding, their recommendations can carry significant weight. In some cases, the officer may recommend that one party make specific concessions or take particular actions to resolve the dispute. If a settlement is reached, it is formalised and becomes binding on both parties.

EXHIBIT

Conditions or Circumstances Conciliation Officer

- **Settlement Agreement Formalisation:** If both parties voluntarily agree to a settlement during conciliation proceedings, the terms of the agreement are formalised in writing and become legally binding under the Industrial Relations Code, 2020.
- **Mutual Consent:** When both parties explicitly accept the conciliation officer's recommendations as part of the resolution, the agreed-upon terms are binding.
- **Government Notification:** In certain critical disputes, especially those involving public utility services, the government may notify the settlement as binding under its authority to ensure industrial harmony and public interest.
- **Judicial Endorsement:** If the dispute is referred to a tribunal or court and the settlement terms are included in the decision, they become enforceable as a judicial order.
- **Registration of Settlement:** The settlement is registered with the appropriate labour authority, making its terms enforceable under the applicable labour laws.

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9.4.8 INDUSTRIAL TRIBUNALS

An industrial tribunal is a judicial body organised under the Industrial Relations Code, 2020 and adjudicates disputes involving employers and employees about industrial relations like wages and conditions of work, layoffs, retrenchments, and other terms of employment. Industrial tribunals play an essential role in resolving complex industrial disputes that could not be settled by conciliation alone or by arbitration as these hold the key to maintaining industrial peace and harmony. The key functions and responsibilities of industrial tribunals are as follows:

- **Adjudication of disputes**: Industrial tribunals are primarily responsible for resolving disputes related to industrial matters, such as wage disputes, termination, retrenchment, unfair labour practices, working conditions, and other issues concerning employment terms. The tribunal listens to both the employer's and the workers' side of the dispute, evaluates evidence, and issues binding decisions or awards.
- **Scope of jurisdiction**: Industrial tribunals have the authority to adjudicate disputes related to industrial matters as specified under the Industrial Relations Code, 2020. This includes disputes between employers and employees, trade unions, and industrial establishments. The Tribunal can hear disputes related to non-payment of wages, disputes concerning unfair treatment, dismissals, retrenchments, disputes over promotions, and more.
- **Binding awards**: The decisions (or awards) made by an industrial tribunal are legally binding on both parties, i.e., the employer and the workers. These awards are enforceable and must be implemented by the concerned parties. The tribunal can make rulings on the terms of employment, compensation, reinstatement of workers, or any other matter arising from the industrial dispute.
- **Conduct of proceedings**: The Tribunal has the power to summon witnesses, require the production of documents, and conduct hearings similar to a court proceeding. Both parties (employer and employees or trade unions) are allowed to present their arguments, evidence, and testimonies. The Tribunal may also issue orders for temporary relief or injunctions if necessary, to protect the rights of employees or prevent any harm during the adjudication process.

9.4.9 NATIONAL INDUSTRIAL TRIBUNAL

The National Industrial Tribunal (NIT) is a higher judicial body provided in the Industrial Relations Code, 2020. The tribunal is meant to serve as a forum for redressing industrial disputes of national importance or those that involve more than one state and industry. The National Industrial Tribunal was mandated to adjudicate complex disputes that could not be resolved at the lower levels by Industrial Tribunals and the conciliation process.

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COMPOSITION OF THE NATIONAL INDUSTRIAL TRIBUNAL

- **Chairperson**: The NIT is presided over by a "Chairperson", who is an expert in labour law or industrial relations. The Chairperson holds significant authority in adjudicating disputes and ensuring the proper functioning of the Tribunal. The Chairperson is appointed by the central government, typically from among those with extensive experience in labour matters and legal expertise.
- **Members**: In addition to the Chairperson, the National Industrial Tribunal may include members who are appointed by the government. These members often have specialised knowledge in industrial relations, economics, labour laws, or social justice, ensuring that all perspectives are considered when resolving disputes.
- **Panel of judges**: Depending on the nature of the dispute, the Tribunal may consist of a panel of judges who deliberate collectively to arrive at a fair decision. This ensures that decisions are well-rounded, considering all relevant factors.

POWERS OF THE NATIONAL INDUSTRIAL TRIBUNAL

- **Adjudication of complex and large-scale disputes**: The Tribunal is empowered to resolve disputes that cannot be settled through regional tribunals or conciliation. These may include complex disputes involving multiple parties, sectors, or regions that have a significant economic or social impact.
- **Issuing binding awards**: Similar to the Industrial Tribunals, the decisions of the National Industrial Tribunal are legally binding. Employers and employees must comply with the Tribunal's awards. Non-compliance can result in legal penalties or enforcement measures.
- **Intervention in major industrial actions**: The NIT can intervene in major industrial actions, such as strikes, that have a nationwide impact. The Tribunal can issue interim orders or directives to address or prevent any national-scale disruptions caused by industrial unrest.
- **Resolution of national-level issues**: The NIT may handle disputes related to broader national policy changes, such as those affecting wages, working hours, or labour laws that are applied across industries or sectors nationwide.

EXHIBIT

Roles and Jurisdiction of NIT

- **Handling multi-state disputes**
  - **Example:** A dispute involving the employees of a company with operations in multiple states, such as Indian Railways or a nationwide logistics chain, can be adjudicated by the NIT.

- **Role:** The NIT ensures uniform resolution across states, avoiding conflicting state-level decisions.

❑ **Adjudicating national-scale issues**

- **Example:** A nationwide strike by airline pilots protesting wage disparities across companies.
- **Role:** The NIT provides a binding resolution to ensure the smooth functioning of a critical national service.

❑ **Resolving policy-linked disputes**

- **Example:** Challenges to the implementation of a new national minimum wage policy affecting industries across sectors like manufacturing and IT.
- **Role:** The NIT interprets and applies national labour policies to resolve disputes that impact multiple industries.

❑ **Intervening in nationwide strikes or lockouts**

- **Example:** A mass strike by power sector employees over working conditions that risks nationwide power disruption.
- **Role:** The NIT can issue interim orders to prevent disruptions or adjudicate the matter for a balanced resolution.

❑ **Resolving disputes with significant economic impact**

- **Example:** A conflict between a multinational corporation and a union that threatens foreign investment or critical exports.
- **Role:** The NIT acts to maintain economic stability while ensuring fair treatment of workers.

SELF ASSESSMENT QUESTIONS

5. The __________ is a statutory forum under the Industrial Relations Code, 2020, aimed at promoting goodwill and cooperation between employers and workers in an industrial establishment.
6. A __________ refers to the permanent cessation of operations or business in an industrial establishment, often due to financial losses, economic reasons, or protracted disputes.
7. A Conciliation Officer has the authority to initiate conciliation proceedings, encourage settlement, and make binding recommendations in cases of industrial disputes. (True/False)
8. The National Industrial Tribunal handles local-level disputes and focuses on individual employee grievances in industrial establishments. (True/False)

NOTES

ACTIVITY

Analyse on the Industrial Relations Code, 2020, evaluating its impact on industrial harmony and disputes.

9.5 SUMMARY

- Labour laws are the rules and regulations that govern the relationship between the employee, employer and Labour.
- The Code on Wages, 2019 (hereinafter referred to as the 'CW 2019') is the act that was introduced in Lok Sabha in July approved by the Parliament in August 2019 and assented by the President of India in August 2019.
- The Code on Wages, 2019 is an important piece of legislation in India that consolidates and simplifies provisions related to wages, bonus payments, and labour laws.
- The Code on Wages, 2019 is one of the four labour codes introduced by the Government of India to consolidate and simplify existing labour laws.
- The Minimum Wage Act, 1948 protects labour against the dangers of unfair methods and exploitation.
- The concept of Payment of Wages is governed by labour laws to ensure that employees receive fair and timely compensation for their work.
- The Payment of Bonus Act, 1965 (hereinafter referred to as the 'PBA1965') was made applicable from 25th September 1965. This law is applicable where 20 or more employees are employed.
- The Industrial Relations Code, 2020 was introduced in Lok Sabha in November 2018 and after passing by the Lok Sabha and Rajya Sabha, it received the President's assent on 28th September 2020.
- The forums under the Industrial Relations Code, 2020 refer to the institutional mechanisms and bodies established to address and resolve disputes between employers and workers, ensure compliance with labour laws, and maintain industrial harmony.
- The Works Committee is a statutory forum that the Industrial Relations Code, 2020, establishes to encourage cooperation and amicably harmonious relations between employers and workers in an industrial establishment.
- Trade Unions are one of the most critical forums under the Industrial Relations Code, 2020; it is a collective organisation among workers formed to protect rights, improve working conditions, and fight for issues related to employment.

- A strike is simply a temporary stoppage of work by employees, usually orchestrated by a trade union or a group of workers, as a means of exerting pressure on employers to realise their demands.
- The National Industrial Tribunal is a higher judicial body provided in the Industrial Relations Code, 2020. The tribunal is meant to serve as a forum of redressing industrial disputes of national importance or those that involve more than one state and industries.

KEY WORDS

- **Code on wages:** Establishes minimum wage standards, and fair payment, and regulates employee compensation across sectors
- **Employee:** A person employed to perform tasks for compensation under an employer's direction
- **Minimum wages:** The legally mandated lowest wage an employer can pay an employee for work
- **Fair payment system:** A system ensuring equitable wages based on work, skills, and job responsibilities
- **Trade union:** An organisation formed by workers to protect and promote their collective rights and interests

9.6 MULTIPLE CHOICE QUESTIONS

1. What is the main objective of the Code on Wages, 2019?
   a. To provide paid leave to workers
   b. To regulate the minimum wages, bonus, and payment of wages
   c. To abolish overtime wages
   d. To provide legal protection for employees working in government establishments
2. What is the maximum penalty for employers who violate its provisions?
   a. Imprisonment for 3 months and/or a fine of Rs. 1,00,000
   b. Imprisonment for 1 month and/or a fine of Rs. 50,000
   c. Imprisonment for 6 months and/or a fine of Rs. 2,00,000
   d. A fine of Rs. 1,00,000 only
3. What is the minimum bonus percentage an employee is entitled to receive, regardless of the employer's profits?
   a. 5% b. 10%
   c. 12% d. 8.33%

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4. What is the minimum notice period required for a worker or employer to initiate a strike or lock-out under the Industrial Relations Code, 2020?
   a. 7 days
   b. 10 days
   c. 14 days
   d. 30 days
5. Which of the following is true regarding the threshold for applicability of the Code to businesses?
   a. The Code applies to businesses with 100 or more employees.
   b. The Code applies to businesses with 300 or more employees.
   c. The Code applies to businesses with 50 or more employees.
   d. The Code applies to businesses with 500 or more employees.
6. Which of the following is not included in the definition of a "workman"?
   a. Supervisory employees with a salary of up to ₹18,000 per month
   b. Sales promotion employees
   c. Workers employed in managerial positions
   d. Working journalists
7. Which of the following establishments is not subject to the 2020 Industrial Relations Code's rules on layoffs and retrenchments?
   a. Establishments with less than 50 employees
   b. Seasonal establishments
   c. Establishments with less than 300 employees
   d. Both A and B
8. Which of the following is the primary objective of the Works Committee under the Industrial Relations Code, 2020?
   a. To promote goodwill and cooperation between employers and workers
   b. To resolve industrial disputes at the government level
   c. To manage wage disputes between workers and employers
   d. To impose penalties for non-compliance with labour laws
9. According to the Industrial Relations Code of 2020, which of the following bodies is in charge of settling conflicts pertaining to labour issues, including salary disputes, layoffs, and unjust treatment?
   a. Conciliation Officer
   b. National Industrial Tribunal
   c. Industrial Tribunal
   d. Grievance Redressal Committee

10. Which of the following is true about the National Industrial Tribunal (NIT) according to the Industrial Relations Code, 2020?
    a. It deals only with individual worker grievances.
    b. It handles disputes of national importance or those involving more than one state.
    c. The NIT can only issue non-binding recommendations.
    d. It can be composed only of workers' representatives.

9.7 DESCRIPTIVE QUESTIONS

1. Explain the concept of Code on Wages. What are the salient features of Code on Wages, 2019?
2. What do you mean by minimum wages?
3. Explain the concept of payment of bonus.
4. What do you mean by Industrial Relations Code, 2020? Discuss its salient features.
5. What are the forums under the Industrial Relations Code, 2020?

9.8 HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

1. A company, ABHI Ltd., has 250 employees, and its workers are working beyond their regular working hours due to a project deadline. For additional hours performed, the employer pays overtime at a rate of 1.5 times the regular wage. Nevertheless, Mr. Sharma, one of the workers, put in ten more hours throughout the workweek and received his regular salary. What amount should have been paid for Mr. Sharma's overtime in accordance with the 2019 Code on Wages?
    a. Mr. Sharma should be paid 1.5 times his normal wage for the overtime worked
    b. Mr. Sharma should be paid at the regular rate of wages for the overtime worked.
    c. Mr. Sharma is not entitled to overtime pay as the company has a project deadline.
    d. Mr. Sharma should be paid 2 times his normal wage for the overtime worked.
2. Zen Pvt. Ltd. has 250 employees working across its manufacturing and administration departments. The management wants to lay off 40 workers due to a reduction in business demand. According to the provisions of the Industrial Relations Code, 2020, which of the following statements is correct regarding the layoff process?

N O T E S

a. The company can lay off the workers without any prior government approval as it has less than 300 employees.

b. The company must take prior permission from the state or central government for the layoff.

c. The company is required to pay a retrenchment compensation for the laid-off workers.

d. The company can lay off the workers immediately without any notice period.

3. Aman Corporation has a workforce of 150 employees and several trade unions operate within the company. However, none of the unions have 51 per cent membership among the workers. What is the most likely course of action under the Industrial Relations Code, 2020?

   a. The union with the highest membership will automatically be recognised as the negotiating union, irrespective of the percentage.

   b. The management will be required to recognise each union equally for negotiations.

   c. The company can form a council of representatives from unions with at least 20% membership.

   d. The government will intervene and assign a union for negotiations.

4. MG Electronics is considering introducing a new policy to address worker grievances. The company has 350 employees, and it intends to frame standing orders to regulate workplace conditions. What does the Industrial Relations Code, 2020 stipulate for MG Electronics in this scenario?

   a. The company is not required to frame standing orders as it has less than 500 employees.

   b. The company must frame standing orders within six months of the Code's implementation and get them certified.

   c. The company can voluntarily frame standing orders but they do not require certification.

   d. The company must form a workers' committee to approve the standing orders.

9.9 ANSWERS AND HINTS

ANSWERS FOR SELF ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
Code on Wages	1.	minimum
	2.	remuneration

Topic	Q. No.	Answer
Industrial Relations Code, 2020	3.	True
	4.	False
Forums	5.	Works Committee
	6.	Closure
	7.	True
	8.	False

ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer
1.	b. To regulate the minimum wages, bonus, and payment of wages
2.	a. Imprisonment for 3 months and/or a fine of Rs. 1,00,000
3.	d. 8.33%
4.	c. 14 days
5.	b. The Code applies to businesses with 300 or more employees
6.	c. Workers employed in managerial positions
7.	d. Both A and B
8.	a. To promote goodwill and cooperation between employers and workers
9.	c. Industrial Tribunal
10.	b. It handles disputes of national importance or those involving more than one state

HINTS FOR DESCRIPTIVE QUESTIONS

1. The Code on Wages, 2019 (hereinafter referred to as the 'CW 2019') is the act that was introduced in Lok Sabha in July and approved by the Parliament in August, 2019 and assented by the President of India on 8th August 2019. Refer to Section **9.2 Code on Wages**

2. The Minimum Wage Act, 1948, provides protection to the labour against the dangers of unfair methods and exploitation. Although social welfare is a prime aim of determining the minimum wage structure, its immediate aim is to settle the dispute between employers and employees and bring justice to the interests of both labour and capital. Refer to Section **9.2 Code on Wages**

3. The concept of Payment of Wages is governed by labour laws to ensure that employees receive fair and timely compensation for their work. Payment of wages is an important concept since such remuneration may safeguard the rights of employees, stabilise income and, consequently, benefit the overall economic welfare. Refer to Section **9.2 Code on Wages**

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4. The Industrial Relations Code, 2020 was introduced in Lok Sabha in November 2018 and after passing from the Lok Sabha and Rajya Sabha, it received the President's assent on 28th September 2020. Refer to Section **9.3 Industrial Relations Code, 2020**

5. The forums under the Industrial Relations Code, 2020 refer to the institutional mechanisms and bodies established to address and resolve disputes between employers and workers, ensure compliance with labour laws, and maintain industrial harmony. Refer to Section **9.4 Forums**

ANSWERS FOR HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

Q. No.	Answer	
1	a.	Mr. Sharma should be paid 1.5 times his normal wage for the overtime worked.
2	b.	The company must obtain prior permission from the state or central government for the layoff.
3	c.	The company can form a council of representatives from unions with at least 20% membership.
4.	b.	The company must frame standing orders within six months of the Code's implementation and get them certified.

9.10 SUGGESTED READINGS & REFERENCES

SUGGESTED READINGS

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CASE LAW

NOTES

BALANCING WORKER RIGHTS AND EMPLOYER FLEXIBILITY: THE IMPACT OF THE INDUSTRIAL RELATIONS CODE, 2020 ON NAMAN MANUFACTURING LTD.

NAMAN Manufacturing Ltd. is one of the top automobile parts manufacturing companies in India. The organisation employs a large number of workers, who are represented by multiple labour unions. For years, this company's management relied on informal negotiations with union leaders to solve their labour-related issues. This now has a new dimension with the legal and industrial relation codified needs brought about by the Industrial Relations Code, 2020.

Under the Industrial Relations Code, 2020, NAMAN Manufacturing Ltd would now have to enforce new norms upon dispute resolution, retrenchment, lay-off, and formation of workers' unions. An important aspect is that there is now a legal framework under which the grievance redressal mechanism has to be established, and procedures for conciliation are to be compulsorily followed before strikes or lockouts can be declared. The need for all formal documentation and more formalised communications between management and workers increases.

Initially, the management of NAMAN Manufacturing Ltd. saw the new code as a challenge since they held the opinion that it would increase the complexity of how they managed labour issues. The company had to adjust its ways, especially on worker retrenchment. Earlier, the management handled layoffs informally. Now, the Industrial Relations Code required a process which the company was to follow: a standing order for layoffs and retrenchments. In addition to this, the company found that it needed governmental permission before effecting a large-scale redundancy of over 100 employees, thus burdening them with an added level of compliance.

Even as most of the employees welcomed the new code since it gave much better protection against arbitrary dismissal, others continued viewing the code as burdensome. For example, strikes could now only come after a 60-day cooling-off period and the trade unions made the registration a requirement with the government. This brought about more control over trade unions. With NAMAN Manufacturing Ltd., the organisation was now dealing with union representatives at the workplace who were even afraid to have their unions registered formally due to the fear of loss of control or generally getting interfered with the government on matters internal. The negotiating power was henceforth delayed, and blighted schedules for production in the organisation ensued as a result.

Case Objective

The objective of this case law is to understand the practical challenges and strategies for implementing the Industrial Relations Code, 2020 in a growing manufacturing business.

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CASE LAW

It was at the management level, which came to the realisation that adopting the framework of the Industrial Relations Code helped the relations with the workers and aided in avoiding the conflict or strikes. There resulted a new approach toward labour relations for NAMAN Manufacturing Ltd, with more transparency, communication, and a willingness to step into the procedural steps laid down by the Industrial Relations Code. This encouraged the management team of the company to train its human resources people on the requirements of the new law and work with legal advisors towards compliance, which would eventually improve the reputation of the company as a fair employer.

QUESTIONS

1. How did NAMAN Manufacturing Ltd. adjust to the new compliance requirements under the Industrial Relations Code, 2020?

   (**Hint:** The company implemented the formal grievance redressal mechanisms, adhered to new procedures for retrenchment, and improved communication with unions.)

2. What were the challenges faced by the company with labour unions under the new code?

   (**Hint:** The company faced resistance from unions reluctant to register and follow new formal processes, delaying negotiations and disrupting production.)

10

CHAPTER

SEXUAL HARASSMENT OF WOMEN AT WORKPLACE

CONTENTS

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INTRODUCTORY CASELET

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INNOVATION CORPORATION: UPHOLDING COMPLIANCE WITH THE POSH ACT, 2013

Innovation Corporation, a tech giant with a workforce of more than 2000 employees placed in different branches, is well aware of the importance of the diversity and inclusivity value of an organisation. Nevertheless, Ms. Ananya Verma, a software developer has lodged a complaint alleging harassment by her colleague, Mr. Arjun Kapoor, during a collaborative team project. Ananya also reported verbal abuse and unwanted physical contact leading to an oppressive environment.

As soon as the grievance was lodged, the company set in motion its Internal Complaints Committee (ICC) as required under the provisions of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. The ICC, which comprised a few senior women employees along with an external expert, began a probe as directed by the Act. Following the completion of 90 days of the investigation, the committee found that Mr. Arjun had indeed breached the company's policy on harassment and recommended disciplinary measures. In conformity with the provisions of the POSH Act, the Innovation Corporation acted promptly by dismissing the accused from employment and rendering assistance to the complainant and conducting education programs for all workers on the issue of sexual harassment and the need to implement the POSH Act.

Case Objective

The objective of this caselet is to explore legal compliance and ethical obligations in addressing workplace harassment.

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LEARNING OBJECTIVES

After studying this chapter, you will be able to:

- Discuss the concept of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH Act)
- Explain the circumstances implying sexual harassment
- Describe the Internal Complaints Committee
- Discuss the procedure for filing sexual harassment complaint
- Elaborate on the concept of conciliation
- Analyse the concept of inquiry of the complaint
- Explain the punishment for making a malicious complaint or giving false evidence
- Describe the concept of compensation
- Discuss the compliances of the Act
- Discuss the penalty for non-compliance

10.1 INTRODUCTION

In the previous chapter, you studied about the Code on Wages, 2019 and its salient features. The chapter also gave an insight into the payment of wages and payment of bonus. You also studied the concept of Industrial Relation Code, 2020 and its salient features. In the end, the chapter discussed the concepts of trade union and National Industrial Tribunal.

Sexual harassment includes the violation of women's right to equality and dignity. Such harassment of women is the result of patriarchy. Sexual harassment at the workplace is one such example of these patriarchal views where different kinds of harassment are considered as normal. However, such behaviour leads to serious harm and discrimination for women in the workplace.

In order to curb incidences of sexual harassment at workplaces, the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (also called the POSH Act) was enacted at the national level. All workplaces in India are mandated to comply with the provisions of this Act.

The POSH Act, 2013, underscores the significance of addressing workplace sexual harassment to foster gender equality and uphold workplace rights. By ensuring a safe, respectful environment, the Act empowers individuals to work without fear of discrimination or harassment. It emphasises dignity, inclusivity, and justice, aligning workplace ethics with the broader goal of achieving gender parity and equal opportunities.

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The prevalence of workplace sexual harassment in India remains a significant concern, as evidenced by

- National Crime Records Bureau (NCRB) Data: From 2018 to 2022, India consistently reported over 400 cases of sexual harassment at the workplace annually, averaging 445 cases per year.
- In 2022, 419 cases were documented, with Himachal Pradesh (97 cases), Kerala (83), Maharashtra (46) and Karnataka (43) reporting the highest numbers.

In this chapter, you will learn about the POSH Act and its related sections. The chapter begins with a detailed discussion on the concept of the sexual harassment of women in the workplace, purpose and salient features. Next, you will learn about the internal complaint committee and conciliation. In addition, the chapter also discusses the punishment for making a malicious complaint. At the end, the chapter describes the penalty for non-compliance.

10.2 THE SEXUAL HARASSMENT OF WOMEN AT WORKPLACE (PREVENTION, PROHIBITION AND REDRESSAL) ACT, 2013 ('POSH ACT')

A safe workplace is the legal right of every woman. Workplace sexual harassment refers to the violation of the rights of women in the form of violence against them. The POSH Act, 2013 was enacted to ensure a protective and safe working environment for women and that their chances of equality in status and opportunities are not violated. The Act's main purpose is to promote women's participation in work through a sense of security, resulting in economic empowerment and inclusive growth. This Act necessitates all workplaces to provide a safe and secure working environment that is free from sexual harassment for all women.

10.2.1 BACKGROUND AND OBJECTIVE

The need for the POSH Act dates back to 1992, when the Bhanwari Devi case took place. Bhanwari Devi, a rural-level activist, worked actively for the prevention of child marriage in the state of Rajasthan. During her work, she went the extra mile to prevent the marriage of a one-year-old girl child in the community. However, some males in the community did not like her work and she faced harassment. Bhanwari Devi reported such harassment to local authorities; however, no action was taken. Subsequently, Bhanwari Devi was gang raped by those men.

This case revealed how working women are exposed to sexual harm across the country. Apart from that, it also shows the severity of harm if no action is taken for sexually offensive behaviour in the workplace. Consequently, Vishaka and other women's organisations

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filed a Public Interest Litigation (PIL) against the State of Rajasthan and the Union of India in the Supreme Court of India. It suggested appropriate measures to recognise sexual harassment of women as an infringement of their fundamental right of equality and that all workplaces, establishments, and institutions should be responsible and answerable for upholding such rights.

The Supreme Court in Vishaka vs. the State of Rajasthan (1997) case, issued guidelines which were based on equality and dignity as guaranteed in the Constitution of India and as provided for in the UN Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW).

In line with the Vishaka Guidelines, the Supreme Court directed that the fundamental right to equality and dignity of working women shall be respected and protected by all employers and workplaces. To that effect, three principal obligations were placed on the institutions: Prohibition, Prevention and Redress. In 2013, the POSH Bill came to be notified by the Government of India (hereinafter called the Act). The Act is designed to empower women by ensuring equal access to employment opportunities irrespective of gender by implementing the three elements the Act speaks of.

OBJECTIVES OF POSH ACT, 2013

Some of the objectives of POSH ACT, 2013 are as follows:

- **Prevent workplace harassment**: Establish preventive measures to prohibit sexual harassment at the workplace.
- **Protect employees**: Protect the employee's right by providing legal framework to address law on the issues of sexual harassment.
- **Redress grievances**: Ensure that the complaints are addressed in an structured manner through a clear grievance redressal policy.
- **Promote gender equality**: Encourage an equitable environment in the workplace by addressing gender-based discrimination.
- **Create awareness**: Mandate awareness programs and training sessions to educate employees about workplace harassment and their rights.
- **Ensure accountability:** Make sure that firm and organisation take preventive and corrective measures to ensure health and safety of the work environment.

10.2.2 DEFINITIONS

Section 2 of the POSH Act, 2013 contains definitions that provide clarity and understanding of various terms used throughout the Act. These definitions are foundational to interpreting and applying the provisions of the POSH Act effectively.

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Figure 10.1 shows quick reference for key terms:

Aggrieved woman	A woman alleging workplace sexual harassment, including employees, trainees, and others in relation to the workplace.
Employee	Any person employed at the workplace for remuneration, on contract, or otherwise, including trainees and temporary staff.
Respondent	The individual against whom the aggrieved woman has filed a complaint of sexual harassment.
Internal committee	A committee established by employers to address and resolve sexual harassment complaints, as mandated by the POSH Act.
Sexual harassment	Any unwelcome contact, gesture or remark.
Workplace	A place visited by the employee arising out of or during employment.

Figure 10.1: Quick Reference for Key Terms

Section 2 of this Act, unless the context otherwise requires:

(a) "**aggrieved woman**" *means*

i. in relation to a workplace, a woman, of any age whether employed or not, who alleges to have been subjected to any act of sexual harassment by the respondent;

ii. in relation to a dwel1ing place or house, a woman of any age who is employed in such a dwelling place or house

(f) "**employee**" *means a person employed at a workplace for any work on regular, temporary, ad hoc or daily wage basis, either directly or through an agent, including a contractor, with or, without the knowledge of the principal employer, whether for remuneration or not, or working on a voluntary basis or otherwise, whether the terms of employment are express or implied and includes a co-worker, a contract worker, probationer, trainee, apprentice or called by any other such name*

(h) ***"Internal Committee"*** *means the Internal Complaints Committee constituted under Section 4;*

(m) ***"respondent"*** *means a person against whom the aggrieved woman has made a complaint under section 9;*

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(n) ***"sexual harassment"*** *includes any one or more of the following unwelcome acts or behaviour (whether directly or by implication) namely:*

i. *physical contact and advances; or*

ii. *a demand or request for sexual favours; or*

iii. *making sexually coloured remarks; or*

iv. *showing pornography; or*

v. *any other unwelcome physical, verbal or non-verbal conduct of sexual nature.*

(o) ***"workplace"*** includes

i. *any department, organisation, undertaking, establishment, enterprise, institution, office, branch or unit which is established, owned, controlled or wholly or substantially financed by funds provided directly or indirectly by the appropriate Government or the local authority or a Government company or a corporation or a co-operative society;*

ii. *any private sector organisation or a private venture, undertaking, enterprise, institution, establishment, society, trust, non-governmental organisation, unit or service provider carrying on commercial, professional, vocational, educational, entertainmental, industrial, health services or financial activities including production, supply, sale, distribution or service;*

iii. *hospitals or nursing homes;*

iv. *any sports institute, stadium, sports complex or competition or games venue, whether residential or not used for training, sports or other activities relating thereto;*

v. *any place visited by the employee arising out of or during the course of employment including transportation provided by the employer for undertaking such journey;*

vi. *a dwelling place or a house;*

In simple terms, according to the POSH Act, the term 'workplace' includes all establishments and institutions of the government and private sectors such as departments, offices, organisations, enterprises, and units funded by the government, as well as private ventures, NGOs, hospitals, nursing homes, sports facilities, and any facilities associated with any employee's work including employer-provided transportation and even dwelling or house arrangements.

(p) ***"unorganised sector"*** *in relation to a workplace means an enterprise owned by individuals or self-employed workers and engaged in the production or sale of goods or providing service of any kind whatsoever, and where the enterprise employs workers, the number of such workers is less than ten.*

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SELF ASSESSMENT QUESTIONS

1. A safe workplace is not the legal right of every woman. (True/False)
2. The POSH Act, 2013 was enacted to ensure a protective and safe working environment for women and that their chances of equality in status and opportunities are not violated. (True/False)

ACTIVITY

Study about the POSH Act on the official website of the Ministry of Women and Child Development or some other reliable legal websites. Write a brief report summarising the key objectives of the POSH Act and how it contributes to creating safer workplaces for women.

10.3 CIRCUMSTANCES IMPLYING SEXUAL HARASSMENT

In accordance with the POSH Act, 2013, sexual harassment refers to an unwelcome act of a sexual nature, which constitutes a hostile or intimidating work environment. Circumstances that imply sexual harassment of this Act involve, among other things, physical advances, verbal and non-verbal sexual communication, or any conduct that obstructs a person's work performance. Such behaviours may manifest in a variety of places like a workplace, Professional setting and are deemed harassment when such behaviours are not welcomed by the person to whom they are directed. The POSH Act also details how such situations must be managed, and how predictors and effective measures must be put in place.

Some examples of the behaviour that constitutes sexual harassment at the workplace:

- Making sexually suggestive innuendos or comments
- Constantly passing vulgar or offensive comments regarding an individual's body or appearance
- Offensive statements and jokes
- Asking, proposing or commenting anything that pertains to an individual's sexual practices and activities
- Showing sexiest or other offensive pictures, posters, MMS, SMS, WhatsApp or emails
- Coercion, blackmail or threat requesting sexual acts
- Intimidation directed at a worker or retribution for the worker's vocal assertion against unwelcome sexual behaviour

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- Social invitations with sexual overtones that are unwelcome and characterised as flirtatious in nature
- Any unwelcome sexual advances with or without promises or threats, whether literal or implied

EXHIBIT

TCS and the Implementation of POSH Act, 2013

In the year 2019, under the POSH Act of 2013, complaints were received from an employee at Tata Consultancy Services (TCS) that her reporting manager behaved inappropriately with her. Swift actions were taken by the Internal Complaints Committee (ICC) at TCS to initiate the proceedings under Section 10 of the Act. In the ICC, after conciliation failure, a formal inquiry was then initiated. Evidence has been collected, including emails, eyewitnesses, and chat transcripts, ensuring that both parties have been given equal opportunity to present their case. The inquiry strictly confidential elucidated findings that the accused manager's behaviour was contrary to POSH provisions and the company's code of conduct.

The organisation dismissed the manager, looking up to the recommendations of the ICC, and offered counselling support to the complainant. However, the company made it mandatory for an awareness program among the employees, further enforcing the zero tolerance of harassment at the workplace. This case revealed the reinforcement of a strong grievance redressal mechanism and proactive measures within a healthy and inclusive workplace, which brought out the practical effectiveness of the POSH Act while safeguarding employee rights.

SELF ASSESSMENT QUESTIONS

3. According to the Prevention of Sexual Harassment Act, sending messages or emails with sexual themes is also a form of sexual harassment. (True/False)
4. The term sexual harassment under the POSH Act also includes uninvited or unwanted sexual advances or acts that offend the employee. (True/False)

ACTIVITY

Visit online legal portals or read case studies on sexual harassment in the workplace (such as from NALSA or other advocacy websites). Identify and list five real-life scenarios that would fall under sexual harassment, including physical, verbal, and non-verbal forms of harassment.

10.4 INTERNAL COMPLAINTS COMMITTEE

The Internal Complaints Committee (ICC) is a necessary body constituted under the POSH Act, 2013 to deal with the complaints of sexual harassment at workplaces. It seeks to create a safe and healthy work environment by providing a mechanism to redress complaints and implement provisions of the Act.

As per the Act, every workplace, including administrative units and offices, is mandated to form an ICC.

The important provisions relating to the ICC consist of the following:

- **Composition:** The Composition of ICC refers to the mandated structure and roles of members within the committee formed under the POSH Act, 2013. Figure 10.2 shows the composition of ICC:

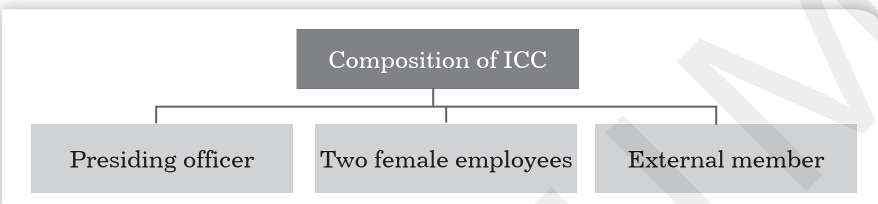

Figure 10.2: Composition of ICC

  - **Presiding officer:** 'a woman who is a senior level officer in the organisation.'
  - **Two female employees:** Minimum two, who will look into any complaints received or who have knowledge of issues pertaining to sexual harassment.
  - **External member:** One outside member from an NGO, organisation or an individual who is versed with the issues of sexual harassment to bring in fairness.
- **Majority Women Members:** The ICC shall have at least 50% of its members as women.
- **Tenure:** Members of the ICC including the Presiding Officer shall serve for a period of three years.
- **Jurisdiction**: The ICC is empowered to handle complaints from employees of the respective office or branch where it is constituted.
- **Responsibilities:** Some of the responsibilities of ICC are as follows:
  - **Complaint redressal:** Address and resolve complaints of sexual harassment promptly, ensuring a fair, unbiased, and confidential process to protect the rights of all parties involved.
  - **Conciliation and inquiry:** Facilitate conciliation when requested, and conduct detailed inquiries when needed,

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adhering to principles of natural justice and providing recommendations based on findings.

- **Preventive measures:** Promote a safe and inclusive workplace by recommending policies, organising awareness programs, and ensuring adherence to the POSH guidelines.
- **Annual reporting:** Prepare and submit an annual report to the employer and district officer, detailing the number of cases filed, resolved, and pending, along with preventive initiatives.
- **Guidance and training:** Guide employees on their rights and responsibilities under the Act, and conduct regular training for all stakeholders to prevent workplace harassment effectively.

SELF ASSESSMENT QUESTIONS

5. ___________ is a necessary body constituted under the Prevention of Sexual Harassment (POSH) Act, 2013 to deal with the complaints of sexual harassment at workplaces.
6. The tenure of the members of the ICC, including the Presiding Officer, is _________ years.

ACTIVITY

Conduct a research on the structure and role of the ICC under the POSH Act on various legal sites. Prepare a presentation explaining the composition, duties and powers of the ICC.

10.5 PROCEDURE FOR FILING SEXUAL HARASSMENT COMPLAINT – SECTION 9

According to the POSH Act, 2013, an aggrieved woman may file a complaint of sexual harassment in writing or electronic format to the ICC or Local Complaints Committee (LCC), whichever is applicable. The procedure lays maximum focus on the confidentiality of the complainant while ensuring a fair and prompt investigation of the concerns raised so as to foster a safe and healthy working atmosphere.

According to the Act, *"Any aggrieved woman may make, in writing, a complaint of sexual harassment at workplace to the Internal Committee if so constituted, or the Local Committee, in case it is not so constituted, within a period of three months from the date of incident and in case of a series of incidents, within a period of three months from the date of last incident."* Provided that where such complaint cannot be made in writing, the Presiding Officer or any Member of the Internal Committee or the Chairperson or any Member of the Local Committee, as the case may be, shall render all reasonable assistance to the woman for making the complaint in writing.

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The written complaint should contain:

- Relevant dates, timings and locations of the instance/s.
- Name of the respondent(s).
- The working relationship between the parties.
- A person designated to manage the workplace sexual harassment complaint is required to assist in writing the complaint if the complainant seeks it for any reason.

STEP BY STEP PROCESS FOR FILING A SEXUAL HARASSMENT COMPLAINT

Any aggrieved woman experiencing sexual harassment at the workplace can file a complaint. If she is unable to do so, a relative, friend, legal heir, or authorised person may file it on her behalf. Complaints must be filed within three months of the incident or the last occurrence in a series of incidents. The ICC or LCC may extend this period by three additional months for valid reasons. The following are the steps involved in filing a complaint as per POSH Act, 2013:

1. **Drafting the complaint:** The complaint should detail the incident, including dates, times, descriptions of the harassment and names of respondents or witnesses. If the complainant is unable to write, assistance in documenting the complaint is provided.
2. **Submission to ICC or LCC:** The complaint must be submitted to the ICC within the organisation. If no ICC is constituted or the complaint involves the employer, it should be filed with the LCC of the district.
3. **Confidentiality assurance:** The ICC or LCC ensures strict confidentiality of the complainant's and respondent's identities and case details. This safeguards the complainant's dignity and fosters a safe, supportive reporting environment.
4. **Acknowledgment of complaint:** Upon receiving the complaint, the ICC or LCC acknowledges it to the complainant and initiates the preliminary examination process, ensuring that the matter is addressed promptly and appropriately.

SELF ASSESSMENT QUESTIONS

7. ________ may file a complaint of sexual harassment in writing or electronic format to the Internal Complaints Committee (ICC) or Local Complaints Committee (LCC), whichever is applicable.
8. The procedure for filing complaint lays maximum focus on the ________of the complainant while ensuring a fair and prompt investigation of the concerns raised.

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> **ACTIVITY**
>
> Explore the procedure of filing a sexual harassment complaint under the POSH Act from different sources, i.e., HR-based websites and law firms. Illustrate the process by drawing a flow chart from the point of filing a complaint to that of resolution.

10.6 CONCILIATION – SECTION 10

According to the Section 10 of POSH Act, 2013, conciliation is a means of addressing the issues of sexual harassment in the workplace, thereby settling the issue of complaint of sexual harassment without actually instigating an inquiry. The aggrieved woman may appeal for conciliation in order to reach a settlement, except for the situation where money is the only form of resolution. Such a process is organised and supervised by the ICC which ensures confidentiality and fairness in the process.

Section 10: Conciliation

Following are the aspects of Section 10 Conciliation:

1. *The* Internal Committee or as the case may be the Local Committee*, may, before initiating an inquiry under Section 11 and at the request of the aggrieved woman take steps to settle the matter between her and the respondent through conciliation:*

   Provided that no monetary settlement shall be made as a basis of conciliation.

2. *Where a settlement has been arrived at under sub-section (1), the* Internal Committee or the Local Committee*, as the case may be, shall record the settlement so arrived and forward the same to the employer or the District Officer to take action as specified in the recommendation.*

3. *The* Internal Committee or the Local Committee *as the case may be, shall provide the copies of the settlement as recorded under sub-section (2) to the aggrieved woman and the respondent.*

4. *Where a settlement is arrived at under sub-section (1), no further inquiry shall be conducted by the* Internal Committee or the Local Committee*, as the case may be.*

Conciliation under the POSH Act, 2013, plays a vital role in resolving workplace sexual harassment complaints effectively and amicably. Some of the major features of conciliation are as follows:

- **Voluntary and Empowering:** It is a process that is undertaken only at the request of the aggrieved woman and hence she has the power to choose when and how to address her concern.

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- **Prompt Resolution**: It presents an avenue for a fast and friendly resolution of the dispute without the need for the formal hearing process which saves time and the emotional burden of the parties.
- **Confidentiality and Sensitivity**: The process is performed quietly so as to protect the dignity of all the parties involved.
- **Avoiding Hostility**: Conflict resolution by way of mutual understanding solves issues and promotes harmony by protecting working relationships further reducing tensions at the workplace.
- **Non-Monetary Focus**: The Act prohibits the settling of the disputes only by seeking for cash compensation which encourages constructive resolutions that attend to the well-being of the workplace.

EXHIBIT

Infosys Strengthens Workplace Safety under POSH Act, 2013

Infosys, which has a global reputation in IT services, during 2021 faced a high-profile case regarding the sexual harassment allegations from a female employee against her team leader. The woman alleged inappropriate verbal comments and unwanted advances from her team leader, which compelled the ICC to act immediately under the provisions of the POSH Act, 2013. After ICC commenced the resolution process in accordance with Section 10 of that Act, the complainant requested to initiate conciliation; however, she later opted for a formal inquiry, which led the ICC to follow the path of collecting evidence, interviewing witnesses, and evaluating the claims in a confidential and unbiased way.

Taking into consideration the inquiry results, the ICC came to the conclusion that the accused was found guilty of misconduct and recommended a termination of employment with immediate effect, which was put into effect by the management. Besides, Infosys also included a compulsory refresher training for all employees in understanding the POSH Act and has also strengthened its reporting channels to ensure these are more accessible and trustworthy in the redressal process. All in all, this case emphasised the commitment of Infosys to ensuring a safe environment at workplaces through the provisions within the POSH Act while also creating a culture of accountability and respect.

SELF ASSESSMENT QUESTIONS

9. The conciliation process under the POSH Act, 2013, can involve a monetary settlement between the aggrieved woman and the respondent. (True/False)
10. The conciliation process under the POSH Act ensures confidentiality and fairness while resolving complaints of sexual harassment in the workplace. (True/False)

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ACTIVITY

Search for any available content, written or audiovisual, talking about the conciliation process (Section 10 of the POSH Act) and discuss with your classmates.

10.7 INQUIRY OF THE COMPLAINT – SECTION 11

The POSH Act, 2013, denotes that any inquiry regarding the complaint is a systematic procedure carried out by the ICC or LCC for the purpose of looking into the instance of sexual harassment. It makes sure that the investigation is conducted in a just and unbiased manner, with complete confidentiality, and in accordance with the principles of natural justice, also preserving the interests of the complainant and the accused.

SECTION 11: INQUIRY INTO COMPLAINT

The following are the provisions related to Section 11 of POSH Act, 2013:

1. Subject to the provisions of Section 10, the Internal Committee or the Local Committee. as the case may be, shall. where the respondent is an employee, proceed to make inquiry into the complaint in accordance with the provisions of the service rules applicable to the rcspondent and where no such rules exist, in such manner as may be prescribed or in case of a domestic worker. the Local Committee shall, if prima facie case exist, forward the complaint to the police, within a period of sevcn days for registering the case under Section 509 of Indian Penal Code, or any other relevant provision of the said code where applicable: *Provided that where the aggrieved woman informs the* Internal Committee or the Local Committee *as the case may be, that any term or condition of the settlement arrived at under sub-section (2) of Section 10 has not been complied with by the respondent, the* Internal Committee or the Local Committee *shall proceed to make an inquiry into the complaint or, as the case may be, forward the complaint to the police.*

   Provided further that where both the parties are employees, the parties shall, during the course of inquiry, be given an opportunity of being heard and a copy of the findings shall be made available to both the parties enabling them to make representation against the findings before the Committee.

2. *Notwithstanding anything contained in Section 509 of the Indian Penal Code, the court may, when the respondent is convicted of the offence, order payment of such sums as it may consider appropriate, to the aggrieved woman by the respondent, having regard to the provisions of Section 15.*

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3. *For the purpose of making an inquiry under sub-section (I), the* Internal Committee or the Local Committee*, as the case may be, shall have the same powers as are vested in a civil court under the Code of Civil Procedure, 1908 when trying a suit in respect of the following matters, namely:*
   a. *summoning and enforcing the attendance of any person and examining him on oath;*
   b. *requiring the discovery and production of documents; and*
   c. *any other matter which may be prescribed. In such form as may be prescribed, or in the case of a domestic worker, the complaint shall be, if a prima facie case appears to be made out, sent by the Local Committee to the police within seven days to register a case under section 509 of the Indian Penal Code (45 of 1860), and any other provisions of the Code applicable in that case.*

Following are the key aspects how ICC ensures impartiality to strengthen trust in the organisation:

- **Independent members:** The ICC includes external members, often from NGOs or legal experts, ensuring neutrality and impartiality in handling complaints, preventing internal biases.
- **Confidentiality:** The ICC upholds strict confidentiality regarding complaints and investigations, protecting the identities and privacy of both the complainant and the respondent, fostering trust in the process.
- **Fair inquiry process:** The ICC follows a standardised, transparent inquiry procedure with equal opportunities for both parties to present evidence, ensuring a fair and balanced investigation.
- **No retaliation:** The ICC implements a strict no-retaliation policy to protect complainants from any adverse action, reinforcing trust that complaints will be handled without fear of retribution.

SELF ASSESSMENT QUESTIONS

11. The POSH Act mandates that all inquiries into complaints of sexual harassment must be conducted by Internal Committee or the Local Committee in a biased manner. (True/False)
12. The Internal Committee or the Local Committee is not required to give both parties an opportunity to be heard during the inquiry process. (True/False)

ACTIVITY

Analyse available literature regarding Section 11 of the POSH Act – the inquiry mechanism. Write a post or an article with these insights, especially an inquiry vis-a-vis the integrity of the complainant and the accused.

N O T E S

10.8 PUNISHMENT FOR MAKING A MALICIOUS COMPLAINT OR GIVING FALSE EVIDENCE – SECTION 14

As per the provisions of the POSH Act, 2013, certain measures are incorporated to discourage people from false complaints or evidence. Section 14 of the POSH Act deals with punishment for such false and malicious complaints and provides that a person who resorts to making a false complaint or complaints with ulterior motive will be reprimanded. This discourages any abuse of the system and, hence, promotes fairness in the working of the process. The penalties may include monetary fines or other organisational disciplinary actions addressing the concern with regards to the operation of the grievance redressal mechanism. This provision balances the interests of both the accused and the complainant by ensuring that there are systems of checks and balances on the handling of complaints. According to the Act, if Internal Committee or the Local Committee concludes that the allegation against the respondent is false or malicious, it is recommended to the Committee to take action against the aggrieved woman who filed the complaint under sub-section (1) or sub-section (2) of Section 9.

SECTION 14: PUNISHMENT FOR FALSE OR MALICIOUS COMPLAINT AND FALSE EVIDENCE

1. *Where the Internal Committee or the Local Committee as the case may be, arrives at a conclusion that the allegation against the respondent is malicious or the aggrieved woman or any other person making the complaint has made the complaint knowing it to be false or the aggrieved woman or any other person making the complaint has produced any forged or misleading document, it may recommend to the employer or the District Officer, as the case may be, to take action against the woman or the person who has made the complaint under sub-section (I) or sub-section (2) of Section 9, as the case may be, in accordance with the provisions of the service rules applicable to her or him or where no such service rules exist, in such manner as may be prescribed:*

   Provided that a mere inability to substantiate a complaint or provide adequate proof need not attract action against the complainant under this section:

   Provided further that the malicious intent on part of the complainant shall be established after an inquiry in accordance with the procedure prescribed, before any action is recommended.

2. *Where the Internal Committee or the Local Committee, as the case may be, arrives at a conclusion that during the inquiry any witness has given false evidence or produced any forged or misleading document, it may recommend to the employer of the witness or the District Officer, as the case may be, to take action*

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in accordance with the provisions of the service rules applicable to the said witness or where no such service rules exist, in such manner as may be prescribed.

Table 10.1 summarises penalties and conditions:

TABLE 10.1: PENALTIES AND CONDITIONS

Offense	Penalty	Conditions or Detail
Malicious Complaint	Fine, imprisonment, or both	Penalty depends on severity
		False or intentionally misleading complaints
False Evidence	Fine, imprisonment, or both	Includes knowingly providing false documents, testimony, or other evidence
		Penalty may vary based on the seriousness of the false evidence and its impact on the investigation
Repetition of Offense	Increased penalty, extended imprisonment, or both	Repeated offenses may lead to more significant penalties

Some of the reasons of punishment for making a **malicious complaint** or giving **false evidence** under the **POSH Act** are as follows:

- **Ensures fairness and integrity**: The possibility of incurring punitive repercussions for making frivolous or vindictive complaints serves to guarantee that the grievance redressal mechanism operates in an equitable, objective and open manner. It safeguards individuals from abusing the act due to personal grudges, thereby upholding the sanctity of the process.
- **Discourages abuse of the legal framework**: One will not want to file frivolous complaints knowing that there will be some penalty associated with that. This helps to ensure that the POSH Act is not abused for any other reasons other than what it was enacted for, that is, to protect people from sexual abuse.
- **Promotes accountability**: The complainant and the defendant are responsible for their own behaviour under the POSH Act. This in turn brings about a more responsible and serious way of dealing with issues regarding sexual harassment.
- **Protects the credibility of the law**: In order to maintain the effectiveness of the potential legal system provided by the POSH Act, it is necessary only to investigate the claims that do have basis in fact. Undoubtedly, causes of action grounded in fact and law would fall under the jurisdiction of the courts even if baseless claims were tolerated because that would endanger the very system that has been established as defense against victimisation and harassment.

NOTES

SELF ASSESSMENT QUESTIONS

13. The POSH Act imposes penalties on individuals who file false or malicious complaints, including the aggrieved woman. (True/False)
14. Section 14 of the POSH Act encourages the filing of malicious or false complaints without any consequences. (True/False)

ACTIVITY

Explore instances where some people have faced sanctions for filing false complaints under the POSH Act. Engage in a conversation about why there is a need to safeguard both the complainant and the respondent and the moral aspects associated with making any false accusations.

10.9 COMPENSATION – SECTION 15

Compensation refers to the five forms of relief which may take the form of money or non-monetary actions available to the complainant who suffers the act of sexual harassment within the workplace. Internal Committee, which reviews such complaints under the provisions of the POSH Act, is tasked with conducting an investigation and making recommendations regarding compensation. This may also address the damages caused such as pain and suffering and loss of earning potential. The overarching aim is the protection of the victim and the prohibition of such behaviours in workplaces.

SECTION 15: DETERMINATION OF COMPENSATION

For the purpose of determining the sums to be paid to the aggrieved woman under clause (ii) of sub-section (3) of Section 13, the Internal Committee or the Local Committee, as the case may be, shall have regard to:

a. the mental trauma, pain, suffering and emotional distress caused to the aggrieved woman;
b. the loss in the career opportunity due to the incident of sexual harassment;
c. medical expenses incurred by the victim for physical or psychiatric treatment;
d. the income and financial status of the respondent; and
e. feasibility of such payment in lump sum or in installments.

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10.9.1 OBLIGATIONS /DUTIES OF THE EMPLOYER – SECTION 19

The POSH Act describes explicit responsibilities for employers to maintain a discrimination-free environment. Employers must take active measures to avoid, investigate, and manage any incidents of sexual harassment effectively. Internal Committee must be constituted to deal with such complaints and/or grievances and training and sensitisation of the employees has to be undertaken periodically and also an awareness of the grievance redressal system has to be provided to the employees. Moreover, measures need to be taken by the Employers to protect the complainants from any form of harassment or retaliation and also to ensure that confidentiality is kept at all times. The purpose of such provisions is to ensure all healthy and secure workspaces for employees.

SECTION 19: DUTIES OF EMPLOYER

Every employer shall

a. *provide a safe working environment at the workplace which shall include safety from the persons coming into contact at the workplace;*

b. *display at any conspicuous place in the workplace, the penal consequences of sexual harassments; and the order constituting, Internal Committee under subsection (I) of section 4;*

c. *organise workshops and awareness programmes at regular intervals for sensitising the employees with the provisions of the Act and orientation programmes for the members of the Internal Committee in the manner as may be prescribed;*

d. *provide necessary facilities to the Internal Committee or the Local Committee, as the case may be, for dealing with the complaint and conducting an inquiry;*

e. *assist in securing the attendance of respondent and witnesses before the Internal Committee or the Local Committee, as the case may be;*

f. *make available such information to the Internal Committee or the Local Committee, as the case may be, as it may require having regard to the complaint made under sub-section (1) of Section 9;*

g. *provide assistance to the woman if she so chooses to file a complaint in relation to the offence under the Indian Penal Code or any other law for the time being. in force;*

h. *cause to initiate action, under the Indian Penal Code or any other law for the time being in force, against the perpetrator, or if the aggrieved woman so desires, where the perpetrator is not an employee, in the workplace at which the incident of sexual harassment took place;*

i. *treat sexual harassment as a misconduct under the service rules and initiate action for such misconduct;*

j. *monitor the timely submission of reports by the Internal Committee.*

Some of the benefits of obligations of the employer under the POSH Act are as follows:

- **Safe and respectful workplace**: By meeting these obligations, employers will help provide a working environment where all employees are comfortable and safe, which lowers the risk of harassment and discrimination taking place.
- **Employee retention and morale**: An organisation has zero tolerance policy on harassment which should be boosting the totalitarianism of the organisation. Employees tend to remain longer with a corporation when their safety and appreciation are guaranteed.
- **Enhanced reputation**: Organisations that engage in sexual harassment prevention activities and implement the relevant policies enhance their image as responsible and caring employers, which aids in recruitment efforts and improves overall societal attitude towards the organisation.
- **Conflict resolution**: Clear establishment of procedures for the addressing of complaints ensure that member members are treated and their problems solved within the shortest period of time, thus reducing chances of protracted standoffs among members and promoting cordiality at the workplace.

10 9.2 CONFIDENTIALITY AND PROTECTION FROM RETALIATION

Confidentiality and Protection from Retaliation are some of the most significant aspects provided for under the Prevention of Sexual Harassment (POSH) Act, 2013, with the intention of maintaining the dignity and the rights of the members of the society who have raised the issue of sexual harassment at work.

When any such instance of sexual harassment happens, the victim always feels scared that reporting that instance might:

- Lead to loss of the job
- Lead to answer uncomfortable questions from their colleagues
- Lead people to be judgmental about the victim

To handle such a situation, the POSH Act has introduced some confidentiality clauses. According to the POSH Act, the details related to the complaint, the identities of the parties and the recommendations of the Internal Committee (IC) are prohibited from being published or disclosed. The purpose of this is to protect the psychological safety and privacy of the parties involved.

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Confidentiality means the responsibility to protect from disclosure the names of the complainant, the respondent, and witnesses and the facts pertaining to the harassment complaints. This further extends to protecting the contents of the inquiry and its outcome.

- The POSH Act provides for strict confidentiality with regard to all complaints and any proceedings regarding sexual harassment. Personal information of the complainant, the respondent, the witnesses, or any conclusions reached as regard the investigation must not be disclosed.
- Such confidentiality is required from all parties involved in order to preserve their dignity, and avoid disclosing information which may be irrelevant and cause discomfort or danger.
- Such confidentiality also guarantees that there will be no outside influences in the existence and the execution of the investigative process and all its aim creativity.

PROTECTION FROM RETALIATION

Retaliation can be in the form of demotion, job loss, harassment or any other negative treatment. The POSH Act mentions that there should be no retribution against a person for reporting sexual harassment or for being a witness during the investigations of such incidents. Protection from retaliation is critical since it encourages employees to report harassment without apprehension of professional or personal repercussions. The Act is also concerned with actions that amount to retaliation and in the instances where an employer falls short of minimising the complainant being subjected to such behaviour, the employer can be punished.

EXAMPLE

Some of successful employer practices to explain compliances to inspire organisation are as follows:

- **Tata Consultancy Services (TCS):** TCS has established a strong POSH compliance framework by conducting regular training programs for employees and management, sensitising them about sexual harassment and its impact. Additionally, the company ensures a clear, accessible process for reporting complaints. This proactive approach has increased awareness and trust among employees, creating a safer, more inclusive work environment.
- **Infosys:** Infosys stands out by applying its POSH policies equally to all genders, ensuring an inclusive environment for all employees, including contractors. The company also implements anonymous surveys to monitor workplace safety and gather feedback. This transparency has boosted employee confidence, allowing for swift action and making the organisation more responsive to potential issues of harassment.

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- **Zomato:** Zomato has successfully implemented external, independent teams to investigate POSH complaints, ensuring impartiality and fairness. They conduct quarterly audits to track compliance and address gaps. This approach has enhanced transparency, increased employee trust, and led to a more robust and responsive handling of sexual harassment cases, ensuring a safe space for all employees to voice concerns.
- **Accenture:** Accenture actively supports POSH compliance by embedding it into the company's core values, with leadership consistently promoting awareness. The organisation has a dedicated internal team and offers confidential reporting channels, counselling services and legal support. This approach fosters a culture of respect and trust, encouraging employees to report incidents without fear of retaliation.
- **IBM India:** IBM India adopts a zero-tolerance policy towards sexual harassment, coupled with multiple reporting channels, including helplines and emails, to ensure accessibility. The company's swift action on complaints, along with clear consequences for violations, sends a strong message of commitment to a harassment-free workplace, fostering trust and encouraging employees to come forward with confidence.

SELF ASSESSMENT QUESTIONS

15. _________ means the responsibility to protect from disclosure the names of the complainant, the respondent, and witnesses and the facts pertaining to the harassment complaints.
16. Protection from retaliation is critical since it encourages employees to report _________ without apprehension of professional or personal repercussions.

ACTIVITY

Gather information about the method of compensation considered by the Supreme Court under Section 15 of the POSH Act by reading related cases and expert views on the matter. Prepare a report or PowerPoint presentation on factors determining whether compensation is payable to the aggrieved woman, and how much such compensation is.

10.10 COMPLIANCES

All workplaces across India are required to adhere to the POSH Act, 2013 for the purpose of providing women with a safe and harassment free working environment. The Act lays down certain requirements for all organisations, which include but are not limited to, taking proactive steps, setting up Internal Committee and putting in place a clear complaint resolution process. When these requirements are

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met, the rights of the employees are safeguarded, the dignity of every individual is respected, and the employees take responsibility for their actions. Following are certain requirements for all organisations:

- **Constitution of an internal committee:** According to the POSH Act, every organisation with ten or more employees needs to constitute an Internal Committee, which should have a presiding officer who is a senior woman employee, two employees and an external person. The Internal Committee receives, processes and investigates complaints, and makes recommendations for corrective actions.
- **Prevention of sexual harassment:** Employers will have to take steps to prohibit sexual harassment such as education, training, and implantation of an anti-harassment policy. These measures help to avoid sexual harassment in the work environment.
- **Redressal mechanism:** The POSH Act prescribes the formation of a distinct grievance redressal mechanism that allows for reporting of harassment without the fear of disclosure. All complaints shall be looked into and concluded within 90 days, followed by the necessary disciplinary action, in case the respondent is held accountable.
- **Confidentiality:** In order to safeguard the identity of the complainant, accused and witnesses and create a safe and secure environment of reporting, it is imperative that confidentiality is upheld during the filing of complaints and during investigations.
- **Annual report and record keeping:** All employers shall keep records of complaints and action taken for a period of three years and submit an annual report to the District Officer in order to avoid the problems of red tape and any possible corruption.
- **Awareness and sensitisation programs:** It is also mandatory for employers to provide training to all their employees regarding prevention of sexual harassment on a regular basis.

SELF ASSESSMENT QUESTIONS

17. According to the POSH Act, every organisation with ten or more employees needs to constitute an Internal Committee. (True/False)
18. All employers shall keep records of complaints and action taken for a period of three years and submit an annual report to the District Officer. (True/False)

ACTIVITY

Conduct poster-making and social media drives to promote awareness about the importance of a safe and respectful environment under the POSH Act (2013).

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10.11 PENALTY FOR NON-COMPLIANCE – SECTION 26

The legal framework under the POSH Act, 2013, provides for heavy sanctions against any organisation, and its members in particular, for breaches of workplace sexual harassment policies. It is mandatory for these establishments to set up an Internal Complaints Committee (ICC) and follow its directives on treatment of sexual harassment complaints. Infringement of any of these requirements can cause imposition of a fine or even suspension of its operations. Penalties or otherwise, they might also be subjected to litigation. The rationale behind these penalties is that they serve to compel the employers to take affirmative action in creating, maintaining and sustaining a work place that is safe and respectful to all the employees.

SECTION 26: PENALTY FOR NON-COMPLIANCE WITH PROVISIONS OF ACT

Penalty for non-compliance with provisions of Act.

(1) Where the employer fails to

(a) constitute an Internal Committee under sub-section (1) of section 4;

(b) take action under sections 13, 14 and 22; and

(c) contravenes or attempts to contravene or abets contravention of other provisions of this Act or any rules made thereunder,

he shall be punishable with fine which may extend to fifty thousand rupees.

(2) If any employer, after having been previously convicted of an offence punishable under this Act subsequently commits and is convicted of the same offence, he shall be liable to

(i) twice the punishment, which might have been imposed on a first conviction, subject to the punishment being maximum provided for the same offence:

Provided that in case a higher punishment is prescribed under any other law for the time being in force, for the offence for which the accused is being prosecuted, the court shall take due cognizance of the same while awarding the punishment;

(ii) cancellation, of his licence or withdrawal, or non-renewal, or approval, or cancellation of the registration, as the case may be, by the Government or local authority required for carrying on his business or activity.

Some of the benefits of imposing penalities for non-compliance with provisions of Act are as follows:

- **Accountability and Responsibility**: Punitive measures force employers to adhere to their obligations under the POSH Act.

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This means that necessary policies are put in place, an Internal Committee is constituted, and necessary processes followed. Thus, greater responsibility is encouraged.

- **Encouragement of Proactive Measures**: Most organisations are able to carry out preemptive measures, such as sensitising employees, carrying out awareness programs and establishing effective grievance redress mechanisms, fully aware that such actions will help them avoid punitive consequences and sustain a safe working environment.
- **Enhancement of Workplace Culture**: Since compliance will be enforced, the sanctions will help foster a workplace that encourages respect and equality while discouraging any forms of discrimination that may negatively affect the morale and retention of employees.
- **Deterrence of Negligence**: There is a threat of imposition of penalties which discourages negligence or delay in the following up of complaints and encourages employers to act fast in response to sexual harassment incidences, thus improving the response mechanism.

SELF ASSESSMENT QUESTIONS

19. What is the penalty for an employer failing to constitute an Internal Committee under the POSH Act, 2013?
    a. A fine up to ₹10,000
    b. A fine up to ₹50,000
    c. Suspension of operations
    d. Imprisonment
20. How do penalties under the POSH Act help improve the workplace environment?
    a. By promoting transparency in hiring processes
    b. By lowering employee salaries
    c. By enhancing workplace culture and encouraging respect
    d. By reducing the number of employees

ACTIVITY

Find instances of punishments awarded to employers for disobeying the POSH Act under Section 26. Write a short essay on the consequences of such punishments on the company and the need to observe the Act.

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10.12 SUMMARY

- Workplace sexual harassment refers to the violation of the rights of women in the form of violence against them.
- In accordance with the POSH Act, 2013, sexual harassment refers to unwelcome acts of a sexual nature which constitute a hostile or intimidating work environment.
- The Internal Committee is a necessary body constituted under the POSH Act, 2013, to deal with the complaints of sexual harassment at workplaces.
- According to the POSH Act, 2013, an aggrieved woman may file a complaint of sexual harassment in writing or electronically.
- Conciliation is a means of addressing the issues of sexual harassment in the workplace, thereby settling the issue of complaint of sexual harassment without actually instigating an inquiry.
- Conflict resolution by way of mutual understanding solves issues and promotes harmony by protecting working relationships further reducing tensions at the workplace.
- Section 14 of the POSH Act deals with punishment for such false complaints and provides that a person who resorts to making a false complaint or complaints with ulterior motive will be reprimanded.
- In order to maintain the effectiveness of the potential legal system provided by the POSH Act, it is necessary only to investigate the claims that do have basis in fact.
- Compensation refers to the five forms of relief which may take the form of money or non-monetary actions available to the complainant who suffers the act of sexual harassment within the workplace.
- The POSH Act describe explicit responsibilities for employers to maintain a discrimination-free environment.
- Confidentiality means the responsibility to protect from disclosure the names of the complainant, the respondent, and witnesses and the facts pertaining to the harassment complaints.

KEY WORDS

- **Discrimination:** Unfair treatment based on protected characteristics, a violation of equal rights; subject to legal remedies and penalties
- **Employer:** The head of the department, organisation or undertaking

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- **Non-verbal harassment:** Unwelcome actions, gestures or displays of images or objects with sexual connotations that create a hostile or uncomfortable work environment
- **Penalty:** Punishment or consequence imposed by law due to wrongdoing intended to deter or correct behaviour
- **Retaliation:** Punitive actions against someone for exercising their legal rights; prohibited by law, may lead to legal consequences

10.13 MULTIPLE CHOICE QUESTIONS

1. What is the legal right of every woman?

   a. Safe workplace b. Proper dressing sense

   c. Unsafe environment d. Harassing colleagues

2. The need for the POSH Act dates back to when:

   a. Nirbhaya Case took place

   b. Bhanwari Devi case took place

   c. Sexual harassment took place

   d. Remuneration was withheld

3. Which section of the Act states,*"No woman shall be subjected to sexual harassment at any workplace."*

   a. Section 3 b. Section 4

   c. Section 5 d. Section 6

4. Which of the following instances do not constitute workplace harassment?

   a. Intimidation

   b. Threats

   c. Blackmail around sexual favours

   d. Low salary

5. As per the Act, each workplace is mandated to form a/an:

   a. Internal Complaints Committee

   b. Internal Activity Committee

   c. District Internal Court

   d. Internal Programme

6. The written complaint should not contain:

   a. Relevant dates, timings and locations of the instance/s

   b. Name of the respondent(s)

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c. The working relationship between the parties

d. Name of family members

7. As per the Act, the Internal Committee should try to settle the matter between her and the respondent through:

   a. Conciliation
   b. Negotiation
   c. Interrogation
   d. None of these

8. In case the aggrieved woman comes up with the fact that the terms and conditions are not complied with by the respondent as per the particular section, the Internal Committee may proceed with an inquiry. Which Section is being talked about?

   a. Section 10
   b. Section 11
   c. Section 12
   d. Section 13

9. According to the Act, if the Internal Committee concludes that the allegation against the respondent is false or malicious, it is recommended to the Committee to take action against the aggrieved woman who filed the complaint under sub-section (1) or sub-section (2) of __________.

   a. Section 6
   b. Section 7
   c. Section 8
   d. Section 9

10. Which Section talks about the obligations of the employer?

   a. Section 19
   b. Section 20
   c. Section 21
   d. Section 22

10.14 DESCRIPTIVE QUESTIONS

1. What do you mean by sexual harassment of women?
2. Discuss the internal complaints committee.
3. What do you understand by the inquiry for complaint?
4. Explain the punishment for making a malicious complaint or giving false evidence.
5. Describe the penalty for non-compliance.

10.15 HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

1. Anita is being subjected to sexual harassment by her manager at her workplace. Which of the following does the POSH Act, 2013, suggest should be the first course of action for Anita in dealing with this problem in her workplace?

   a. Make a direct police complaint about the matter
   b. Complain to Internal Complaints Committee (ICC)

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c. Put up with the problem and keep working

d. Ask to be moved to another team

2. Meera works in a company where her boss tends to make some unfunny jokes in the presence of other employees. She feels embarrassed but does not want to report it, thinking that it is not serious enough to lodge a complaint. Can injurious jokes or sense of humour ingested within some people be an act of sexual harassment under the POSH Act?

a. No, jokes are not deemed to be as serious as harassment.

b. Yes, if the jokes are sexual in nature and create distress.

c. Only if the touching in question happens.

d. Only if it is done many times over.

3. While on a company outing, a colleague makes persistent advances at Tanya, who is visibly annoyed by such views. She seeks clarity on whether this comes under the purview of the POSH Act, as the act was outside the office premises. Do the provisions of the POSH Act extend to the acts of harassment perpetrated during work-related trips or events?

a. Yes, it is work related and therefore covered by the Act.

b. No, as this incident happened in places out of the office.

c. Only when within the confines of the office premises.

d. Only when the number of employees reporting the incident exceeds two.

4. Rajni, a member of the Internal Committee, finds herself socially connected with one of the parties involved in a complaint. She feels she can remain impartial, but the complainant raises concern. According to the POSH Act, should a member of the Internal Committee step down if there is a potential conflict of interest?

a. No, as long as they remain impartial.

b. Yes, if either party requests it due to conflict of interest.

c. Only if a formal petition is filed.

d. Only if both parties agree on it.

10.16 ANSWERS AND HINTS

ANSWERS FOR SELF ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 ('POSH Act')	1.	False

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Topic	Q. No.	Answer
	2.	True
Circumstances Implying Sexual Harassment	3.	True
	4.	True
Internal Complaints Committee	5.	The Internal Complaints Committee
	6.	Presiding Officer
Procedure for Filing Sexual Harassment Complaint - Section 9	7.	An aggrieved woman
	8.	confidentiality
Conciliation - Section 10	9.	False
	10.	True
Inquiry of the Complaint - Section 11	11.	False
	12.	False
Punishment for Making a Malicious Complaint or Giving False Evidence - Section 14	13.	True
	14.	False
Compensation - Section 15	15.	Confidentiality
	16.	harassment
Compliances	17.	True
	18.	False
Penalty for Non-Compliance - Section 26	19.	b. A fine up to ₹50,000
	20.	c. By enhancing workplace culture and encouraging respect

ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer
1.	a. Safe workplace
2.	b. The Bhanwari Devi case took place.
3.	a. Section 3
4.	d. Low salary
5.	a. Internal Complaints Committee
6.	d. Name of family members
7.	a. Conciliation
8.	a. Section 10
9.	d. Section 9
10.	a. Section 19

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HINTS FOR DESCRIPTIVE QUESTIONS

1. A safe workplace is the legal right of every woman. Workplace sexual harassment refers to the violation of the rights of women in the form of violence against them. The Harassment of Women at the Workplace (Prevention, Prohibition and Redressal) Act, 2013 was enacted to ensure a protective and safe working environment for women and that their chances of equality in status and opportunities are not violated. Refer to Section **10.2 The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH Act)**
2. The Internal Committee is a necessary body constituted under the POSH Act, 2013 to deal with the complaints of sexual harassment at workplaces. It seeks to create a safe and healthy work environment by providing a mechanism to redress complaints and implement provisions of the Act. Refer to Section **10.4 Internal Complaints Committee**
3. The POSH Act, which stands for Prevention of Sexual Harassment of Women at Workplace Act, 2013, denotes that any inquiry regarding the complaint is a systematic procedure carried out by the Internal Complaints Committee (ICC) or Local Complaints Committee (LCC) for the purpose of looking into the instance of sexual harassment. Refer to Section **10.7 Inquiry of the Complaint – Section 11**
4. As per the provisions of Prevention of Sexual Harassment (POSH) Act, there are some measures incorporated to discourage people from false complaints or evidence. Refer to Section **10.8 Punishment for Making a Malicious Complaint or Giving False Evidence – Section 14**
5. The legal framework under the Prevention of Sexual Harassment Act – 2013 provides for heavy sanctions against any organisation, and its members in particular, for breaches of workplace sexual harassment policies. Refer to Section **10.10 Penalty for Non-Compliance – Section 26**

ANSWERS FOR HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

Q. No.	Answer
1.	b. Complain to Internal Complaints Committee (ICC)
2.	b. Yes, if the jokes are sexual in nature and create distress
3.	a. Yes, it is work related and therefore covered by the Act.
4.	b. Yes, if either party requests it due to conflict of interest

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10.17 SUGGESTED READINGS AND REFERENCES

SUGGESTED READINGS

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CASE LAW

NOTES

ADDRESSING SEXUAL HARASSMENT: THE ROLE OF INTERNAL COMMITTEE IN UPHOLDING WORKPLACE EQUALITY

Aditya Corporation is a global information technology company which has a staff of more than five thousand employees. It faced a serious challenge of sexual harassment at the workplace following the filing of a complaint by Ms Priya Sharma, an employee, under the POSH Act, 2013. Ms. Sharma, in her complaint, noted that her team leader, Mr. Rohit Mehra, had been making untoward remarks to her, sending her texts she found disagreeable and even pursuing her in a way that made her unwilling to come to work. The Internal Committee of the organisation received the complaint and immediately acknowledged the same with respect to the confidentiality of the issues raised and the information presented. The Internal Committee commenced with the investigation, wherein both the parties were interviewed, along with gathering evidence which in this case included text messages from Ms. Priya along with witness accounts.

The Internal Committee determined that Mr. Mehra's conduct amounted to sexual harassment as defined under the POSH Act. Consequently, the organisation dismissed Mr. Mehra with immediate effect from service due to gross misconduct based on the allegations. Further, Ms. Priya was provided with counselling services and moved to another team for her comfort and well-being in the workplace.

The company, moreover, instituted a compulsory training course on POSH for all staff members to sensitise them on the issue and made revisions to its policy on workplace harassment to guard against any recurrence of the vice. The rapid and open action taken by the Management of Aditya Corporation came not only to settle the specific grievance but also helped to restore employees' faith in the organisation's dedication to workplace safety. The episode serves to stress the need for training, sound policy and functioning Internal Committee for prevention of such incidents.

Case Objective

The objective of this case is to analyse the significance of the Internal Committee in pursuing a fair and just grievance redressal mechanism.

QUESTIONS

1. Which statute did Ms. Priya use to justify the lodging of a complaint regarding her sexual harassment?

   (**Hint:** The POSH Act, 2013)

2. What action was taken by Aditya Corporation against Mr. Rohit Mehra in light of the findings made by the Internal Committee ?

   (**Hint:** His tenure with the organisation was terminated.)

11
CHAPTER
CONSUMER PROTECTION ACT, 2019

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INTRODUCTORY CASELET

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THE AGE OF E-COMMERCE – "FAULTY GOODS AND REFUSAL OF REIMBURSEMENT: THE IMPACT OF THE CONSUMER PROTECTION ACT, 2019 ON THE RIGHTS OF THE ONLINE CONSUMERS."

Rita lived in Delhi and ordered an expensive smartphone from a well-known e-commerce website. Its product description included a long-lasting battery, performance, and a one-year guarantee. But, once delivered, Rita understood that the battery did not last as long as expected and the phone lagged most of the time. After she sought customer service to get a new phone or her money back, the company looked into the issue but in the end denied her appeal, stating there was 'user mishandling' without presenting proof. After all that, feeling that she has been wronged in all ways possible, Rita resorted to filing a petition under the Consumer Protection Act, 2019. The provisions of the Consumer Protection Act, 2019, are wide-ranging and more appreciable for online purchases. It has incorporated e-filing of complaints, establishment of the Central Consumer Protection Authority (CCPA), and even punishment for misleading advertisements. Rita appealed her complaint at the District Consumer Disputes Redressal Forum in her District with the help of the new provision which allows consumers to file complaints from their residences. The forum found in her favour and directed the company to either replace the smartphone or issue a full refund, as well as compensation for the distress caused. This example shows how the Act makes sure that the e-commerce platforms are not let off easy and how consumers' concerns are assuaged, thus encouraging dealings over the Internet.

Case Objective

The aim of caselet is to analyse on asserting consumer rights and remedies available under Consumer Protection Act, 2019 for grievance redressal.

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LEARNING OBJECTIVES

After studying this chapter, you will be able to:

- Discuss the need for the Consumer Protection Act, 2019
- Explain the purpose of the Act
- Describe the salient features of the Act
- Discuss Section 2 of the Act
- Elaborate on the consumer rights and responsibilities
- Analyse the concept of exceptions to caveat emptor
- Explain the limitation for filing compliant – Section 69
- Describe the concept of mediation

11.1 INTRODUCTION

In the previous chapter, you studied the concept of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (“POSH Act”) and circumstances implying sexual harassment. The chapter also gave an insight into the internal complaint committee, procedure for filing sexual harassment complaint and conciliation. You also studied the inquiry of the complaint and punishment for making a malicious complaint. In the end, the chapter discussed the concepts of compensation and penalties for non-compliance.

The Consumer Protection Act, 2019 replaced/repealed the Consumer Protection, 1986 and covers the challenges that the modern-day consumers are dealing with, especially the internet and business transactions. It also has significant provisions like setting up the Central Consumer Protection Authority (CCPA) to promote and protect the consumers’ rights while preventing unfair trade practices. With stricter provisions on liability for product defects, false advertising and online scams among others, the Act gives more power to the consumers by enlarging their rights and makes it simple and easy for the consumers to file a complaint and seek redress.

The Consumer Protection Act, 2019, is faced with a number of unique challenges posed by the e-commerce sector that includes misleading product descriptions, late deliveries and delivery of counterfeit goods, as well as inefficacious customer service. Like other e-commerce platforms, online intermediary platforms make it difficult to hold the seller accountable for such malpractice; cross-border trade complicates the jurisdiction issues and enforcement of consumer rights. The rise of flash sales, discounts, and online fraud further complicates the consumer experience. Despite provisions like consumer grievance redressal mechanisms and e-commerce guidelines, these challenges require stronger regulatory oversight and greater transparency from online sellers to protect consumers effectively.

The chapter begins with a detailed discussion of the concept of the Consumer Protection Act, 2019 and its need, purpose and salient features. Next, you will study consumer rights and responsibilities. In addition, the chapter also discusses the central consumer protection authority and consumer disputes redressal authority. At the end, the chapter describes the concepts of caveat emptor and mediation.

11.2 NEED FOR CONSUMER PROTECTION ACT, 2019

The Consumer Protection Act of 2019 is aimed at solving issues faced by the consumer in contemporary times, especially where e-commerce is rapidly growing, by providing stronger rights, faster and more effective redressal of grievances and punishment for unfair trade practices, misleading advertisements, and defective goods, leading to a better economy. The following are some needs for the Consumer Protection Act, 2019:

- **Adaptation to the digital economy:** As e-commerce and other electronic means of carrying out business transactions increased, consumers needed a new legal framework to protect them from cybercrime, fake goods, and transaction problems.

  Example: As one of India's largest digital payment platforms, Paytm saw over 350 million users in 2023. With a massive rise in digital transactions, there was a surge in complaints related to fraudulent transactions and non-delivery of goods. The Consumer Protection Act, 2019, is designed to address these concerns by holding service providers accountable for secure transactions and ensuring compensation for consumers affected by digital fraud and disputes.

- **Expanded consumer rights:** The Act also provides for a wide range of consumer rights including the right to accurate information, the right to be free from competing, unjustly putting their business at risk and the right to be heard if any one of their rights is violated, etc.

  Example: As one of the largest telecom companies, Reliance Jio serves over 430 million customers. The Consumer Protection Act ensures that Jio's customers are informed about accurate data and fair pricing, empowering consumers with the right to be heard and seek redressal for service violations.

- **Efficient dispute resolution:** These were the features aimed to quicken the resolution of complaints. The introduction of CDRCs and a CCPA was meant to deal with issues faster than before.

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Example: OYO Rooms, with over 200,000 rooms in India, faced numerous customer complaints regarding service quality. The introduction of CDRCs and CCPA under the Consumer Protection Act helped resolve over 85% of grievances quickly, streamlining dispute resolution for consumers.

- **Protection against misleading advertising:** It grants them a right to the restraining order against false advertisement of products, and defends them against any false advertisement and endorsing by advertisers.

  Example: In 2020, PepsiCo was fined ₹50 lakh by the Advertising Standards Council of India for misleading claims in advertisements. The Consumer Protection Act empowers authorities to impose harsher penalties, highlighting its deterrent effect on unfair advertising and promoting corporate responsibility.

- **Enhanced product liability:** The Act also imposes more extended product liability which implies that any defective products or unsafe services are the responsibility of the seller, the manufacturer and also provider of any service.

  Example: After the Dieselgate scandal, Volkswagen was fined ₹1 billion in 2018 for selling cars with cheating emissions software. The Consumer Protection Act reinforced product liability laws, making manufacturers accountable for defective products and unsafe services.

- **Provision for class action suits:** Gives rights to large-scale users, to approach authorities against the service provider as a group for similar concerns.

  Example: In 2018, Facebook faced a $5 billion class action settlement from over 87 million users whose data was mishandled in the Cambridge Analytica scandal. The class action mechanism enabled users to collectively challenge Facebook's privacy practices, resulting in one of the largest settlements related to data privacy.

- **Stronger penalties for violations:** The Act has prescribed more harsh measures including fines and terms of imprisonment for disobedience and infractions as a way to prevent unfair competition and promote responsibility.

  Example: In 2019, Air India was fined ₹1 crore for violating consumer rights regarding flight delays and compensation. The fine, along with the threat of imprisonment for non-compliance, reinforces the Act's power to hold service providers accountable for unfair business practices.

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SELF ASSESSMENT QUESTIONS

1. The Consumer Protection Act, 2019 is aimed at solving issues faced by the consumer in contemporary times, especially where e-commerce is rapidly growing, by providing stronger rights, faster and more effective. (True/False)
2. The Act has prescribed more harsh measures including fines and terms of imprisonment for disobedience and infractions as a way to prevent unfair competition and promote responsibility. (True/False)

ACTIVITY

Research real-life examples of consumer exploitation and present why the Consumer Protection Act, 2019 is necessary to protect consumers.

11.3 PURPOSE OF THE CONSUMER PROTECTION ACT

The Consumer Protection Act, 2019 was formulated to protect consumer welfare, settle disputes efficiently, punish businesses engaging in unethical or unfair behaviour, and tackle contemporary concerns such as online scams, deceptive advertisements, as well as substandard goods which help enhance consumer confidence. Some of the purposes of the Consumer Protection Act, 2019 are as follows:

- **Ensuring consumers' rights:** This particular consumer protection law aids in the enforcement of fundamental consumer rights for ensuring information, making choices, and safety from hazardous commodities.

  Example: In 2017, Samsung India addressed safety concerns regarding faulty batteries in its Galaxy Note 7. The company took corrective action to protect consumers from harm, ensuring their right to safety from hazardous goods, as per the Consumer Protection Act.

- **Addressing unjust trade practices:** It goes to the extent of redressing dangers such as deceitful or false advertisement of promotional sales, undermining actual prices by other means without reductions, and other dishonest practices in the course of doing business to protect the market.

  Example: Uber faced scrutiny for misleading surge pricing during peak hours in India, prompting an investigation into unjust trade practices. Uber had to ensure pricing transparency to avoid unfair trade, as per consumer protection Acts.

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- **Provide efficient grievance redressal:** It aims at establishing Consumer Disputes Redressal Commissions (CDRCs) and Central Consumer Protection Authority (CCPA) for enhanced and quick resolution of consumer complaints.

  Example: In response to consumer complaints about defective products, Amazon India has established a robust grievance redressal system through its CDRCs and dedicated customer service teams, enabling quick resolutions for aggrieved consumers.

- **Enhance product liability:** This creates legally binding obligations on the part of manufacturers, sellers, and even service providers while using or providing goods and services to clients.

  Example: Toyota recalled millions of vehicles due to faulty airbags supplied by Takata. The recall highlighted product liability, holding both the manufacturer and service providers accountable for ensuring consumer safety from defective products, as required by the Consumer Protection Act.

- **Encouraging ethical advertisement:** This includes provisions that can be actioned in respect of false advertisement and also endorsers with the intent of protecting the consumers from deception through any untrue assertion.

  Example: Pepsico faced backlash in India for misleading claims in advertising its "Kiss" beverage as healthy. The company was compelled to withdraw the misleading advertisements, reinforcing the need for ethical advertising as mandated by the Consumer Protection Act.

- **Enable class action suits:** Such mechanisms empower the consumers by enabling them to file an individual complaint on the same issue without the need for each of them to tell the same story improving efficiency when dealing with many complaints arising from the same issue.

  Example: Thousands of consumers filed a class action suit against Nokia for defective batteries in their mobile phones. The suit was collectively filed, addressing the same issue and improving efficiency in resolving widespread complaints.

SELF ASSESSMENT QUESTIONS

3. The ______________ was formulated to protect consumer welfare, settling disputes efficiently.
4. The Consumer Protection Act, 2019 aims at establishing Consumer Disputes Redressal Commissions (CDRCs) and ____________ for enhanced and quick resolution of consumer complaints.

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ACTIVITY

Prepare a short presentation on the major objectives of the Consumer Protection Act and how they relate to consumers and businesses.

11.4 SALIENT FEATURES OF THE CONSUMER PROTECTION ACT

The Consumer Protection Act, 2019 contains several important provisions that enhance consumer rights. It also creates a central authority called the Central Consumer Protection Authority (CCPA) to curb unfair trade practices and deceptive advertisements. Some of the salient features of the Act are as follows:

- **Central Consumer Protection Authority (CCPA):** Comprises a body aimed at promoting consumer welfare, prohibiting any unfair trade practices, and countering the impact of false advertisements. The CCPA has been empowered to take suo moto actions, meaning it can act on its own initiative without a formal complaint. It can investigate violations of consumer rights and impose penalties on entities engaging in unfair trade practices, misleading advertisements, or violating consumer laws.
- **Consumer Dispute Redressal Commissions (CDRCs):** Suits the needs of consumers where there is a complaint due to the existence or potential existence of a grievance by addressing and resolving the complaints in a quicker and better manner at the district, state, and national levels based on value of claims. (We will discuss later in this chapter)
- **Product liability:** Ensuring the safety of the consumers and holding all manufacturers, service providers and sellers of products responsible for the products and services that they provide, is what it refers to.
- **E-commerce protection:** It comprises measures aimed at the protection of customers engaging in business through the Internet as well as provisions for addressing their complaints where such transactions are undertaken.
- **Class action suits:** Permitting various consumers with common concerns to make class complaints enabling them to pursue claims even for the problems experienced by many consumers.
- **Right to health and safety:** Protects or guarantees consumers from the use or provision of dangerous or harmful goods and services, especially about food, drugs and other consumer products.

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- **Stronger penalties:** The Act prohibits the violation of any consumer rights in any structure and provides higher fines and term limits for persons and firms found in breach.

Table 11.1 shows brief description of features of Consumer Protection Act:

TABLE 11.1: DESCRIPTION OF FEATURES OF CONSUMER PROTECTION ACT

Aspect	Description
CCPA	A body that promotes consumer welfare by prohibiting unfair trade practices and countering false advertisements. It can take suo moto actions, investigate violations and impose penalties.
CDRCs	CDRCs resolve consumer complaints at the district, state, and national levels based on claim value, aiming for quick and fair resolution.
Product liability	Ensures consumer safety by holding manufacturers, service providers, and sellers accountable for defective products and unsafe services.
E-Commerce protection	Protects consumers in digital transactions, addressing fraud, counterfeit goods, and transaction issues by enforcing consumer rights in e-commerce transactions.
Class Action suits	Allows consumers with common issues to file a joint complaint, making it easier to address widespread grievances.

SELF ASSESSMENT QUESTIONS

5. E-commerce protection comprises measures aimed at the protection of customers engaging in business through the Internet as well as provisions for addressing their complaints where such transactions are undertaken. (True/False)
6. Class Action Suits does not permit various consumers with common concerns to make class complaints enabling them to pursue claims even for the problems experienced by many consumers. (True/False)

ACTIVITY

Examine the Act's most recent amendments and compare them with the Consumer Protection Act, 1986, outlining the primary changes.

11.5 DEFINITION – SECTION 2

Section 2 of the Consumer Protection Act, 2019 contains definitions that provide clarity and understanding of various terms used throughout the Act. These definitions are foundational to interpreting and applying the provisions of the Consumer Protection Act, 2019 effectively. Here are some definitions under the Act:

SECTION 2. DEFINITIONS

In this Act, unless the context otherwise requires,

(1) **"advertisement"** means any audio or visual publicity, representation, endorsement or pronouncement made by means of light, sound, smoke, gas, print, electronic media, internet or website and includes any notice, circular, label, wrapper, invoice or such other documents;

Example: Dabur India has been fined a large amount for advertising some of its herbal medicines as treatments for severe diseases. In this case, the advertisements in the form of television commercials as well as digital platforms were subjected to scrutiny under the provisions of the Consumer Protection Act, thereby showing that such advertisements are contestable as they may mislead consumers.

(10) **"defect"** means any fault, imperfection or shortcoming in the quality, quantity, potency, purity or standard which is required to be maintained by or under any law for the time being in force or under any contract, express or implied or as is claimed by the trader in any manner whatsoever in relation to any goods or product and the expression "defective" shall be construed accordingly

(7) **"consumer"** means any person who-

(i) buys any goods for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes any user of such goods other than the person who buys such goods for consideration paid or promised or partly paid or partly promised, or under any system of deferred payment, when such use is made with the approval of such person, but does not include a person who obtains such goods for resale or for any commercial purpose; or

(ii) hires or avails of any service for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes any beneficiary of such service other than the person who hires or avails of the services for consideration paid or promised, or partly paid and partly promised, or under any system of deferred payment, when such services are availed of with the approval of the first mentioned person, but does not include a person who avails of such service for any commercial purpose.

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(8) **"consumer dispute"** means a dispute where the person against whom a complaint has been made, denies or disputes the allegations contained in the complaint;

(11) **"deficiency"** means any fault, imperfection, shortcoming or inadequacy in the quality, nature and manner of performance which is required to be maintained by or under any law for the time being in force or has been undertaken to be performed by a person in pursuance of a contract or otherwise in relation to any service and includes-

(i) any act of negligence or omission or commission by such person which causes loss or injury to the consumer; and

(ii) deliberate withholding of relevant information by such person to the consumer;

(19) **"establishment"** includes an advertising agency, commission agent, manufacturing, trading or any other commercial agency which carries on any business, trade or profession or any work in connection with or incidental or ancillary to any commercial activity, trade or profession, or such other class or classes of persons including public utility entities in the manner as may be prescribed;

(23) **"injury"** means any harm whatever illegally caused to any person, in body, mind or property;

(29) **"National Commission"** means the National Consumer Disputes Redressal Commission established under sub-section (1) of section 53;

(33) **"product"** means any article or goods or substance or raw material or any extended cycle of such product, which may be in gaseous, liquid, or solid state possessing intrinsic value which is capable of delivery either as wholly assembled or as a component part and is produced for introduction to trade or commerce, but does not include human tissues, blood, blood products and organs;

(34) **"product liability"** means the responsibility of a product manufacturer or product seller, of any product or service, to compensate for any harm caused to a consumer by such defective product manufactured or sold or by deficiency in services relating thereto;

Example: Boeing held responsible for the 737 MAX aircraft crashes that killed 346 people. The company was held responsible for defective product design and insufficient safety protocols, leading to large settlements for victims' families under product liability laws.

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SELF ASSESSMENT QUESTIONS

7. _________ means any audio or visual publicity, representation, endorsement or pronouncement made by means of light, sound, smoke, gas, print, electronic media, internet or website and includes any notice, circular, label, wrapper, invoice or such other documents.
8. _________ means a dispute where the person against whom a complaint has been made, denies or disputes the allegations contained in the complaint.

ACTIVITY

Check the official website of the Ministry of Consumer Affairs and read Section 2 of the Act to explore important definitions.

11.6 CONSUMER RIGHTS AND RESPONSIBILITIES

Consumer rights refer to the legal and moral entitlements that ensure consumers are protected from unfair trade practices, have access to accurate information, and receive safe products and services. Consumer responsibilities complement these rights, emphasizing the duty to make informed choices, use products ethically, and report grievances when necessary. Consumers are entitled to safety, information, choice, and, redressal rights enabling them to protect themselves against unfair treatment. Consumer responsibilities, on the contrary, call consumers to be proactive, to act reasonably, to use the products as they are intended to, and to make claims only when there are legitimate reasons. These rights and duties help in the creation of a fair market that protects the interests of the consumers.

As enshrined in the provisions of the Consumer Protection Act, 2019, consumer rights are essential privileges accorded to a person to prevent abuses against him and provide him access to justice in the economy. The Act deals with the following six important consumer rights:

- **Right to safety:** This means that consumers have the right to be protected against goods and services that may be dangerous to their health and life. Consumers have the right to protection from injurious, inferior or defective goods.
- **Right to be informed:** This right allows consumers to know comprehensive and accurate information about products and services about their quality, quantity, price, standard, and safety. This empowers consumers to make informed decisions and protect themselves from unfair trade practices.

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- **Right to choose:** This is the right of the consumer to have alternatives for the sale of goods and services at reasonable prices. Such consumers should not be subjected to practices like monopolistic or price fixing which decreases the options for the consumer.
- **Right to be heard:** The consumer has the right to be heard and to represent himself/herself in relevant consumer forums and such consumers do not go unnoticed by manufacturers, service providers and even regulators.
- **Right to seek redressal:** A person who is a consumer can also lodge claims and seek compensation in case of any injurious effects of goods or services. The Consumer Protection Act provides easy access to the mechanism for seeking redress with the help of consumer courts, mediations, and consumer commissions.
- **Right to consumer education:** Awareness and responsible use of the consumer's rights and services should be encouraged by all because consumers have the right to learn how to use those services and be able to make decisions on what to buy or not to buy.

11.6.1 CONSUMER RESPONSIBILITIES

An accountable consumer has a degree of obligation to bear because social rectifications and awareness to other consumers about the vices or injustices will always exist.

- They need to understand their rights and benefits under the Consumer Protection Act and should exercise such rights whenever necessary.
- They should understand the product they are about to purchase very well. One should be a rational buyer before purchasing any item, especially products.
- Complaints should be raised if a certain item is discovered to be deceptive or unsatisfactory in any way.
- A consumer should request a Cash Memo at the time of purchase.
- A consumer should look out for standard marks such as ISI, Hallmark and others that have been introduced to certify the quality of the product.

If any kind of violation occurs within consumer rights, then the subsequent movements can be followed:

1. **Collect evidence:** Take documentation, receipts, screenshots and other communications.
2. **Contact the seller or company:** Registration of complaints with the seller or service provider is needed.

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3. **File a complaint:** Contact the CCPA or CDRC to escalate this issue, and they will hear you on it.
4. **Initiate other legal claims:** File a product liability claim or class action if it comes to that.

11.6.2 COUNCILS RESPONSIBLE FOR IMPLEMENTING AND UPHOLDING THE PROVISIONS OF "THE CONSUMER PROTECTION ACT OF 2019 (COPRA)"

CENTRAL CONSUMER PROTECTION AUTHORITY (CCPA)

The CCPA is the highest body formed under COPRA to look into consumer protection issues and implement the provisions of the Act at the national level. Some of the responsibilities of CCPA are as follows:

- **Regulating unfair trade practices:** The CCPA looks into and takes remedial measures regarding unjust trade practices, such as false advertisement and misleading marketing strategies.
- **Class action suits:** The authority possesses powers to cause representative actions on behalf of the consumers, in particular, where numerous consumers have suffered similar issues.
- **Consumer awareness:** One of the responsibilities of CCPA is also to create awareness among consumers and make them understand their duties and responsibilities under the Consumer Protection Act, 2019.
- **Issuing directions and guidelines:** It can also dispense directions and advisories to the manufacturers, suppliers, service providers, and sellers for adherence to the provisions of the Consumer Protection Act.
- **Suo-motu actions:** The CCPA is entitled to take action encased within suo-motu provisions in the public interest or in the interest of consumers such as taking cognizance of facts and carrying out an inquiry about rampant cheating enterprises.

CONSUMER DISPUTES REDRESSAL COMMISSION

District, State, and National level Consumer Redressal Commissions (CDRC) have been endowed with particular functions and responsibilities under the Consumer Protection Act, 2019 (COPRA). Some of the responsibilities of CDRC are as follows:

- **Adjudicating consumer complaints:** The CDRC is tasked with resolving issues arising between consumers and sellers/service providers of goods or services, including but not limited to, defective goods, inadequate services, unjustifiable trade practices and false advertising depending on the amount claimed.

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- **Providing timely relief and compensation:** The CDRC guarantees that proper recovery measures such as reimbursements, exchanges, fixing, or refunds are availed to the consumers without any unnecessary delay if the goods or services do not conform to the set standards.
- **Hearing appeals:** State Commissions and National Commissions constitute the upper tiers of the CDRC and deal with appeals from the verdicts of lower bodies (District Commissions) enabling the consumer or the seller to demand another decision regarding the case in question.
- **Promoting consumer awareness:** The CDRC also has the responsibility of making sure that consumers understand their rights and obligations and how they can file complaints and seek redress for such complaints.
- **Ensuring fair trade practices:** The CDRC implements the aims of the Consumer Protection Act by exercising surveillance and corrective measures against unscrupulous business practices, substandard goods or services in order to uphold the sanctity of the market and guarantee the rights of consumers.

11.6.3 CENTRAL CONSUMER PROTECTION AUTHORITY – CHAPTER III (SECTION 10 TO 27)

Under the provision of COPRA, 2019, the CCPA has been constituted as a statutory body for promotion and protection of the consumer rights and interests and for preventing unfair trade practices and ensuring safety and quality of the goods and services. Following are the sections (10-27) of the Consumer Protection Act, 2019:

- **Section 10: Establishment of Central Consumer Protection Authority**

  Section 10 of the Consumer Protection Act, 2019 has to do with the formation and function of the Central Consumer Protection Authority (CCPA); Features of CCPA are as follows:

  - **Establishment of the central authority:** The CCPA will be created by the Central Government with the objective of regulating and overseeing all matters relating to the violation of consumer rights, unfair trade practices, and misleading advertisements.
  - **Composition:** CCPA will have a Chief Commissioner and such other Commissioners of such number as determined by the government. These members will be appointed by the Central Government.
  - **Location:** Its headquarters will be located in the National Capital Region (NCR) of Delhi. It may have regional offices across India, as may be decided by the government.

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- **Purpose and authority:** The CCPA is actually formed for the protection of the consumers' interest and prevention of exploitation and for enforcement of consumer rights.

- **Section 11: Qualifications, method of recruitment, etc., of Chief Commissioner and Commissioners**

  The Central Government can issue notifications to prescribe rules concerning qualifications, recruitment procedure, appointment procedure, term of service, salaries, allowances, leave, removal, and other terms of service for the Chief Commissioner and the other Commissioners of the Central Authority.

- **Section 12: Vacancy, etc., not to invalidate proceedings of Central Authorit**y

  As per Section 12 of the Act, no action or decision of the Central Authority will be deemed invalid due to any vacancy or defect in its composition, an issue with the appointment of the Chief Commissioner or a Commissioner, or any irregularity in the procedural, provided the error does not affect the merits of the case.

- **Section 13: Appointment of officers, experts, professionals and other employees of Central Authority**

  The following are the provisions related to Section 13 of the Act:

  1. The Central Government will assign the Central Authority as many officers and staff members as needed to carry out its duties effectively under this law.
  2. The salaries, allowances, and working conditions for these officers and employees will be determined as per the rules.
  3. The Central Authority can hire experts and professionals with integrity, skills, and experience in fields like consumer rights, law, medicine, food safety, health, engineering, product safety, commerce, economics, public affairs, or administration. These individuals will assist the authority in fulfilling its responsibilities, following procedures outlined in regulations.

- **Section 14: Procedure of Central Authority**

  The following are the provisions related to Section 14 of the Act:

  1. The Central Authority will set rules for how its work is conducted and how tasks are distributed among the Chief Commissioner and Commissioners, as outlined in its regulations.
  2. The Chief Commissioner will oversee and manage all administrative matters of the Central Authority. However, the Chief Commissioner can delegate specific administrative

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responsibilities to any Commissioner, including those in regional offices, or to any other officer of the Central Authority, if deemed necessary.

- **Section 15: Investigation Wing**

  The following are the provisions related to Section 15 of the Act:

  - The Central Authority shall have an Investigation Wing, which shall be headed by a Director General and shall inquire into or investigate matters specified under this Act.
  - The Central Government may appoint the Director General and any other officers, such as Additional Director General, Director, Joint Director, Deputy Director, and Assistant Director. Such appointments will be made based on investigation experience and as required in the rules.
  - All officers appointed under the Director General, such as Additional Director General, Director, Joint Director, Deputy Director, and Assistant Director, would be subordinate to the control and overall direction of the Director General.
  - The Director General may delegate powers of inquiry or investigation conferred upon him/her under this Act to such other officers as Additional Director General, Director, Joint Director, Deputy Director, or Assistant Director as he/she thinks fit.
  - Any report of inquiry or investigation done by the Director General shall be submitted to the Central Authority in such format and manner as may be specified by the regulations with the time limit.

- **Section 16: Power of District Collector**

  District Collector (or any official with that role) should inquire into complaints relating to violation of consumer rights, unfair trade practices, or false advertisements made within that jurisdiction upon a complaint or referral from the Central Authority or the Commissioner of a regional office. The District Collector shall then submit his findings to the appropriate Central Authority or regional office Commissioner after the investigation is complete.

- **Section 17: Complaints to authorities**

  Consumers as a group may file a written or electronic complaint regarding violations of consumer rights, unfair trade practices, or any false or misleading advertisement harming the consumers directly to any of the following authorities:

  - The District Collector
  - The Commissioner of the regional office
  - The Central Authority

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- **Section 18: Powers and functions of Central Authority**

  The following are the provisions related to Section 18 of the Act:

  - The Central Authority will:
    - ✓ Protect and support the rights of consumers and stop any violations of those rights under this Act.
    - ✓ Stop any person from engaging in unfair trade practices.
    - ✓ Ensure that no person makes false or misleading advertisement of goods or services, as per the provisions of this Act.
    - ✓ Ensure that no person is involved in false or misleading advertisements.
  - In addition to the powers specified in subsection (1), the Central Authority may take any of the following actions for the above-mentioned objects, namely
    - ✓ Inquire or direct an inquiry into any alleged violation of consumer rights or unfair trade practices, either on its own initiative or in response to a complaint or on directions from the Central Government.
    - ✓ Register a complaint against the District Commission, or, as the case may be, at the State Commission or National Commission, under this Act.
    - ✓ Participate in any proceedings before the District Commission, State Commission, or National Commission with respect to violations of consumers rights or unfair trade practices.
    - ✓ Investigate the barriers preventing consumers from enjoying their full rights under existing law safeguards.
    - ✓ Recommend improvements in enforcing the rights.
    - ✓ Propose the adoption of international treaties and best practices on consumer rights for their effective enforcement.
    - ✓ Carry out and promote research on consumer rights.
    - ✓ Spread awareness and educate consumers on their rights.

- **Section 19: Power of Central Authority to refer the matter for investigation or to other Regulator**

  The following are the provisions related to Section 19 of the Act:

  - The Central Authority may, regarding information, complaints, or instructions from the Central Government or even on its own initiative, conduct a preliminary inquiry regarding sufficiency of evidence regarding consumer rights violations, unfair trade practices, or false or misleading advertisements damaging public or consumer interests. If the Central Authority finds sufficient grounds, it will direct an inquiry to be carried out by the Director-General or the District Collector.

- If the Central Authority finds that the matter should be dealt by a regulator under any other law, then it may refer the matter along with its findings to the concerned regulator after the preliminary inquiry.
- In the course of such investigations, the Central Authority or such officers as the Director-General or the District Collector would call any person involved to produce relevant documents or records.

- **Section 20: Power of Central Authority to recall goods, etc.**

  The following are the provisions related to Section 20 of the Act:

  - If there is sufficient evidence available to the Central Authority in the course of an investigation to prove that a person has violated consumer rights or engaged in unfair trade practice, the Authority may take all or any of the following actions.
    - ✓ Recall a dangerous, injurious good, or suspend an unsafe service;
    - ✓ refunding the money paid by customers who bought these recalled goods or services; and
    - ✓ Discontinue any such unfair practices that cause damage to the interests of consumers.
  - However, before the Central Authority acts against any individual, it should give that individual an opportunity to explain one's side.

- **Section 21: Power of the Central Authority to issue directions and penalties against false or misleading advertisements**

  The following are the provisions related to Section 21 of the Act:

  - There is an investigation done by the Central Authority, and then it concludes that an advertisement is false, misleading, or harmful to consumers or violates the rights of consumers; the Central Authority can pass an order under which the advertiser, or manufacturer, or endorser,would have to stop or modify their advertisement as directed in a certain time period.
  - In addition, if the Central Authority finds that such false or misleading advertisements justify warrant a penalty, it may impose a fine of up to ₹10 lakh on the manufacturer or endorser for the first offense. For a repeat offense, the penalty may increase up to ₹50 lakh.
  - As contrary to any previous orders, the Central Command may make an order prohibiting a person endorsing fraudulent or

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misleading advertisements from advertising goods or services for a period of maximum one year.

- In the event of a recurrence of the same action by an individual, the ban may be extended up to three years for all endorsements in future.
- The Central Authority may levy a fine on that person after an investigation if it is ascertained that he has published or assisted in the publication of a misleading advertisement in the amount of ten lakh rupees.
- An endorser is not liable under subsections (2) and (3) if he is able to show that he exercised reasonable efforts to ascertain the truth of the claims made in the advertisement concerning the product or service he endorsed.
- A person shall not be punished if he or she shall prove that he or she published or arranged for the publication of the advertisement as within the normal course of business., however, shall not be available if the person knew already about an order by the Central Authority to withdraw or change the advertisement.
- Then when deciding the penalty for this offence, following factors should be considered:
  - ✓ the area and size of the population that was affected by the offence ;
  - ✓ the frequency and duration of occurrence of the offence;
  - ✓ the degree of vulnerability of the affected people;
  - ✓ the gross revenue earned due to the offense.
- The Central Authority will give the person an opportunity to be heard before arriving at a final decision or order.

❑ **Section 22: Search and seizure**

The following are the provisions related to Section 22 of the Act:

- The Director-General or an officer authorised by him or the District Collector, if they are satisfied that anyone violates the consumer rights or indulges himself in unfair trade practice or makes false or misleading advertisements, shall, during the course of investigation, after an initial inquiry under Section 19(1) do the following:
  - ✓ Enter upon any premises at a reasonable time to search for or seize those documents, records, articles, or other evidence which he considers relevant to the investigation.
  - ✓ Make a note or inventory of the seized records or articles.
  - ✓ Require any person to produce specific records, registers, documents, or articles for examination.

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- The provisions on search and seizure contained in the Criminal Procedure Code, 1973 shall apply, as far as practicable, to any search or seizure conducted under this Act.
- All documents, records, or things, seized or voluntarily delivered under this Act, shall be returned, within 20 days, to the person from whom they were seized or to the person delivering the documents or records. Before such return, certified copies or extracts prepared in the manner prescribed may be taken.

- **Section 23: Designation of any statutory authority or body to function as Central Authority**

  The Central Government may, whenever deemed necessary, issue a notification appointing a statutory authority or organization to fulfill the functions and powers of Central Authority as referred to in Section 10.

- **Section 24: Appeal**

  A person dissatisfied with any decision of the Central Authority made under sections 20 and 21, may appeal to the National Commission within thirty days from the date of receipt of the decision.

- **Section 25: Grants by the Central Government**

  The Central Government, after the approval of Parliament through a law to the extent of funds, can grant any amount to the Central Authority for the purposes of this Act that it may deem to be appropriate.

- **Section 26: Accounts and audit**

  The following are the provisions related to Section 26 of the Act:

  - The Central Authority shall maintain accurate records and accounts and prepare yearly financial statements in the manner agreed in consultation with the Comptroller and Auditor General of India.
  - The Comptroller and Auditor General of India shall audit the accounts of the Central Authority for such intervals as he may specify and the Central Authority shall bear the expenses associated with this audit.
  - The Comptroller and Auditor-General of India, or anyone he appoints to audit the accounts of the Central Authority, will have the same rights, privileges, and powers as when auditing government accounts. Particularly, they can require books, records, receipts, and other documents and may otherwise inspect any office of the Central Authority.

- Every year the certified accounts of the Central Authority and the audit report shall be forwarded to the Central Government and, thereafter, be laid before both Houses of Parliament.

- **Section 27: Furnishing of annual reports, etc.**

  The following are the provisions related to Section 27 of the Act:

  - The Central Authority would have to prepare an annual report every year in the prescribed format and time. This report will reflect the activities of the last year with any other reports necessary to prepare. Copies of the report would be sent to the Central Government.
  - On receipt of the annual report, a copy shall be affixed to both Houses of Parliament at the earliest possible time.

11.6.4 JURISDICTION

The Consumer Protection Act, 2019 establishes the jurisdiction of consumer disputes redressal commissions at the district, state and national levels depending on the claim made for goods, services, and compensation. The Act further gives these commissions the power to deal with the consumers' complaints in an effective manner and guarantees fair resolution of consumer grievances. Jurisdiction under Consumer Protection Act, 2019 are as follows:

- **District Commission (Section 34):** The Commission at the District Level has the authority to address Grievance Redressal Mechanism for worth up to ₹1 crore; irrespective of the nature of goods and services or the scope of compensation or claim. The commission primarily deals with cases of lesser value within the districts' jurisdiction.
- **State Commission (Section 47):** The State Commission deals with consumer complaints related to goods and services of value between ₹1 to 10 crore. This forum is designed to deal with disputes of intermediate value and also serves as appeals tribunal regarding decisions made by the district commission.
- **National Commission (Section 58):** The National Commission is empowered to take cognisance of complaints where the subject matter of the complaint is above ten crores in value of goods and services. In addition, it is the apex forum for all consumer disputes and takes up appeals from the State Commissions.

11.6.5 CONSUMER DISPUTES REDRESSAL COMMISSION

The Consumer Disputes Redressal Commission is considered a quasi-judicial body created under the provisions of the Consumer Protection Act of 2019 to entertain and resolve complaints by consumers. It functions at district, state and national levels dealing

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with issues regarding defective goods and deficient services as well as other forms of trade malpractice. Table 11.2 shows different consumer disputes redressal commissions:

TABLE 11.2: CONSUMER DISPUTES REDRESSAL COMMISSIONS

Bases	**District Consumer Disputes Redressal Commission (District Commission)**	**State Consumer Disputes Redressal Commission (State Commission)**	**National Consumer Disputes Redressal Commission (National Commission)**
Jurisdiction	It has authority over consumer complaints regarding goods and services (including compensation claims) up to the value of ₹1 crore.	It is the authority which deals with grievances which have the worth of goods or services (which include compensation) of value between ₹1 crore and ₹10 crore.	It entertains complaints relating to goods and services (including compensation) valued more than ₹ 10 crores.
Composition	It is headed by the Chairperson and two other members, one of them being female, who are nominated by the state government.	It consists of a President and two other members appointed by the necessary state government, one of whom should be a person who is qualified in law.	The President, a person who has previously served as a judge in the Supreme Court, is the person in charge of the National Commission, alongside a few other members who are put into office by the central government.
Function	This commission addresses the grievances of the consumers at the local level. It includes matters of such goods which are defective, services which are deficient and unfair trade practices. It also deals with complaints of consumers who have purchased the goods and services within the jurisdiction of the district.	It resolves disputes of intermediate values range and also entertains appeals against District Commissions' orders.	The National Commission is the apex body to adjudicate consumer disputes and is also empowered to entertain appeals against the order of the State Commissions. It comprises processes for the resolution of consumer disputes which are large scale in nature and is also vested with the authority to issue guidelines and directions for the purpose of consumer protection in the country.

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11.6.6 FILING A COMPLAINT

The Consumer Protection Act of 2019 allows Indian consumers to seek justice in consumer courts for unscrupulous practices like shoddy goods or unprofessional services. Below are the general stages involved in filing a complaint:

1. **Identify the jurisdiction:** Determining the Correct Commission is important since filing a complaint with the wrong forum could delay or even outright dismiss the grievance. The amount at stake in the dispute is what determines the jurisdiction in which the case will be filed.
    - **District Commission:** Complaints not exceeding ₹1 crore in value.
    - **State Commission:** Complaints from ₹1 crore to ₹10 crore in value.
    - **National Commission:** Complaints over ₹10 crore in value.
2. **Draft the complaint:** The exact nature of the complaint must be narrated including the product or services offered, the subject matter of the complaint and the compensation claimed. Therefore, it should be accompanied by some tangible proof like bills, warranty cards and communications made with the seller before.
3. **Attach supporting documents:** Attach documents like receipts, brochures, warranty information, and images to help prove your case. In addition, include an affidavit to confirm the content of the complaint is true.
4. **Make the payments:** No complaint can be lodged without payment of a small registration charge that is pegged on the claim amount and type of forum.
5. **Submit the complaint:** The complaint can be filed online, through the official Consumer Protection Act website, or it can be filed in hardcopy to the appropriate Consumer Commission.
6. **Attend the hearings:** Once the Consumer Commission accepts the case, the other party will be informed, and hearings will be arranged. Each party gives evidence and makes submissions before an order is made.

11.6.7 WHO CAN FILE A COMPLAINT?

To mitigate consumer grievances, consumer courts and consumer forums have been established in the framework of the Consumer Protection Act. Any of the under-mentioned groups of people can be the complainant:

(i) Any individual

(ii) Any registered association of consumers or organisation

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(iii) The Government at the Centre or the State

(iv) One or more consumers who are representing the interests of several other consumers.

(v) Legal heir or any other person representing the deceased consumer.

SELF ASSESSMENT QUESTIONS

9. Which commission is competent to decide on cases involving consumer goods and services worth more than ₹ 1 crore and less than ₹10 crores?
   a. District Consumer Disputes Redressal Commission
   b. State Consumer Disputes Redressal Commission
   c. National Consumer Disputes Redressal Commission
   d. Central Consumer Protection Authority
10. What is the monetary limit for the cases handled by the District Consumer Disputes Redressal Commission?
    a. Up to ₹ 50 lakhs
    b. Up to ₹ 1 crore
    c. From ₹ 1 crore- ₹ 10 crore
    d. More than ₹ 10 crore

ACTIVITY

Explore a case in real life of consumers rights violation on the internet and explain how it was dealt with.

11.7 EXCEPTIONS TO CAVEAT EMPTOR

Caveat emptor is a Latin phrase meaning 'let the consumer be aware' which asserts that the responsibility of examining and evaluating goods for sale lies with the potential buyers before they make a purchase. According to this principle, the buyers assume the risk when the product fails to meet their expectations unless certain warranties or safeguards are invoked. Caveat emptor also rationalises that buyers should actively engage in making purchases based on their judgment and not on any deliberate lying by the seller regarding the characteristics of the good. Below are some exceptions to the caveat emptor:

- **Fitness of product for the buyer's purpose:** If a buyer depends on a seller's special knowledge and skill to select a product for a particular purpose, and such product does not serve that purpose, the buyer is entitled to protection and may be granted damages.

- **Goods purchased under brand name:** When an individual purchases products under an established brand name then it equates to a certain level of assurance quality-wise in such products. If the products do not perform up to the hope of the buyer, the buyer is also protected as clearly the brand assurance takes precedence over caveat emptor.
- **Goods sold by description:** If the goods offered do not match the goods promised, the buyer will be compensated because he/she depended on this description to make a purchase.
- **Goods of merchantable quality:** The products have to meet a certain standard of reasonable and acceptable quality before being offered for sale. There should not be any hidden flaws that would interfere with their normal functioning or intended use. Where the goods are not fit for their general purpose, the consumers shall be shielded, irrespective of the chances for examination.
- **Sale by sample**: Where the sale is by sample, any variation affords the buyer protection since they were assured of the quality and features of the goods in the two guarantees.
- **Usage of trade:** Products shall conform to the commonly accepted standards in a particular industry. If they fail to do so, the buyers are entitled to protection because the expectation arises from the usual quality and standards which the sellers are familiar with.
- **Fraud or misrepresentation by the seller:** There is protection for the buyer against all such practices regardless of caveat emptor where the seller intentionally misrepresents the quality of the goods because the seller is culpable for the buyer's unrealistic expectation.

EXHIBIT

Misleading Advertisement by a Mobile Phone Manufacturer

Suhana & Sons introduced a new smartphone in the market with the features advertised, such as "5G enabled," "water resistant" and "fast-charging." However, after buying the product, the customers found that the phone was not 5G compatible, it was not water-resistant, and it had slow charging capabilities. The company, however, failed to inform consumers of these discrepancies.

Under the Consumer Protection Act, 2019, a company's misleading advertisements fall under misrepresentation and false advertising, exceptions to the doctrine of caveat emptor. The company is obliged to provide correct information, and consumers can approach the court for a remedy under the Act regarding misrepresentation.

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SELF ASSESSMENT QUESTIONS

11. _______ is a Latin phrase meaning 'let the consumer be aware' which asserts that the responsibility of examining and evaluating goods for sale lies with the potential buyers before they make a purchase.

12. Where sale is by ________ and by sample, the goods must conform to both. Any variation affords the buyer protection since they were assured of the quality and features of the goods in the two guarantees.

ACTIVITY

Research and present a case study where exceptions to caveat emptor have been applied in court.

11.8 LIMITATION FOR FILING A COMPLAINT – SECTION 69

According to Section 69 of the Consumer Protection Act, 2019 the duration within which a complaint has to be filed in consumer courts is two years from the time the action arises. This implies that a complaint by a consumer must be made not after two years from the point she or he discovered a defect or deficiency in the goods or services rendered to her or him.

However, the consumer court can permit the filing of complaints after the two-year duration if the complainant can prove good cause for the delay. The consumer must justify the delay and ensure that it does not disadvantage the other party legally. This extension is quite rare and very often requires the filing party to show good cause for the extension sought. Figure 11.1 shows the process of filing a complaint:

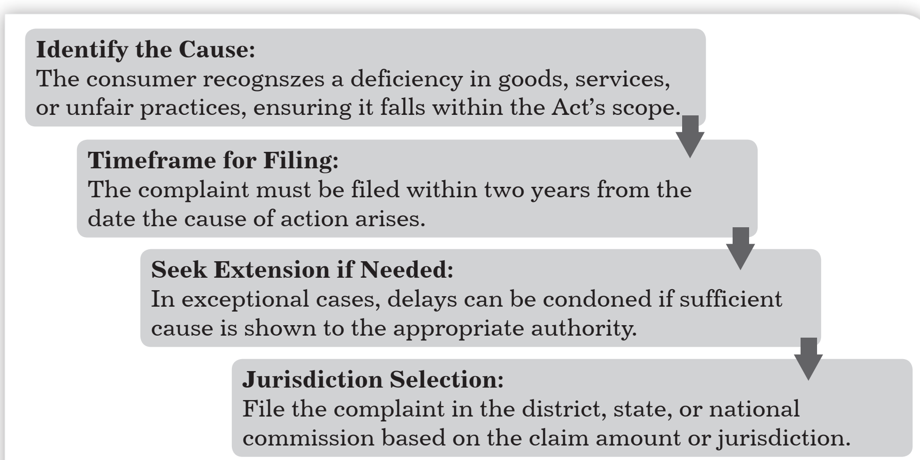

Figure 11.1: The Process of Filing a Complaint

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SELF ASSESSMENT QUESTIONS

13. According to Section 78 of the Consumer Protection Act, 2019, the duration within which a complaint has to be filed in consumer courts is two years from the time the action arises. (True/False)
14. A complaint by a consumer must be made not after two years from the point she or he discovered a defect or deficiency in the goods or services rendered to him. (True/False)

ACTIVITY

Design a flowchart illustrating the timeframes and processes involved in complaining about Section 69, including an explanation of the deadline.

11.9 MEDIATION

The Consumer Protection Act, 2019 has made Mediation an alternative dispute resolution process to fast-track and facilitate the resolution of consumer complaints. This provision provides for the resolution of the disputes without necessarily subjecting the parties to the full extent of the trial process or going through a very prolonged period, especially at very minimal expenses. The Mediation provision of the Act includes:

Key provisions for Mediation include:

- **Establishment of Mediation Cells (Section 74):** Mediation Cell has to be established by each Consumer Disputes Redressal Commission (District, State and National level). The Cell assists in mediation of cases that are appropriate and is managed by the Consumer Commission so that mediation is successful.
- **Reference to Mediation (Section 37):** At the request of both parties, the Consumer Disputes Redressal Commission may refer the matter to mediation if it appears to the Commission that the case does not involve any complicated issues of law or fact, fraud or medical neglect. This is done to avoid the rather formal judgment and encourages parties to negotiate an amicable solution.
- **Settlement Agreement (Section 80):** In the event that mediation is successful, the settlement achieved by the parties is indicated and signed. This settlement has full legal effect and is subject to enforcement. But where the parties do not reach an agreement, the issue is referred back to the Consumer Commission for a hearing.

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KEY PROVISIONS OF MEDIATION (AS REVISED UNDER THE MEDIATION ACT, 2023)

Some of the changes under the Mediation Act, 2023, while maintaining consistency with the Consumer Protection Act, 2019. The new Act emphasises a more organised, efficient, and effective mediation process, designed to resolve disputes quickly and fairly. Some of the revised provisions are as follows:

- **Reference to mediation (Section 37 of the Consumer Protection Act, 2019):** At the request of both parties, the CDRC (District, State, or National level) may refer the matter to mediation. This referral occurs when the Commission deems that the case does not involve complex issues of law or fact, fraud, or medical negligence. The purpose is to provide a less formal and more flexible process, encouraging the parties to come to an amicable resolution. The Mediation Act, 2023 has expanded this process, facilitating a more structured approach to mediation and providing clearer guidelines for the successful resolution of disputes.
- **Settlement agreement (Section 80 of the Consumer Protection Act, 2019):** If mediation leads to a successful resolution, the parties sign a settlement agreement, which has full legal effect. This settlement is enforceable in the same manner as a court order. If the mediation fails to produce an agreement, the matter is referred back to the Consumer Commission for a formal hearing. Under the new Mediation Act, there are specific provisions to ensure that the mediation process is fair, transparent, and effective, with a focus on safeguarding the interests of consumers.
- **Establishment of mediation cells (Section 74 of the Consumer Protection Act, 2019, amended by the Mediation Act, 2023):** Each CDRC (at the District, State and National levels) is required to establish a Mediation Cell. This cell is tasked with supporting the mediation process by appointing qualified mediators, offering a neutral space for discussions, and ensuring the procedural integrity of the mediation process. The Mediation Act, 2023 has made it mandatory for these cells to operate efficiently and offer necessary support to the parties involved, thereby streamlining the resolution process.

SELF ASSESSMENT QUESTIONS

15. The Consumer Protection Act, 2019 has made Mediation an alternative dispute resolution process to slow down and facilitate the resolution of consumer complaints. (True/False)
16. A Mediator serves as an impartial third party to help the disputants arrive at an agreeable solution. (True/False)

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ACTIVITY

Perform a mock mediation exercise between a customer and a company to settle a dispute, explaining how mediation is done in practice.

11.10 SUMMARY

- The Consumer Protection Act, 2019 is aimed at solving issues faced by the consumer in contemporary times, especially where e-commerce is rapidly growing.
- The Act also provides for a wide range of consumer rights including the right to accurate information, the right to be free from competing unjustly putting their business at risk and the right to be heard if any one of their rights is violated, etc.
- The Act aims at establishing Consumer Disputes Redressal Commissions (CDRCs) and Central Consumer Protection Authority (CCPA) for enhanced and quick resolution of consumer complaints.
- A consumer is an individual who purchases any goods or services for consideration or with permission of the buyer or the hirer who uses goods or services.
- Consumers are entitled to safety, information, choice, and, redressal rights enabling them to protect themselves against unfair treatment.
- A Consumer should look out for standard marks such as ISI, Hallmark and others that have been introduced to certify the quality of the product.
- One of the responsibilities of the CCPA is also to create awareness among consumers and make them understand their duties and responsibilities under the Consumer Protection Act, 2019.
- The CDRC implements the aims of the Consumer Protection Act by exercising surveillance and corrective measures against unscrupulous business practices, substandard goods or services.
- The Consumer Disputes Redressal Commission is considered a quasi-judicial body created under the provisions of the Consumer Protection Act of 2019 for the purposes of entertaining and resolving complaints by consumers.
- When an individual purchases products under an established brand name then it equates to a certain level of assurance quality wise in such products.
- According to Section 69 of the Consumer Protection Act, 2019 the duration within which a complaint has to be filed in consumer courts is two years from the time the action arises.

N O T E S

KEY WORDS

- **Advertisement:** The activity or the process of advertising, namely the act of painting messages for communicative purposes with the intent to encourage purchases of particular goods or services
- **Compensation:** The term is used in consumer protection and refers to the payment made to a consumer to whom loss, damage, or injury was caused by non-conforming goods or services
- **Customer:** Every person, who buys any goods or avails any services for personal use and does not intend to resell it or to use them for commercial purposes
- **Dispute Resolution:** It refers to a set of ways of resolving the differences or conflicts experienced by two or more parties, which include negotiation between the disputants, mediation or legal processes
- **Mediation:** It refers to a process where the involved parties exert their efforts voluntarily and seek the assistance of an impartial third party to help them reach an agreement, though such an agreement is not legally binding
- **Product Liability:** This is a law where a construction, manufacturer or retailer of a product is legally liable for any injuries caused by that product's defect

11.11 MULTIPLE CHOICE QUESTIONS

1. What is one of the primary objectives of the Consumer Protection Act of 2019?
   a. To regulate the prices of goods and services
   b. To provide stronger consumer rights and faster grievance redressal
   c. To create new forms of advertising
   d. To eliminate online marketplaces
2. What provision in the Consumer Protection Act, 2019 allows large groups of consumers to collectively address grievances against a service provider?
   a. Efficient Dispute Resolution
   b. Class Action Suits
   c. Enhanced Product Liability
   d. Right to Seek Redressal

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3. According to the Consumer Protection Act, 2019, who is considered a “Consumer”?
   a. A person who buys goods or services for resale
   b. A person who purchases goods or services for personal use
   c. A person who only purchases goods
   d. A business entity buying goods for commercial purposes
4. Which of the following is not one of the six key consumer rights under the Consumer Protection Act, 2019?
   a. Right to Safety
   b. Right to be Informed
   c. Right to Choose
   d. Right to Control Prices
5. What responsibility does the consumer have under the Consumer Protection Act, 2019?
   a. To make unreasonable claims
   b. To act reasonably and use products as intended
   c. To always return faulty products for a full refund
   d. To prevent companies from offering alternative products
6. What is one of the key responsibilities of the Central Consumer Protection Authority (CCPA) under the Consumer Protection Act, 2019?
   a. To represent consumers in class action suits
   b. To promote consumer awareness and education
   c. To regulate unfair trade practices and false advertising
   d. To resolve consumer disputes in courts
7. Which of the following is NOT a function of the Consumer Disputes Redressal Commission (CDRC)?
   a. Providing timely relief and compensation to consumers
   b. Ensuring fair trade practices in the market
   c. Representing consumers in class action suits
   d. Hearing appeals from lower-level consumer commissions
8. What is the jurisdiction of the state Consumer Disputes Redressal Commission under the Consumer Protection Act of 2019?
   a. Upto ₹50 lakh b. Upto ₹1 crore
   c. ₹1 crore to ₹10 crore d. Above ₹10 crore

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9. What is the primary function of the National Consumer Disputes Redressal Commission (National Commission)?
   a. To resolve disputes at the district level involving goods and services.
   b. To adjudicate large-scale consumer disputes and entertain appeals from State Commissions.
   c. To mediate and settle minor consumer grievances at the local level.
   d. To handle only environmental-related consumer complaints.
10. Under the Consumer Protection Act, 2019, which section requires the establishment of Mediation Cells at all levels of Consumer Disputes Redressal Commissions?
    a. Section 74
    b. Section 77
    c. Section 37
    d. Section 75

11.12 DESCRIPTIVE QUESTIONS

1. Describe the need for the Consumer Protection Act, 2019.
2. What are the salient features of the Consumer Protection Act?
3. What are the responsibilities of the Central Consumer Protection Authority (CCPA)?
4. Discuss the exceptions of caveat emptor.
5. Explain the concept of mediation.

11.13 HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

1. A person purchases and registers for a laptop over the internet after considering the description and the features first, which in this case, specifies that the machine features 16 GB RAM. When the product is delivered, however, the person discovers that the laptop has only 8 GB RAM, leading to disappointment and causing the customer to cancel the purchase. What exception to caveat emptor applies in this case?
   a. Fraud or misrepresentation
   b. Sale by sample
   c. Goods of merchantable quality
   d. Fitness for purpose

2. A person complains to a consumer protection agency about an item they purchased claiming that the item was defective; only that consumer waited 3 years from the date of purchase to do so. The consumer counters that the reason for the delay was on account of his illness. Which of the following will most likely be the outcome regarding the complaint?
   a. The complaint will be dismissed due to the time limitation.
   b. The court may allow an extension if a valid reason for the delay is provided.
   c. The complaint will be heard without any issues.
   d. The complaint will be rejected, as it exceeds the legal time frame.
3. A consumer buys a product influenced by false advertisements and has a problem in getting a refund or exchange. What is the primary objective of the Consumer Protection Act, 2019?
   a. To enable the sellers to earn a profit
   b. To protect consumers from deceptive marketing practices
   c. To control the prices of different products
   d. To encourage only the import of products manufactured outside the country
4. The customer purchases an air conditioner, which is later rendered useless after a short period of using it. The customer who is entitled to a replacement is however unfamiliar with the refund policies. What consumer right is the consumer exercising in this case?
   a. Right to be heard
   b. Right to seek redressal
   c. Right to choose
   d. Right to access information

11.14 ANSWERS AND HINTS

ANSWERS FOR SELF ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
Need for Consumer Protection Act, 2019	1.	True
	2.	False
Purpose of the Consumer Protection Act	3.	Consumer Protection Act of 2019

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Topic	Q. No.	Answer
	4.	Central Consumer Protection Authority (CCPA
Salient Features of the Consumer Protection Act	5.	True
	6.	False
Definition – Section 2	7.	Advertisement
	8.	Consumer dispute
Consumer Rights and Responsibilities	9.	b. State Consumer Disputes Redressal Commission
	10.	b. Up to Rs. 1 crores
Exceptions to Caveat Emptor	11.	Caveat emptor
	12.	description
Limitation for Filing Compliant – Section 69	13.	False
	14.	True
Mediation	15.	False
	16.	True

ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer
1.	b. To provide stronger consumer rights and faster grievance redressal
2.	b. Class Action Suits
3.	b. A person who purchases goods or services for personal use
4.	d. Right to Control Prices
5.	b. To act reasonably and use products as intended
6.	b. To promote consumer awareness and education
7.	c. Representing consumers in class action suits
8.	c. ₹1 crore to ₹10 crore
9.	b. To adjudicate large-scale consumer disputes and entertain appeals from State Commissions.
10.	c. Section 74

HINTS FOR DESCRIPTIVE QUESTIONS

1. The Consumer Protection Act of 2019 is aimed at solving issues faced by the consumer in contemporary times, especially where e-commerce is rapidly growing, by providing stronger rights,

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faster and more effective redressal of grievances and punishment for unfair trade practices, misleading advertisements, and defective goods, leading to a better economy. Refer to Section **11.2 Need for Consumer Protection Act, 2019**

2. The Consumer Protection Act 2019 contains a number of important provisions that enhance consumer rights. It also creates a central authority called the Central consumer Protection authority (CCPA) to curb unfair trade practices and deceptive advertisements. Refer to Section **11.4 Salient Features of the Consumer Protection Act**
3. The CCPA is the highest body formed under COPRA for the purpose of looking into consumer protection issues and implementing the provisions of the Act at the national level. Some of the responsibility of CCPA are as follows: Refer to Section **11.6 Consumer Rights and Responsibilities**
4. Caveat emptor is a Latin phrase meaning 'let the consumer be aware' which asserts that the responsibility of examining and evaluating goods for sale lies with the potential buyers before they make a purchase. Refer to Section **11.7 Exceptions to Caveat Emptor**
5. The Consumer Protection Act, 2019 has made Mediation an alternative dispute resolution process to fast-track and facilitate the resolution of consumer complaints. Refer to Section **11.9 Mediation**

ANSWERS FOR HIGHER ORDER THINKING SKILLS (HOTS) QUESTIONS

Q. No.	Answer
1.	a. Fraud or misrepresentation
2.	b. The court may allow an extension if a valid reason for the delay is provided.
3.	b. To protect consumers from deceptive marketing practices
4.	b. Right to seek redressal

11.15 SUGGESTED READINGS & REFERENCES

SUGGESTED READINGS

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CASE LAW

NOTES

VOLKSWAGEN EMISSIONS SCANDAL: CONSUMER PROTECTION AND ENVIRONMENTAL ACCOUNTABILITY IN INDIA TO ENSURE CONSUMER PROTECTION BY HOLDING VOLKSWAGEN ACCOUNTABLE FOR MISLEADING ADVERTISING AND UNFAIR TRADE PRACTICES.

The investigation into the Volkswagen emissions scandal in India is a case of consumer protection in a classical sense that is the regulatory and consumer courts were able to address the global corporate courtesy and transparency over the blatant betrayal of trust that the loyal consumers had invested.

As a leading motor vehicle manufacturer, the Volkswagen Group fitted 'defeat devices' in its diesel engines. This software used to be able to identify when a vehicle was being subjected to an emissions test. The software allowed the vehicles to alter their emissions during a test to meet regulatory requirements. Under normal conditions, however, such vehicles released contaminants which included nitrogen oxides over 40 times the permissible levels. This case which is still fresh in many people's memory, led to several vehicle recalls, litigations and enormous penalties on Volkswagen in different jurisdictions across the world.

As soon as the news broke out, it was Indian consumers and environmentalists, who were the first to come forward. Tests confirmed that even in India, Volkswagen diesel cars which included Audi-Skoda vehicles had similar defeat mechanisms and were polluting. The Central Pollution Control Board (CPCB) and the National Green Tribunal (NGT) of India both raised alarms about air quality and public health.

The matter has been taken up by the National Consumer Disputes Redressal Commission (NCDRC), the highest consumer court in India, which deals with only high-value and significant consumer disputes. Complaints about the marketing and performance claims of Volkswagen vehicles made to the automobile owners of India were presented to the NCDRC. These consumers contended that they had bought the vehicles as per those claims, and suffered both loss of value and damages to health from the vehicular emissions.

The NGT and the CPCB took action against Volkswagen for environmental offences by imposing fines and damages due to increased pollution. In addition, the NCDRC entertained claims of consumers under the provisions of the Consumer Protection Act. The NCDRC found that Volkswagen had infringed on the consumers' rights by practicing unfair commercial strategies, false advertisement, and marketing vehicles that did not live to the promised levels of pollution and performance.

Case Objective

The case law is to analyse how the judiciary protects consumers by making Volkswagen responsible for false advertisement and unfair business practices.

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CASE LAW

In light of these findings, Volkswagen was directed to:

- Compensate to the Indians who were victimized by the false representation.
- Inevitably, pay NGT for the ecomanagement due to the increased emission levels.
- Recover the affected vehicles and retrofit them such that they do not have defeat devices or have them turned off, in order to comply with the emission legislation.

The case was an important development in protecting consumer rights in India as it showed that even the most influential multinationals have to function within the confines of fair competition and environmental protection. It also emphasized how the Consumer Protection Act can be effective in protecting the consuming public and how this can be beneficial to society in implementing measures that deal with the impacts of business operations on health and the environment.

QUESTIONS

1. Which Indian authorities took the necessary steps about Volkswagen's interference with the natural environment?

   (**Hint:** Central Pollution Control Board and the National Green Tribunal.)

2. What measures were Volkswagen ordered to take in India in light of the emission cheating scandal?

   (**Hint:** Compensation for consumers, penalties for harming the environment, and the rehabilitation of the vehicles.)

12

CHAPTER

ALTERNATE DISPUTE RESOLUTION

CONTENTS

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INTRODUCTORY CASELET

CONVENIENCE IN ARBITRATION

Arbitration plays a crucial role in the service industry, particularly in brokerage. When disputes arise between clients and stockbrokers regarding trades executed on the Bombay Stock Exchange or the National Stock Exchange, such matters can be referred to the exchange's arbitral tribunal. Upon receiving the complaint, an arbitrator is selected with mutual agreement from both parties. The involved parties then present relevant evidence to the sole arbitrator, who delivers a binding decision based on the submissions. However, the parties retain the right to challenge the arbitrator's decision regarding its legality and propriety in the appropriate civil court.

The parties who refer their disputes to an arbitral tribunal are not required to pay the court fee. Moreover, the parties may not have to engage a lawyer to put forward their arguments to the arbitral tribunal, since the procedural law does not apply to arbitral proceedings.

There is no bar on the disputing parties arguing their own case before the tribunal. The commercial parties benefit by keeping their dispute away from the prying eyes of the press. It helps in maintaining the confidentiality of their business matters. In a nutshell, by opting for arbitration, the parties save various types of expenses such as court fees, suit valuation fee, stamp duties and other procedural fees (like application fees, and notice fee, which enable substantial financial savings), therefore convenient to parties.

Case Objective

This caselet discusses the important role arbitration plays in the service industry. By opting for arbitration, parties save various types of expenses, which enables substantial financial savings.

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LEARNING OBJECTIVES

After studying this chapter, you will be able to:

- Explain the overview of the Arbitration and Conciliation Act, 1996
- Discuss the modes of Alternate Dispute Resolution
- Explain the importance of ADR
- Describe the advantage of ADR
- Explain the comparative study of ADR
- Explain the application of ADR in different fields and areas

12.1 INTRODUCTION

In the previous chapter, you studied the Consumer Protection Act, 2019. The chapter also gave insight into the need for and purpose of the Consumer Protection Act, 2019. You also studied the salient features of the Consumer Protection Act and consumer rights and responsibilities. The chapter discussed the exceptions to caveat emptor and limitations for filing compliance under Section 69.

The term Alternative Dispute Resolution (ADR) or External Dispute Resolution refers to methods and procedures for resolving disputes that attempt to bring disputing parties to an agreement. It covers all conflict resolution techniques outside going to court. It is a general word for the methods that parties, with or without third party's assistance, might employ to resolve conflicts. Giving consumers greater control over the time and method of conflict resolution is another of its main goals.

The concept of ADR is broad, usually less formal, costly and time-consuming than a court hearing. It may include methods such as early neutral evaluation, negotiation, conciliation, mediation and arbitration. Two of the most important sides of these procedures are related to the following:

- Whether the procedure is facilitative or evaluative
- Whether the procedure is binding or non-binding

A facilitative process is one where a neutral third party assists the disputing sides in arriving at an agreed outcome. This kind of process would ordinarily be regarded as non-binding; for example, a party would be at liberty to accept or not accept the published outcome. However, the other would be an evaluative process where the neutral party appraises the dispute between the parties and issues a decision or recommendation, which has to be followed by the parties.

Some dispute resolution methods combine elements of both facilitative and evaluative approaches, known as hybrid processes.

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In these, the neutral party initially seeks to mediate a settlement based on their evaluation. If unsuccessful, they may issue binding or non-binding decisions. However, transitioning from facilitation to evaluation requires the consent of all involved parties.

The chapter begins with a discussion about Alternate Dispute Resolution. Next, you will study the modes and importance of ADR. In addition, the chapter also discusses the comparative study of ADR. In the end, the chapter describes the application of ADR in different fields and areas.

12.2 OVERVIEW - ARBITRATION AND CONCILIATION ACT, 1996

The Arbitration and Conciliation Act, 1996 is divided into 87 sections, 4 chapters and 7 schedules and extends to the whole of India. This Arbitration and Conciliation Act is based on the Model Law on arbitration suggested by UNCITRAL (United Nations Commission on International Trade Law). The settlement of disputes through arbitration is an alternative system of dispute resolution through the intervention of a neutral third party. The role of the court is limited to the extent of regulating the process. The codified law on settlement of disputes was first enacted in the year 1899, known as Arbitration Act. However, realising the need for a dedicated law a special and comprehensive legislation on the subject was enacted, namely, the Arbitration Act, 1940. However, the legislation authorised the courts to interfere in the arbitration process at various stages such as modification of the award; remitting the award for reconsideration by the arbitrator; and setting aside the award on specific grounds. It led the Supreme Court to point out in *Guru Nanak Foundation Vs. M/s. Rattan Singh & Sons* that *Interminable, time-consuming, complex and expensive court procedures impelled jurists to search for an alternative forum, less formal, more effective and speedier for resolution of disputes avoiding procedural claptrap and this led them to the Act of 1940*. Finally, based on the UNCITRAL Model law on Arbitration, the Arbitration and Conciliation Act, 1996 was passed which is at par with such legislation existing anywhere in the world.

The first part of the law deals with domestic arbitration and international arbitration held in India. The second part is designed to deal with international commercial arbitration. There is an exclusion of judicial intervention through the arbitral tribunal but it may take judicial assistance for technical matters like recording of evidence.

Example A: Two parties in a construction project disagree over payment terms. Instead of going to court, they agree to arbitration, where a neutral third party evaluates the case and provides a binding decision.

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Example B: An employee challenges wrongful termination. Both the employer and employee opt for conciliation, where a neutral mediator facilitates discussions, leading to a mutually acceptable settlement.

DEFINITION OF 'ARBITRATION'

In *Jivaji Raja vs Khimiji Poonja & Company*, the Bombay High Court observed that arbitration is *the reference of dispute or difference between two or more parties to a person chosen by the parties or appointed under statutory authority, for determination of the same*.

Arbitration is a method of binding private adjudication or settlement of disputes or differences -whether present or future, relating to civil matters (money, property, breach of contract) between two disputing parties in a quasi-judicial manner after both parties have been given a hearing by an independent and impartial private adjudicator called an arbitrator selected by the disputing parties who decide expeditiously by avoiding procedural technicalities peculiar to courts besides maintaining the privacy of parties.

ARBITRATION AGREEMENT

The initial stage of arbitration involves drafting an arbitration agreement, where the parties consent to resolve their current or future disputes through arbitration. This agreement is the sine qua non (essential prerequisite) of arbitration, as arbitration cannot proceed without it.

Section 2 (1)(b) does not give any definition of the term but states that "Arbitration agreement" means "an agreement referred to in Section 7" Section 7 has defined the arbitration agreement as: *an agreement by the parties to submit to arbitration all or certain disputes which have arisen or which may arise between them in respect of a defined legal relationship, whether contractual or not"*.

Thus, the provision of arbitration can be made at the time of entering the contract itself, so that if any dispute arises in future, the dispute can be referred to the arbitrator as per the agreement. It is also possible to refer a dispute to arbitration after the dispute has arisen.

EFFECT OF ARBITRATION AGREEMENT

Where a valid arbitration is in existence, the parties are not allowed to proceed with a lawsuit in court. If a party still approaches the court, the other party shall submit a certified copy of the arbitration agreement to the court. Section 8 requires that any matter before a judicial authority containing an arbitration agreement shall be referred to arbitration. The court shall then direct the parties to arbitration in terms of Section 8 upon objection of the non-applicant not later than submitting its statement of defence on merits.

N O T E S

COMPOSITION OF THE ARBITRATION TRIBUNAL

Section 10 deals with the composition of an arbitral tribunal. The parties are free to determine the number of arbitrators, but the total number of arbitrators should not be an even number. Among the arbitrators, there should be one sole arbitrator.

While appointing the arbitrators, the following points should be considered:

- The arbitrator can be of any nationality unless otherwise agreed by the parties.
- The parties are free to finalise the procedure of selecting an arbitrator.
- In case, both the parties have appointed their nominees, these arbitrators shall in their turn nominate a third arbitrator who shall act as the presiding arbitrator. If the party in dispute cannot appoint the arbitrator within 30 days or the first two arbitrators fail to appoint the sole arbitrator, the arbitrator shall be appointed by the Chief Justice of a High Court or any other person or institution designated by him in the case of domestic arbitration.

If there is any doubt as to whether the appointed arbitrator shall be able to act impartially or independently, then in that case his appointment can be challenged under Section 12 of the Act.

INTERIM MEASURES BY THE ARBITRAL TRIBUNAL

The Arbitrator or Arbitration Tribunal does have the right to provide the interim measure of protection to the parties in dispute if they deem fit. The arbitral tribunal, at the request of the parties, may take any interim measure for the protection of any of the parties as it may deem fit in the best interest of the parties in dispute. The interim measure may be following:

- To withhold the sale/or assets of any of the products related to the subject matter of the dispute
- Any other relief they feel is necessary for the settlement of the dispute

The arbitral tribunal may also provide adequate security to the party for any of the interim measures provided in the above points.

ARBITRAL AWARD: MAKING, FINALITY AND ENFORCEMENT

The decision of the Arbitral Tribunal is termed as 'Arbitral Award'. It is analogous to a court judgment although it is made by a mutually agreed private adjudicator. An award is a determination on the merits of all the matters in dispute which have been referred to the tribunal. An award includes any final, interim or partial award and any award on costs or interest. The authority of the tribunal ceases after the submission of the award.

By Section 44 of the Act, a foreign award must meet the following two requirements:

- First, it must deal with the dispute or differences arising out of a legal relationship (whether contractual or not) considered commercial under the laws in force in India. The expression 'commercial relationship' has been widely interpreted by Indian courts. The Supreme Court in the case of *RM Investments Trading Co Pvt. Ltd v Boeing Co & Anr,* while construing the expression 'commercial relationship' has held:

  The term 'commercial' should be given a wide interpretation to cover matters arising from all relationships of a commercial nature, whether contractual or not. The second requirement is more significant and that is that the country where the award has been issued must be a country notified by the Indian government to be a country to which the New York Convention applies.

- The second requirement is that the country where the award has been issued must be a country notified by the Indian government as a 'convention country' to which the New York Convention applies. The arbitral awards emanating from the tribunals situated in the convention countries are recognised as foreign awards and enforceable as a decree of court in India.

FORM AND CONTENT OF AWARD (SECTION 31)

There is no particular form for the validity of an award except for the following rules contained in Section 35 of the Act:

i. An arbitral award shall be made in writing and signed by the sole arbitrator or majority of the members of the arbitral tribunal. In case a particular member of the tribunal has omitted to sign, reasons for the same must be given. Once the award has been signed, the tribunal becomes *functus officio*.

ii. The arbitral award shall state the reasons for the award unless the parties have dispensed with the need to give reasons, or the award is an arbitral award on agreed terms as per Section 30.

iii. The arbitral award shall state its date and the place of arbitration as required under Section 20.

iv. A signed copy of the arbitral award shall be delivered to each party to the arbitration agreement by the requirement of Section 31(5) [*Union of India vs Tecco Trichy Engineers and Contractors*].

v. The arbitral tribunal may, at any time during the arbitral proceedings, make an interim arbitral award on any matter subject to the making of a final arbitral award.

N O T E S

vi. Unless otherwise agreed by the parties, an arbitral award may provide for paying interest on the amount payable under the arbitral reference.

vii. Unless otherwise agreed by the parties, the tribunal shall fix the costs of arbitration which means fees and expenses of arbitrators and witnesses, administration fees of the supervising institution and other expenses connected with arbitral proceedings. It shall specify the party entitled to costs, the party who shall pay the costs, the amount of costs or method of determining that amount, and how the costs shall be paid.

The tribunal may make an additional award either based on the agreement between the parties or on the request of a party within 30 days of receipt of a copy of the award provided a copy of the notice has been given to the other party. The additional award shall be made within 60 days of the receipt of the request.

CORRECTION OF THE AWARD

The parties have the right to request the arbitral tribunal to correct any clerical or computational errors in the award within 30 days of receiving it. If deemed necessary and in the interest of the parties, the tribunal may issue an additional arbitration award within 60 days upon such a request.

FINALITY AND ENFORCEMENT OF THE AWARD

Under Section 35 of the Act, an arbitral award shall be final and binding upon the parties. The arbitral award shall be endorsed under the Civil Procedure Code, 1908, in the same manner as if it is a decree of a court of law.

GROUNDS FOR SETTING ASIDE AN ARBITRAL AWARD

Section 34 provides for the basis on which an arbitral award may be set aside by a court. For setting an award aside, the aggrieved who is a party to the arbitration agreement or its legal representative shall make an application under Section 34 stating the grounds of challenge. Section 34 in Part I has specified the following grounds on which the court may set aside an arbitral award rendered in India:

1. **INCAPACITY OF PARTIES [SECTION 34(2) (A) (I)]**

   An arbitral award is not binding and may be set aside if it has been made against a party which is incapable of looking after its interests such as a minor or a person of unsound mind or it does not have a guardian or another person to represent its interests. Therefore, it is essential to get a guardian appointed in terms of Section 9 of the Act in respect of minors and persons of unsound mind for arbitral proceedings. On failure to do so, the award given against the incompetent party shall be liable to be set aside.

2. **INVALIDITY OF ARBITRATION AGREEMENT [SECTION 34(2) (A) (II)]**

   The validity of an arbitral agreement may be challenged on the same grounds on which the validity of a contract may be challenged [*State of U.P. v. Allied Constructions*]. The validity of the arbitral agreement shall be examined by reference to the law to which the parties have subjected it and failing such indication, the validity of the arbitral agreement would be examined according to the law which is in force.

3. **FAILURE TO GIVE NOTICE TO OTHER PARTY [SECTION 34(2)(A)(III)]**

   An arbitral award is liable to be set aside if the other party has not been given proper notice of the following:

   (a) *the appointment of an arbitrator, or*

   (b) of arbitral proceedings, or

   (c) the other party was for some reasons unable to present his case.

   If a party is prevented from appearing and presenting its case before the tribunal, the award will be liable to be set aside as the deprivation of a party from an opportunity to be heard negates the principles of natural justice [*Vijay Kumar vs. Bathinda Central Co-operative Bank and Ors*].

4. **AWARD BEYOND SCOPE OF REFERENCE [SECTION 34(2)(A)(IV)]**

   An arbitral award relating to matters which were beyond the scope of reference or were not contemplated by the reference, or did not fall within the terms of the reference shall be liable to be set aside.

   An arbitrator cannot go contrary to the terms of the contract. Where the terms of the contract are not unambiguous, the arbitrator gets the power to interpret them. In *State of Rajasthan v. Nav Bharat Construction Co.*[ix], a majority of claims allowed were against the terms of the contract.

5. **ILLEGALITY IN ARBITRAL PROCEDURE-COMPOSITION OF TRIBUNAL NOT IN ACCORDANCE WITH ARBITRATION AGREEMENT [SECTION 34(2)(A)(V)]**

   An arbitral award may be set aside on the following grounds:

   - **Procedural misconduct:** Not following the agreed procedure for the conduct of arbitral proceedings, or in the absence of

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such agreement as to procedure, the procedure prescribed by the Act was not followed. Examples of misconduct in arbitral proceedings include overlooking material evidence, conducting the examination of witnesses in the absence of parties, closing the case hastily without giving the parties a fair and reasonable opportunity to place their respective cases, etc.

- **Misconduct of arbitrator:** Where the arbitral tribunal takes up a matter which is clearly beyond the scope of its authority, or the arbitrator deliberately deviates from the terms of reference and arbitration agreement. Examples of arbitrator's misconduct include accepting hospitality from either party, refusal to record evidence, erroneous breach of duty leading to miscarriage of justice, failure to perform essential duties, etc.

  In *State Trading Corp. vs. Molasses Co., the Bengal Chamber of Commerce* [x], a permanent arbitral institution did not allow a company to be represented by its Law Officer, who was a full-time employee of the company. The court held that it was not only the misconduct of the arbitrator but also the misconduct of the arbitration proceedings.

6. **SUBJECT MATTER OF DISPUTE NOT BEING ARBITRABLE [SECTION 34(2)(B)(I)]**

   The existence of a dispute is a condition precedent to arbitrators proceeding with arbitration. Only matters on which parties have differences and which affect their private rights can be referred to arbitration.

   Therefore, criminal matters, taxation issues, insolvency proceedings, corporate law matters, etc., cannot be decided by arbitration.

7. **AWARD AGAINST PUBLIC POLICY**

   Section 34(2)(b)(ii) provides that an application for setting aside an arbitral award can be made if the arbitral award conflicts with the public policy of India.

APPEALS

Section 37 deals with appeals. Appeals shall lie from the following orders to the court authorised by law to hear appeals from the original decrees of the court which are as follows:

- Granting or refusing to set aside the award as mentioned above in Section 34 (2) and/or Section 34 (3)
- Granting or refusing to grant a measure in Section 9, wherein interim measures are to be provided by the court

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Appeals shall also lie with the court if the arbitral tribunal refuses to provide interim measures to the parties and where the arbitral tribunal is exceeding its jurisdiction or deciding matters that are not in its scope.

EXHIBIT

Appointment of Arbitrators

When appointing arbitrators, the following considerations should be kept in mind:

- The arbitrator may be of any nationality, unless the parties have agreed otherwise.
- The parties are free to determine the procedure for selecting the arbitrator.
- If both parties have appointed their own nominees, those arbitrators will select a third arbitrator to serve as the presiding arbitrator. If either party fails to appoint their arbitrator within 30 days, or if the two appointed arbitrators fail to choose the presiding arbitrator, the Chief Justice of a High Court, or a designated person or institution, will appoint the arbitrator in the case of domestic arbitration.
- If there is any concern about an appointed arbitrator's ability to act impartially or independently, their appointment can be challenged under Section 12 of the Act.

SELF ASSESSMENT QUESTIONS

1. Arbitration is a binding method of dispute resolution where the decision of the arbitrator is final and enforceable as a decree of a court of law. (True/False)
2. Under the Arbitration and Conciliation Act, 1996, the composition of an arbitral tribunal must always include an even number of arbitrators. (True/False)

ACTIVITY

Draft a sample arbitration agreement highlighting key clauses, ensuring compliance with the Arbitration and Conciliation Act, 1996.

12.3 MODES OF ALTERNATE DISPUTE RESOLUTION

ADR comprises methods of resolving disputes outside of traditional court litigation. These methods are designed to be less formal, more cost-effective, and quicker than court proceedings. ADR is

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particularly useful in civil, commercial, and family disputes. The primary modes of ADR are:

- Arbitration
- Mediation
- Conciliation
- Negotiation
- Lok Adalat

12.3.1 ARBITRATION

Arbitration is a widely used method of ADR, where parties to a dispute agree to submit their conflict to an impartial third party, called an arbitrator, for resolution. It is a private and consensual process, often chosen as an alternative to court litigation, and its primary goal is to provide a binding decision in a more efficient, flexible, and less adversarial environment. Key features of arbitration are as follows:

- **Voluntary agreement:** Parties must agree to resolve their dispute through arbitration, either through a prior contract clause (arbitration clause) or a separate agreement after the dispute arises.
- **Neutral arbitrator:** A third party, or sometimes a panel of arbitrators, is appointed to hear the case. Arbitrators are typically experts in the relevant field or trained in dispute resolution.
- **Binding decision:** The arbitrator's decision, called an award, is usually final and legally binding on the parties, with limited grounds for appeal.
- **Confidentiality:** Arbitration proceedings are private, and the outcomes are generally not disclosed publicly, making it an attractive option for parties who value discretion.
- **Flexibility:** The process is flexible and can be tailored to the needs of the parties. They can choose the arbitrator(s), venue, governing law, and procedural rules.
- **Efficiency:** Arbitration can be faster and less expensive than court litigation, although costs can vary depending on the complexity of the case.

STEPS IN THE ARBITRATION PROCESS

- **Initiation:** One party submits a notice of arbitration to the other, invoking the arbitration agreement.
- **Selection of arbitrators:** Parties select the arbitrator(s), often with the assistance of an arbitration institution.
- **Preliminary hearings:** Establish procedural rules, timelines, and scope of arbitration.

- **Submission of evidence:** Parties present their arguments, evidence, and witnesses.
- **Hearing:** The arbitrator hears the case, examines evidence, and listens to witnesses.
- **Award issuance:** The arbitrator issues a binding decision, which may include remedies or monetary compensation.

EXHIBIT

Case Studies on Arbitration

- **Construction project dispute:** A contractor and property developer dispute over delayed project timelines. They invoke an arbitration clause in their contract, and an arbitrator specialising in construction law resolves the issue by awarding compensation to the developer.
- **Intellectual property dispute:** Two technology companies argue over patent infringement claims. They agree to arbitration, where a neutral expert in intellectual property law reviews the evidence and delivers a binding decision to settle the dispute.
- **Employment contract dispute:** An executive dispute a non-compete clause in their employment agreement. The matter is submitted to arbitration, and the arbitrator decides whether the clause is enforceable, balancing the interests of both parties.
- **Cross-border trade conflict:** An Indian exporter and a European importer face a disagreement regarding defective goods. Arbitration under the UNCITRAL rules is initiated, and the arbitrator awards the importer damages for the defective shipment.
- **Insurance claim dispute:** An individual's insurance claim for property damage is denied by the insurer. The dispute goes to arbitration, where the arbitrator examines policy terms and evidence before awarding compensation to the policyholder.

12.3.2 MEDIATION

Mediation is a voluntary, non-binding, confidential, and structured process wherein a neutral third party possessing special communication, negotiation, social and interactive skills help the parties arrive at a mutual settlement. Since the settlement is done on mutually agreed terms, there emerges a win-win situation for the parties involved in the dispute. Each of the parties tries to focus on their particular interests and priorities. Mediation is centred on the active and direct participation of the parties.

N O T E S

Mediation implies the involvement of a third party called a mediator as a dispute resolution practitioner who facilitates the resolution of disputes between the parties. The function of the mediator is that of a facilitator. The mediator cannot be called to the court or be asked to testify any of the proceedings or reveal any discussion that may have taken place during the mediation process. The entire mediation process is carried out in private and without prejudice. On account of its reconciliatory nature, parties have greater trust in the mediator. The statements made during mediation process cannot be leaked.

In India, mediation is still primarily court-annexed. Section 89 of the Civil Procedure Code, 1908 vests the authority in the court, which is seized of the dispute, to suggest the parties to opt for any of the ADR methods. It is for the parties to decide as to whether or not to accept the court proposal. In case the parties settle, the 'settlement agreement' will be duly signed by the parties and the mediator and then sent to the Court for passing of an appropriate order in terms thereof. Mediation can take place when:

- Direct negotiations have failed, leading to an increase in dispute
- Direct negotiations are complex and difficult
- Multiple parties are involved, leading to confusion

The following are some fundamental principles of mediation:

- **Existence of a neutral mediator:** The presence of a neutral mediator is essential for a successful mediation. He must not have any personal or monetary interest in the dispute, or in either party.
- **Self-determination by the parties:** Mediation is based on the self-determination of the disputant parties. They make free choices of various available alternatives which minimises mental differences and cater to the interests of the concerned parties. The role of the mediator is to facilitate dialogue rather than directing the parties to any particular end. The outcome of the settlement is reached by the parties on their own.
- **Confidentiality:** Confidentiality of proceedings is the critical element of successful mediation. The participants need an assurance that all their discussions, statements, concessions and/or admissions are protected by confidentiality. To ensure confidentiality, the agreement between the parties may have a 'confidentiality clause' which must be legally recognised. The confidentiality shall extend to the settlement agreement unless there is a necessity for the disclosure to implement and enforce it. The mediator must have 'confidentiality' so that he may not be required to disclose in any forum whatever may have transpired during the process.

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- **Fairness of process:** The mediation process should be a fair one. The parties should be treated fairly and not arbitrarily and their concerns should be addressed properly.
- **Voluntary process:** The element of voluntariness is the magic of mediation which encourages autonomy and party self-determination. Any compulsion to participate is counter-productive and makes mediation similar to litigation.

The main advantages of mediation are as follows:

- **Less expensive:** Mediation is a less expensive process, requiring less money for the service rendered.
- **Less time consuming:** Mediation is a process that is comparatively less time-consuming than the litigation process; hence, mediations allow speedy disposal of a matter.
- **Confidentiality of the proceedings:** In the mediation process, total confidentiality is maintained, as the whole process is not public.

EXHIBIT

Comparative Analysis of Mediation vs. Litigation

- **Cost Savings**
  - **Litigation:** Court fees, lawyer fees and other expenses can make litigation significantly expensive. On average, litigation costs can exceed ₹3–5 lakhs for civil cases in India, depending on complexity.
  - **Mediation:** Mediation costs are typically 30-50% lower than litigation due to the shorter duration and reduced procedural requirements.

  Illustration

  For a contractual dispute of ₹50 lakhs, litigation might cost ₹5 lakhs and take 3-5 years. Mediation can resolve the same in ₹1.5 lakhs within 6 months.
- **Time Efficiency**
  - **Litigation:** Indian courts have a backlog of over 4.5 crore cases (as of 2024). Civil cases often take 3–10 years to resolve.
  - **Mediation:** Mediation can resolve disputes in 1–6 months, depending on the complexity.

  Statistical Highlight

  In 2022, the Delhi Mediation Centre resolved over 70% of cases within 6 months, compared to the 3-4 years required for similar court cases.

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- **Confidentiality**
  - **Litigation:** Court cases are public and sensitive information often becomes part of the public record.
  - **Mediation:** Discussions, evidence and settlements remain private, ensuring confidentiality.

Example

In a family business dispute, mediation ensured that sensitive financial details and family dynamics were kept confidential, which wouldn't be possible in a courtroom setting.

- **Control Over Outcome**
  - **Litigation:** Decisions are imposed by the judge, often leaving one party dissatisfied.
  - **Mediation:** Parties maintain control over the outcome, leading to mutually beneficial agreements.

Data

A study by the American Bar Association found that 80% of parties involved in mediation were satisfied with the outcome, compared to only 40% in litigation.

- **Preservation of Relationships**
  - **Litigation:** Often adversarial, damaging long-term relationships between parties.
  - **Mediation:** Collaborative and reconciliatory, fostering better relationships post-resolution.

Illustration

Two business partners resolved their financial dispute through mediation, agreeing on a repayment plan that allowed them to continue their partnership. Litigation might have ended the partnership entirely.

- **High Success Rates**
  - **Litigation:** Success often depends on legal representation and strict adherence to procedural rules.
  - **Mediation:** Focuses on creative solutions and has a 70-85% success rate in many jurisdictions.

Example

According to the UK Mediation Centre, over 85% of mediated cases settle successfully, compared to the 50-60% success rate in contested court trials.

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12.3.3 CONCILIATION

Conciliation refers to a process of settling disputes through the good offices of a third party which attempts to minimise the points of conflict between the parties to enable them to reconcile. Conciliation depends on the discretion of the involved parties. The whole purpose is to bridge the gap that may arise and to reach a point of equilibrium so that a mutual agreement is obtained.

The reconciliation involves an interaction that concerns both parties through a conciliator that balances the views. The third-party that acts as a mediator and solves the dispute is called a conciliator. The representatives of the parties brought for consultation with the conciliator try to reduce the differences or concerns of both parties. The conciliator can be an individual or a group with whom both parties agree to share their concerns.

MEANING OF CONCILIATION

"*Conciliation is the method of resolving a conflict with the help of a third-party, who intervenes in the dispute situation upon a request by either or both the parties. It is a procedure in which the decision-making function remains the prerogative of the parties to the dispute as in collective bargaining. The conciliator simply assists them in their negotiations and decision-making, resolves the impasse and removes the bottlenecks.*"

In a manual for workers' education on collective bargaining published by ILO, conciliation has been defined as, "*practice by which the services of a neutral party are used in a dispute as a means of helping the disputing parties to reduce the extent of their differences and to arrive at an amicable settlement or agreed solution*".

Example A: Supplier and Retailer Dispute

A retailer accuses a supplier of delivering defective goods. The supplier and retailer meet with a conciliator, who helps them negotiate a solution where the supplier agrees to replace the goods and offers a discount on future orders.

Example B: Employee and Employer Conflict

An employee files a grievance against their employer for unfair treatment. A conciliator facilitates discussions between both parties, leading to an agreement where the employer revises workplace policies and compensates the employee.

Example C: Landlord-Tenant Dispute

A tenant claims their security deposit was unfairly withheld. With the help of a conciliator, the landlord agrees to refund a portion of the deposit after deducting genuine repair costs, resolving the dispute amicably.

NOTES

ROLE OF CONCILIATOR

According to UNCITRAL Conciliation Rules 1980, the role of the conciliator consists the following:

i. *To assist the parties in reaching an amicable settlement of their dispute*

ii. *To keep in mind principles of objectivity, fairness, and justice, giving consideration to the rights and obligations of the parties, the usage of trade and the circumstances surrounding the dispute including any previous business practices between the parties*

iii. *To conduct the proceedings in an appropriate manner taking into account the circumstances of the case, the wishes of the parties, oral statements and the need for a speedy settlement*

iv. *To make proposal for settlement of dispute at any stage without putting things in writing and without any statement of reasons therefor.*

Therefore, conciliation can be defined as a voluntary proceeding where the disputing parties are free to agree to and resolve their dispute by conciliation. It is a flexible process that allows the concerned parties to define the time, structure and content of the conciliation proceedings.

In conciliation, there is no legal standing, and the conciliator usually has no right to seek evidence or call witness. Its main goal is to conciliate, mostly by seeking concessions. In conciliation, the parties rarely face each other during the entire process.

12.3.4 NEGOTIATION

Negotiation is an informal technique of resolving a dispute, where the parties in dispute directly try to communicate with each other and reach a conclusion. In a negotiation, there is mutual bargaining between two or more parties having opposing interests to arrive at a consensus to manage and ultimately resolve the dispute through a non-binding process. This is a preferred technique of dispute resolution when the parties want to maintain an ongoing relationship with each other. A well-conducted negotiation facilitates both parties to increase the size of the cake so that nobody remains a loser.

The characteristics of negotiation are as follows:

- **Voluntary:** There is no formal obligation to resort to negotiations. The parties have full freedom to initiate, continue, adapt or terminate the negotiations.
- **Bilateral/multilateral:** There is no limit to the number of parties involved in a negotiation.
- **Informal:** There are no formally prescribed rules to carry out negotiations.

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- **Flexible:** The process of negotiation is flexible as its scope depends on the choice of the involved parties.

The process of negotiation offers the following advantages:

- **Confidentiality:** The negotiation process maintains the privacy of the involved parties.
- **Economical:** The fee paid for negotiation is minimal.
- **Establishes relationships amongst the parties:** The negotiation process helps in establishing and maintaining relationships amongst parties in the future.

EXHIBIT

Actionable Insights for Implementing Negotiation

- **Prepare thoroughly:** Identify your goals, understand the other party's interests and gather relevant data to strengthen your position.
- **Build rapport:** Start with a positive tone to establish trust and encourage open communication.
- **Focus on interests, not positions:** Explore the underlying needs of both parties to find mutually beneficial solutions.
- **Use active listening:** Pay close attention to the other party's concerns, restate key points and clarify to avoid misunderstandings.
- **Explore creative solutions:** Brainstorm options that expand value for all parties, ensuring a win-win outcome.
- **Establish clear terms:** Document agreements in writing to prevent future misunderstandings and maintain accountability.

12.3.5 LOK ADALAT

In order to provide timely justice, Lok Adalats are set up to promote justice by providing timely and cost-effective legal aid on the basis of principles of equity, justice, fair play and other legalities. Lok Adalat is a promising, participative and potential ADR method. Lok Adalat is considered as a people's court, which provides easy access to justice with mutual consent.

As per Section 19(5) of the Legal Services Authorities Act, 1987, Lok Adalat shall have jurisdiction to determine and to arrive at a compromise or settlement between the parties to a dispute in respect of any case pending before; or any matter which is falling within the jurisdiction of, and is not brought before, any court for which the Lok Adalat is organised.

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Justice S.M. Dharamadhikari has described *Lok Adalat as Indianisation, Humanisation and Spiritualisation of justice dispensation on following accounts:*

- ***Indianisation of justice dispensation:*** *Based on customs and traditions found in villages and societies of India*
- ***Humanisation of justice dispensation****: More and more participation of human beings involved with large consideration to human aspects in the course*
- ***Spiritualisation of justice dispensation****: Process to uplifting society by educating its members to do justice to each other*

EXHIBIT

Success Stories and Statistics Highlighting Lok Adalat's Effectiveness

- **Settlement of bank loan disputes:** In a Lok Adalat organised by the National Legal Services Authority (NALSA) in 2023, over 10,000 pending bank loan recovery cases were resolved in a single day, reducing the burden on courts and providing relief to borrowers through mutual settlement agreements.
- **Motor accident claims:** In Delhi's Lok Adalat, a motor accident compensation case pending for over five years was settled within hours. The victim's family received compensation of ₹10 lakhs, demonstrating the speed and efficiency of Lok Adalats.
- **Labour dispute resolution:** A factory worker was reinstated to their job with full wages after a decade-long labour dispute was resolved in a Lok Adalat in Karnataka. Both parties appreciated the amicable solution and avoided further litigation costs.
- **Electricity bill disputes:** In a Lok Adalat held in Gujarat, over 20,000 electricity bill disputes were resolved, helping consumers avoid disconnection and enabling utility companies to recover dues amicably.

SELF ASSESSMENT QUESTIONS

3. Arbitration is a private and consensual process where disputes are resolved by an impartial third party called a(n) ________.
4. The process of resolving disputes in Lok Adalat is based on the principles of equity, justice, and ________.

ACTIVITY

Analyse a real-life dispute and propose a suitable ADR method, justifying its effectiveness in resolving the conflict.

NOTES

12.4 IMPORTANCE OF ADR

ADR is crucial for resolving disputes efficiently outside traditional courts. It saves time, reduces costs, and ensures confidentiality. ADR methods like arbitration, mediation, and conciliation foster amicable settlements, preserving relationships. Its flexibility and faster resolution process make it essential for businesses and individuals alike.

EXHIBIT

- **Time efficiency:** Traditional litigation can be slow, with cases in court taking several years to be resolved. The backlog of cases in courts contributes to delays, often hindering timely justice. ADR, on the other hand, offers a faster resolution. Studies show that arbitration can take between 6 to 12 months, depending on the complexity of the case, compared to several years for court proceedings. In mediation, disputes are typically resolved in a matter of weeks, significantly reducing the time involved in resolving conflicts.
- **Cost-effectiveness:** Legal fees, court costs and other expenses in traditional litigation can quickly accumulate. ADR methods are generally more cost-effective. According to the American Arbitration Association (AAA), arbitration can cost up to 40-60% less than traditional litigation. The International Chamber of Commerce (ICC) reports that arbitration costs are significantly lower than prolonged courtroom trials, especially when cases involve cross-border elements where jurisdictional issues arise. Mediation often costs less due to its faster process and the absence of formal court procedures.
- **Preservation of relationships:** ADR fosters amicable settlement processes, which is especially important in business disputes. Instead of adversarial court proceedings, ADR methods like mediation emphasise collaboration. Studies show that about 70% of mediated cases result in parties preserving their business relationships. This is crucial for businesses that seek to maintain partnerships or customer relationships even after a dispute.
- **Flexibility and informality:** One of the primary advantages of ADR is its flexibility. The parties involved in ADR can choose the timeline, venue and procedures suited to their needs. Unlike court procedures, which are bound by strict formalities, ADR allows a more informal environment. For instance, in mediation, parties can communicate openly, and solutions can be tailored to their specific needs. According to the European Commission, 84% of businesses prefer ADR over litigation due to its flexibility and less rigid process.

- **Confidentiality:** ADR proceedings are private, unlike court cases which are public records. This is particularly attractive for businesses that wish to keep sensitive or proprietary information confidential. A study by the Harvard Law School revealed that 78% of companies prefer mediation for resolving disputes to avoid exposing sensitive business practices in the public domain. Confidentiality in ADR ensures that disputes do not damage a company's reputation or reveal confidential information to competitors.
- **Expertise of decision-makers:** In ADR processes like arbitration or mediation, parties have the freedom to select arbitrators or mediators with specialised knowledge in the relevant field, such as finance, technology or construction. According to the London Court of International Arbitration (LCIA), over 70% of arbitrations are led by experts in the dispute industry, enhancing the quality of the decision-making process. This expertise ensures that decisions are informed and relevant to the specific aspects of the case.
- **Enforceability of outcomes:** Arbitration awards are legally binding and enforceable under international conventions, such as the New York Convention, which has been signed by over 160 countries. This global recognition makes ADR particularly appealing for international disputes. The World Bank reports that arbitration is preferred for cross-border disputes because its outcomes are more readily enforceable than court judgments, which may be subject to varying national laws.
- **Reduced court burden:** ADR helps alleviate the burden on the judicial system by diverting cases that do not require the full formalities of a court trial. This reduction in case volume contributes to the efficiency of courts, which is crucial in countries with overloaded legal systems. The United Nations Commission on International Trade Law (UNCITRAL) reported that the use of ADR has led to a 30-40% reduction in the caseload of courts in some jurisdictions, improving overall judicial efficiency.

12.4.1 ADVANTAGE OF ADR

Today, ADR techniques are considered as one of the most acceptable dispute resolution techniques used worldwide, either alongside or combined with the legal systems. This is because ADR is preferred over litigation for resolving disputes. The main advantages of ADR are as follows:

- It is well-suited for resolving disputes involving multiple parties.
- The procedure is flexible, allowing the parties to decide when and how the dispute will be resolved, giving them control over the process.

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- It is more cost-effective compared to other methods.
- The process is simpler and less complicated.
- The third party involved in ADR remains neutral, ensuring unbiased decisions.
- It resolves disputes promptly, avoiding unnecessary delays.
- It offers practical solutions that safeguard the interests of the parties involved.
- It ensures the confidentiality of the disputing parties.
- It helps preserve the relationships and reputations of the parties in conflict.

SELF ASSESSMENT QUESTIONS

5. Which of the following is NOT an advantage of Alternate Dispute Resolution (ADR)?
   a. Preservation of relationships
   b. Confidentiality of proceedings
   c. High cost of resolution
   d. Time efficiency
6. What is one of the key reasons why ADR is preferred over traditional court litigation?
   a. ADR proceedings are public and transparent.
   b. ADR allows parties to choose neutrals with specialised expertise.
   c. ADR decisions are not enforceable internationally.
   d. ADR always requires a jury for decision-making.

ACTIVITY

Identify a dispute type, discuss its resolution using ADR, and analyse the advantages of the chosen method.

12.5 COMPARATIVE STUDY OF ADR

A comparative study of ADR involves analysing and evaluating the different modes of ADR—such as Arbitration, Mediation, Conciliation, Negotiation, and Lok Adalat—based on various criteria like procedure, applicability, costs, enforceability, and effectiveness. This helps in understanding the advantages and limitations of each mechanism and identifying the most suitable one for specific disputes.

NOTES

12.5.1 ARBITRATION AND MEDIATION

Arbitration and mediation are two prominent forms of ADR, offering alternatives to traditional litigation. While both aim to resolve disputes efficiently, they differ significantly in their processes, roles, and outcomes. Comparison between arbitration and mediation is shown in Table 12.1:

TABLE 12.1: COMPARISON BETWEEN ARBITRATION AND MEDIATION

Aspect	Arbitration	Mediation
Nature of Process	Formal and adjudicative. Similar to a court process but less rigid.	Informal and facilitative. Focuses on collaboration and mutual agreement.
Role of Third Party	The arbitrator acts as a judge, makes decisions, and issues a binding award.	The mediator acts as a neutral facilitator to help parties reach a voluntary agreement.
Binding Nature	The decision (award) is binding and enforceable under law unless specified as non-binding.	The agreement reached is not binding unless formalised into a contract signed by the parties.
Control Over Outcome	Limited control for the parties, as the arbitrator decides the outcome.	Full control for the parties, as they negotiate and agree on the terms of settlement.
Flexibility	Less flexible due to procedural rules; similar to litigation.	Highly flexible, as the process is tailored to the needs and preferences of the parties.
Confidentiality	Proceedings are private, and awards are confidential unless disclosure is required by law.	Fully confidential, with no records disclosed unless agreed upon by the parties.
Speed	Faster than litigation but may involve delays, especially in complex cases.	Generally quicker than arbitration, depending on the willingness of parties to cooperate.
Cost	May be expensive, especially with multiple arbitrators and complex cases.	More cost-effective due to simpler procedures and fewer formalities.
Scope of Applicability	Suitable for disputes requiring expert judgment or where enforceable decisions are critical.	Suitable for disputes where preserving relationships and reaching mutual agreements is key.
Legal Formality	Governed by laws like the Arbitration and Conciliation Act, 1996.	Informal process with minimal legal formalities.

NOTES

Aspect	Arbitration	Mediation
Enforceability	Awards are enforceable as a court decree under arbitration laws.	Settlements may need to be converted into formal agreements for enforceability.
Preservation of Relationships	Less focus on relationships; decisions can be adversarial.	High focus on preserving relationships through cooperative problem-solving.

WHEN TO CHOOSE ARBITRATION OR MEDIATION?

- **Arbitration is ideal for:**
  - Complex disputes requiring technical or expert judgment
  - Cases where a legally enforceable decision is essential
  - Commercial or contractual disputes
- **Mediation is ideal for:**
  - Disputes involving long-term relationships (e.g., family, employment, partnershipss)
  - Cases where parties are willing to negotiate and compromise
  - Situations requiring faster and less formal resolutions

NOTE

Arbitration is preferable in cases requiring technical expertise, such as construction or intellectual property disputes, where a neutral arbitrator with specialised knowledge can render a binding decision. It is also suitable for commercial conflicts needing an enforceable outcome, offering a structured yet private alternative to court litigation.

NOTE

Mediation works best for disputes rooted in relationships, like workplace or family disagreements, where maintaining harmony is crucial. It is ideal when parties are open to dialogue and compromise, seeking a quick, informal resolution that fosters mutual understanding rather than imposing a decision.

12.5.2 CONCILIATION AND NEGOTIATION

Conciliation and negotiation are integral methods in ADR that aim to resolve disputes outside traditional litigation. While both focus on reaching amicable solutions, they differ in structure, involvement of third parties, and processes.

NOTES

Comparison between conciliation and negotiation is shown in Table 12.2:

TABLE 12.2: COMPARISON BETWEEN CONCILIATION AND NEGOTIATION

Aspect	Conciliation	Negotiation
Definition	A structured ADR method where a neutral third party (conciliator) assists parties in resolving their dispute.	A direct discussion between the disputing parties to resolve issues without external assistance.
Role of Third Party	A conciliator actively facilitates discussions, offers suggestions, and proposes solutions.	No third party is involved; parties communicate directly to reach a mutual agreement.
Formality	Semi-formal process governed by the Arbitration and Conciliation Act, 1996 (in India).	Informal and flexible process without any specific legal framework.
Control Over Outcome	The conciliator influences the process by proposing solutions, but the parties decide the outcome.	Full control remains with the parties; they independently negotiate the terms.
Binding Nature	The settlement agreement is binding when signed by the parties under legal provisions.	Agreements are binding only if documented and mutually agreed upon by the parties.
Flexibility	Flexible but involves structured interventions by the conciliator.	Highly flexible, as the process is entirely controlled by the disputing parties.
Confidentiality	The process is confidential, and details cannot be disclosed in subsequent proceedings.	Confidentiality depends on the parties' agreement; no formal rules ensure it.
Cost	Involves moderate costs due to the presence of a conciliator.	Cost-effective as no external professionals are necessarily involved.
Preservation of Relationships	Focuses on maintaining relationships through a collaborative and guided process.	Encourages relationship preservation as parties negotiate directly without hostility.
Enforceability	Settlement agreements under conciliation are enforceable like arbitral awards.	Negotiated agreements need to be formalised to ensure enforceability.
Suitability	Ideal for disputes where guidance and facilitation by an expert can help resolve the matter.	Suitable for disputes where parties can communicate directly and resolve differences.

NOTES

WHEN TO CHOOSE CONCILIATION OR NEGOTIATION?

- **Conciliation is suitable when:**
  - Parties need a neutral expert to facilitate dialogue and offer solutions.
  - A structured yet non-adversarial resolution is preferred.
  - There is a need for enforceable agreements under a legal framework.
- **Negotiation is suitable when:**
  - Parties can resolve disputes independently without external assistance.
  - The relationship is amicable enough for direct communication.
  - Minimal costs and quick resolution are priorities.

EXHIBIT

Difference between Conciliation and Negotiation

Conciliation: Two companies are in dispute over a breach of a service agreement but are unable to find common ground. A Conciliation Officer is brought in to facilitate dialogue and propose solutions. The structured process helps both parties reach an agreement, which is formalised and legally enforceable. This method works well when the relationship is strained and external expertise is needed to bridge the gap.

Negotiation: Two business partners disagree on profit-sharing but maintain a cordial relationship. They decide to meet directly, without involving a third party, to discuss and resolve the issue. Negotiation proves effective as both parties are willing to communicate openly, avoiding additional costs and resolving the dispute quickly without external intervention.

SELF ASSESSMENT QUESTIONS

7. In arbitration, the decision (award) made by the arbitrator is ________ and enforceable under law, unless specified as non-binding.
8. In mediation, the agreement reached by the parties is not binding unless it is ________ into a contract signed by both parties.

ACTIVITY

Conduct a comparative analysis of two ADR methods, highlighting their applicability and recommending the best option for disputes.

N O T E S

12.6 APPLICATION OF ADR IN DIFFERENT FIELDS AND AREAS

ADR has wide-ranging applications across various fields and industries due to its efficiency, cost-effectiveness, and flexibility. Below are some areas where ADR plays a significant role:

- **Commercial and business disputes:** Arbitration is widely used for resolving contractual disputes, partnerships, mergers, acquisitions, and intellectual property rights issues. ADR is particularly useful in international trade disputes, ensuring neutrality and enforceable outcomes through mechanisms like the UNCITRAL Model Law.
- **Employment and labour disputes:** Mediation and conciliation help resolve disputes related to wages, workplace harassment, employee termination, and industrial strikes. Encourages harmonious employer-employee relations and reduces litigation in labour courts.
- **Family and matrimonial disputes:** Mediation is extensively used in divorce cases, child custody disputes, and property settlements to preserve relationships and achieve amicable solutions. Provides a non-adversarial platform, ensuring privacy and emotional sensitivity.
- **Real estate and property disputes:** Lok Adalat and arbitration are used to resolve disputes related to land acquisition, property ownership, tenancy issues, and construction agreements. Reduces delays typically encountered in civil courts for property matters.
- **Consumer disputes:** Mediation is a preferred choice for addressing grievances related to defective goods, deficiency in services, or unfair trade practices. Consumer forums in India often encourage ADR to settle complaints before adjudication.
- **Banking and financial sector:** ADR mechanisms, especially Arbitration and Mediation, are used to resolve disputes related to loan defaults, debt recovery, and contractual breaches. Banks and financial institutions also use ADR for settling disputes with customers or other entities.
- **Environmental and public interest disputes:** Mediation and Negotiation are effective in disputes involving environmental pollution, land use, and community rights. This can be used to resolve conflicts between corporates, governments, and affected communities.

MODERN PRACTICES IN ADR

The following are the modern practices in ADR:

- **Online Dispute Resolution (ODR):** The rise of digital platforms has enabled ADR to be conducted online, making it more

NOTES

accessible, especially in international disputes. ODR is widely used in e-commerce, consumer disputes and small claims.

- **Hybrid ADR models:** Combining arbitration, mediation and other methods in flexible ways to meet the needs of specific disputes, allowing for creative solutions and more personalised processes.
- **AI and technology integration:** AI tools and algorithms are now used for case evaluation, document management and even facilitating virtual mediations and arbitrations, reducing the time and cost of resolving disputes.
- **Specialised ADR panels:** Industry-specific panels of experts are increasingly common, providing better-informed decisions, especially in sectors like finance, healthcare and intellectual property.

RECENT TRENDS AND TECHNOLOGICAL ADVANCEMENTS IN ADR

The field of ADR is continuously evolving with the adoption of modern trends and technologies. These advancements are reshaping how disputes are resolved, making the process more efficient, accessible and effective. Some key trends and technological developments include:

- **Online Dispute Resolution (ODR):** ODR has gained significant traction, especially post-pandemic. It leverages digital platforms to resolve disputes through arbitration, mediation or negotiation conducted entirely online. This method is particularly beneficial for cross-border disputes, consumer complaints and e-commerce issues.
- **Artificial Intelligence (AI):** AI tools are being integrated into ADR processes for predictive analysis, drafting arbitration awards and assisting mediators in analysing case details. AI-driven algorithms also help in conflict diagnosis and suggesting potential solutions.
- **Blockchain technology:** Blockchain ensures secure, tamper-proof records of ADR proceedings and agreements. Smart contracts based on blockchain technology are being utilised to automate the enforcement of arbitration outcomes, especially in international trade and finance disputes.
- **Hybrid ADR mechanisms:** New approaches combine multiple ADR methods, such as med-arb (mediation followed by arbitration) or arb-med-arb. These flexible methods are designed to adapt to the specific needs of complex disputes.
- **Use of Virtual Reality (VR):** In high-stakes mediations, VR is emerging as a tool to recreate scenarios, enabling parties to better understand the consequences of their actions or decisions in a controlled environment.

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- **Mobile ADR applications:** Mobile apps now facilitate easier access to ADR services. Parties can initiate claims, upload documents, communicate with arbitrators or mediators and track progress via user-friendly apps.
- **Specialised ADR platforms for specific industries:** Industry-specific ODR platforms are being developed, catering to sectors like e-commerce (for customer disputes), intellectual property, construction and financial services.
- **Global harmonisation of ADR practices:** With increasing globalisation, there is a trend toward standardising ADR practices through international agreements like the Singapore Mediation Convention and updates to the UNCITRAL Model Law.

SELF ASSESSMENT QUESTIONS

9. ADR is primarily used in international trade disputes to ensure neutrality and enforceable outcomes through mechanisms like the UNCITRAL Model Law. (True/False)
10. In family and matrimonial disputes, arbitration is the preferred ADR method due to its formal and binding nature. (True/False)

ACTIVITY

Choose an industry and explore how ADR methods can resolve common disputes within that sector, providing real-world examples.

12.7 SUMMARY

- The Arbitration and Conciliation Act, 1996 is divided into 87 sections, 4 chapters and 7 schedules and extends to the whole of India.
- Alternate Dispute Resolution refers to methods of resolving disputes outside of traditional court litigation.
- Arbitration is a widely used method of ADR, where parties to a dispute agree to submit their conflict to an impartial third party, called an arbitrator, for resolution.
- Mediation is a voluntary, non-binding, confidential, and structured process wherein a neutral third party possessing special communication, negotiation, social and interactive skills help the parties arrive at a mutual settlement.
- Conciliation refers to a process of settling disputes through the good offices of a third party which attempts to minimise the points of conflict between the parties to enable them to reconcile.

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- Negotiation is an informal technique of resolving a dispute, where the parties in dispute directly try to communicate with each other and reach a conclusion.
- Lok Adalat is a promising, participative and potential ADR method. Lok Adalat is considered as a people's court, which provides easy access to justice with mutual consent.
- ADR is crucial for resolving disputes efficiently outside traditional courts.
- Today, ADR techniques are considered one of the most acceptable dispute resolution techniques used worldwide, either alongside or combined with the legal systems. This is because ADR is preferred over litigation for resolving disputes.
- A comparative study of ADR involves analysing and evaluating the different modes of ADR—such as Arbitration, Mediation, Conciliation, Negotiation, and Lok Adalat—based on various criteria like procedure, applicability, costs, enforceability, and effectiveness.

KEY WORDS

- **Arbitration:** A method of dispute resolution between two parties by an impartial third party outside courts
- **Dispute:** A state of argument or conflict between two or more parties
- **Litigation:** The process of settling disputes through legal procedures
- **Confidentiality:** A set of rules to ensure the privacy of the disputing parties
- **Seized:** The legal possession or ownership of property or an estate

12.8 MULTIPLE CHOICE QUESTIONS

1. Which of the following is a facilitative method of ADR?

   a. Arbitration b. Mediation

   c. Adjudication d. Litigation

2. What is the required number of arbitrators in an arbitral tribunal according to the Arbitration and Conciliation Act, 1996?

   a. Even number

   b. Any number determined by the court

   c. Odd number

   d. Unlimited arbitrators

NOTES

3. Which of the following is NOT a ground for setting aside an arbitral award under Section 34 of the Arbitration and Conciliation Act, 1996?
   a. Lack of proper notice to one party
   b. Violation of public policy
   c. Procedural misconduct by the arbitral tribunal
   d. Displeasure with the award by one party
4. Which of the following is NOT a mode of ADR?
   a. Arbitration
   b. Mediation
   c. Prosecution
   d. Conciliation
5. In the arbitration process, what is the term used to describe the binding decision given by the arbitrator?
   a. Settlement Agreement
   b. Verdict
   c. Award
   d. Reconciliation
6. What is the primary role of a mediator in the mediation process?
   a. To enforce a binding decision on the parties
   b. To facilitate dialogue and help parties reach a mutually agreed settlement
   c. To represent one of the parties in the dispute
   d. To provide legal evidence and testimony
7. Which of the following ADR methods provides a legally binding decision enforced as a court decree?
   a. Arbitration
   b. Mediation
   c. Conciliation
   d. Negotiation
8. In which ADR method does the third party primarily act as a facilitator to help the disputing parties reach a voluntary agreement?
   a. Arbitration
   b. Conciliation
   c. Mediation
   d. Negotiation
9. When is negotiation most suitable as an ADR method?
   a. When a neutral expert is needed to propose solutions.
   b. When parties can resolve disputes directly and maintain an ongoing relationship.
   c. When a legally binding decision is critical.
   d. When disputes require technical expertise for resolution.

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10. Which of the following ADR methods is commonly used for resolving disputes related to wages, workplace harassment, employee termination, and industrial strikes?
    a. Arbitration
    b. Mediation
    c. Conciliation
    d. Negotiation

12.9 DESCRIPTIVE QUESTIONS

1. Can you provide an overview of the Arbitration and Conciliation Act, 1996?
2. What are the different modes of Alternative Dispute Resolution (ADR)?
3. What is the concept of mediation in ADR?
4. Why is ADR considered important in dispute resolution?
5. How is ADR applied across various fields and industries?

12.10 HIGHER ORDER THINKING ORDER (HOTS) QUESTIONS

1. TechnoCorp Pvt. Ltd., a software development company, enters into a supply contract with Innovate Systems Ltd., a hardware supplier, which includes an arbitration clause for dispute resolution. However, Innovate Systems Ltd. files a lawsuit in court over late payments, violating the arbitration agreement. TechnoCorp Pvt. Ltd. challenges the lawsuit and invokes the arbitration clause in court. In light of Section 8 of the Arbitration and Conciliation Act, 1996, what steps should the court take when a party initiates court proceedings in violation of an existing arbitration agreement?
    a. Allow the lawsuit to proceed and ignore the arbitration agreement.
    b. Refer to the dispute to arbitration, as per the agreement.
    c. Require both parties to renegotiate the arbitration agreement.
    d. Allow the court to hear the case if one party prefers it.
2. A contractual dispute arises between SteelCo Industries, a steel manufacturing company, and Global Builders Ltd., a construction firm. According to their arbitration agreement, the dispute is to be resolved by a tribunal consisting of three arbitrators. However, SteelCo fails to designate its nominee arbitrator within 30 days as required. In this scenario, Global Builders requests the Chief Justice of the High Court to appoint the third arbitrator. Based on Section 11 of the Arbitration and

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Conciliation Act, 1996, what is the likely course of action for the Chief Justice of the High Court?

a. Reject the request and require the parties to agree on an arbitrator.

b. Appoint the third arbitrator to expedite the arbitration process.

c. Dissolve the arbitration agreement due to delay.

d. Refer the matter to a court for resolution.

3. A deal was signed between Aman Pvt. Ltd. and PAWAN Ltd. to provide machinery parts. Unexpected delays prevented Aman Pvt. Ltd. from delivering the parts on schedule, which resulted in large losses for PAWAN Ltd. The parties were unable to immediately address the issue despite several conversations. They decided to choose an impartial third party to assist them in effectively and discreetly resolving the conflict to prevent drawn-out litigation. Considering the circumstances, which kind of ADR would be best suited to settle the conflict between Aman Pvt. Ltd. and PAWAN Ltd.?

a. Arbitration
b. Lok Adalat
c. Conciliation
d. Mediation

12.11 ANSWERS AND HINTS

ANSWERS FOR SELF ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
Overview - Arbitration and Conciliation Act, 1996	1.	True
	2.	False
Modes of Alternate Dispute Resolution	3.	Arbitrator
	4.	Fair play
Importance of Alternate Dispute Resolution	5.	c. High cost of resolution
	6.	b. ADR allows parties to choose neutrals with specialised expertise.
Comparative Study OF ADR	7.	Binding
	8.	Formalised
Application of ADR IN Different Fields and Areas	9.	True
	10.	False

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ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer
1.	b. Mediation
2.	c. Odd number
3.	d. Displeasure with the award by one party
4.	c. Prosecution
5.	c. Award
6.	b. To facilitate dialogue and help parties reach a mutually agreed settlement
7.	a. Arbitration
8.	c. Mediation
9.	b. When parties can resolve disputes directly and maintain an ongoing relationship.
10.	c. Conciliation

HINTS FOR DESCRIPTIVE QUESTIONS

1. The Arbitration and Conciliation Act, 1996 is divided into 87 sections, 4 chapters and 7 schedules and extends to the whole of India. This Arbitration and Conciliation Act is based on the Model Law on arbitration suggested by UNCITRAL (United Nations Commission on International Trade Law). Refer to Section **12.2 Overview - Arbitration and Conciliation Act, 1996**
2. ADR refers to methods of resolving disputes outside of traditional court litigation. These methods are designed to be less formal, more cost-effective, and quicker than court proceedings. ADR is particularly useful in civil, commercial, and family disputes. The primary modes of ADR are, Arbitration, Mediation, Conciliation, Negotiation and Lok Adalat. Refer to Section **12.3 Modes of Alternate Dispute Resolution**
3. Mediation is a voluntary, non-binding, confidential, and structured process wherein a neutral third party possessing special communication, negotiation, social and interactive skills help the parties arrive at a mutual settlement. Refer to Section **12.3 Modes of Alternate Dispute Resolution**
4. ADR is crucial for resolving disputes efficiently outside traditional courts. It saves time, reduces costs, and ensures confidentiality. ADR methods like arbitration, mediation, and conciliation foster amicable settlements, preserving relationships. Refer to Section **12.4 Importance of ADR**
5. ADR has wide ranging applications across various fields and industries due to its efficiency, cost-effectiveness, and flexibility. Refer to Section **12.6 Application of ADR in Different Fields and Areas**

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ANSWERS FOR HIGHER ORDER THINKING ORDER (HOTS) QUESTIONS

Q. No.	Answer
1.	b. Refer to the dispute to arbitration, as per the agreement.
2.	b. Appoint the third arbitrator to expedite the arbitration process.
3.	a. Arbitration
4.	b. Quasi-contract

12.12 SUGGESTED READING & REFERENCES

SUGGESTED READINGS

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CASE LAW

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TDM INFRASTRUCTURE PVT. LTD. VS. UE DEVELOPMENT INDIA (2008, SUPREME COURT)

Case Objective

This case law discusses the facts and judgement of the case, TDM Infrastructure Pvt. Ltd. vs. UE Development India on the issue of whether Indian domiciled entities can opt for international commercial arbitration.

FACTS

The case involves the resolution of a dispute between two companies both of which were incorporated under the Indian Companies Act, 1956. The respondent company namely UE Development India Private Limited (UED) had been awarded a contract for up-gradation by the National Highways Authority of India. A portion of this contract was subcontracted to TDM Infrastructure Private Limited (TDM). All the TDM's directors and shareholders were residents of Malaysia. The contract between the parties provided for the resolution of disputes between them using reference to arbitration under the provisions of the Arbitration and Conciliation Act, 1996. The seat of the arbitration was to be New Delhi.

On the occurrence of the dispute, the parties failed to decide on the nomination of an arbitrator. Consequently, by the provisions of the Arbitration and Conciliation Act, TDM requested the Chief Justice of India to appoint an arbitrator in terms of Section 11(5) and Section 11(9) of the Arbitration and Conciliation Act, 1996. Section 2(1)(f) of the Arbitration and Conciliation Act, 1996 has defined international commercial arbitration' to mean *an arbitration relating to disputes arising out of legal relationships, whether contractual or not, considered as commercial under the law in force in India and where at least one of the parties is:*

i. *A body corporate which is incorporated in any country other than India; or is*

ii. *a company or an association or a body of individuals whose central management and control is exercised in any country other than India.*

The application by the TDM to the Chief Justice of India was challenged by the respondent on the ground that the petitioner being a company registered in India must be held to be a company situated and controlled in India and therefore not entitled to approach the Chief Justice of India for the nomination of an arbitrator.

ISSUE

Whether the agreement between the contending parties falls within the purview of Section 2 (1)(f) of the Arbitration and Conciliation Act, 1996 and constitutes 'international commercial arbitration.

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JUDGEMENT

Section 2(1) (f) of the Arbitration and Conciliation Act, 1996 relates to international commercial arbitration in which a legal relationship between the parties is commercial or otherwise under the law in force in India. This legal relationship is established between an individual who is a national or habitual resident in some other country. The 'nationality' or 'habitually residence' of a body corporate in any country other than India should also receive a similar construction. The determination of nationality of parties particularly in the case of international commercial arbitration is crucial from the standpoint of the appointment of an arbitrator.

For the purpose of the Arbitration and Conciliation Act, 1996, a company incorporated in India can only have Indian nationality. Under Section 2 (1) (f) of the Act, if both parties possess Indian nationalities, then the arbitration between them cannot be said to be international commercial arbitration. Notwithstanding the control and management of a company located outside India, it will still be regarded as an Indian company by its being registered in India. In the event of a dispute with another company, which is also an Indian entity, it will not be permissible to have recourse to foreign law as the governing. If a company is registered in India, although its directors or shareholders are based outside India, it would be an Indian outfit for the Arbitration and Conciliation Act, 1996.

Therefore, when both the parties are incorporated in India, Clause (ii) of Section 2(f) would apply and not Clause (iii) thereof. The dispute between two domestic companies shall fall outside the purview of "international commercial arbitration". Also, if a company is incorporated in India but its central management and control are exercised in any country other than India, then it cannot be included in the definition of international commercial arbitration.

Section 28 (1) (a) of the Act will be attracted to the case in view of Section 2(6) of the Act which excludes the domestic arbitration from derogating from the provisions of Indian law. This is part of the public policy of the country. Therefore, if both the companies involved in a dispute are domiciled in India by virtue of their incorporation under Indian law, they will have Indian nationality.

Any dispute between them shall be a domestic dispute. They cannot derogate from the provisions of the Indian law in view of its being the public policy of the country. Since there is no case of international commercial arbitration, it is wrong to approach

CASE LAW

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the Chief Justice of India for the purpose of the nomination of an arbitrator under International Commercial Arbitration.

QUESTIONS

1. Discuss the judgment of the court passed in this case under the clauses of the Arbitration and Conciliation Act, 1996.

   (**Hint:** For the purpose of the Act, a company incorporated in India can only have Indian nationality. Under Section 2 (1) (f) of the Act, if both the parties possess Indian nationalities, then the arbitration between them cannot be said to be international commercial arbitration.)

2. What distinguishes domestic arbitration from international commercial arbitration? Give reasons in support of your answer.

   (**Hint:** The process of international arbitration can be held in India in accordance with the same domestic arbitration process. However, international arbitration involves one party or domiciled or controlled from outside India or when the subject matter is abroad.)

13

C H A P T E R

LAWS RELATING TO INTELLECTUAL PROPERTY RIGHTS

CONTENTS

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INTRODUCTORY CASELET

TOYOTA AND ITS PRIUS TRADEMARK: NO PASSING OFF ACTION WITHOUT PRIOR GOODWILL, REPUTATION AND MARKET POPULARITY

Case Objective

This Caselet discusses the concept of no passing off action without prior goodwill, reputation and market popularity in the case of the Toyota car-manufacturing company.

Toyota launched the world's first commercial hybrid car called 'Prius' in Japan in 1997 which was subsequently introduced in other countries like the UK, USA, Australia, etc., in 2001. The trade name 'Prius' was initially registered in Japan in 1990 followed by registration in 28 other countries. The car was, however, not introduced in India till 2009. Considering the trade name to have become well established, it thought of itself as the natural owner of the trade name all across the globe. To its dismay, the company discovered that a small auto parts manufacturer registered the same trade name in 2001 in India. The auto-supplier made supplies for major automobile manufacturers like Hyundai, GM, and even Toyota. The Indian company claimed to have got the Latin word 'Prius' from the English Dictionary as a substitute for the Sanskrit phrase 'pehla prayas' meaning 'to come first'. It further claimed its intention to use this trade name for their new product 'Add-On Chrome Plated Accessories' and that it has nothing to do with Toyota's Prius. Toyota approached the Indian trademark authorities for the cancellation of the registered trademark given to the Indian auto-supplier based on prior use of the trademark since 1990 and legitimate ownership of the trademark in 28 countries.

ISSUE: Does the Indian auto-supplier have a valid claim on his registered trade name?

CONCEPT OF PASSING-OFF

Another concept about unregistered trademarks is 'Passing- Off'. Suppose one manufacturer has successfully built a reputation over some time with a well-known trademark but has not got it registered. If another manufacturer tries to sell his goods leveraging the reputation of the first manufacturer built on that unregistered trademark, the second manufacturer is said to be passing off his goods using a trademark which does not belong to him. The concept of 'infringement' is applicable only in the case of registered trademarks and the statutory right for an action against infringement is not applicable in the case of 'Passing-Off'.

In a passing-off action, the registration of the trade name has no meaning (as neither manufacturer has registered it) and the priority in adoption and usage of the trademark is superior to the priority in registration. *A prior user of the trademark has rights even over a later registered user,* provided he adduces proof of goodwill, reputation, and popularity in the market where the suit

INTRODUCTORY CASELET

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for passing off is brought. However, the passing-off action will fail if such proof does not relate to the relevant jurisdiction in which it has been filed.

TERRITORIAL RIGHTS: GLOBAL TRADEMARKS TOYOTA JIDOSHA KABUSHIKI KAISHA VS. M/S PRIUS AUTO INDUSTRIES LIMITED (2017)

It needs to be noted that trademarks are territorial and there is no concept of 'global trademark'. Companies need to register their trademarks in every country in which they propose to sell their goods. It is unlike the facility of international registration of patents provided by World Intellectual Property Organization (WIPO), whereby a single application is sufficient for the protection of patents all over the world. However, the protection afforded to unregistered trademarks is also available for foreign trademarks which have built a reputation in a particular country through extensive advertisements and publicity. The trans-border reputation can enable a global manufacturer to seek an injunction in the courts of the country in which he is not trading. Indian courts have recognised the existence of trans-border reputation and have granted an injunction in several cases in the past.

THE VERDICT

Based on the logic of territorial rights, the Delhi High Court issued an injunction order against the Indian auto spare parts because of using the registered trademarks of Toyota. Toyota (the plaintiff) filed an appeal before the Division Bench of the High Court which permitted the defendant to use the registered as well as unregistered trademarks of Toyota subject to the condition that they use the trademarks only to identify that the defendants' product can be used in Toyota's cars. Consequently, the issue went to appeal before the Supreme Court. The Supreme Court took the position that the case depended mainly on whether there had been a spillover of the reputation and goodwill of the trademark of Toyota in India. It held that since the Prius car was launched in India only in 2009, the brand name had not acquired the degree of goodwill, reputation and market popularity in the Indian market 'to vest in the plaintiff the necessary attributes of the right of a prior use to successfully maintain an action of passing off even against the registered owner' All this upheld the Delhi High Court order and granted the rights for usage of the trademark 'Prius' to the defendant as there were not sufficient enough proofs of reputation of 'Prius' in the Indian market.

N O T E S

LEARNING OBJECTIVES

After studying this chapter, you will be able to:

- Explain the concept of intellectual property rights
- List and differentiate different types of IPR
- Discuss methods of alternate dispute resolution for IPR-related conflicts

13.1 INTRODUCTION

In the previous chapter, you studied the Arbitration and Conciliation Act, 1996. The chapter also gave an insight into the modes of alternate dispute resolution and the importance of alternate dispute resolution. You also studied the comparative study of ADR. At the end, the chapter discussed the application of ADR in different fields and areas.

In the modern era, the grant of protection to intellectual property is essential for the development and prosperity of any society. Without such protection, creative people will not invest time, effort and money in doing innovative tasks given the possibility of theft by others. Considering the significance of IPRs, a multilateral agreement about the Trade Related Aspects of Intellectual Property Rights (TRIPS) has been entered into under the auspices of the World Trade Organization (WTO). Moreover, a specialised agency of the United Nations known as the World Intellectual Property Organization (WIPO) was set up in 1970 for the protection of IPRs and to incentivise innovation and creativity.

Owing to the globalisation and emergence of multinational corporations in recent decades, the concept of Intellectual Property Rights (IPRs) has acquired much greater significance and importance from the perspective of both domestic and international businesses.

The chapter begins with the concept of intellectual property rights. Next, you will study the objectives of intellectual property rights. In addition, the chapter also discusses the patent, trademark, copyright, Geographical Indication (GI) and trade secret. At the end, the chapter describes the IPR dispute resolution.

For example, Indian pharmaceutical company Cipla created a low-cost AIDS treatment drug but faced legal challenges over patent protection from multinational corporations. This highlighted the importance of balancing IPRs with public health concerns under TRIPS.

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13.2 OBJECTIVES

The objectives of Intellectual Property Rights (IPR) are designed to encourage innovation, creativity and economic development by providing legal protection for creators, inventors and businesses. The main goals of IPR include:

- **Encouraging innovation and creativity**: By granting exclusive rights to creators and inventors, IPR fosters the development of new ideas, inventions and creative works. This incentivises individuals and businesses to invest time, effort, and resources into innovation.
- **Promoting economic growth**: IPR plays a vital role in the global economy by enabling creators to monetise their intellectual assets. By protecting intangible assets such as patents, trademarks, copyrights, and trade secrets, IPR encourages investments, partnerships, and market competition.
- **Ensuring fair competition**: IPR ensures that creators have the opportunity to profit from their work by preventing others from unfairly exploiting their intellectual property. It promotes a balanced competitive environment, where businesses can differentiate themselves through innovation while respecting others' rights.
- **Providing legal protection for creators**: IPR gives creators legal tools to protect their intellectual works from unauthorised use or reproduction. This ensures that their creations are not exploited without compensation or recognition.
- **Supporting cultural and artistic development**: Copyright protection, in particular, encourages the creation and dissemination of cultural and artistic works by ensuring creators' rights over their creations. This helps preserve cultural heritage while promoting new forms of expression.
- **Facilitating knowledge sharing and technology transfer**: Intellectual property protection helps in the dissemination of knowledge through licensing, research partnerships, and technology transfers, fostering the spread of new technologies across industries and borders.
- **Encouraging international trade and investment**: IPR are crucial in international trade. IPR protection helps businesses operate across borders by ensuring that their products, services, and innovations are protected in foreign markets, thus facilitating global business activities.
- **Balancing public interest and private rights**: IPR seeks to strike a balance between the private interests of creators or inventors

and the public's interest in accessing knowledge and innovation. Limited-duration protection ensures that once the protection period ends, the work or invention enters the public domain, benefiting society as a whole.

SELF ASSESSMENT QUESTIONS

1. The multilateral agreement about Trade-Related Aspects of Intellectual Property Rights (TRIPS) was entered into under the auspices of the __________.
2. A specialised agency of the United Nations, known as the __________, was set up in 1970 for the protection of Intellectual Property Rights and to incentivise innovation and creativity.

ACTIVITY

Analyse and present a case study on the impact of Intellectual Property Rights (IPRs) on a multinational corporation's global strategy.

13.3 TYPES OF INTELLECTUAL PROPERTY

Intellectual Property (IP) refers to the legal rights granted to individuals or organizations over their creations of the mind, such as inventions, artistic works, symbols, names, and designs. These rights allow creators to protect and monetize their intellectual efforts, fostering innovation and creativity. IP is essential in various industries, including technology, pharmaceuticals, arts, and manufacturing, as it provides legal recognition and safeguards against unauthorised use. Some main types of Intellectual Property are shown in Figure 13.1:

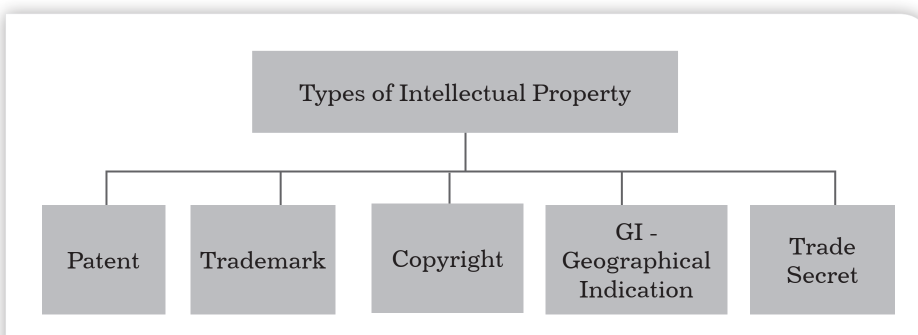

Figure 13.1: Types of Intellectual Property

13.3.1 PATENT

A patent is a document representing rights issued by a country (or a regional office acting for several countries), upon application, to the owner of an invention, to make, use, manufacture and market the invention, provided the invention satisfies certain conditions stipulated in the relevant law. Thus, the object of granting of patent is to incentivise researchers to engage in undertaking innovations which are useful to society and, at the same time, lead to accrual of economic benefits to the patent holder. It entitles the inventor to own, use or sell the invented product, method or process for a specified period. The grant of patent stimulates industrial innovation which contributes to increasing a nation's stock of valuable and tradable industrial assets.

DEFINITION OF PATENT

Under Section 2(1)(m) of Patent Act, 1970, a patent means '*a patent for any invention granted under this Act*' . In terms of Section 2(1)(o), a patent may be either about an article or a process called 'patented article' and 'patented process'. A patented article includes an article or process in respect of which a patent is in force. The person to whom the patent is granted and whose name is entered in the Register of Patents is called a 'patentee' [Section 2(1)(p)].

It may be noted that patenting is optional and not mandatory, and the grant of a patent is no guarantee of its validity. However, patenting helps in preventing its breach, warding off pre-emptive patenting, and successful prosecution of infringers.

There are two types of patents:

1. **Utility patent (invention):** A utility patent is granted for the invention or discovery of any new and useful process, product, composition of matter and any improvement thereof. For using, making or selling the invention comprised in a patent, it will be imperative to take the patent holder's permission by way of assignment, license or sale. It is also known as 'patent for invention'. Microwave ovens, networking methods, online payment systems, electronic cash, e-commerce and cash management accounts are some examples of utility patents.
2. **Design patent (manufactured articles):** A design patent is a legal right given to a person who invents a new, original, and ornamental design which gives unique visual qualities to a manufactured item. It is not concerned with the enhancement of utility or structural features except the appearance of the product. Its examples are shape, configuration or surface ornamentation. Sony, Nike, Cannon, Goodyear and Samsung are some of the holders of design patents.

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CASE INSTANCE

- **CRISPR-Cas9 gene editing patent:** The Broad Institute and the University of California have been in a landmark legal battle over the rights to the CRISPR-Cas9 gene-editing technology. This patent is a pivotal development in biotechnology, enabling precise genetic modifications for research and treatment.
- **Amazon's One-click buying patent:** Amazon's One-Click patent revolutionised e-commerce by streamlining online purchases. Although it expired in 2017, it remains a classic example of a patent's power to influence consumer behaviour and business models.
- **Apple vs. Qualcomm (2017-2019):** Apple alleged that Qualcomm's patent licensing model was unfair. The case highlighted the importance of fair licensing terms in standard-essential patents critical for smartphone technology.
- **Harvard's OncoMouse patent:** Harvard University patented the first genetically modified mouse used for cancer research, showcasing how patents can drive advancements in medical science.
- **Pfizer's COVID-19 vaccine patent:** The mRNA technology used in Pfizer-BioNTech's COVID-19 vaccine illustrates how patent protection incentivises rapid innovation in public health emergencies.

CONDITIONS OF PATENTABILITY

A patent must fulfil the following requirements:

- **Invention [Section 2(1)(i)]:** The patent application must be in respect of an invention but not a discovery. Invention may consist of a new product, process, method, apparatus or a new combination of pre-existing knowledge which satisfies some human need. A new and useful improvement in art, process, method, machine or product will also qualify to be treated as an invention. In *Biswanath Prasad Radhey Shyam* vs. *Hindustan Metal Industries* (1979) 2 SCC 511, it was held that to be patentable, the improvement or the combination must produce a new result or a new article.
- **Novelty:** Invention must lead to something new which is not already available to the public. Mere verification of something already known is not an invention. Novelty depends on the international state of the art at the relevant point of time.
- **Utility:** Invention should possess industrial use or application. Industrial application can be equated with the production of some

tangible and physical consequences. For example, in *Pitman's Application* (1969) RPC 646, an improved method of teaching and pronunciation was held as 'industrial application'.

- **Non-obviousness:** There must not be any prior anticipation of the invention to the person well versed in that field [*Windsurfing International* vs. *Tabor Marine (Great Britain) Ltd.* 1985 RPC 59]. Simply stated, no other practitioner of art could have anticipated the invention before the filing of the patent application. If the invention is fulfilling a long-felt need, it is good evidence of non-obviousness. However, the commercial success of invention is not decisive of obviousness.

NON-PATENTABLE INVENTIONS IN INDIA

The following are not entitled to be patented:

- Frivolous invention, or inventions contrary to well-established natural laws
- An invention the use whereof could be contrary to law, morality, prejudicial to human, animal or plant life or health, or the environment
- Mere discovery of a scientific principle or formulation of an abstract theory, or discovery of any living thing or non-living substances occurring in nature
- Mere discovery of new property, new use of a known substance, or mere use of a known process, machine or apparatus unless it leads to a new product or employs at least one new reactant
- A substance obtained by mere admixture, i.e., aggregation of properties of components thereof, or a process for producing such substance
- Mere arrangement, rearrangement or duplication of known devices each functioning independently of one another in a known way
- A method of agriculture or horticulture
- Any process for the medical, surgical, curative, prophylactic, diagnostic, therapeutic or other treatment of human beings or animals to render them free of disease, such as removal of cancer tumour, dental plaque, method of vaccination, or to increase their economic value or of their products
- Plants and animals in whole or any part thereof other than micro-organisms, but including seeds, varieties and species, and essentially biological processes for production or propagation of plants and animals
- Mathematical or business method, a computer program or algorithm

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- Literary, dramatic, musical, artistic work, aesthetic creation including cinematographic works or TV production
- Mere scheme, rule or method of performing a mental act or of playing a game
- Mere presentation of information
- Topography of integrated circuits
- Invention which is traditional knowledge or an aggregation/duplication of known properties of traditionally known components

Section 4 has prohibited the grant of a patent in respect of an invention relating to atomic energy as defined in Section 20(1) of the Atomic Energy Act, 1962. A patent may be granted either for a product or a process. In the case of a product, the patent shall be for the end product. But, in the case of a process, the patent shall be in respect of the process, but not the end product. In developing countries, TRIPS permits only the grant of product patents.

PERSONS ENTITLED TO MAKE APPLICATION FOR PATENT

Section 6 of the Act provides that an application for a patent for an invention may be made by any of the following persons:

- By any person claiming to be the true and first inventor of the invention
- By any person being the assignee of the person claiming to be the true and first inventor in respect of the right to make such an application
- By the legal representative of any deceased person who immediately before his death was entitled to make such an application

The application may be made by one of the persons either alone or jointly with any other person.

PROCEDURE OF APPLYING FOR A PATENT (SECTION 7)

The application for a patent shall be for one invention only. The first step is to file an application either through online mode or it can be submitted by hand or post at the patent head office. An applicant shall be furnished with the application proof of the right to apply.

It is essential to file complete specifications within 12 months from the date of filing of the application. In case the complete specification is not so filed, the application shall be deemed to be abandoned.

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CONTENTS OF SPECIFICATIONS

Section 10 dealing with contents of specifications provides that every specification, whether provisional or complete, shall describe the invention and begin with a title sufficiently indicating the subject matter to which the invention relates. Every complete specification must meet the following requirements:

- It must fully and particularly describe the invention and its operation or use and the method by which it is to be performed;
- It must disclose the best method of performing the invention which is known to the applicant and for which he is entitled to claim protection;
- It must end with a claim or claims defining the scope of the invention for which protection is claimed; and
- It must be accompanied by an abstract to provide technical information on the invention.

However, the Controller may amend the abstract to provide a better information to third parties and if the applicant mentions a biological material in the specification which may not be described in such a way as to satisfy clauses (a) and (b) above and if such material is not available to the public, the application shall be completed by depositing the material to an International Depository Authority under the Budapest Treaty.

EXHIBIT

Process of Online Registration for Patent

1. Collect information about your invention, ideas or concepts such as
    - Area of information
    - About the invention
    - Function of invention
    - Advantage of the invention
2. Design the drawing and diagram for explaining the functioning of invention
3. Ensure that the invention is not patent.
4. Check whether the claimed invention possesses all legally prescribed patentability guidelines or not. And, decide whether to go further with patent.
5. Write a provisional application in case you are at a starting level of research and development of your invention.

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There are various benefits of a provisional application which are as follows:

- Secures filing date
- Provides 12 months of time to file complete specification
- Offers low cost

After filling a complete specification (along with application for patent), the application is published after 18 months of the first filing. After this, the applicant sends a request for examination to the controller. After receiving the request, the patent application is transferred to the examiner from the controller (who examines the patent application on the different patentability criteria).

The patentability criteria are as follows:

- Patentability subject matter
- Novelty
- Non-obviousness
- Inventive step
- Enabling

Most patent applications receive different types of objections based on the examination report. All objections regarding patent application in the examination report can be clarified by developing a communication between the controller and the patent applicant. After meeting the patentability requirement, the application is placed an order for a grant.

13.3.2 TRADEMARK

A trademark can be defined as a visual symbol that individualises the goods of a given enterprise and distinguishes them from the goods of its competitors. The visual symbol may consist of a word, signature, name, device, label, numerals or combination of colours used by one undertaking on goods or services or other articles.

A trademark performs the following functions:

- It identifies the goods/or services and their origin.
- It guarantees its unchanged quality.
- It advertises the goods/services.
- It creates an image for the goods/services.

According to WIPO, a trademark may include words, letters and numerals, devices, coloured marks, three-dimensional signs, audible signs (sound marks), olfactory marks and invisible signs like those that can be recognised by touch. To be acceptable under the law, a trademark must be (a) capable of distinguishing the products or services of the trademark owner from those of others, and (b) it must be distinctive. Figure 13.2 illustrates the examples of Trademarks:

Figure 13.2: Examples of Trademarks

DEFINITION OF TRADEMARK

The term 'trademark' has been defined in Section 2(1) (zb) of the Trade Marks Act, 1999 to mean 'a mark capable of being represented graphically and which is capable of distinguishing the goods or services of one person from those of others and may include shape of goods, their packaging and combination of colours, and

i. in relation to Chapter XII (other than Section 107), a registered trademark or a mark used in relation to goods or services for the purpose of indicating or so as to indicate a connection in the course of trade between the goods or services, as the case may be, and some person having the right as proprietor to use the mark; and

ii. in relation to other provisions of this Act, a mark used or proposed to be used in relation to goods or services for the purpose of indicating or so to indicate a connection in the course of trade between the goods or services, as the case may be, and some person having the right, either as proprietor or by way of permitted user, to use the mark whether with or without any indication of the identity of that person, and includes a certification trademark or collective mark, in the Act to refer to 'any registered trademark or mark used to identify the origin and manufacture of the goods'.

DEFINITION OF A WELL-KNOWN TRADEMARK

Section 2(1)(zg) has defined a well-known trademark in relation to any goods or services as a mark which has become so to the substantial segment of the public which uses such goods or services such that

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the use of such mark in relation to other goods or services would be likely to be taken as indicating a connection in the course of trade or rendering of services between those goods or services and a person using the mark about the first-mentioned goods or services.

MEANING OF 'MARK'

The Act in Section 2(1) (m) has also defined the term 'mark' as one which includes a device, brand, heading, label, ticket, name, signature, word, letter, numeral, shape of goods, packaging or combination of colours or any combination thereof.

INFRINGEMENT OF REGISTERED TRADE MARKS (SECTION 29)

A registered trademark is infringed if:

- An identical mark and is used in respect of similar goods or services; or
- The mark is similar to the registered trademark and there is an identity or similarity of the goods or services covered by the trademark; or
- the trademark is identical and is used about identical goods or services, and such use is likely to confuse the part of the public or is likely to be taken to have an association with the registered trademark.

Additionally, in respect of cases falling in category (c) above, there will be a legal presumption of likelihood of confusion on the part of the public.

A person shall be deemed to have infringed a trademark if he applies such registered trademark knowing that application of such mark is not authorised by the proprietor or licensee. Advertising of a trademark to take unfair adv antage of, or against the reputation of, the trademark also constitutes an infringement under Section 29(8) of the Act.

CASE INSTANCE

- **Cadbury purple trademark case (UK):** Cadbury tried to trademark the shade of purple (Pantone 2685C) used in its packaging. The court ruled against it, stating that the colour was not sufficiently distinctive. This highlights how trademarks must be unique and well-associated with the brand.
- **Coca-Cola vs. Koke company of America:** Coca-Cola defended its trademark against the Koke Company, which attempted to use a similar name. The US Supreme Court upheld Coca-Cola's rights, establishing protection against deceptive branding practices.

- **Apple vs. Samsung:** Apple claimed Samsung infringed on its trademark by imitating the design and feel of its iPhone. The landmark case emphasised the importance of trademark protection in design and technology industries.
- **Nestlé KitKat shape trademark:** Nestlé sought to trademark the KitKat's four-fingered shape, but courts in the EU ruled it was not distinctive enough. This illustrates the challenges in trademarking product shapes.
- **Amul vs. Amul products:** Amul, a renowned dairy brand in India, filed a case against a company using a similar name for unrelated products. The courts ruled in favour of Amul, reinforcing that well-known trademarks are protected against dilution even in different industries.

PENALTIES FOR INFRINGEMENT OF TRADEMARK (SECTIONS 101-121)

The Trademarks Act, 1999 has stated penalties for applying false trademarks; or falsely representing a trademark as registered; or for improperly describing a place of business as connected with the trademarks office, etc. There exist provisions for offences by companies.

ADVANTAGES OF REGISTRATION OF TRADEMARK

The following are the advantages of registering a trademark under the Trademark Act:

- Confers exclusive rights to the registered proprietor to use the Trademark
- Prevents any competitor from using the mark for similar goods
- Provides legal protection under the trademark law
- Gives nationwide priority rights to use the trademark
- Allows filing of civil suits by any aggrieved person before a district court
- Provides criminal remedies in case of falsification of trademarks in case of delayed acceptance

13.3.3 COPYRIGHT

Copyright refers to a legal right given to the creators of literary, dramatic, musical and artistic works as well as to the producers of cinematograph films and sound recordings. The law has its roots in the common law system which was gradually adopted by various countries across the globe. It is a bundle of rights that include rights of reproduction, communication to the public, adaptation and translation of the work. It offers the sole right to the author to produce or reproduce his intellectual work.

Copyright does not apply to the idea itself but to the form of expression of those ideas. The ideas in the work need not be new, but they must have been expressed originally. For example, if you write a book on the epic Mahabharata or a commentary on the scripture like Bhagavad Gita or an academic book on the subject of financial management, your work will be creative, although several people may have already written on all these subjects.

Moreover, copyright protection has nothing to do with the quality or the value attached to the work or the purpose for which it is intended. In their nature, copyrights are temporal (applicable to a limited period), geographical (limited to the particular territory for which these have been registered), and may or may not pertain to non-material works (some countries require the work to be fixed in some material form).

MEANING OF COPYRIGHT

Section 14 of the Copyright Act, 1957 defines the term to mean the exclusive right to do or authorise the doing of literary, musical, artistic, cinematic and similar works. All these types of works have been specified in the foregoing.

SCOPE OF COPYRIGHT IN LITERARY, DRAMATIC, AND MUSICAL WORKS

- **Literary works:** They include novels, short stories, poems, dramatic works, fictional, and non-fictional works, etc., and computer programs.
- **Artistic works:** They include works like paintings, drawings, engravings, sculptures, or photographs or a work of architecture and any other work of artistic craftsmanship.
- **Musical works:** They include any graphical notation, but do not include any words or any action intended to be sung, spoken or performed with the music. Musical works need not be written down to acquire copyright protection.

It may be noted that registration is not necessary to claim copyright in a work. The acquisition of copyright is done automatically and it comes into existence as soon as a work is created and does not require any formality. However, a registration of copyright serves as evidence in the case of a dispute.

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DURATION OF COPYRIGHT

Copyright is protected only for a limited period. In general, a copyright can last for 60 years from the year following the death of the author. In the case of joint authorship, the term of copyright is to be construed from the death of the author who dies last. As regards posthumous, anonymous, and pseudonymous works; photographs; cinematograph films; sound recordings; works of government, public undertakings and international organisations, copyright protection is for 60 years from the beginning of the calendar year following the year of first publication of such work. Broadcasting reproduction rights are available for 25 years from the beginning of the calendar year following the year in which the broadcast is made. A performer's right concerning performance is for 50 years.

Who is an author in the case of different categories of copyrights?

- In the case of a literary or dramatic work, the author, i.e., the person who creates the work is the author.
- In the case of a musical work, the composer is the author.
- In the case of a cinematograph film, the producer is the author.
- In the case of a sound recording, the producer is the author.
- In the case of a photograph, the photographer is considered to be the author.
- In the case of a computer-generated work, the author is the person who causes the work to be created.

TYPES OF RIGHTS UNDER COPYRIGHT ACT

The Copyright Act confers two types of rights, namely (i) economic rights, and (ii) moral rights. Economic rights refer to the rights of the copyright owner to reproduce or perform the work in public or to communicate it to the public. Moral rights refer to rights to claim or restrain damages in respect of any mutilation or distortion of the works or any other action in relation to the said works which would be prejudicial to the honour or reputation of the author. These rights are available even after assignment of the copyright.

INFRINGEMENT OF COPYRIGHT (SECTION 51)

A copyright is infringed when any person without a license granted by the owner of the copyright or the Registrar of Copyright or in contravention of the conditions of a license so granted or of any condition imposed by a competent authority does the following:

- Anything for which the exclusive right is conferred upon the owner of the copyright

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- Permits for profit any place to be used for the communication of the work to public where such a communication constitutes an infringement of the copyright in the work, unless he was not aware and had no reasonable ground for believing that such communication would be an infringement of copyright.
- When any person (a) makes for sale or hire or lets for hire or by way of trade display or offers for sale or hire, or (b) distributes either for the purpose of trade or to such an extent as to affect prejudicially the owner of the copyright, or (c) by way of trade, exhibits in public, or (d) imports into India any infringing copies of the work. However, import of one copy of any work is allowed for private and domestic use of the importer.

Explanation to Section 51 clarifies that the reproduction of literary, dramatic, musical or artistic work in the form of cinematograph film shall be deemed to be an infringing copy.

ONUS OF PROOF

The violation of copyright is considered as an act of piracy. It must be proved by clear and cogent evidence that:

(i) There exists a copyright

(ii) The offender made an infringing copy of the copyright material

(iii) Such copies have been sold or distributed, etc.

(iv) The defendant has done anything in contravention of the sole belonging to the copyright owner

STATUTORY EXCEPTIONS TO INFRINGEMENT (SECTION 52)

Fair Dealing

The exception of fair dealing covers the following:

- **Research:** It is based on the principle that every man can take what is useful from the original work and make additions and improvements. In such cases, there may not be any invasion of copyright. The word 'research' must, however, be strictly construed and should be confined to a '*diligent, protracted investigation especially for the purpose of adding to human knowledge*', or an '*investigation directed to the discovery of some facts by careful study*'. It must be for advancement of knowledge as distinguished from commercial purpose.
- **Private Study:** This exception will not be available if a publication is involved. For instance, a student copying a book for his own use but not for circulation of copies among other students amounts to private study.

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- **Criticism or Review:** It relates to an examination of literary merits of a book or article, its truth, relevance, sources, etc.
- **Journalistic Object:** It relates to the usage of copyright material for the purpose of reporting current events in a magazine, newspaper or in a cinematographic film or by means of photographs, etc.

EXHIBIT

Moral Rights vs. Economic Rights under Copyright Act

Moral rights

- **Definition:** These are rights that protect the personal and reputational interests of the author.
- **Scope**
  - **Right of attribution:** The author has the right to be identified as the creator of the work.
  - **Right to integrity:** The author can prevent any mutilation, distortion, or other modifications of their work that would harm their reputation or honour.
- **Duration:** Moral rights continue even after the copyright has been assigned to another party or expires.
- **Transferability:** Cannot be transferred or waived.
- **Example:** A painter objecting to modifications of their artwork that misrepresent its original meaning.

Economic rights

- **Definition:** These are rights that allow the copyright owner to exploit their work commercially.
- **Scope**
  - **Reproduction:** The right to make copies of the work.
  - **Public performance:** The right to perform or display the work publicly.
  - **Distribution:** The right to sell or distribute copies.
  - **Adaptation:** The right to create derivative works based on the original.
  - **Communication:** The right to transmit the work electronically (e.g., broadcasting).
- **Duration:** Economic rights are valid during the copyright term (e.g., 60 years from the author's death).

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- **Transferability:** Can be transferred, assigned, or licensed.
- **Example:** A filmmaker selling the rights to screen their movie in theaters.

Comparison Table

Aspect	Moral Rights	Economic Rights
Nature	Protects personal and reputational interests	Protects commercial interests
Key components	Right of attribution, right to integrity	Reproduction, distribution, adaptation, performance
Transferability	Cannot be transferred or waived	Can be assigned, licensed, or sold
Duration	Survives the copyright term or transfer of copyright	Valid for the copyright term (e.g., 60 years)
Example	Author opposing distortion of their novel's meaning	Licensing a book for movie adaptation

13.3.4 GI - GEOGRAPHICAL INDICATION

Geographical indications are the indications that identify goods as originating from a particular geographical territory. For such goods, the quality, reputation or other characteristics of the goods are essentially attributable to that particular geographical origin. For example, the Indication tag is issued to the Indian basmati rice and Darjeeling tea as basmati rice is grown in a particular Indo-Gangetic Plains (IGPs) geographical region of the Indian sub-continent and covers seven states of India. Since India is the largest producer and exporter of basmati rice, the GI tag assigned to basmati rice will help preserve the unique identity of India's aromatic basmati rice in the international markets. Other examples of goods that are known for their geographical origin are Champagne, Tequila, Darjeeling, Kanjivaram Silk, Alphonso mangoes, etc., all of which have their names based on the places of their origin, though consumers think of the products themselves instead of their names.

GI is a new addition to various types of IPRs. As per WIPO, GI protection is applicable regardless of whether the qualities of a given product are due to its geographical origin or merely indicate the place of origin of a product. GI may consist of names or symbols. When goods acquire a high reputation based on their geographical origin, making them valuable commercial assets, they get exposed to misappropriation, counterfeiting or forgery and, hence, their protection becomes important. The GI protection is not, however, available, as per TRIPS regulation, if the geographical name has become generic over a period of time.

An example of a GI tag meant for protecting another Indian-origin product is the traditional tie-and-dye fabric-based Pochampally sarees of Andhra Pradesh. There are around one lakh weavers in Andhra Pradesh who produce these handloom-based sarees which are famous and well known by the place of their origin. With the design now winning the GI protection, it will ensure that these handloom weavers are protected from unfair competition and from counterfeit sarees sold in that name.

An important difference between Trademarks and GI tags is that whereas a trademark identifies a single enterprise which offers certain goods in the market to differentiate them from offerings of others, a GI tag identifies a geographical area in which one or several enterprises are located which produce the kind of product for which the geographical indication is used. Hence, there is no concept of ownership of geographical indication. Every enterprise located in that geographical area has the right to use the GI tag for the products originating in that area but is subject to certain quality requirements as may be prescribed. Protection of geographical indication means the right to prevent unauthorised persons from using geographical indications, either for products that do not originate from the geographical place or not comply with the prescribed quality standards.

GEOGRAPHICAL INDICATIONS OF GOODS (REGISTRATION AND PROTECTION) ACT, 1999

In India, the protection of geographical indications is governed by the Geographical Indications of Goods (Registration and Protection) Act, 1999. The objective of this Act is to foster the registration and protection of geographical indications related to goods in India. However, the registration under the Act is not mandatory. But registration affords legal protection in case of any infringement. The Act is administered by the Controller General of Patents, Designs and Trademarks who will be the Registrar for GI also. It is for the Central Government to decide as to which products should be accorded higher levels of protection under the Act.

Section 2(e) of the Geographical Indications of Goods (Registration and Protection) Act, 1999 has defined a GI as follows: 'Geographical indication', about goods, means an indication which identifies such

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goods as agricultural goods, natural goods or manufactured goods as originating, or manufactured in the territory of a country, or a region or locality in that territory, where a given quality, reputation or other characteristic of such goods is essentially attributable to its geographical origin and in case where such goods are manufactured goods one of the activities of either the production or of processing or preparation of the goods concerned takes place in such territory, region or locality, as the case may be.'

Therefore, to qualify for protection, an indication must:

- Identify the good and its area of geographical origin
- Possess a given quality, reputation or other characteristics which is essentially attributable to its area of geographic origin

DURATION AND RENEWAL OF GIS

As per Section 18 of the Act, the registration of a GI shall be for ten years. However, it can be renewed from time to time. It may be noted that GI is not capable of assignment, licensing, transmission, pledging, or any other type of agreement.

CASE INSTANCE

- **Manipuri Black Rice (Chak-Hao):** This aromatic black rice is native to Manipur and was awarded the GI tag in 2020. It is known for its unique taste, high nutritional value, and cultural significance, it has gained international recognition and demand.
- **Telangana's Tandur Redgram:** In 2021, the Tandur red gram (pigeon pea) from Telangana was granted a GI tag for its superior quality and adaptability to the Tandur region's black cotton soil and semi-arid climate.
- **Kandhamal Haldi:** This turmeric from Odisha, known for its medicinal properties and high curcumin content, was awarded the GI tag in 2019. It is grown in the tribal regions of Kandhamal, contributing significantly to the local economy.
- **Thanjavur Netti Works:** These intricate artworks made from pith (soft plant material) are crafted by artisans in Tamil Nadu and were awarded a GI tag in 2020. They are highly valued for their lightweight and detailed designs.
- **Gucchi Mushrooms:** Native to the forests of Jammu and Kashmir, Gucchi mushrooms, known for their unique flavour and medicinal properties, were granted a GI tag in 2021. These wild mushrooms are considered a delicacy in Indian and international cuisines.

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13.3.5 TRADE SECRET

The strength of the leading successful and innovative companies depends many times on the innovative techniques and accompanying know-how employed in their businesses. Though these may be their unique competitive strength and weapons in the market competition, trade secrets are not protected by law in the same manner as trademarks or patents. Probably, one of the most significant differences is that a trade secret is protected without disclosure of the secret.

A trade secret might be a patentable idea but not always. A trade secret does not need to clear the test of novelty. A trade secret is valuable to a company as long as it remains a secret. Two business firms can have the same trade secret though neither is aware of this fact. Once the information enters the public domain, it is lost forever.

CONCEPT OF TRADE SECRETS

Any confidential business information that offers a business enterprise a competitive advantage in carrying out its operations is a trade secret. The object behind its protection is to afford an actual or potential economic advantage to the firm over its rivals. Trade secrets comprise manufacturing secrets, industrial secrets and commercial secrets.

A trade secret can be in the form of patterns, methods, processes, formulas, programs, prototypes, techniques or compilations of information that provide one's business with a competitive edge, such as information about buyers' behaviour.

Trade secrets are more like unregistered common law trademarks or unregistered copyrights. *The TRIPS Agreement under Article 39 protects trade secrets in the form of 'undisclosed information', and provides a uniform mechanism for the international protection of trade secrets*. The protection is provided in terms of the Paris Convention, 1967.

As per the Paris Convention, 1967:

- A secret is not generally known or readily accessible to a person within the circles that normally deal with all kinds of information in question;
- it must have commercial value because it is secret; and
- the information must be kept secret by the owner.

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The following are the effective remedies suggested by TRIPS Agreements for trade secret misappropriations:

- Injunctive relief;
- Award of damages arising because of disclosure of trade secrets; and
- Provisional relief to avoid infringement and to preserve evidence.

These technical know-how are usually termed as 'trade secrets'. These may also lack the novelty or other requirements that need to be met for patentability. However, companies do require protection under the law against unfair competition in terms of stealing their trade secrets from competitors. Hence, trade secrets are also a kind of intellectual property of companies. So, IPR laws must be considered. Legal provisions for the protection of trade secrets vary across countries. Some countries have separate laws meant for protecting trade secrets, while others have provisions under laws meant for preventing unfair competition. In some countries, it may also be treated as an aspect of tort law or as part of other civil or criminal law provisions depending on the legal structure and practices of the country.

PROTECTION OF TRADE SECRETS

The Indian courts rely upon equitable and common law remedies to provide protection to trade secrets by relying on principles laid down in *Saltman Engineering Co. Ltd.* vs. *Campbell Engineering Co. Ltd.* 1948 (65) RPC 203. It applied principles of equity, i.e., the need for conscientiousness in the course of conducting business. The remedy may also be given based on breach of confidence which is a part of common law of breach of contract. The test for a cause of action for breach of confidence in the common law world is set out in the case of *Coco* vs. *A.N. Clark (Engineers) Ltd.*, (1969) R.P.C. 41 and is as follows:

- The information itself must have the necessary quality of confidence about it;
- That information must have been imparted in circumstances imparting an obligation of confidence;
- There must be an unauthorised use of that information to the detriment of the party communicating it.

Unlike intellectual properties like inventions and copyrightable material, the trade secret is not strictly a property that the possessor has an exclusive right to use. In other words, there is no legal remedy if the trade secret leaks out to competitors or they reverse engineer the secret, say a formula. If the dispute arises, the determination of

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unfair competition by stealing of trade secret is based on the means with which the information has been acquired by the competitor.

CASE INSTANCE

The Coca-Cola Recipe: A Legacy of Trade Secret Protection

The Coca-Cola recipe has been a subject of disputes under trade secret law due to its highly guarded nature. The company has kept the formula a closely held secret, with only a few executives knowing the complete recipe. In several instances, former employees and others have attempted to disclose or patent the recipe, leading to legal actions. Coca-Cola has successfully defended its recipe as a trade secret, asserting its protection under intellectual property laws. These disputes highlight the value and importance of maintaining confidentiality in trade secrets for competitive advantage.

SELF ASSESSMENT QUESTIONS

3. A patent is a document representing rights issued by a country (or a regional office acting for several countries), upon application, to the owner of an invention, to make, use, manufacture and market the invention, provided the invention does not satisfy certain conditions stipulated in the relevant law. (True/False)
4. Copyright is the exclusive right to do or authorise the doing of literary, musical, artistic, cinematic and similar works. (True/False)
5. A trademark can be defined as a ____________ symbol that individualises the goods of a given enterprise and distinguishes them from the goods of its competitors.

ACTIVITY

Download the IPR-related laws of WIPO, TRIPS and Indian IPR laws. Compare and contrast the features and provide your opinion on the protection offered by Indian laws.

13.4 IPR DISPUTE RESOLUTION

Despite the existence of several well-established laws and regulations, both domestic and international, to govern and protect Intellectual properties, there is always the possibility of disputes arising between parties. Such disputes can prove to be expensive and time-consuming depending on the efficiency with which the IPR laws are governed

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and enforced in different countries, which may involve conflicting interpretations and complex procedures for the resolution of disputes.

The WIPO Arbitration and Mediation Centre is located in Geneva and offers dispute resolution services for cross-border IPR disputes. The WIPO's Alternative Dispute Resolution (ADR) procedures offer the following advantages:

- They provide a single procedure that can be opted by parties to resolve disputes related to intellectual property that is protected in several countries, thus saving time and cost.
- They provide a better, time-saving and cost-effective way to resolve disputes among private parties as compared to court litigation.
- ADR is neutral to the law, language and institutional culture of the parties which helps in maintaining equality among parties and prevents some parties from getting the home court advantage when compared to the court-based litigation in respective countries.
- The proceedings of ADR are private and, hence, facilitate confidentiality.
- Unlike court decisions, arbitral awards are not normally subject to appeal.

SELF ASSESSMENT QUESTIONS

6. The WIPO Arbitration and Mediation Centre offers dispute resolution services for __________ IPR disputes.
7. ADR stands for:
   a. Alternative Dispute Resolution
   b. Alternative Discussion Resolution
   c. Alternative Dispute Report
   d. Alternative Discussion Reforms
8. Arbitral awards are confidential and subject to appeal. (True/False)
9. ADR provides a better, time-saving and cost-effective way to resolve disputes among _________ parties as compared to court_________.
   a. public; proceedings
   b. private; proceedings
   c. private; litigation
   d. public; litigation

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ACTIVITY

Write a brief report on an important case that has recently used ADR principles in resolving IPR disputes.

13.5 SUMMARY

- IPRs are legal rights to control the usage of intellectual property, like as goodwill, reputation, etc. They are intangible, incorporeal and non-excludible and are used by a multitude of people at the same time, unlike the traditional physical property.
- A patent is a document representing rights issued by a country (or a regional office acting for several countries), upon application, to the owner of an invention, to make, use, manufacture and market the invention, provided the invention satisfies certain conditions stipulated in the relevant law.
- Copyright refers to a legal right given to the creators of literary, dramatic, musical and artistic works as well as to the producers of cinematograph films and sound recordings.
- Copyright is not applicable to the idea itself, but to the form of expression of those ideas. The ideas in the work need not be new, but they must have been expressed originally.
- Registration is not necessary to claim copyright in a work. The acquisition of copyright is done automatically and it comes into existence as soon as a work is created and does not require any formality.
- Copyright is protected only for a limited period of time. In general, a copyright can last for 60 years from the year following the death of the author. In the case of joint authorship, the term of copyright is to be construed from the death of the author who dies last. The Copyright Act confers two types of rights, namely: (i) economic rights, and (ii) moral rights.
- A trademark can be defined as a visual symbol that individualises goods of a given enterprise and distinguishes them from the goods of its competitors.
- Any confidential business information that offers a business enterprise a competitive advantage in carrying out its operations is known as a trade secret.
- GIs identify goods that owe their quality and reputation to the particular geographical territory from which they originate. Such goods can be protected against counterfeit products under IPR laws.

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- The industrial designs that refer to the visual and aesthetic design of a product adding commercial value to the product can be protected under IPR laws. These are governed by the Designs Act, 2000 in India.
- Other major IP assets that can be protected under the law are layout designs of integrated circuits and plant varieties. These are also governed by separate laws in India.

KEY WORDS

- **Assignment**: The transfer or sale of a patent by an instrument in writing to transfer the entire interest in the patent to the assignee by the assignor, i.e., the patent holder
- **Infringement**: The practice of making, using or selling a patented product or process without permission
- **Intellectual Property**: An intangible property created out of intellectual effort like inventions, know-how, processes, methods, materials, artistic works, etc., which are protectable by legislation through patents, copyrights, trademarks, trade secrets, etc.
- **Invention**: A new product or process that is capable of industrial application
- **Novelty**: An invention that is new, original, unusual does not form part of any existing development, and is not published or available in the public domain

13.6 MULTIPLE CHOICE QUESTIONS

1. Which of the following is NOT a primary objective of Intellectual Property Rights (IPR)?
   a. Encouraging innovation and creativity
   b. Ensuring creators' monopoly over their work indefinitely
   c. Promoting economic growth
   d. Facilitating knowledge sharing and technology transfer
2. What is the main role of the World Intellectual Property Organization (WIPO)?
   a. Enforcing international trade laws
   b. Promoting free trade among nations
   c. Protecting intellectual property rights and fostering innovation
   d. Regulating global financial markets

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3. Which multilateral agreement governs Trade-Related Aspects of Intellectual Property Rights (TRIPS)?
   a. Paris Agreement
   b. World Trade Agreement
   c. WTO Agreement
   d. Berne Convention
4. Which of the following is NOT a type of patent?
   a. Utility patent
   b. Design patent
   c. Copyright patent
   d. None of the above
5. What is the primary function of a trademark?
   a. To ensure novelty of an invention
   b. To distinguish goods/services of one enterprise from another
   c. To protect confidential business information
   d. To secure economic rights over artistic works
6. Which of the following copyright statements is TRUE?
   a. Copyright protects the idea itself, not its expression.
   b. Copyright protection is limited to 10 years from creation.
   c. Copyright protects original works like literary, musical, and artistic creations.
   d. Copyright registration is mandatory for protection.
7. What distinguishes Geographical Indications (GIs) from trademarks?
   a. GIs identify a single enterprise.
   b. GIs are limited to a specific individual.
   c. GIs identify products from a specific geographical region and their unique qualities.
   d. GIs require mandatory registration for legal protection.
8. According to TRIPS, which of the following is a condition for trade secret protection?
   a. The information must be novel and patentable.
   b. The information must be publicly accessible.
   c. The information must have commercial value because it is secret.
   d. The information must be registered with a relevant authority.

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9. What is one key advantage of the WIPO Alternative Dispute Resolution (ADR) process?
   a. It guarantees appeal rights for all parties.
   b. It provides a neutral and confidential process for resolving IPR disputes.
   c. It mandates resolution of disputes within one month.
   d. It replaces domestic IPR laws.
10. Where is the WIPO Arbitration and Mediation Centre located?
   a. Paris
   b. Geneva
   c. New York
   d. London

13.7 DESCRIPTIVE QUESTIONS

1. Explain the objectives of IPR.
2. What do you mean by patent? Explain the conditions of patentability.
3. Explain the concept of trademark. Discuss the advantages of registration of trademark.
4. Discuss the meaning of copyright. What is the duration of copyright?
5. Explain the concept of trade secrets.

13.8 HIGHER ORDER THINKING ORDER (HOTS) QUESTIONS

1. A pharmaceutical company develops a groundbreaking drug after investing significant resources in research and development. To ensure they can recoup their investment and prevent competitors from replicating the drug without permission, the company applies for legal protection under IPR. Which type of intellectual property protection is most appropriate for the company to secure its rights over the drug?
   a. Trademark
   b. Copyright
   c. Patent
   d. Trade Secret
2. A globally renowned technology company, "InnovTech," developed a groundbreaking software for financial data

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encryption. They secured a patent for the unique algorithm used in the software. However, a competitor, “CipherCorp,” developed a similar product using a slightly modified version of InnovTech’s algorithm without authorisation. What legal protection can InnovTech invoke to prevent CipherCorp from using its patented algorithm?

a. Copyright Law

b. Trademark Law

c. Patent Law

d. Trade Secret

3. A luxury clothing brand, “EliteWear,” has a distinctive logo combining an eagle and a crown. Another company, “RegalStyle,” launched a similar logo that closely resembles EliteWear’s design, causing confusion among customers. EliteWear claims that RegalStyle is infringing on its trademark. What is the primary purpose of trademark law that EliteWear could use to challenge RegalStyle?

a. To protect artistic expression

b. To safeguard confidential business information

c. To prevent others from using similar marks to identify products or services

d. To secure exclusive rights over inventions

4. A beverage company, “Breezy Drinks,” is famous for its secret recipe for a citrus-flavoured soda. The company has never patented the recipe, fearing disclosure, and instead keeps it as a trade secret. One of its ex-employees shared the recipe with a competitor, “Zesty Cola,” which started producing a similar soda. What form of intellectual property can Breezy Drinks claim to protect its secret recipe?

a. Copyright

b. Geographical Indication

c. Patent

d. Trade Secret

13.9 DESCRIPTIVE QUESTIONS

ANSWERS FOR SELF ASSESSMENT QUESTIONS

Topic	Q. No.	Answer
Objectives of Intellectual Property Rights	1.	World Trade Organization (WTO)

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Topic	Q. No.	Answer
	2.	World Intellectual Property Organization (WIPO)
Types of Intellectual Property	3.	False
	4.	True
	5.	visual
IPR Dispute Resolution	6.	cross-border
	7.	a. Alternative Dispute Resolution
	8.	False
	9.	c. private; litigation

ANSWERS FOR MULTIPLE CHOICE QUESTIONS

Q. No.	Answer
1.	b. Ensuring creators' monopoly over their work indefinitely
2.	c. Protecting intellectual property rights and fostering innovation
3.	c. WTO Agreement
4.	c. Copyright patent
5.	b. To distinguish goods/services of one enterprise from another
6.	c. Copyright protects original works like literary, musical, and artistic creations.
7.	c. GIs identify products from a specific geographical region and their unique qualities.
8.	c. The information must have commercial value because it is secret.
9.	b. It provides a neutral and confidential process for resolving IPR disputes.
10.	b. Geneva

HINTS FOR DESCRIPTIVE QUESTIONS

1. The objectives of IPR are designed to encourage innovation, creativity, and economic development by providing legal protection for creators, inventors, and businesses. Refer to Section **13.2 Objectives**
2. Under Section 2(m), a patent means 'a patent granted under the Act'. In terms of Section 2(a), a patent may be either in relation to an article or a process called 'patented article' and 'patented process'. Refer to Section **13.3 Types of Intellectual Property**

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3. A trademark can be defined as a visual symbol that individualises goods of a given enterprise and distinguishes them from the goods of its competitors. The visual symbol may consist of a word, signature, name, device, label, numerals or combination of colours used by one undertaking on goods or services or other articles. Refer to Section **13.3 Types of Intellectual Property**
4. Section 14 of the Act defines the term to mean the exclusive right to do or authorise the doing of literary, musical, artistic, cinematic and similar other works. All these types of works have been specified in the foregoing. Refer to Section **13.3 Types of Intellectual Property**
5. Any confidential business information that offers a business enterprise a competitive advantage in carrying out its operations is a trade secret. The object behind its protection is to afford an actual or potential economic advantage to the firm over its rivals. Refer to Section **13.3 Types of Intellectual Property**

ANSWERS FOR HIGHER ORDER THINKING ORDER (HOTS) QUESTIONS

Q. No.	Answer
1.	c. Patent
2.	c. Patent Law
3.	c. To prevent others from using similar marks to identify products or services
4.	d. Trade Secret

13.10 SUGGESTED READING & REFERENCES

SUGGESTED READINGS

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STATE OF ANDHRA PRADESH VS. NAGOTI VENKATARAMANA (1996) 6 SCC 409

Case Objective

This case law discusses the importance of respecting and observing Intellectual Property Rights.

FACTS

The respondent was found to have kept in his shop named 'Video City' various cassettes, numbering 90, in Telugu, English and Hindu cinematograph films either for hire or sale to the customers.

ISSUE

Has the respondent committed infringement of a copyright under the Copyright Act?

JUDGEMENT

Piracy has become a global problem due to rapid advances in technology. It has assumed alarming proportions all over the world and all the countries are trying to meet the challenge by taking stringent legislative and enforcement measures. It is to deal with the problem that provisions have been made in the Copyright Act, 1957. Mainly, there are three types of piracy (i) piracy of the printed word (ii) piracy of sound recordings and (iii) piracy of cinematograph films. The objective of the pirates in all such cases is to make quick money and avoid payment of legitimate taxes and royalties. The emergence of new techniques of recording coupled with the advent of video technology has greatly helped pirates in carrying on piracy on a large scale. To tackle the menace of piracy, the amendment in the Copyright Act 1957 has enhanced the amount of fines and imprisonment with still more enhanced punishment for subsequent convictions. Infringement has also been declared an economic offence so the period of limitation provided for in the Code of Criminal Procedure, 1973 will not apply to this offence.

Section 2 [m] (ii) of the Act has defined "infringing copy" to mean, about cinematographic film, a copy of the film made on any medium by any means. Section 3 defines «publication» to mean making a work available to the public by issuing copies or by communicating the work to the public. Section 4 envisages when work is not deemed to be published or performed in public.

It provides that except about the infringement of copyright, a work shall not be deemed to be published or performed in public, without the license of the owner of the copyright. The permission of the owner for publication is mandatory when it sought to be brought home to the person violating the publication or performed in public. It excludes the application of infringement

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of copyright from the purview of Section 4. Chapter X deals with the registration of copyright. Section 44 envisages that there shall be kept at the Copyright Office a register in the prescribed form to be called the Register of Copyrights in which may be entered the names or title of works and the names and addresses of authors, publishers and owners of copyright and such other particulars as may be prescribed. The entries under Section 48 in the Register of Copyrights shall be prima facie evidence of the particulars entered therein, or extracts therefrom certified by the Registrar of Copyrights and sealed with the seal of the Copyright Office shall be admissible in evidence in all courts without further proof or production of the original Section 51 in Chapter XI, which deals with the infringement of copyrights. It provides, among other things, that a copyright in a work shall be deemed to be infringed when any other person makes for sale or hire or sells or lets for hire, or by way of trade displays or offers for sale or hire any infringing copies of the work.

Section 52-A makes it mandatory to publish specified information. Section 63 in Chapter XIII provides for the imposition of penalty for the offence of infringement of copyright or other rights as conferred by this Act. A reading of these provisions does indicate that infringement of a copyright or deemed infringement of a copyright or publication of a work without the permission of the owner are offences under the Act.

The question is whether identification of the owner of the copyright is a pre-condition for establishing violation of the provisions of Section 63 or 68-A?

In the interpretation of penal provisions, it is imperative to resort to strict construction so that if any real doubt arises as to identification, it will be necessary to give the benefit of doubt to the accused. Has such a doubt arisen in this case? The object of amending the Copyright Act has been to prevent piracy by increasing the punishment and declaring the infringement as an economic offence. Section 2 (c)of Cinematograph Act, 2023 has defined “cinematograph” to include any apparatus for the representation of moving pictures or series of pictures. Section 2 (dd) of Cinematograph Act, 2023 has defined “films” to mean a cinematograph film. The question is as to whether video film is a cinematograph? It is settled view that video tapes come within the expression “cinematograph” in view of the extended definition in Section 2 (c) which includes apparatus for the representation of moving pictures or series of pictures as copy of the video should be created in respect of a cinematograph under the Cinematograph Act which gives protection to the purchasers of the cinematograph if they are registered under Chapter X of

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the Act. Licenses for giving their public exhibition is necessary under the Cinematograph Act in spite of their having commercial licenses under the Telegraphs Act.

In this case, there is a charge under Section 51 read with Section 63 of the Act. In view of the above finding including the findings of the courts, the respondent has exhibited video films in his Video City for hire or for sale of the cassettes to the public which do not contain the particulars envisaged under Section 52-A of the Act, which is an infringement and falls under Section 51[b] (ii) or Section 52-A of the Act. The former offence is punishable under Section 63 whereas the latter is punishable under Section 68-A of the Act. It would, therefore, be unnecessary for the prosecution to track on and trace out the owner of the copyright to come and adduce evidence of infringement of the copyright. The absence thereof does not constitute lack of essential element of infringement of copyright. If the particulars on video films, etc., mandated under Section 52-A do not find place, it would be infringement of copyright. Thus, the offence was held to fall under Section 68-A of the Act making the respondent liable to pay a sum of ₹10,000 as fine. In default, he should undergo rigorous imprisonment for a period of three months. Even if he does not pay the fine and undergoes the sentence, the State is at liberty to recover the fine from the respondent.

QUESTIONS

1. Do you agree with the judgement given in this case?

   (**Hint:** The offence was held to fall under Section 68-A of the Act.)

2. Find out how the term 'piracy' has been interpreted in the course of the judgement.

   (**Hint:** There are three types of piracy (i) piracy of the printed word (ii) piracy of sound recordings and (iii) piracy of cinematograph films.)